

Laurus Labs Ltd. (LAURUSLABS)

Conference call transcripts, oldest-first. 18 call(s). Generated 2026-08-02.

Call: Aug 2022

Page 1 of 20

"Laurus Labs Limited Q1 F Y-23 Earnings Conference Call"

June 28, 2022

M
ANAGEMENT : D R. SATYANARAYANA CHAVA – FOUNDER AND CHIEF
EXECUTIVE OFFICER , LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER , LAURUS LABS LIMITED
MR. VIVEK KUMAR – INVESTOR RELATION TEAM
MODERATOR : M R. MONISH SHAH – ANTIQUE STOCK BROKING
LIMITED

Laurus Labs Limited
June 28, 2022

Page 2 of 20

Moderator: Ladies and gentlemen good day and welcome Laurus Labs Limited Q 1 FY 2023 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you and over to you, Mr. Shah.

Moni Shah: Thank you, Neerav, good morning and welcome to Laurus' Q1 FY 2023 results conference call. We thank the management for giving us the opportunity to host this call. Today, we have with us Dr. Satyanarayana Chava – Founder and CEO, Mr. V. V Ravi Kumar – Executive Director and CFO and Mr. Vivek Kumar from the Investor Relation team. I would like to hand the call over to Dr. Satya for his opening challenging comments. Thank you and over to you sir.

Dr. Satyanarayana Chava: Thank you Monish for this introduction. Thank you for joining us for our Q1 FY 2023 Results Conference Call. Since COVID-19 continued to cause challenges with increased infections with new subvariants. We hope everyone of you and your family members, colleagues and friends are keeping safe and healthy during the times.

We are pleased to have this opportunity to update you on the progress and answer your questions. Our Q1 results reflects, a very healthy start to our FY 2023. As we continue to improve on product mix and EBITDA was maintained at 30%. This was achieved despite ongoing disruption in the business environment due to COVID-19 and geopolitical scenario. Our CDMO division delivered exceptionally good performance offsetting pressure on our ARV business and growth in API division was modest but future business prospects appeared very encouraging. Imported RM prices have largely remained elevated in the light of supply chain conditions but we do anticipate some of these challenges to abate with gradual China lifting sanctions during COVID and also easing off, geopolitical situation across the globe.

We are progressively expanding our portfolio and new initiatives this along with our significant investment program should enable us to capture exciting and new business opportunities and reduce any concentration risk from a single product or a single therapy and deliver a broad-based sustainable growth in the long run. As a result, we retain our aspirational target of a billion sales and which will be partially supported by several approvals anticipated.

Moving on to our financial results for the quarter:

Laurus Labs Limited

June 28, 2022

Page 3 of 20

We achieved Rs.1539 crores in revenues, showcasing a very healthy growth of 20% year-on-year. Sequentially, we have substantially improved on our non-ARV revenue numbers. Formulation reported a revenue of Rs.349 crores for the quarter, a decline of 33% year-on-year. Coming to LMIC business: While broader demand environment on ARV was softer the pricing as largely remained depressed in Q1 which is at already record low level. We are taking a calibrated bidding approach to ensure better outcomes in the tenders for this business. Having said that we are very confident of sustaining our leadership position in ARV first-line treatment both APIs and formulation. During Q1, we launched lopirito combination in US. Additionally, we are awaiting few more approvals in the US which will drive our growth in the coming quarters and years.

As you are aware Laurus is a fully integrated player in ARV formulations and we believe we have the fair ability to whether pricing challenges and we are able to maintain our margins in the current quarter supported by performance in our divisions.

Coming to the developed market

our performances was stable as increase in the generic volumes more than offset by pricing pressure. We continue to leverage our front-end operations in US market for new product launches.

During the quarter, we filed one additional ANDA and received two approvals both tentative. We expect US filing pace to pick up during this financial year. Cumulatively, we have filed 30 ANDA to date, of which we have a total 11 final approvals and 14 tentative approvals so far. In Canada, we continue to have 11 product approvals of which we have launched 5 products and planning to launch more products in the next couple of quarters.

For European markets, we validated two products as part of the CMO opportunity. We expect a significant upside in this financial year from these products and we have a basket of 9 approved products, of which we have launched three on our own label and we will be launching two more products shortly.

Based on our healthy product pipeline progress, we continue to invest in non-ARV FDF infrastructure. As indicated in our last conference call, We have commissioned our brownfield expansion at unit 2, taking the total FDF capacity to handle 10 billion units now. We expect a more gradual ramp up of capacity utilization in the new block.

On the R&D front, we continue to allocate critical resources to our research initiatives and invest in portfolio with products specific approach based on complexity and scale economies.

Additionally, we are implementing steps to bring more robustness in our overall product development processes including focus on bringing digital transformation within the R&D Infrastructure. We are happy to share that we have commissioned our sterile R&D labs and we have started working on a few priority projects. Overall, R&D spending to sales for the quarter was at 3%. We have a total 55 products in R&D pipeline either under review or under development having an addressable market size of over \$40 billion.

Laurus Labs Limited

June 28, 2022

Page 4 of 20

When it comes to generic APIs, our anti-viral business during the quarter continued to witness sequential improvement and sales grew to Rs.383 crores, while overall demand environment stays softer, we expect volumes and prices are going to stabilize around these levels.

We continue to maintain a leading market share in our current product line and also expect to increase, marginally in the developed market supplies of APIs. Onco APIs reported Rs. 63 crores sales during this quarter reflecting a marginal growth of 5% year-on-year. As we are mentioned, we have the largest high potent capabilities in the country and we are adding new capacity and we continue to see good offtake in onco APIs.

Our aim to strengthen global leadership in offering onco APIs not for generic customers but also for the innovator clinical based molecule. APIs other than oncology and ARV sales including diabetes, cardiovascular and asthma showed very good numbers for the quarter at Rs.138 crores growing significantly at almost 80% year-on-year. This was supported by new contract supplies and we believe this segment should return to healthy growth trajectory in FY 2023.

We filed one DMF in non-ARV during the quarter taking the total to 74 DMF files so far. We have also completed the validations of few APIs and we expect to file additional DMFs in the current financial year. Interestingly, we also have a very high order book visibility in the segment and accordingly adding additional manufacturing capacities to capture the opportunities in non-ARV and non-Onco API space.

Synthesis business delivered exceptionally good quarter delivering a robust growth of over 190% year-on-year and 60% quarter-on-quarter to Rs. 577 crores. The growth was supported by solid demand from new and existing customer

s. We remain quite excited about this division as we focused on both commercial execution as well as pipeline expansion and execution. We continue to work with several and diversified customer base including several big pharma. Our Greenfield investment to set up a dedicated R&D center for synthesis division at Genome Valley, Hyderabad and three manufacturing units at Vizag under Laurus Synthesis Private Limited is progressing as per our expectations as we communicated to all our stakeholders. New sites for synthesis division will have capabilities to handle steroids, hormones, high potent molecules apart from other large volume products in animal health. Laurus Bio revenues were largely stable at Rs.30 crores on quarter-on-quarter but we do anticipate pickup with the ramp up of new capacities, debottlenecking of R2 for our large scale CDMO partner. We do believe alternate food industries likely to grow meaningfully over the coming decades and scale, cost and functionality will remain the core drivers for differentiation for the players. Schedule expansion at R1 including a new R&D block and installing downstream balancing equipment to enhance capacity at R2 is on track. This expansion will be completed before the Q2. We have zeroed in land parcels for another greenfield site for our large-scale fermentation. Laurus Labs Limited
June 28, 2022

Page 5 of 20

capabilities and we are in the drawing board stage right now. We will invest to create capacities around may be 600 thousand liters to a million liters capacity in new site. With that I would like to hand it over to Mr. Ravi to share some financial highlights.
V.V. Ravi Kumar: Thank you doctor and a very warm welcome to everyone on our first quarter FY 2023 Earnings Call.

Total income from operation for the quarter is Rs.1539 crores against Rs.1279 crores with a healthy growth of 20%. Gross margin for the quarter is at 57.6% almost improved like 90 bps on a better product mix.

Our EBITDA for the quarter 1 is at Rs.454 crores with a margin of 29.5% which is close to the full year guidance what we have provided. Our diluted EPS for the quarter is 4.6 not an annualized which grew over 4% over the corresponding quarter. Our ROCE improved to 29.4% on annualized basis based on the better product mix.

On the CAPEX front, we invested close to Rs.209 crores for the quarter and as we guided, we are expected to invest around Rs.2000 crores in the two years' time between FY 2023 and FY 2024. For any further details you may refer to IR presentation in this regard. We remained on course to strengthen our position as a cost effective integrated pharma player. We are investing in backward integration programs in creating more capacity in the non-ARV infrastructure. On the tax rate, our effective tax rate was around 29% based on this year onwards, we are losing our exemption to 50% on the SEZ site that is the reason it is a bit higher side but however, we are going to evaluate further at the end of the third quarter or beginning of the fourth quarter whether to shift to the new tax regime or not.

With I would request the moderator to open the lines for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sudarshan Padmanabhan from JM Financial. Please go ahead.

Sudarshan Padmanabhan: My question is on the synthesis business, I mean if I look at the run rate, honestly you have done a phenomenal job from where we were from two years ago to your run rate of almost Rs.600 crores. In the annual report we talked about two contracts, one is multi CDMO contracts with niche APIs and the other is global major Life Sciences. I would like to understand whether this run rate is sustainable going forward. I am not necessarily looking at quarter-to-quarter but directionally and is there any kind of one-off supplies there we have booked

to any of the contracts which might not recur probably going forward.

Dr. Satyanarayana Chava: I will answer this question in two parts you are mentioning on two contracts two pieces of information one is multi-year, multi product contracts signed with Global Life Science. Laurus Labs Limited
June 28, 2022

Page 6 of 20

Company. We are building a dedicated capacity to cater to the products and demands as per the contract right now we are developing products which will go into that manufacturing site and one NCE validation is going on the current site. So, the revenue coming from that contract is not that significant right now but it will become significant once we qualify the plant which will happen may be second half of next financial year that is question about part 1 of your question. The part two which we indicated, we got a major contract from another life science company and the supplies are ongoing. So, with that there is no one-off in Q1.

Sudarshan Padmanabhan: And this will continue probably for the next year, I mean this is a longer-term contract it is not necessarily a short-term contract.

Dr. Satyanarayana Chava: These clinical programs commercial see it is difficult to predict, I think only as I mentioned in our last call numbers only will tell how we are doing.

Sudarshan Padmanabhan: The run rates will continue more or less directionally we should continue to do well on the CDMO is that right assumption sir?

Dr. Satyanarayana Chava: We will do very well in the CDMO part that is for sure, so lot of opportunity is ahead of us as Mr. Ravi mentioned, we are creating a three new greenfield sites for CDMO division that indicates how much of opportunities are in front of us.

Sudarshan Padmanabhan: Thanks a lot, and sir last question from my side is on the formulation side, we have the new capacity coming in, but on a quarter-on-quarter, we have seen a dip, somehow run rate that we usually do. Do you see the run rate kind of moving ahead and now when do we start optimally utilize the capacity, sir? Some color on how we look at it directionally.

Dr. Satyanarayana Chava: You are asking formulations? Formulation capacity is fully qualified right now but it will be fully utilized by end of this calendar year.

Sudarshan Padmanabhan: Thanks a lot, sir. I will stand back in the queue.

Moderator: Thank you. Next question is from the line Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: Thank you for taking my question and congratulations for good set of numbers the only question I have on the total break up of ARV versus non-ARV sales for this quarter?

Dr. Satyanarayana Chava: The ARV APIs is at 25% of our sales. If you recollect ARV APIs once upon a time in 4-5 years that used to constitute 80% of our sales. Now it is 25% of our sales and 17% sales came from ARV formulations. If you sum it up about 42% of sale came from ARV either APIs or formulations, put together.

Moderator: Thank you. Next question is Ameya Chalke from Haitong Securities. Please go ahead.

Laurus Labs Limited

June 28, 2022

Page 7 of 20

Ameya Chalke: Thank you for taking my question and congratulation for the management for the good set of numbers. Sir I have one question on the margin side. So, despite sizable increase into synthesis business our margin improvement sequentially has been minimal. So, is it fair to assume that the synthesis margins are not very far from the company level margins and if it is so, do not you think it is on the lower side, if you can clarify on that along with that also if you can explain the higher other expenses for this quarter compared to the Q4 of last year?

Dr. Satyanarayana Chava: There was price pressure on ARVs both APIs and formulations, that reduction in the margins in ARVs was offset by higher margin CDMO business. The CDMO business, the numbers are on par with any other CDMO focus player, that is one. Second,

when it comes to the other

businesses you are talking about EBITDA. EBITDA numbers for the entire company, we are not disclosing the division wise expenses. So, the other operating expenses, I will ask Mr. Ravi to clarify.

V.V. Ravi Kumar: The expenses side there is a power shortage in our manufacturing area in Andhra Pradesh. In the last quarter, we have sourced lot of power from the private sources and also, we used the diesel. We spent about Rs.33 crores additional expenditure towards power and some part of a foreign exchange loss also there. You are aware, the foreign exchange loss on account of not incurred loss, it is a restated loss. So, that is also reflected in the other expenses.

Ameya Chalke: Sure. So, going ahead, you expect these other expenses to normalize at least in the near term?

V.V. Ravi Kumar: We expect so, the power and fuel getting normalized already.

Ameya Chalke: If the GM remain at the similar level because of business mix do not you think the EBITDA margin has hope to improve going ahead.

V.V. Ravi Kumar: Our overall for the year, we gave an EBITDA margin guidance of around 30% that we are still retaining.

Ameya Chalke: Sure, and just question I have on the formulation sales drop on the TLE side how do you see the tenders going ahead and if the demands have gone down or the pricing has down substantially that is why the market size has shrunk. If you can elaborate on this

Dr. Satyanarayana Chava: The volume front there is no degrowth. Volume uptake remain robust for all players put together. In the last quarter, most of the tenders, except South Africa, winner takes all tenders. So, winners restricted to few players rather than spread across several players that is the case with global fund and PEPFAR where the volume split is evenly across all the players. So, we do expect the supplies to global fund and PEPFAR will start from Q2. So, we do hope the formulation sales in ARV segments will pickup from the next quarter.

Moderator: Thank you. Next question is from line Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Laurus Labs Limited

June 28, 2022

Page 8 of 20

Nikhil Mathur: I hope I am audible perfectly. Sir 2 or 3 questions I have, the first question is the CAPEX for the FY 2023 and FY 2024. You have guided towards the pros and cons of CAPEX can you help me

with CAPEX which will be dedicated for the custom synthesis business mix Rs.2000 crores.

Dr. Satyanarayana Chava: The CAPEX number what guided by Ravi little while ago is Rs.2000 crores for FY 2023 and FY 2024. I would say 40-50% of the CAPEX is the CDMO space. If R&D or manufacturing put together it is about that number and nothing is going into ARV APIs or formulations. So, most of the remaining CAPEX say which is around another Rs1000 crores is going into non-ARV APIs and non-ARV formulations or backward integrations.

Nikhil Mathur: So, basically, what is gross today for the custom synthesis and if we add another Rs.1000 crores.

So, what is the gross profit we are looking at for custom synthesis two years down the line.

Dr. Satyanarayana Chava: Currently except for one small facility we do not have a dedicated manufacturing facilities for custom synthesis. So, today our facilities are common for both generic and custom synthesis to remove that complexity and fight for capacity. We are creating dedicated capacities for a CDMO space. So, we cannot segregate right now. How much is used for CDMO or how much is used for generic we know, but there is no dedicated capacity for CDMO or generic both utilize the same capacity.

Nikhil Mathur: Sure sir, no problem. Sir, second question, as one of the participant's had already asked the question, I might just want to ask this question in a different way. In FY 2021, when sales rebound happened for the company in a big way. The company was not fully sure whether that particular sales momen

tum or the growth momentum will continue in FY 2022 or not and then

in FY 2022 we saw destocking at various levels and in multiple business areas. Now whatever the sales that is happening FY 2023, a billion-dollar guidance that you are talking on multiple forums. What can be the external led for several shocks to that number FY 2024 and FY 2025, I think it is very well understood, given that you are sounding so confident on this billion-dollar guidance. It should get realized in FY 2023, but as investors we are not fully sure of what kind of shocks can happen in the system whether in the company or outside. So, if you can get some more comfort whether this billion-dollar number sustain in FY 2024 and FY 2025 or not, that would be very helpful.

Dr. Satyanarayana Chava: See what the CAPEX we have announced FY 2023 and FY 2024. So, these capacities should give additional revenues in FY 2024 and FY 2025. So, by your question is while achieving our target of a billion will be growth in FY 2024 and how much will be growth in FY 2025. So, we can say our history also reveals. So, we grow significantly in one year, grow marginally in one year. So, it is not that we can grow as put a straight line is not possible. So, we have very exciting opportunities in front of us that is the reason we are doing CAPEX and now CAPEX is not being done in anticipation of something. So, at least we are moved away from creating capacities head of our requirement is gone, we are creating capacities to capture what opportunities we have in front of us. So, FY 2025 is going to be very good year, in our previous call also we have

Laurus Labs Limited

June 28, 2022

Page 9 of 20

mentioned and FY 2024 we are not giving guidance but we will give guidance and appropriate stage what could be the growth opportunities FY 2024.

Nikhil Mathur: Sure, sir and one final question again of the custom synthesis side, we are broadly aware of the capability that Laurus brings in this particular segment specially on the high volumes manufacturing front but on the last 3-4 quarters the quarterly run rate on the sales of the segment continues to move up. Sir do you mind highlighting some 2-3 implementable capabilities that is now helping Laurus to continue to grow in this particular business, may be one or two case studies that you might want to share from your broad portfolio product in this business.

Dr. Satyanarayana Chava: This is very interesting question we have added significant capabilities apart from significant reactor volume. So, the company is in a position to do hydrogenations at very scale low cryogenic reactions at scale, Biocatalysis at scale, continuous flow reactions at scale. So, company added significant capabilities that is the reason we are able to attract retain new customers and insource several products at late-stage clinical phase are commercial because of our new enhanced capabilities in the company.

Nikhil Mathur: And if I may just squeeze one final one, for Laurus Bio can you share some outlook from where 2-3 year perspective what kind of ramp up we should expect from this kind of business?

Dr. Satyanarayana Chava: Laurus Bio where we did Rs.30 crore sale in this quarter and Q2 will similar. Q3-Q4, we expect debottlenecking of downstream processing will be over so some increase in revenue will come but FY 2024 is going to be a flat year for Bio because our capacities are full utilized by end of this year that is the reason, we are investing significantly or we are planning to invest significantly in the division and those capacities will come for commercial use in FY 2025. So, FY 2025 is a big leap for Bio but not FY 2024.

Moderator: Thank you. Next question is from the line of Binu from InCred Capital. Please go ahead.

Binu Pathiparambil: Congrats for a great set of numbers. Dr. Chava your guidance of billion-dollar for the year implies 50%-60% plus kind of growth

for the year and in the first quarter, you have done 20%

so which means for the next three quarters, you are looking at may be 70% odd kind of growth in revenues year-on-year, still that in full confidence or it is more aspirational, how confident are you about meeting yourself that?

Dr. Satyanarayana Chava: When we announced our goal, aspiration to become a billion dollar. The dollar was at Rs.70-Rs.73. So, we are very confident to achieve that number now. So, at that number, I think we have every arms and ammunition available to reach there.

Binu Pathiparambil: Sounds great. Just to understand is there any one risk that you do not need to say what it is but if there that one risk in your mind which could impact achieving this may be some product developing some problem, or one client moving away from you. Is there one or two such key risk which can impact us or is it a well distributed business target?

Laurus Labs Limited

June 28, 2022

Page 10 of 20

Dr. Satyanarayana Chava: We have capacities, we have customers, we have visibility of orders and except one product approval in formulation all are in place, if we are scouting for customer, we are scouting for a capacity or a facility approval and all, it is a long goal. So, we are not at that, we are very close to our goal. We have all the actions required or abilities required to reach that number.

Binu Pathiparambil: Great. Thank you and best wishes.

Moderator: Thank you. Next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: Thanks for the opportunity. Based on this brownfield capacity which has now come up in July so what could be the incremental operation cost associated with this which will come in the subsequent quarter.

Dr. Satyanarayana Chava: Our formulations expansion capacity is fully manned. So, those expenditures are already built-in in Q1 itself. So, we are going to recruit marginally more people in new block but those costs are already built-in in Q1 if there is a slight increase. It will be built in Q2. You are aware all these preoperative expenditures are expensed not capitalized in the company. So, all those are built-in in our numbers.

Tushar Manudhane: Interesting and just on other API segment where we have seen good traction over past few quarters. So, how do you see this in terms of the new products and the market share gaining the existing product the prospective here is that there has been good amount of inventory made disruption in API in industry per se may be on account COVID and or may be the China related lockdown. So, how do you see the prospects of non-ARV APIs?

Dr. Satyanarayana Chava: Non-ARV APIs will continue to grow and increase in our inventory is a conscious decision we took to weather the supplies and challenges. So, in one way, our increase in inventory helped us to sustain our growth. So, if we are very prudent in our inventory, we might have challenges also. So, higher inventory helped us to sustain the supplies to our partners during the challenging times.

Moderator: Thank you. Next question is from the line of Rithesh Rathod from Nippon India Mutual Fund. Please go ahead.

Rithesh Rathod: Can you quantify in terms of ARV pricing pressure which you mentioned significantly, how much it would be down on a year-on-year basis?

Dr. Satyanarayana Chava: It is both ARV APIs and formulation if you take together as I mentioned it is about Rs.550 crores. The margin impact was almost 15%. Average 15% both put together.

Rithesh Rathod: And in case of custom synthesis, you spoke about two contracts and the second one where you are ramping up. So, I presume, you would have ramped up in Q1 as well as in Q4 let to some

Laurus Labs Limited

June 28, 2022

Page 11 of 20

extent. How sustainable that business would be after a year or so once it reached to steady state. You see any sort of risk over there

after a year or so?

Dr. Satyanarayana Chava: These products are on the late stage or just launched. So, they have a very long patent life. So, these are not like generic molecules today company A will get market share, tomorrow company B get market share. Then we are not with A and B then we have no orders but with NCEs these innovators will have long rope I do not think these will vanish in a year. These are pretty long term in nature.

Rithesh Rathod: This you are talking about the commercialized product, right?

Dr. Satyanarayana Chava: Yes.

Rithesh Rathod: Ok and any kind of pricing pressure comes in this product on an annual basis or productivity benefits which needs to be passed on.

Dr. Satyanarayana Chava: We have not seen significant price pressure in this division unless we agree. See these contracts are long-term so do agree what kind improvements we make and pass it on to the partner but other than that this segment pricing is predictable and stable.

Rithesh Rathod: And excluding the two contracts which you spoke about excluding that custom synthesis business you will grow on that base. If you exclude those two contracts even over there you are confident of things ramping up?

Dr. Satyanarayana Chava: We do expect to grow.

Rithesh Rathod: Yes. And one final question on CAPEX. You have maintained your CAPEX guidance or even that has gone up or what is the number as of now because you mentioned about the rupee side and rupee being fluctuating on your revenue guidance. Just to reconfirm your CAPEX guidance.

Dr. Satyanarayana Chava: We indicated to around Rs.2000 crores CAPEX for FY 2023 and FY 2024. And in the Q1, we did spend around Rs. 208 crores CAPEX.

Moderator: Thank you. Next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Thanks for taking my question. Sir on the CDMO business how many commercial products are we supplying right now?

Dr. Satyanarayana Chava: We have 7 commercial products, 4 intermediates and 3 APIs.

Nitin Agarwal: And sir, how many late-stage products would we have that can be commercialized over the next 2-3 years.

Laurus Labs Limited

June 28, 2022

Page 12 of 20

Dr. Satyanarayana Chava: We do not want to give you a number but there are very good number candidates in the late stage because of those only we are expanding our capacities and capabilities in that division.

Nitin Agarwal: I was just curious rest of the seven that we have, do we see this number going 2x, 3x over the 3-5 years, 3 years rather.

Dr. Satyanarayana Chava: We do not want to comment on that.

Nitin Agarwal: Fair enough sir. Can you help us also with the split which is there between contract research and contract manufacturing in the CDMO business? The early-stage contract research that you do?

Dr. Satyanarayana Chava: We do not do any preclinical work so we do not do any MedChem work. So, most of our revenue coming from manufacturing only, so nothing is coming from research. We do not have any FTE programs.

Nitin Agarwal: Right and in terms of is there a work that you are doing with the innovator during clinical trial phase. May be doing pilot quantities and all in phase 2-3.

Dr. Satyanarayana Chava: Yes. Going back to your question. We do have a lot of programs coming from phase 1, phase 2. But phase 1 revenues are not that big to mention.

Nitin Agarwal: Right and sir, secondly on the formulation business sir how do we see the ex-ARV business in the formulations over the next couple of years. What should be the drivers for this business.

Dr. Satyanarayana Chava: Lot of filings done, lot of approvals anticipated and the growth in formulations will come from non-ARV now onwards.

Nitin Agarwal: Okay. Sir you mentioned a specific product around in Europe that will be a big driver, by when will that product start to kick in for this.

Dr. Satyanarayana Chava: Partly, this quarter

but majority will come from next quarter onwards.

Nitin Agarwal: Okay and lastly on the CAPEX, you talked about a Rs.1000 odd crores on the non CDMO part of the business roughly, can you just help us understand what the areas where the areas where investing these, primary areas investment for on the ex-ARV size for the CDMO for the CAPEX.

Dr. Satyanarayana Chava: In the non-CDMO CAPEX. Two-thirds is going into APIs and one-third may go into formulation further.

Nitin Agarwal: And sir, formulation we adding more capacity beyond the brownfield that you have done which we commissioned this quarter.

Dr. Satyanarayana Chava: Not this financial year but next financial year may be yes.

Laurus Labs Limited

June 28, 2022

Page 13 of 20

Moderator: Thank you. The next question is from the line of Siddhartha Bhothika from Investment Trust of India. Please go ahead.

Siddhartha Bhothika: Sir, had couple of questions. one on the ARV tender side. Sir, three years ago, we received a large multi-year contract for the LMIC market. Just wanted to understand when will this would due for renewal. Is this done at a new round of tender for this.

Dr. Satyanarayana Chava: The South African tender was announced, we do not have any formulation sale there. So, API sales will go to South African contract and the Global Fund and other tenders will be announced soon for 2023 onwards. So, for 2023 allocations were already made and supplies will start from next quarter.

Siddhartha Bhothika: Okay and sir my second question is on the large CDMO product. Is it fair to say that if you exclude from this quarter then the synthesis business have led to single digit growth on a year-on-year basis?

Dr. Satyanarayana Chava: Large multi-year, multi-product contract has not given any significant revenues in Q1.

Siddhartha Bhothika: No, I am talking about commercialized large contract that we have been supplying since March.

Dr. Satyanarayana Chava : No still there is growth. This is not a one-month contract. So, if there is a quantum still, we need to execute fully.

Siddhartha Bhothika : So, meaning the follow up to this is that, is this contract a multi-year contract or is a renegotiable renewable single year kind sort of a contract.

Dr. Satyanarayana Chava: I think too early to comment on that.

Siddhartha Bhothika: And are the margins for this product will be similar to overall synthesis business.

Dr. Satyanarayana Chava: Yes.

Moderator: Thank you. The next question is from the line of Dhruv Bhatia from Bank of India. Please go ahead.

Dhruv Bhatia: Sir, my question is on the CDMO space, this quarter you have done about Rs. 577 crores of revenue. Is it fair to say that for full the year, this is a peak, capacity utilization you are running at, so on a full year, you could probably do Rs.2000 plus crores revenue from the segment?

Dr. Satyanarayana Chava: We want to reserve answering this question, right now.

Dhruv Bhatia: But you have the capacity to do further than this with current capacity available.

Dr. Satyanarayana Chava: Well capacity available yes.

Laurus Labs Limited
June 28, 2022

Page 14 of 20

Dhruv Bhatia: And the Rs. 1000 crores incremental CAPEX that you are planned for CDMO, what type of asset turns can we build in going forward?

Dr. Satyanarayana Chava: You could take our current average is asset 1.4-1.5, between 1 and 1.5 depending on how effectively utilize that CAPEX.

Dhruv Bhatia: And the capacity that you have put up is obviously for as you mentioned, the multi-year, multi-product contracts but over and

Moderator: Sir, the lines of the participant dropped. We move on to the next participant. The next question is from line of Manoj from Carnelian Asset Advisors Pvt Ltd. Please go ahead.

Manoj: Hi, this is Manoj from Carnelian. First of all, congratulations for good set of numbers. I have couple of questions, first one is on CDMO side, so just wanted to understand little bit more on CDMO. Since you mentioned that you have built some new capabilities to build this business so just wanted to understand two things, sir. A. what is our right to win here and secondly how do you pan down the opportunity size in the segments where you are working.

Dr. Satyanarayana Chava: Right to win, these opportunities is based on reputation regulatory track record, flexibility in offering volumes that is the right to win and the second question I could not get very clearly.

Manoj: Sir, if you can pan down the opportunity size in terms of the segments or therapies or in terms of the molecules where we are working, where we are putting the CAPEX. So, if you can, let us know the opportunity size overall for these segments where you are putting CAPEX.

Dr. Satyanarayana Chava: In the CDMO, we have little or no scope to choose what we should get so it all depends on what partner want us to make. See we are not making steroids, we are not making cephalosporin, penicillin other than that we are offering wide spectrum of things starting from steroids, hormones, high potent, prostaglandin, large volumes, small volumes. So, our offering is very extensive except cephalosporin and penicillin.

Manoj: Okay and whether this capacity which you are building are fungible, you are building up a particular capacity like you also mentioned in your PPT that you are putting a CAPEX on a multi-year contracts and molecule does not get the anticipated growth. So, whatever CAPEX, you are putting either it has to be protected by way of take or pay or is it fungible. So, if you can elaborate on this a bit, sir?

Dr. Satyanarayana Chava: One of the facility, we are building is for a specific therapy area, Animal Health. So, it is fungible within the animal health but not through human health can put there. So, that kind of fungibility is there and other than that other products are either advance intermediates or APIs. There are some equipment technology specific, which is not fungible but majority of the reactors are fungible. In the CDMO space, except few occasions, our partner do not use those vessels 365 days in a year. So, some kind of flexibility has to be there.

Laurus Labs Limited
June 28, 2022

Page 15 of 20

Manoj: Okay got it and one last question that I have mainly on Laurus Bio, you mentioned that you are evaluating a plan to create close to one million liters fermentation capacity in phase 1. If that goes through what kind of CAPEX we can think for building this kind of capacity and any color on timeline for this in terms of CAPEX as well as ramp up.

Dr. Satyanarayana Chava: We will get back to you on how much CAPEX we are going to spend may be in the next quarter or so. We are finalizing our numbers but we do expect this facility will up and running sometimes during FY 2025.

Manoj: FY 2025. Do you see enough opportunity size in this space right?

Dr. Satyanarayana Chava: There are opportunities, see the challenge right now is we do not have capacity to offer. So, that is reason we want to do this on a fast track more and we will get back to with the exact time length and also on how much we are going to spend on that.

Manoj: But sir on fermentation, I think world is overdependent on China and still I think India is not there. So, building this kind of capacity. So, if you can give us color in terms of the kind of capability or the kind of whether we will require some kind of pre-existing contracts or whether we will first build the capacity and then we will have to wait for the contract. So, some color on that may be this quarter or next quarter, I think that will be helpful for us.

Dr. Satyanarayana Chava: Sure, this capacity is being built for synthetic biology, alternate foods, recombinant food proteins. So, we are competing with conventional fermentation of steroids, or vitamins or any other large molecules. So,

this is specifically for precision synthetic biology.

Moderator: Thank you. Next question is from the line of Bharath from Question for Value Capitals. Please go ahead.

Bharath: My question is to Dr. Chava. Sir, you said that you want to see CDMO to be 25% of the sales in FY 2025 and if you see our numbers now, already in last quarter CDMO is 25% of the revenue and this quarter is already 37% of the revenue. So, I would like to know where do you see CDMO in percentage of sales in FY 2025?

Dr. Satyanarayana Chava: A very good observation, may have to revise our target to one-third by FY 2025. Yes, from 25 to one-third by FY 2025 may be.

Bharath: Yes, currently I can see in the PPT that is 25% by FY 2025 but already you are 37% so I think 33% is good number you gave.

Dr. Satyanarayana Chava: Yes.

Bharath: Yes, and my next question is that total capacity of Unit 2 is 15 billion.

Laurus Labs Limited

June 28, 2022

Page 16 of 20

Dr. Satyanarayana Chava: 10 billion right now.

Bharath: Yes, right now 10 billion is commissioned but the total capacity can be estimated to 15 billion, we can also do a brownfield extension of 5 billion more, right?

Dr. Satyanarayana Chava: Yes, you are right. The physical infrastructure was created to expand capacity by 10 billion but 5 billion capacity was installed and qualified. There is a room to expand by another 5 billion that may happen next year. FY 2024 depending on how we are doing in Europe and US.

Bharath: So, you mean to say once this 10 billion is completely utilized then you will do Brownfield capacity of 5 billion.

Dr. Satyanarayana Chava: Yes.

Bharath: Thank you and one more question is that in PPT you mentioned that you are taking calibrated tendering approach to ensure better profitability for this ARV formulations. So, do not you think that you would lose market share because of this calibrated tendering approach.

Dr. Satyanarayana Chava: See what we meant by calibrated approach is we do not want to participate aggressively in tender where winner takes all. So, there, people are very aggressive on pricing so do not want to participate in those tenders but still participate in tenders where the award is split among several people. But generally, it might get calibrated.

Bharath: Okay. But generally, I may be wrong but I think ARV tenders is not like winners takes all, right?

It will be like 30% to the first guy and 30% to the second guy and 30% to the third guy, will be distributed, right? It is not like winner takes it all, I guess or I am wrong.

Dr. Satyanarayana Chava: There were some tenders may be, I will put up to 10% of the market is winner takes all kind of situation.

Bharath: Okay. Thank you and my question is like in the last conference call you said, not last conference call, I think two quarters back, you said that you are planning to use this unit 4 capacity as interim to service this multi-year contract with animal health company till the dedicated plant is ready.

May I know, like by when you will be able to do commercial supply from this interim capacity for this animal health company?

Dr. Satyanarayana Chava: Commercial supplies will start end of FY 2024.

Bharath: That is from the new capacity, new plant, right?

Dr. Satyanarayana Chava: Yes, once the new capacity comes up, I think we do not want to utilize the capacity in unit 4 for those products.

Laurus Labs Limited

June 28, 2022

Page 17 of 20

Bharath: Okay. So, you are not planning to commercialize in unit 4, you are planning to commercialize only in the new plant.

Dr. Satyanarayana Chava: You are right.

Moderator: Thank you. Next question is from the line of Pratik Kothari from Unique AMC. Please go ahead.
Pratik Kothari: Good morning and thank you for the opportunity. There are a couple of questions regarding ARV. Sir in the last call, we did mention that our API and formulation prices were down 10% and you said

in this quarter it is down about 15% from prices so there has been further deterioration of 5% odd.

Dr. Satyanarayana Chava: Yes, and we do believe that is the new base we do not expect further significant price drops.

Pratik Kothari: Fair enough and we also did say that going forward in the coming few quarters. We used to Rs.550-600 crores ARV APIs a quarter. We are at about 350 odd now or rather 400 odd now.

This should go back but at the same margins that we used to see may be two years.

Dr. Satyanarayana Chava: ARVs both APIs and formulation put together. I think topline will grow but at a lesser gross margin what we enjoyed in the previous years.

Pratik Kothari: Ok fair enough. Sir two years back when we used to Rs.550-600 crores of ARV APIs did start a second line.

Dr. Satyanarayana Chava: No, we never did 600 crores. So, the peak, we did was Rs.1900 crores per year ARV API but broadly you can say Rs.1500-1600 crores APIs and another same number in the formulation. So, our new yearly base for ARVs will hover around Rs. 3000 crores, take early couple of hundreds on the positive side. So that will be new norm, so we do not expect that as the situation is evolving and we are trying to accommodate to the changed environment. We are growing in volumes but the price drops are pushing us downwards in our growth. So, around Rs.3000 crores is the new base for ARVs put together. I think we are very confident to retain that number and that number will also help us to retain our leadership position in both especially in APIs.

Pratik Kothari: Fair enough. Sir in your opinion what is causing this price because at one time we also saw that our solvent prices or input prices were going up and we were intending to pass that. Has new players come in, or has market share seen in certain ways, if you can throw some light?

Dr. Satyanarayana Chava: It is a difficult one to answer no new player came under the market yet and it is not a growing for 10 people to jump in. It is declining market and incumbents are very strong. If the incumbents are weak then there is a scope for a new player but incumbents are very strong and market is stabilized, it is not growing. So, it is a natural phenomenon in the business. So, the era of high margins in this business has gone and it has become a cash cow. So, it is very important
Laurus Labs Limited

June 28, 2022

Page 18 of 20

segment for us at 3000 crores and it is important business for us and we committed to that business and we do whatever course correction as needed to maintain our leadership position.

Moderator: Thank you. Next question is from the line of Jeevan from Sahasra Capital. Please go ahead.

Jeevan Patwa: Congratulations sir, just few questions, first is last year, when we talked, we were having world leadership in 8 molecules and we aspiring to go for 15 molecules. So, where do we stand now.

Dr. Satyanarayana Chava: Couple of oncology, we increased our market share so that target is on Jeevan, on that. So, we are continuing to add portfolio where we have leadership position or ability to get to leadership position that goal is on track and in next two years may that number what you said will definitely more than 10.

Jeevan Patwa: Okay, perfect and on the CDMO side basically we were into human health, now we are getting into animal health, I think we are also getting into plant. I think looking at your CDMO it looks like more of a chemical company than a pharma company. And we have capacities, we have capabilities, we have credibility and we have clients. So, we have all four 'Cs'. So, how do we see the traction coming into CDMO. The kind of enquiry you are getting from the clients. So, are we looking to sign something similar multi-year, multi-product contract deal even in the future?

Dr. Satyanarayana Chava: We are not a chemical company; we are chemistry company. So, there is a lot of difference

between that. So, we intend to use our chemistry capabilities and scale to offer value to our partners. So, I think we are adding more capabilities there are I mentioned previously to one question. What is the right to win here? We offer large scale chromatography, biocatalysis, fermentation, hydrogenation, continuous flow chemistry, very low temperature chemistry. So, I think our capabilities are also very enhanced, we can also do spray drying. So, because of those enhanced capabilities coupled with our commitment to invest for a project. I think this division looks interesting for us.

Jeevan Patwa: So, are you seeing similar kind of enquiries for a multi-year, multi-product deal. So, large deal I am seeing basically.

Dr. Satyanarayana Chava: We are working on some at an appropriate time we will let you know. Yes, we are working on some.

Jeevan Patwa: Okay perfect and last question is on the Bio side actually, so last time when we spoke, you said that we have enough land acquired for 3-4-million-liter capacity.

Dr. Satyanarayana Chava: We did not acquire; we have chosen land parcel and now we have zeroed in where to build. So, we will close that land in this quarter and then start putting bricks as quickly as possible.

Laurus Labs Limited

June 28, 2022

Page 19 of 20

Jeevan Patwa: Yes, perfect and one more sir on the multi-year contract that we have for the CDMO. So, is it for intermediates or also for APIs and formulation?

Dr. Satyanarayana Chava: We cannot answer that, yes.

Jeevan Patwa: Okay perfect. Thanks a lot.

Moderator: Thank you. Next question is from the line of Nushad from Aditya Birla AMC. Please go ahead.

Nushad Chaudharu: Thanks for the opportunity, few clarifications. Firstly, on the CAPEX pipeline of Rs. 2000-2500 crores you mentioned 50% would go to CDMO business and you have shared an asset turnover of 1.5x. can you give us the asset turnover of the CDMO businesses, what one should expect?

Dr. Satyanarayana Chava: I think when I mentioned around 1.5, our CFO also corrected that. So, you can take between 1 and 1.5 asset turnover ratio when it is fully utilized. The gestation between our first two investment starts to getting to the peak commercial sale. We will take between 3-4 years. We invest and we go to the peak it does not happen. So, the day we complete our CAPEX. We need may be another 2 years to fully utilize that capacity.

Nushad Chaudharu: That I understand, so in both the businesses, we should expect on a full utilization it should give 1.5x.

Dr. Satyanarayana Chava: Between 1 and 1.5, you are free to choose either 1 or 1.5.

Nushad Chaudharu: Okay and how are we planning to fund this CAPEX sir, would it largely through internal accrual or any portion on debt we are planning.

Dr. Satyanarayana Chava: I will ask our CFO to answer that.

V.V. Ravi Kumar: Most internal accruals.

Nushad Chaudharu: Okay by any chance do you share your CDMO margins if do not quantify it qualitatively and you indicate would it be significantly higher than our API and formulation business or a marginally higher.

V.V. Ravi Kumar: We have been disclosing that on gross margin side CDMO is the highest followed by formulation, followed by API that is what disclosure we gave and it is still valid.

Nushad Chaudharu: And at the EBITDA level. The difference remains same or it becomes narrow.

V.V. Ravi Kumar: We cannot calculate the EBITDA level. So, it is not possible to calculate EBITDA level.

Laurus Labs Limited

June 28, 2022

Page 20 of 20

Nushad Chaudharu: And lastly in a CDMO business typically when we go for new client acquisition what is our value proposition to the client. Is it cost, the capabilities, what exactly we picture the differentiation to get the client?

Dr. Satyanarayana Chava: I think it is speed and flexibility.

Nushad Chaudharu: Perfect and thank you so much and sir all the

best.

Moderator: Thank you. I now hand the conference over to Dr. Satya for closing comments.

Dr. Satyanarayana Chava: Thank you participants for your very intriguing questions and we continue to update you any further information in the next calls. Thanks, Monish for organizing this. Thank you everyone.

V.V. Ravi Kumar: Thank you everyone.

Moderator: Thank you very much. On behalf of Antique Stock Broking Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2022

Page 1 of 19

"Laurus Labs
Q2 FY '23 Earnings Conference Call "
October 21, 2022

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER &
CEO. – LAURUS LABS
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR &
CFO. – LAURUS LABS
MR. VIVEK KUMAR – SENIOR GM/INVESTOR
RELATIONS – LAURUS LABS

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

Laurus Labs
October 21, 2022

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to the Laurus Labs Limited Q2 FY '23 Earnings Conference Call, hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you and over to you sir.

Monish Shah: Thank you. Good evening, and welcome to Laurus' Q2 FY '23 results conference call. We thank the management for giving us the opportunity to host this call. Today, we have with us Dr. Satyanarayana Chava, Founder and CEO; Mr. V.V. Ravi Kumar, Executive Director and CFO; and Vivek Kumar from the Investor Relations team. On behalf of Antique Stock Broking, I would like to wish the management and all the participants a very Happy Diwali. I will hand the call over to Dr. Satya for his opening comments. Thank you and over to you.

Satyanarayana Chava: Thank you, Monish. Thank you for joining us for our Q2 FY '23 and H1 FY '23 results conference call. We wish everyone participating in the call and their families very happy and safe Diwali. We are pleased to have this opportunity to update you on our progress and answer your questions. Our strong start to FY '23 continued in the second quarter.

Our H1 financial results demonstrate favorable change in our business mix and sustained profitability. This was despite ongoing disruption in the business environment due to continued pandemic situation and also emerging geopolitical issues. Q2 results were driven by continued strong growth in our CDMO business with additional support from Non-ARV API segments. Overall, FDF ARV division performance was subdued and was impacted negatively by lower formulation molecules and adverse pricing dynamics in both API and Formulation. Supply chain logistics scenario has slightly eased, driving moderation in imported RM prices. However, the ground situation remains extremely dynamic with the multiple factors in play, like restricted internal mobility in China, geopolitical issues.

We are trying to minimize any disruption to customer shipments by expanding our critical supplier base and also having enough inventory to cope up with these challenges. As we enter into the second half, we remain confident in the strength of our businesses, which is expected to deliver a strong revenue growth and a stable EBITDA margin of around 30% for the entire financial year. However, in the near-term, we'd like to provide you an update on our earlier goal of \$1 billion revenue by FY '23 sales target, which could potentially get delayed due to the changed competitive landscape and adverse pricing impact in ARV APIs and offtake in ARV formulations.

We remain firmly guided by our strategic priorities to build long-term growth. And our excellent execution skills will enable us to deliver value to all stakeholders. We are executing on the Laurus Labs

October 21, 2022

Page 3 of 19

opportunities in front of us today, while simultaneously making the necessary de-risking investments to sustain the company's success into the future.

Moving on to our financial results. We achieved a healthy top and bottom line growth for the quarter and the first half of FY '23, which was led by an exceptional growth in non-ARV numbers. We achieved INR 1,576 crores in revenues for the quarter, showcasing a 30% growth year-on-year. In the Generic FDF, for the quarter, our revenues were down by 70% year-on-year. For H1, our revenues were down by 51%. And our revenue degrowth was about INR 520 crores when compared to H1 FY '22. However, our antiviral APIs have

shown a healthy growth,

INR 407 crores in quarter 2 versus INR 339 crores in quarter 2 FY '22. For the first six months, we did the INR 790 crores ARV API sale versus INR 752 crores in last financial year six months. Oncology, de-growth was visible in our Q2 numbers, but this is momentary and we expect overall Oncology will have a growth by end of the financial year. Noteworthy to have to observe, our other APIs have grown significantly in the current quarter from INR 115 crores to INR 222 crores. In Generic APIs, overall, we did INR 680 crores versus INR 527 crores in Q2 FY '22. Our Synthesis was a very remarkable achievement here. We did INR 720 crores versus INR 155 crores in Q2 FY '22. Our Bio results were almost flat, INR 27 crores versus INR 26 crores in FY '22. Overall, we did INR 1,576 crores sales for the quarter 2 versus INR 1,203 crores in quarter 2 FY '22, which was almost 30% more than the corresponding quarter last year.

I want to give you a brief on our Generic Formulations. This division reported revenues of INR 498 crores for the H1 of this financial year with almost 50% decline year-on-year. And for the quarter, it was exceptional de-growth of 70%.

When it comes to LMIC business in ARVs, the broader demand environment in ARV continues to stay softer and the pricing has remained very depressed in Q2, which is already at record low levels. We continue to remain calibrated in our bidding approach to ensure better profitability for this business. Having said that, we are optimistic about having a better H2 uptake with situation getting stabilized. We are very confident of sustaining our leadership position in first-line HIV treatment, both APIs as well as formulations.

During H1, we launched lopinavir-ritonavir combination in the US and also received US FDA approval for tenofovir-lamivudine combination in the second quarter, which we expect to launch shortly. Additionally, we are awaiting few more products approval which should drive our growth in coming years. Laurus is a fully integrated player in ARV formulations and believe we have the ability to weather any pricing challenges in the coming quarters as well as we're able to maintain our margins in the future quarters.

Coming to the developed markets, our performance was stable and we continue to get good market share on some of the products. Increase in the generic volumes have been able to offset the pricing pressure. We continue to leverage our front-end operations in US for new product launches. During the quarter, we filed two ANDAs and received four approvals, two final and Laurus Labs

October 21, 2022

Page 4 of 19

one tentative. We expect US filing pace to pick up during the second half of this year.

Cumulatively, we have a total 34 ANDAs filed to date, of which we have a total of 14 final approvals and 12 tentative approvals so far.

In Canada, we continue to have good approval base with 11 approvals on hand, of which we have launched seven products. In the Q2, we launched one product. And we intend to launch two more products in the rest of the financial year.

For EU markets, we have validated three products as part of our CMO partnership. We did one product in Q2, we got approval. We expect a significant upside from these products in the coming quarters. We have a basket of 10 approved products versus nine in the previous quarter, of which we already launched five products. We launched one new product in Q2. And we will be launching few more products in the rest of the financial year.

Based on our healthy product pipeline progress, we continue to invest in Non-ARV formulation development and infrastructure. We currently have commissioned the total capacity of 10 billion units during the quarter 2, we also wanted to make a note, there is a room to expand the formulation capacity by another 5 billion, but this may happen during

the next financial year

depending on how we are doing in Europe and US and how best we are utilizing our current infrastructure.

On R&D front, we continue to allocate critical resources to our initiatives and invest in portfolio with product-specific approach based on complexity and scale economies. We initially started with immediate release solid orals now we moved into modified release. We're also slowly moving up in the value chain by investing in complex generics.

We have developed a unique novel drug delivery for pediatric HIV and filed patents around each. We intend to file NDA for this novel pediatric product during the current quarter. We believe this drug product for pediatric HIV treatment could significantly enhance our position as a innovative cost effective solution provider in HIV treatment in LMIC and also provide opportunity for us to explore new therapeutic areas using this drug delivery system.

We're also happy to share that we have commissioned our sterile R&D. And currently, we have 30 scientists working there. Overall, our R&D spend to sales for the quarter was around 3%.

Going to Generic API, our anti-viral business during the quarter continued to witness healthy improvement with the sales growing by 20% year-on-year to INR 407 crores, while for the first six months, the growth was 5% year-on-year. Overall, demand stays softer and we expect volume and prices are going to stabilize around the current level. Onco APIs reported about INR 51 crores sales during this quarter, a decline of 30% year-on-year. However, for the past six months, the segment had a degrowth of 14% year-on-year.

This is a temporary phenomenon, in fact, we are very confident to increase our oncology sales significantly in the next six months. We are also increasing our capacity of Hi Potent

Laurus Labs

October 21, 2022

Page 5 of 19

manufacturing in our Unit 4 located in Atchutapuram to meet our continued demand for high potent APIs. Other API segment sales, which includes cardiovascular, diabetes and anti-asthma products have shown very good uptick, both for the quarter two as well as the first half of the financial year.

For quarter two, we reported the sales of INR 222 crores, growing 90% year-on-year. For the first six months, even now adjusting to a low base the growth is robust at almost 90% year-on-year, supported by new contract supplies. During the first half, we have filed one DMF for a non-ARV product. With that, the total DMF filed is 74 to-date.

We are also initiating validation for several APIs and expect to see a good filing in FY '24. We continue to have high order book visibility for non-ARV non-Onco APIs and additional manufacturing capacities also will support to capture the opportunity in this segment.

Synthesis again has delivered strong quarter, delivering a growth of over 300% year-on-year and 25% quarter-on-quarter and recorded a sales of INR 720 crores. During the first half of the financial year, our CDMO business have grown over 2.5x compared to the previous years. This growth was supported by solid demand from new and existing clients. We are very excited about this division and we are investing more in augmenting our capacity and R&D as well as manufacturing.

We have over 50 active projects at different stages and ongoing commercial supplies of 4 APIs and several intermediates.

Our greenfield investment to setup a dedicated R&D center for Synthesis division at Genome Valley, Hyderabad and three manufacturing units in Vizag under Laurus Synthesis Private Limited is progressing as per our previous timelines. New sites for this division will have the capabilities to handle steroids, hormones and high potent molecules apart from medium and large volume products.

Our Laurus Bio revenues were largely stable at INR 27 crores versus INR 26 crores quarter-on-quarter. But we do anticipate

pick-up of new capacities with our large scale CDMO partners in the second half of this financial year. However, for H1, the sales grew 41% year-on-year. We believe alternate food industry is likely to grow meaningfully over the coming years. Scale, cost and functionality will remain core drivers for differentiation for the players. We want to capture this opportunity and would like to expand our capacity, both at R1 to have more R&D projects and also complete the investment in balancing equipment at R2 to do scale up of these projects from R1. We are also in the final planning stage to further expand our manufacturing capacity on a greenfield site in Karnataka itself. With that, I would like to hand it over to Ravi to share financial highlights.

V. V. Ravi Kumar: Thank you, Doctor. A very warm welcome to everyone for our Q2 and H1 FY '23 earnings call. Before starting anything, I want to wish a very happy Diwali, healthy, wealthy, safe Diwali.

Laurus Labs

October 21, 2022

Page 6 of 19

Total income from operations for H1 is INR 3,115 crores against INR 2,482 crores, a growth of 26%. During the quarter, we have 31% growth with INR 1,576 crores against INR 1203 crores. Gross margin slightly decreased to 55.1%. This is because of the product mix and some of the lower prices in the ARV segment. Our EBITDA for Q2 was INR 449 crores with 28.5%, whereas for first half is INR 903 crores with around 29% margin. This has happened due to better division mix, the CDMO mix is being helping for this.

Our diluted EPS for the quarter is INR 4.30, a 16% growth and INR 9 not an annualized basis for H1, the growth of 10%. Our ROCE is stable at 28% on annualized basis. This is on the back of better product mix. On the CapEx front, we invested INR 416 crores in the first half. And we are broadly in line with our guidance for the two years around INR 2,000 crores across all the subsidiaries and divisions. And we remain on course to strengthen our position as a cost effective integrated pharma player.

We are investing in the backward integration program and creating more capacity. The additional investments in the capacities we are expecting will be in the non-ARV sites. On the quality side, we are still bullish on the overall business of the company. The FDF ARVs are only and one-off kind of a thing in the second quarter and we expect it to restore from the quarter three onwards. So with this, I would request the moderator to open lines for the Q&A.

Moderator: Thank you very much. We will now begin with a question and answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself on the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have our first question from the line of Jeevan Patwa from Sahasrar Capital.

Jeevan Patwa: I have three questions. Firstly, so earlier we have 5 billion tablet capacity. And at the peak utilization, we'll be around INR 500 crores revenue from that formulation. Now we have increased it to 10 billion tablet capacity. So the potential for formulation actually is INR 1,000 crores per quarter now, but this quarter, it's been almost only INR 149 crores. So I just want to understand by when you think we'll be able to utilize the increased capacity? We are also even thinking of going to 15 billion tablet capacity. So obviously, we must be having the visibility of utilizing this formulation capacity. So just wanted to understand what is the timeline when we can actually fully utilize this 10 billion tablet capacity?

Satyanarayana Chava: Jeevan, the 10 billion capacity, you can't have just multiply some factors to arrive at the revenue, each tablet can be sold at different

prices.

Jeevan Patwa: No, I understand that, sir. I just want to understand the utilization. When can we utilize.

Satyanarayana Chava: By end of this financial year, we expect about 75% utilization of 10 billion units. Still we have some spare capacity. And for us to enhance capacity from 10 billion to 15 billion, we also need

Laurus Labs

October 21, 2022

Page 7 of 19

12 months to buy equipment, install, qualify it and validate the product. We need 12 months. So in anticipation of business, after 12 months, we need to start the investment. So we are not investing an additional 5 billion capacity in this financial year. But the building is ready for us to expand capacity from 10 billion to 15 billion will take notice of 12 months if there is an opportunity for us. Otherwise, if you want to make greenfield, you need 24 months' time. So we have shortened that window by 12 months by building civil infrastructure, but not installing the line.

Jeevan Patwa: Secondly, we say that we have almost 47 approved filing in the developed markets with market size of \$21 billion. So out of that, how much we have actually launched?

Satyanarayana Chava: We have launched 14 molecules as of now with an addressable market sales of \$2.5 billion.

Jeevan Patwa: Next is, I want to understand there has been 50% contribution from CDMO in this particular quarter, but still our margins have actually dropped. So why that has happened? So is it because ARV API has got very low margins or is it something else? Secondly, other expense for this quarter also looks very high. So last quarter, our other expenses was high because of fuel and power cost and also because of the Forex loss. So this quarter, what has happened on the margin front?

Satyanarayana Chava: There was a decline in ARV API prices and there is a deleverage in ARV formulations. So our formulation capacity was not well utilized in Q2. So there was a deleverage in our formulations.

These two led to the overall decline in EBITDA margins. Otherwise, we could have done better. That is the reason what we have guided for the rest of the financial year, we expect better margin profile because the visibility for ARV formulation is looking bright for Q3 and Q4.

Jeevan Patwa: But our gross margin also declined, sir. So 50% contribution from CDMO, still our gross margin has declined.

Satyanarayana Chava: That's negatively impacted by ARV API as well as formulation price decline.

V. V. Ravi Kumar: You see, our formulation is an integrated play. So if you recollect our guidance on the gross margin side is Our top gross margin is in Synthesis followed by formulation. So when we lose formulation revenue, we not only lose gross margin in the formulation, but also on the API together.

Jeevan Patwa: So in the second half, when you say that we have calibrated and digested our ARV strategy and we also got the orders from the global funds and PEPFAR that is supposed to happen next week.

So do you think we'll be able to get to the better margins from here?

Satyanarayana Chava: Better sales will result in better leverage for us, Jeevan. So we expect Q3, Q4, to be better.

Jeevan Patwa: And next is the tax rate. Is it going to change in the second half for us or will it remain the same in this particular way?

Laurus Labs

October 21, 2022

Page 8 of 19

V. V. Ravi Kumar: See, conservatively, we are projecting with the old regime. We are evaluating it. There are two, three driving factors. Probably at the end of third quarter or end of fourth quarter, we will have fair idea whether it will be lower side or the same, it will not go beyond this.

Jeevan Patwa: Just one question I think, if Chairman allow.

Satyanarayana Chava: Please go ahead.

Jeevan Patwa: So CapEx in the first half was INR 416 crores, can you just tell us the CapEx in the second half and FY '24?

V. V. Ravi Kumar: Similar number

what we are expecting.

Moderator: Thank you. We have our next question from the line of Sudarshan Padmanabhan from JM PMS. Please go ahead.

Sudarshan Padmanabhan: Sir, just to get a little bit more sense on the commentary that you've made and also from the press release, the 70% drop in the Formulation FDF Y-on-Y and Q-on-Q. I mean, specifically, is it primarily led because of higher inventory in the channel or what are the reasons for, number one, the prices being sold not different in the first quarter? And also some color on in terms of if there is inventory, how much is the inventory in the channel? How do we see the margin trend is coming back probably in the second half?

Satyanarayana Chava: We don't expect a lot of inventory in the channel. It's quite visible that our API sales and ARV increase to a normal level. The reason for lower sales of ARV formulations in Q2 - Actually, we saw that impact coming from Q1 itself and significantly lower number in Q2. We didn't adjust the pricing in our tenders. So we lost lot of tenders. But we have calibrated and we are on par with competitive pricing environment. So that's the reason we expect Q3, Q4 to be better.

Sudarshan Padmanabhan: So we would now participate in the forthcoming tender? I mean, at the recalibrated price?

Satyanarayana Chava: Yes, you are right.

Sudarshan Padmanabhan: And what was the kind of extent of pricing drop we have seen between first quarter and the second quarter?

Satyanarayana Chava: Broadly, in the formulation, the price drop was 20% actually.

Sudarshan Padmanabhan: 20% price drop and 50% volume drop in the second quarter over first quarter of this year.

Satyanarayana Chava: I said from the Q2 FY '22 versus Q2 FY '23, the pricing difference is may be closer to 15%, around 15% price drop one time.

Laurus Labs

October 21, 2022

Page 9 of 19

Sudarshan Padmanabhan: And sir, on the CDMO side, we've seen a very strong growth in the last three quarters consistently, I mean, can you give some color with respect to the kind of profile of the kind of incremental growth whether it is driven by or is there a revenue concentration in the incremental growth or is it broad-based? How sustainable is the kind of growth that you are seeing on CDMO?

Satyanarayana Chava: We expect to have a good partners, good products. We have good visibility in this segment. We are investing more in capacity expansion in the segment because of the visibility what we have. We are very excited and bullish on this division, not this quarter, in the coming quarters, but in the future years also, we wanted to invest and stay ahead of the curve in offering a sustainable sourcing for CDMO partners.

Sudarshan Padmanabhan: And sir, the revenue growth is broad-based or is it kind of concentrated? I mean, if you can give some color with respect to this.

Satyanarayana Chava: It's broad. It's not concentrated.

Sudarshan Padmanabhan: And finally, on the cost side, as the previous participant pointed out, we seem to have not exactly captured the benefit of higher CDMO, plus also, we are seeing that the transportation costs coming down. If you can give some color for H2 with respect to the second quarter run rate.

Costs such as the transportation costs and certain other costs, how they are trending right now? And would we see some kind of a recede in the second half as we go ahead apart from the operating business?

Satyanarayana Chava: The biggest negative contributor to our margin, not significantly decline, some decline was there despite we have done very good in CDMO is because of the pricing pressure in ARV. Otherwise, we could have done exceedingly well. So there is no challenge in the margins of CDMO business. It continues to do very well. But in ARV, there is a decline in margin, that contributed to drag the overall margins for the company.

Moderator: Thank you. We

have our next question from the line of Madhav Marda from Fidelity. Please go ahead.

Madhav Marda: I have two questions. First one was, during the initial remarks you've mentioned about some delays on to our revenue target due to change in competitive landscape. Could you please elaborate what exactly is that on? Is that just on the ARV side or was that for something else?

Satyanarayana Chava: Competitive landscape changed significantly in the last 12 months to 18 months in ARVs. In the rest of the businesses, we are seeing good traction, positive traction, actually. So our Oncology business grew, our non-Oncology non-ARV business grew significantly, our non-ARV formulations also we have good progress, good approvals, our CDMO is doing exceedingly well. So, except to the landscape change downwards in ARV, APIs and formulations, rest of the segments are looking very positive.

Laurus Labs

October 21, 2022

Page 10 of 19

Madhav Marda: And this level of pricing for the ARVs, the way at least I understand is Laurus is amongst the lowest cost producers for ARVs in the market. So if the pricing is under so much pressure, wouldn't the other competitors be facing a lot of pressure on their profitability as well? So pricing should come back eventually? Is that the way we should think?

Satyanarayana Chava: We hope pricing should bounce back to some extent positively, but I do believe we're at the lowest pricing right now. We don't expect the prices to go down further. So I think any improvement on the pricing side is from positive side only.

Madhav Marda: And my second question was, in your initial remarks, you also mentioned about investing in complex generic products. Could you like elaborate a little bit more in terms of what kind of products such as injectables, inhalers etc, what exactly are we doing here? And also, is it with our own front-end or are we doing contract manufacturing for other pharma companies?

Satyanarayana Chava: I think because of the nature of products what we are working, we don't want to elaborate further on what complex products we are working. But the competition in those products is limited, although they are genericized, the competition is limited. So maybe when we file a product, ANDA, then we will be able to talk more about our strategy.

Madhav Marda: And is there any timeline by when we expect to file the ANDA? Should we say, FY '23 or would it be FY '24? Any broad timeline will be helpful.

Satyanarayana Chava: May be FY '25.

Moderator: Thank you. We have our next question from the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: My first question was on the FDF business. If you could just clarify how much of the FDF sales in the first quarter and the second quarter of this financial year was from ARV?

V. V. Ravi Kumar: ARV is INR 55 crores this quarter against INR 275 crores in the previous quarter.

Satyanarayana Chava: So out of INR 150 crores in formulations, only INR 50 crores came from ARVs, the rest came from non-ARVs.

Krish Mehta: And as a percentage of the total revenue, what percentage was ARV versus non-ARV for this quarter?

V. V. Ravi Kumar: There's about 29% is total ARVs.

Krish Mehta: So that's 70-30 now?

V. V. Ravi Kumar: 29%, yeah.

Laurus Labs

October 21, 2022

Page 11 of 19

Satyanarayana Chava: Less than 30% contribution came ARVs, both APIs and formulations put together.

Moderator: Thank you. We have our next question from the line of Binu Pathiparambil from InCred Capital. Please go ahead.

Binu Pathiparambil: A couple of questions. One, Dr. Chava, could you please make us understand a little bit about the mechanics of this ARV formulation tenders? Are these like tenders which happen every other day or every other a week for a fixed amount of supply or are these like a longer term supply

contract which trans

he through months or years?

Satyanarayana Chava: In the Q1 and Q2, the contribution from long-term allocation was less and we didn't have success in getting non-long-term tender quantities, which there was a lot of pricing pressure. But now, the other agencies are about to announce their long-term allocations in this quarter. So, we expect some stability will come in our forecast for the coming quarters. So our lower sales is because we didn't win tenders in the non-long-term focused agencies.

Binu Pathiparambil: So it's basically a mix of both. Broadly put together, I know it's difficult to calculate, but broadly put together, how much of the market would be long-term contracts and how much would be short-term? Is it like roughly 50:50 or?

Satyanarayana Chava: Typically, in the last several quarters, our long-term contract base sales is 3/4th and 1/4th is short-term tender-based. In the last three quarters, the long-term-based tenders awards were less because of the stocking, channel stocking. But now that is done, they are back to ordering stage right now. So that is the reason we expect lot of visibility will come from this quarter onwards.

Binu Pathiparambil: And my second question is regarding FY'24. So when you had this original guidance of INR7,200 crores, generally, we were expecting FY '24 to be a soft or a flat year after a very big growth this year. So now that you have lowered your guidance by 10%, FY '24 still looks like a soft year or are you seeing this last 10% of this year can be caught up next year?

Satyanarayana Chava: We will come back with more updated forecast as we go into Q3, Q4, yes.

Moderator: Thank you. We have our next question from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Sir, on the ARV business, you had earlier indicated that you would probably be around a run rate of INR3,000 crores per year. Whatever is changing, happening in the landscape, do you think that number needs to be toned down a bit in your assessment?

Satyanarayana Chava: It will be down, but not significantly. If you look at our ARV API is almost INR 790 crores in the past six months. So it's easy, you can expect it to be between INR 1500-1600 crores for the entire year for our API. So our formulation sales is lower in the Q1, Q2, especially very lower in the Q2, but we expect bounce back in Q3, Q4. So, it will be somewhere between INR 2,500 crores and INR 3,000 crores total ARV, API and formulation sales.

Laurus Labs

October 21, 2022

Page 12 of 19

Nitin Agarwal: And sir, this is a rate we should assume even on a going forward sustained basis?

Satyanarayana Chava: We expect so. We don't expect growth in this segment. We will be probably in that range.

Nitin Agarwal: And sir, secondly on the formulation capacity, you mentioned we have a capacity of 10 billion tablets now. So when you are planning, what was your assessment in terms of how much of this capacity was to be utilized by ARV formulations?

Satyanarayana Chava: Capacity consumed by ARV formulations is less than 20%. See, if you look at tablets-wise, three APIs go into one tablet. So you can't just compare one tablet of ARV into one tablet of Metformin. It is not one-to-one, apple-to-apple comparison. But last year, we produced little over 1 billion tablets in ARV.

Nitin Agarwal: And sir, so you're saying that for the total formulation capacity, ARV will take up only about 20% of your capacity on a going forward basis.

Satyanarayana Chava: Yes. ARV sales, not for us, for anyone, formulation capacity will never go into the bottleneck. Formulation is easier. The challenge is how to make cost effective API is one challenge and winning the tenders is another challenge. Making formulation is never going to be a challenge for anyone, including us.

Nitin Agarwal: And sir, just a point, you mentioned that by the end

of the year, you will be at 75% capacity

utilization for the formulation business on 10 billion capacity. So, do we see a very significant ramp-up in the non-ARV formulations in the coming quarters?

Satyanarayana Chava: Quantum wise, yes. We are producing non-ARV APIs in a significant volume right now and we expect one more approval by end of this year. With that, we expect to utilize even more capacity in Q4 of this financial year.

Nitin Agarwal: And sir, last question. On the CDMO business, we mentioned in the press release that the purchase order which you've got is sort of getting executed also steadily in the current quarters, but how should we look at the purchase order business, sir? Is it only for this year or it has continuity beyond current year also?

Satyanarayana Chava: We have visibility for this financial year, but we don't have visibility for next financial year for the purchase order. But we have a lot of projects under the evaluation, under execution, under negotiation, so this division, rest assured, we are focusing and investing significantly into this.

Nitin Agarwal: And sir, just last question on this. Given the very high base that we will create in CDMO this year, is it fair to expect a flat to a growth number next year on this date or given the very high

base this year, that would be difficult?

Satyanarayana Chava: We'll come back with more specific details. It's too early for us to comment on the FY '24 , CDMO numbers right now.

Laurus Labs

October 21, 2022

Page 13 of 19

Moderator: Thank you. We have our next question from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead, sir.

Tushar Manudhane: Sir, given the kind of disruption that has already happened on the pricing on the ARV front, even if you win the contracts, what gives us confidence that we'll be able to do 30% margin because the ask rate for second half FY '23 would be 32% plus of the margin , to achieve 30% margin for FY '23?

Satyanarayana Chava: For the first half of the financial year, we are already at 29% EBITDA margin. So when we are saying we will maintain about 30% EBITDA margins, doesn't mean we are saying 30.00%. We have to improve beyond 29% to go closer to 30%, which we are very confident. As we mentioned to some of the investors in this call earlier, because of the deleverage happened in formulations, that was compensated by higher margin Synthesis deal, otherwise, we could have done better.

Tushar Manudhane: And in fact, even in the sales run rate of the non -ARV formulation has been relatively lesser for the quarter. Any particular reason to highlight?

Satyanarayana Chava: Actually, it was very good. Non-ARV doing INR100 crores per quarter was good. And our non -ARV quantum -wise will grow in Q3, Q4. As we mentioned, our sales to European partner will happen in Q3 and we are shipping in this year for this quarter and next quarter. We have a very good visibility there.

Moderator: Thank you. We have our next question from the line of Kunal Dhamesha from Macquarie Capital. Please go ahead.

Kunal Dhamesha: One basic question on the CDMO business. So right now, when there is a new RFP that has been floated, have you seen any change in the trend of new RFPs being floated, given the biotech has been under lot of pressure on the US side?

Satyanarayana Chava: We haven't seen any decline in the number of RFPs being floated by our partners from Q1, Q2 to current quarters. Actually, maybe trend is positive rather than negative in the number of RFPs.

Kunal Dhamesha: And a number of people bidding for particular RFP, have you seen any change in trend over the last couple of quarters

Satyanarayana Chava: We don't have visibility on that. We can't comment on how many people receiving same RFP. We have no visibility on that.

Kunal Dhamesha: And one question on the ARV business. When we

say that short -term contracts, the pricing has gone down, but the long -term contract, allocation is about to happen. But does the short -term contract pricing are like a bellwether for the long -term contract pricing or the pricing could be different for the long -term contracts?

Laurus Labs

October 21, 2022

Page 14 of 19

Satyanarayana Chava: Long -term contracts are generally better than the winner -takes -all tenders. But eventually, one could expect that lower pricing will also have an impact on the long -term pricing again.

Kunal Dhamesha: And is it possible with short -term contract winner -takes -it-all kind of situation versus long -term contract would be like a much more stable allocation we're doing the major players?

Satyanarayana Chava: In long -term contracts, there are allocations they do and nobody gets more than 1/3.

Kunal Dhamesha: And in short -term, it's not the case?

Satyanarayana Chava: This is not the case . We have some cases people get 50%, some cases picking at 100%.

Moderator: Thank you. We have our next question from the line of Palak Shah from Infina Finance.

Palak Shah: Sir, firstly, I just wanted to understand, so our FY '23 growth has two big components to it. First is your CDMO business doing phenomenally better, because of the large purchase order and now we're looking at a price erosion in ARV, API and formulation business both. So on that base, FY '24 growth seems to be a bit difficult or do we have more levers which can actually aid us to grow next year?

Satyanarayana Chava: We are creating a lot of capacity. We have the levers to grow, but we will give you more color and updates as we come closer to the financial year.

Palak Shah: Secondly, you have revisited our guidance of \$1 billion target at INR 7,200 crores, but now given that currency depreciated and we have rationalized our guidance by 10%, but effectively a 20%, 25% cut in the rupee term that you would have expected. So is the understanding right?

Satyanarayana Chava: You are absolutely right. See, as we gave numbers in our presentation, our decline in formulations in the past six months is almost INR 500 crores. So that means we are not going to

recoup in the next six months. So that led to revising our guidance lower to our aspiration number of INR 7,200 crores.

Palak Shah: So just lastly if you could permit me for this. Given the price increase, price decrease have happened across ARV formulation and API and we still intend to maintain our margins. Can you explain a bit, which will help us maintain the margin, because my understanding would be price erosion would lead to some dilution of margin as well?

Satyanarayana Chava: So if you look at our contribution coming from ARV APIs and formulations will remain flattish. Whereas rest of the businesses are growing significantly. So even though there is a price pressure on ARV, because of flattish base for that and the rest of the businesses are growing, which are more favorable in margins that is the reason we expect the margin profile will remain same or better.

Laurus Labs

October 21, 2022

Page 15 of 19

Moderator: We have our next question from the line of Bharath from Quest for Value Capital. Please go ahead.

Bharath: Last quarter, there was an increase of other expense by INR 70 crores and the reason mentioned that time was, due to a one-time cost of power, fuel and Forex loss and this is one-time. And even in this quarter, we see that the increase of INR 70 crores in other expenses. May I know the reason for this?

V. V. Ravi Kumar: I think Forex loss even in the second quarter is also there, though it is unrealized. And of course, power and fuel, it got restored. The additional expenditure in the power and fuel what we have spent in quarter one is not figured in quarter two.

Bharath: Yeah, but then it should reduce, right? The other expense will reduce, but it's

still at the elevated level.

V. V. Ravi Kumar: There are some other expenditure also there. We are adding new blocks and new capacity added for formulation. For that, we have to recruit more people, etc and more operating expenses also to be incurred for those.

Bharath: And in the Board meeting today you approved for incorporation of new specialty chemical business. May I know what is this business?

Satyanarayana Chava: This is an adjacency to what we are doing. We intend to make some chemicals to start with what we consume, which we are buying from third parties. So we will make some very large volume, medium volume and small volume products. So these specialty chemical prices vary from \$1 to \$100 per kg.

Bharath: And in last con call, you said that generally for these tenders, 10% of the tenders are like winner-takes-all and rest 90% is something like evenly spread. It's like 30% to the first guy, and 20% to the second guy and 30% to the third guy, something like that. So now and you said that now we lost most of the tenders, does it mean that we have not even won any of those tenders where it is evenly spread?

Satyanarayana Chava: We haven't won significant numbers of winner-takes-all, we didn't win much. That was quite visible for our lower sales in Q1 and significantly lower sales in Q2 was because of that.

Bharath: So you mean to tell us in Q2 also most of the tenders were like winner-takes-all, am I right?

Satyanarayana Chava: Yes.

Bharath: So this 10% of the tenders are mostly in Q1 and Q2?

Satyanarayana Chava: Yes.

Laurus Labs

October 21, 2022

Page 16 of 19

Bharath: And my other question is like, till recently, we had this 5 billion capacity for tablet and I understand that out of which 2 billion is utilized for ARV and 3 billion is for non-ARV. And I assume that this complete 3 billion is fully utilized, am I right?

Satyanarayana Chava: Our old formulation block is optimum utilized. And even in the new formulation block, about 1 billion units we are producing on average basis right now out of 5 billion new capacity, which we expect to utilize another 1 billion units on an annualized basis by end of this financial year. That's what I said. By the end of this financial year, about 50% of our new 5 billion capacity will be utilized.

Bharath: And the old 5 billion.

Satyanarayana Chava: Optimum, it's maxed already.

Bharath: So does it mean that out of this old 5 billion capacity, so 3 billion is for non-ARV, right?

Satyanarayana Chava: Broadly, yes.

Bharath: Broadly. And this quarter we have done INR 100 crores of revenue from these non-ARV. So

does it mean that out of this 3 billion, we were able to generate a revenue of INR 100 crores for non-ARV. Is my understanding right?

Satyanarayana Chava: You can't slice that way and then multiply. But broadly, you're right. We have been about 1.3 billion, 1.4 billion units contract manufacture into one partner. And we are doing another 1 billion for our own formulations for Canada, US and other markets. You are right broadly, yeah.

Bharath: And my last question is like this 2 billion tablet capacity which we have on ARV, is that fungible.

Why I'm asking like if you want to shift it to non-ARV, is it possible.

Satyanarayana Chava: It's very fungible. And as I mentioned, making ARV, for this if there is opportunity for 3 billion ARV, we can do 3 billion. So like ARV formulations are fungible, non-ARV capacity is also fungible to ARV.

Moderator: Thank you. We have our next question from the line of Gaurav Singhal from Aspex Management (HK) Limited. Please go ahead.

Gaurav Singhal: I just wanted to follow-up on some of the questions that have already been asked. You mentioned that by the time we exit this financial year, our formulation capacity, we would be able to exit at like 75% kind of utilization for the 10 billion capacity. Can you share what our

utilization was

in 1Q and 2Q?

Satyanarayana Chava: It was less in Q2, very visible of our lower sales.

Gaurav Singhal: But if you want to share a number, if that's possible for 2Q or 1Q?

Laurus Labs

October 21, 2022

Page 17 of 19

Satyanarayana Chava: We can't share more granular than this. We're sharing a very detailed number. But if you want, maybe you can reach out to Vivek and he will be able to have a discussion offline.

V. V. Ravi Kumar: I think it's been very fungible capacity. It is very difficult to explain like that.

Gaurav Singhal: And then for the ARV long-term tenders, pardon me, this has been discussed in earlier calls. But how long are these long-term tenders that shall we expect?

Satyanarayana Chava: Long-term awards typically for three years. We allocate certain percentage of their purchases, that's for three years.

Gaurav Singhal: And then when global fund, which is expected to announce the long-term award, they are expected to announce allocations next week. So this is something that, if I understand correctly, we already have won these orders and it's just like a public announcement would be made next quarter or does the company also not know right now and they will also find it next week? I'm not sure if I understood that correctly?

Satyanarayana Chava: We don't know the results yet. So they haven't announced.

Gaurav Singhal: So global fund will know the results next week and PEPFAR will know some time into December?

Satyanarayana Chava: Sure.

Moderator: Thank you. We'll take our last question from the line of Neha Agarwal from SageOne Invest. Please go ahead.

Neha Agarwal: Sir, my question is largely on the non-ARV formulations side. If you could give more guidance on the growth visibility there pertaining to launches that we have made so far? And also, I think end of FY '22, you mentioned opportunities in the gliptins and sartans segment because of the kind of superior purity of the product that we have, shows better quality that we have and we'll be able to garner better market share? What is the progress there?

Satyanarayana Chava: So when you compare our formulation sales in Q4 last financial year, we did about INR 500 crores, which has decreased to INR 150 crores. So there is a room for us to go back to INR 500 crores. The growth will happen from ARV and non-ARV both. But maybe by end of FY '24, most of the growth in the formulations will come from non-ARV. Like our API growth is coming from non-ARV APIs, by end of '24, most of the growth in formulations also will come from non-ARV. In ARVs, there is a limit for us to grow in both APIs and formulations. We believe by end of next year will reach the plateau. And then growth will come from non-ARV in formulations too.

Laurus Labs

October 21, 2022

Page 18 of 19

Neha Agarwal: Totally, in particular to non-ARV only. My question was, how is the product launch -- I mean, the product that we have launched so far, how is the growth coming along in those? In terms of market share, I mean.

Satyanarayana Chava: We are launching two products in Europe this quarter onwards. And we expect one product will be launched in US Q4 this financial year. So those products, plus Europe products already we started shipping. And US, depending on the approval we expect, the approval was delayed by a

quarter. So that launch will happen early next year, calendar year. All these new products what we are talking is non -ARVs.

Neha Agarwal: And any overall revenue guidance on the non -ARV formulation front for the full year?

Satyanarayana Chava: We can't give you more granular than this. I'm sorry for that.

Neha Agarwal: And if you could just help me with last year's non -ARV formulations number, please?

V. V. Ravi Kumar: It's around INR 250 crores or so.

Neha Agarwal: Around INR 250 crores was non -ARV?

V. V. Ravi Kumar: Yeah, correct.

N

Neha Agarwal: And definitely on that base of non -ARV and just leaving aside the ARV formulation piece, at least we can expect a good strong double -digit growth on that?

Satyanarayana Chava: You're right.

Neha Agarwal: But overall with just one last question. With the kind of pace that we are seeing in terms of formulations launches on the generic formulation side, do you think we could see a kind of similar to what we have in CDMO in terms of growth for non -ARV formulations also, a similar growth aspect?

Satyanarayana Chava: Formulations, we expect a lot of growth will come in FY '25 not in '24.

Neha Agarwal: And just one last question on the multi -year contract that you had and which you signed earlier this year. So revenue have started coming from there already?

Satyanarayana Chava: No. The new site for that will be qualified next year.

Neha Agarwal: So I think second half of FY '24 and then more meaningfully in FY '25, would that be correct?

Satyanarayana Chava: Yes.

Laurus Labs

October 21, 2022

Page 19 of 19

Moderator: I would now like to hand the conference over to Dr. Satyanarayana Chava for closing comments. Over to you, sir.

Satyanarayana Chava: Thank you, Monish for organizing this call. Thank you participants for asking very interesting questions. And we wish you happy and safe Diwali. Thank you.

V. V. Ravi Kumar: Thank you.

Moderator: Thank you, sir. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2023

Page 1 of 18

"Laurus Labs Limited
Q3 FY '23 Earnings Conference Call"
January 30, 2023

MANAGEMENT : MR. SATYANARAYANA CHAVA – FOUNDER AND CHIEF
EXECUTIVE OFFICER – LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS LIMITED
MR. VIVEK KUMAR – INVESTOR RELATIONS – LAURUS
LABS LIMITED

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

Laurus Labs Limited
January 30, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Laurus Labs Limited 3Q FY '23 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you, and over to you, sir.

Monish Shah: Thank you, Vikram. Good evening and welcome to Laurus Labs 3Q FY '23 Results Conference Call. We thank the management for giving us the opportunity to host this call. Today, we have with us Dr. Satyanarayana Chava, Founder and CEO, Mr. V.V. Ravi Kumar, Executive Director and CFO, and Vivek from the IR team.

I will hand the call over to Dr. Satya for his opening comments. Thank you, and over to you, sir.

Satyanarayana Chava: Thank you, Monish. Thank you for joining us for our Q3 and 9M FY '23 results conference call. We are pleased to have this opportunity to update you on our business progress and answer your questions.

Now let me share quick thoughts on our performance. Our business has continued to perform well, both during the quarter and also on a nine-month basis, reflecting a sustained momentum across our key growth drivers.

We are all well-positioned to close the year with strong double-digit revenue growth with steady margins. We remain firmly focused on our strategic priorities, to diversify, drive growth and delivering long-term sustained value to our customers, partners and our stakeholders. In addition, we'll continue investing in mechanization, automation and digital initiatives, to boost operational efficiency.

We also like to update that recently, Laurus Labs has been selected as a panel supplier by the global fund for ARV drug procurement, and the contract will run for a period of three years. For over a decade, our company has been committed directly and indirectly to the cause of HIV.

And this tender offers us, again, a great opportunity to make HIV treatment accessible to more than 150 countries through global fund and other multilayer agencies. During this quarter, Unit - 5 received EIR from US FDA.

Moving on to our financial results, we are pleased to report that we achieved a healthy topline and bottom line growth for both quarter and nine months. We made additional advancements in our R&D initiatives, pipeline enhancement, diversification and new capacities qualified and ready for commercial production. We are confident in the underlying demand for our portfolio and scale as we continue to see momentum in our business.

We have achieved INR 1,545 crores revenues for the quarter, showcasing a 50% growth year-on-year. And for nine months, we track revenues of INR 4,660 crores, a growth of 33%, year-on-year. Our strong results are driven by exceptional growth in our Non-ARV revenues, especially CDMO and the APIs other than ARVs.

Laurus Labs Limited
January 30, 2023

Our growth was also supported by much -anticipated recovery in ARV formulations and, which is expected to continue further. Our profitability margins have sustained despite ongoing disruption in business environment caused by inflationary headwinds and also geopolitical business.

To begin, I would like to share key updates on our Formulation business. Our Formulation division has sequentially recorded 67% growth and reported overall revenues of INR 747 crores for nine months with a decline of 46% year -on-year. If you look at our Q3 revenue, although there is a degrowth of 33%, but it has seen a healthy recovery over Q2 base, and we expect it to further normalize during the ne

xt few quarters.

Coming to the LMIC business, while broader demand and environment in ARV have continued to stay softer, our business has shown some respite off Q2 low base. But pricing has largely remained depressed. We remain optimistic over a gradual stabilization in the volume off -take ahead. This will be partially supported from open orders and visibility from new global fund HIV tender. During nine months, we launched two products, lopinavir and ritonavir, abacavir and lamivudine combinations. Additionally, we are awaiting for few more product approvals, which should help us in stabilizing business in coming quarters. As articulated in the past, we will continue to evaluate our portfolio choices in this business and play selectively for value over volume.

Coming to developed market. We continue to perform well across our broader US portfolio despite higher competitive industry. We continue to get good market share on select products and also increasing volumes for our recently launched products. We continue to leverage our front -end presence in the US market for new product launches. During the quarter, we filed two ANDAs, taking the total filings to five ANDAs for the nine months in the current financial year. We intend to make a few more filings in the current quarter. And cumulatively, we have a total of 37 ANDAs to date. Of these, we have a total of 14 final approvals and 12 tentative approvals. In Canada, we received two approvals during the Q3 FY '23, taking total approvals to 13, of which we have launched eight products, and we intend to launch at least one product every quarter for the next few quarters. For EU markets, we have validated three products as part of the contract manufacturing partnership. We expect a significant upside from these products in the coming quarters. We have a basket of 11 approved products in Europe, of which we have already launched six, and we will be launching a few products shortly.

Based on a healthy product pipeline progress, we continue to invest in our Non -ARV FDA infrastructure, with the total commissioned capacity of 10 billion units. We anticipate that these Brownfield capacities that we have added recently should start to get better utilized during the course of next year as we begin to see better demand visibility in ARV business, scale up visibility in the partner portfolio and also key product approvals.

On the R&D front, we continue to make good progress and invest in portfolio, with product -specific approach based on complexity and economies of scale. We are pleased to share that we filed our first NDA for HIV pediatric product during Q3. We believe this unique drug product delivery form for pediatric HIV treatment should complement our existing offering. And we

Laurus Labs Limited

January 30, 2023

continue to do further developmental work on orally disintegrating film platform, which can be leveraged to create innovative pipeline in other therapeutic areas.

Our sterile R&D labs, which has already started working on priority projects, and we expect to complete development phase for at least three products in the next few quarters. Overall, R&D spending to sales for the quarter was at 3.2%. We have a total of 64 products in the R&D pipeline, either development or under review, having an addressable market of over \$40 billion brand sales. So far, we have filed 37 ANDAs in the US, 12 dossiers in Europe, 19 products in Canada, 9 with WHO, 5 dossiers in South Africa, 20 dossiers in India and 22 products filed in various rest of the world markets. Of the 37 ANDAs filed in US, we have 16 PARA IV filings and 11 First to File opportunities, having a sizable market. From the beginning, our approach remains product -specific and not market -specific.

Coming to the Generic API business, our antiviral API sales for this quarter is at INR 376 crores. As indicated earlier, we

expect volumes and pricing are going to stabilize around the current levels. We continue to maintain a leading market share in the current product pipeline and also expect increase in our supplies to developed market.

Onco API business declined 13% during Q3, but improved sequentially, 45% and we achieved INR 74 crores sales for the current quarter. For nine months FY '23, the segment has seen a decline of 14%. As you're aware, Laurus labs have one of the largest high -potent API capacity in India. We're also expanding the high potent API manufacturing capabilities in Unit -4 to meet continued demand for such products.

Our other API segment sales, which include cardiovascular, diabetes and asthma products, have seen steady ramp up, both for the quarter and nine months. For the Q3, we achieved a sales of INR 182 crores, growing at 33% year -on-year. For nine months, the growth is very robust at 65%, supported by new contract supplies.

During the Q3, we filed 3 DMFs, all in Non -ARV category. With this, total number of DMF filed today is 77. We initiated validation of few APIs, and I expect to see good potential over coming years. We are also working on CMO opportunities with few global generic companies, and some of them are in advanced stages of implementation.

When it comes to Synthesis business, which has continued to sustain robust growth of over 200% year -on-year for the quarter, and we achieved sales of INR 642 crores. During the nine months FY '23, our CDMO business have grown of over 2.5x to INR 1,939 crores. This growth is driven by robust underlying demand from both new and existing clients and our ability to do strong commercial execution. We remain quite excited about this division as we are focused on both commercial execution as well as expanding our pipeline projects in various clinical phases. We continue to work on over 60 active projects at different stages, ongoing commercial supplies for about 10 products, including APIs as well as several intermediaries. Our Greenfield investments towards building a dedicated R&D center for this division at Genome Valley and two manufacturing units in Vizag is progressing as scheduled. New sites for Synthesis division, we now have capabilities to handle, animal health as well as agro. The facilities will have dedicated blocks for steroids, hormones and high potent molecules apart from large value

Laurus Labs Limited

January 30, 2023

Page 5 of 18

products. We expect to qualify one of the dedicated animal health manufacturing site by mid of next fiscal.

Laurus Bio revenues were largely muted at INR 22 crores due to unplanned downtime, resulting to some production deferments during Q3. This has been rectified and brought online. For nine months, Bio sales grew by about 22%. We do anticipate pick up with the ramp -up of new capacities with our large -scale CDMO partners in the coming quarters. We have completed scheduled expansion at R1, including new R&D block, along with balancing equipments. We initiated process for acquiring land for R3 Greenfield expansion near Mysore. We believe that the new site should further strengthen our Laurus Bio capabilities in offering CDMO services in animal -origin -free proteins as well as growth factors.

We believe global opportunity in alternative food proteins is in exciting phase, and will be a fast-growing segment in the long term. Our focus is to have a right scale, cost and functionality, which will drive our technology references.

With that, I would like to hand it over to Mr. Ravi Kumar to share financial highlights.

V. V. Ravi Kumar: Thank you, Doctor. And a very warm welcome to everyone for our quarter 3 and nine months earnings call. Total income from operations for the nine months is INR 4,660 crores as against INR 3,511 crores showcasing an 33% growth. During the quarter, we have done at INR 1,545 crores against INR 1,029 crores with a 50% growth.

with. Gross margin for the first nine months is at 55.4%. Our EBITDA for nine months is INR 1,307 crores with EBITDA margin of around 28%, whereas for Q 3, our EBITDA was 404 crores with a margin of 26.1%. The lower margin is due to the negative operating leverage. Our diluted EPS for the nine months INR 12.70, not an annual basis with a 14% growth. Our ROCE is at 26% on an annualized basis on the back of sustained operational leverage across units, of course, despite of investments into the capex.

On the capex front, we invested around INR 200 crores for the quarter and slightly more than INR 600 crores for the nine months. We have guided INR 2,000 crores capex in the FY '23 and FY '24. I think we are still committing to around that number for this year and next fiscal. And we believe our capital allocation framework, including commitment towards diversification and strengthening of Non -ARV portfolio, building niche capabilities, invest in disruptive technologies, backward integration programs and improving operational efficiencies will continue to be in force in creating a long -term value.

With this, I would request the moderator to open the lines for the Q&A. Thank you.

Moderator: We have a first question from the line of Sajal Kapoor, an investor.

Sajal Kapoor: Two questions. Given that our CDMO synthesis business will be self -reliant in about two years' time, is it fair to expect that management would disclose gross and operating margins, balance sheet and cash flows in CDMO synthesis separately in FY '25? That's one.

And secondly, my sense is that once significant CDMO synthesis capex at Vizag is complete, there will be time consumed in validation batches. There will be an extended qualification period for regulatory audits and US FDA, plus other approvals. So there will be a lag before we actually start commercial shipments in a meaningful way. But on the presentation, Slide 14, it says and Laurus Labs Limited
January 30, 2023

Page 6 of 18

expect to qualify dedicated animal health unit by mid -2023. So can you help us understand the anticipated commercial shipment time lines for all three new facilities currently under construction?

Satyanarayana Chava: Thank you, Sajal. So the two facilities for CDMO, which are on construction, one is for animal health, the one we will also start construction for agrochemicals. We want to update you. For agrochemicals, we already completed construction of a pilot plant for registration batches long back. So registration batches already produced in the agrochemical plant.

When it comes to animal health plant, currently, one NCE program, validation was done in a dedicated block in one of the other manufacturing of the parent company. Once the new site is qualified, this will be a new site to be added into the file. And there are some products in some markets, the approval times are shorter. So this site will cater to the global markets, not just US market for animal health. And that is answering over qualification of the plants

When it comes to the separate balance sheet and P&L numbers for synthesis division, I'll leave it to Ravi Kumar to answer.

V. V. Ravi Kumar : Right now, we are using the same common facilities, and it is very difficult to segregate a balance sheet and P&L account. So whatever we can segregate, the revenue only can be segregated.

That's how we are showing only the revenue breakdown. Probably in the next three to four years when we have a separate infact we have a separate subsidiary you will know the balance sheet and P&L separately.

Sajal Kapoor: Thanks, Dr. Satya, for your qualification and the commercial shipment response. Mr. Ravi Kumar, the reason investors are interested in knowing more about the economics of our CDMO synthesis is that the economics of this division are significantly better than the rest of our businesses. So when we say that we will have an i

ndependently self -sustaining business in two

years' time that is FY '25, it should also mean that we'll have enough room in the balance sheet to raise external resources if required.

But otherwise, our operating cash flows adjusted for working capital should be able to sustain the growth momentum of this business going forward because as we understand, the CDMO synthesis business has a very long runway of growth ahead. And the way team Laurus has executed in the last seven, eight years, I mean, we were just INR 100 crores , including the ingredients and the innovator synthesis back in 2016. So we have come a long way, but we are still scratching the surface. So it would really help all investors to have a better color on the economics of this business, not immediately, but yes, as I said, two to three years out.

V. V. Ravi Kumar: I appreciate that point, but the only challenge is because there is a common facility, the segregation is very difficult. But over a period of time, we will see what best can be done.

Moderator: We have next question from the line of Bharat from Quest for Value Capital.

Bharat: Yes. Sir, in many forums in the past, you said that ARV business, both API and Formulation combined, will be less than 1/3 by FY '25. Do you still think that you can achieve this by FY '25?

Laurus Labs Limited

January 30, 2023

Page 7 of 18

Satyanarayana Chava: If all our diversification plans goes as we are thinking, it is possible. As you see for nine months, our ARV APIs is 22% of our revenue. And our ARV Formulation is about 10% of our revenue for nine months. So that is 35% of revenue came from ARVs both APIs and Formulations in nine months period. So we do anticipate rest of the divisions will grow faster than ARVs. We are hopeful that by FY '25, the ARV business will be 1/3 of our business.

Bharat: And currently, we have around 5,000 employees, and revenue contribution per employee is around INR 1.2 crores. In one of the recent interview, you said that you have vision to double the number of employees that is from 5,000 to 10,000 and also have a revenue contribution per employee from INR 1.2 crores to INR 2 crores per employee. May I know, like, by when you want to have this vision to be achieved?

Satyanarayana Chava: I think we didn't put a time line to that. But currently, we have close to 6,000 team size. And we have added about 20% new colleagues in this current financial year and about 25% new capacities in APIs. 50% new capacities of Formulations were added during the current year. I

think we can't give you a specific time line when we will be 10,000 team size.

Bharath: And regarding this global fund allocation, which we got for the period '23 to '25, may I know if the volumes allocated is more than the previous allocation, and also like how much price erosion was there compared to the previous allocation?

Satyanarayana Chava: We can't give you the price erosion in absolute terms, or volume in absolute terms. We got fair share of business. We are not the lowest bidders in the tender. That much I can tell you. Yes.

Bharath: Okay. I think that's helpful. And also sir, there is sharp jump in number of active projects in CDMO, in Q2 presentation, it was mentioned as 50. And now in the latest presentation it's 60.

So there's increase of 10. May I know what led to the sharp increase in the number of active projects?

Satyanarayana Chava: We got awards for clinical supplies. And we expect this number will continue to grow. Yes.

Bharath: Okay. And my last question is -- you have increased the API capacity by 1 million, I guess, in Q3, and also plan brings this other 1 million in Q4. That's almost 2 million increase in API capacity. May I know which division will use this additional 2 million liter. Is it for non-ARV API or for captive FDF or for CDMO?

Satyanarayana Chava: It's a very interesting question. Most of the increased capacity we use for non-ARVs.

acity we use for non-ARVs.

Bharath: Non-ARV API, you mean the other API, is it?

Satyanarayana Chava: Yes, other APIs and CDMO.

Bharath: And CDMO?

Satyanarayana Chava: Yes.

Laurus Labs Limited

January 30, 2023

Page 8 of 18

Bharath: Okay. Okay. And one more question, if I may. So I see that in the investor presentation that there is new capacity planned for Laurus Bio adjacent to R2. So I mean is it a brownfield expansion of R2, you're talking about here?

Satyanarayana Chava: See in R2, Laurus Bio, we had a mismatch of downstream processing when it comes to upstream processing. So we are debottlenecking that. We have taken land adjacent to R2. So with that, our output will go up. Our upstream capacity is much larger, downstream is less. So we're removing that mismatch because we know what products from the CDMO partners. We have a better visibility, how much downstream is needed. We are doing that.

Our real expansion will happen in R3 where we have identified and paid the advance for land near Mysore. So that will be the real expansion where, eventually, that site will have a 2 million liters of fermentation capacity.

Bharath: Exactly. So this R3...

Moderator: Your next question from the line of Nikhil Mathur from HDFC Mutual Fund.

Nikhil Mathur: I have a couple of questions. My first question is on the Formulation business. In 9 months, the business has roughly declined by around 45%. Can you give some understanding how much of this decline is attributable to ARV Formulations and how much of this attribute to Non-ARV Formulation?

Satyanarayana Chava: Close to 2/3rd is the ARV. 1/3rd is non-ARV.

Nikhil Mathur: Okay. What is the reason behind the decline in Non-ARV Formulation, I mean although many other export-oriented companies are also been reporting soft numbers, is it something to do with destocking or more competition in the market? What are the reasons can you pinpoint why the Non-ARV business is also under pressure in the Formulation side?

Satyanarayana Chava: Our Formulation contribution from Non-ARVs was around 20%, 25%. Because of the ARV revenues were less, the percentage-wise Non-ARV contributed to 1/3rd. But otherwise, we didn't see a decline in Non-ARV Formulation in absolute terms.

Nikhil Mathur: Okay. Okay. So this entire decline is basically the ARV Formulation piece then?

Satyanarayana Chava: Yes. Yes.

Nikhil Mathur: Okay. Understood. Also in your investor presentation, you have mentioned that the FY '25-'26 goal is to have more than 25% revenues from Synthesis. I'm not sure what was 25% means, that it could be 25%, 30%, it could be more than 30% as well. But it does seem that from 42% for the 9 months FY '23, this number is going to decline. This is a contribution. So the question here is that what happens to margins in this case if your custom Synthesis contribution will go down over the next couple of years. Because the broader understanding is that Custom Synthesis is usually the higher-margin business. So does it imply that the margins could be in some sort of a pressure over the next couple of years?

Laurus Labs Limited

January 30, 2023

Page 9 of 18

Satyanarayana Chava: So when we are looking at our investor presentation outlook slide that was the goal, over 25 doesn't mean it will come down to 25. So that is the goal we wanted to keep for internal. You can consider that the goal is achieved much earlier than FY '25. This goal we put when our Synthesis revenues were contributing 18% to our revenues last year.

Nikhil Mathur: Okay. Yes. But sir, intuitively, I mean, this is a very strong year for the Synthesis business in FY '23. I'm not sure if you're calling out the level of unsustainability in this scale in FY '22. The absolute contribution should only go down in '24 and '25 right? So wouldn't that imply that margins should be under pressure next couple of years?

V. V. Ravi K

umar: Are you there in the line?

Nikhil Mathur: Yes, I am there.

V. V. Ravi Kumar: Okay. So in FY '25, when we say 25%, so it is on the increased revenue of FY '25, right? So it's an absolute number. This will be much higher than what it is today.

Moderator: We have next question from the line of Krish Mehta with Enam Holdings.

Krish Mehta: I just had two questions. One is what is the absolute ARV revenue for this quarter?

Satyanarayana Chava: Absolute ARV for this quarter, API is INR 367 crores and INR 140 crores for the Formulations, about INR 516 crores. About 1/3rd revenues came from ARVs, both APIs and Formulations.

Krish Mehta: Okay. And what is ARV FDF for this quarter?

Satyanarayana Chava: 140 crores.

Moderator: We have next question from the line of Surya Patra with PhillipCapital.

Surya Patra: Just wanted to understand the freight cost or to understand the cost equation better. Sir, what is the share of freight in the overall cost? And what would be the rise in the energy cost for this quarter over last year? If you can share that.

V. V. Ravi Kumar: Freight cost, I think at an overall level, it could be very insignificant. It's not very significant.

Surya Patra: Okay. Any specific reason, sir? I think generally, freight cost is around mid-single digit kind of number. And last year, the way it has appreciated, so that has become a kind of important number. Or I'm reading it slightly differently?

V. V. Ravi Kumar: Most of the export sales happen by sea. If it is by air, actually, I agree with you that the costs are too high. So it will impact. Most of the sales happens through by sea.

Surya Patra: Even the sea-based freight cost had gone up

Satyanarayana Chava: Yes it's gone up significantly. But when it comes to percentage to revenues, it's not very high.

You were asking about the power cost increases. During the First quarter, we have seen

Laurus Labs Limited

January 30, 2023

Page 10 of 18

significant rise in the energy cost. Because of lack of power in our industrial zone, we did buy from private power, which was expensive at that time. But now situation improved, and we are not buying any private power higher than the grid power asset.

Surya Patra: Okay. Sir, if I just compare the FY '22 energy cost number versus FY '21. So then during '21, it was 2% of revenue was energy cost, which became 4% in the FY '22. And it is believed that FY '23 numbers are much higher, obviously, than FY '22. So that is why I was trying to understand whether it is now around 5%, 6% of the total cost.

V. V. Ravi Kumar: No. The energy cost, not only power, actually, the coal cost also there. Within the coal cost, coal prices have also shoot up. And then now the coal prices also become normal. So I think that kind of a substantial increase is not there, but definitely increase is there. But if you need any specific percentage, actually, we will let you know...

Surya Patra: My ultimate question was that even this quarter performance, if you see, the gross margin has sequentially come down, although you have indicated that the product mix would have, to some extent, impacted. But if you see the revenue mix, there is not much change sequentially. And there is a 2% kind of gross margin erosion. And on the other expenses front if I see from the pre-COVID level, now it is almost like 4% kind of rise. So these two things I wanted to understand a bit. If you can elaborate, that is fine.

Satyanarayana Chava: Yes, we'll try to answer your question. So when it comes to the decline in gross margin that was primarily driven by the ARV, APIs and Formulations. But we don't expect to further decline in ARV, APIs and Formulations, as the revenue from other divisions increased. So the margins will continue to grow. We don't expect the margins will come down further.

Surya Patra: Okay, other expenses, if you...

Satyanarayana Chava: Other expenses

higher because of several new capacities were qualified in API as well as in Formulations. As you know, company's philosophy is to expense all preoperative expenditure. There was an operational deleverage.

Moderator: We have next question from the line of Tushar Manudhane with Motilal Oswal Financial Services.

Tushar Manudhane: Just extending previous questions of how much would be the operational costs related to this expanded Formulation facility of 5 billion

Satyanarayana Chava: We can give you the new block has about 300 colleagues right now. So we can't give you the specific number, but I can reiterate the company's philosophy to expense all those.

Tushar Manudhane: Okay. And sir, just secondly, given that we are sort of exploring CDMO across three plants, pharma, agrochemical and animal health, if you could elaborate what kind of asset turns, margins or the return ratios, you would have sort of thought about when utilizing let's say, the capital allocation for CDMO across these different spaces?

Laurus Labs Limited

January 30, 2023

Page 11 of 18

Satyanarayana Chava: Based on our current understanding, the animal health and human health CDMO have similar return ratios, whereas agro, asset turnover is higher but the margins are a little lower when compared to this. But when you multiply asset turnover and margins, I think return ratios could be similar.

Tushar Manudhane: And in terms of opportunities, in terms of the developments happening across animal health or the agrochemical in particular?

Satyanarayana Chava: Animal health is a fixed portfolio right now. We know what to make, how much to make, what price and all. It is with one customer animal health the entire program. Whereas agro, we already have limited portfolio right now, we are exploring further, yes. We'll give you more details as and when we are in a position to share.

Tushar Manudhane: Sir, and just lastly, while you've said that the margin would be stable. So given that 9 months, we have 28 % roughly, Q3, in particular we are down to roughly 26%. So does it mean that we would be expecting a good uptick in the margins for the fourth quarter?

Satyanarayana Chava: This year will be closer to 28 probably. But next year, because the one reason why we are confident is we don't expect further price drops in ARVs APIs and formulations and we don't expect significant growth also. The segment, which are growing are of higher margin than ARVs, APIs and Formulations. That's the reason our belief is that the margin should improve.

Moderator: We have next question from the line of Devvrat Mohta with Capital International Inc.

Devvrat Mohta: I had one question. I wanted to just follow up on margins. If you look at the export data until Q2, there had this big benefit from certain intermediates, which you are supplying, which it seems like the intermediate probably demand for that will probably fall off significantly as we go forward. And if I look at the numbers, roughly INR 400 -odd crores of revenue from that one intermediate. And if I work with a 40% EBITDA margin assumption on that single product, I mean, that basically means that the underlying business was probably low 20s EBITDA margin this quarter. So what gives you confidence, if that product goes away as well that your margins hold up at 30% versus the underlying margin kind of low 20s now?

Satyanarayana Chava: As you might have seen, the active projects have increased from 50 to 60, and we expect that number will go further. So there are projects, which are not one-off in our CDMO. So that will drive our growth.

V. V. Ravi Kumar: What was negative operating leverage, which was pulled down the margin this year And when we have a better operating leverage next year that also will improve the EBITDA margin .

Moderator: We have next question from the line of Harith Ahamed with Avendus Spark.

Harith Ahamed: You mentioned

in your presentation that you've been selected as a panel supplier in the global fund tender. So what exactly does it mean being a panel supplier?

Laurus Labs Limited

January 30, 2023

Page 12 of 18

Satyanarayana Chava: See, they allocate majority of their procurement. So we know how much percentage we are getting global procurement for '23, '24 and '25. So this panel supplier will have assured quantity from global fund.

Harith Ahamed: Okay. And then would you be able to share the percentage allocation?

Satyanarayana Chava: No, no. We can't share those numbers.

Harith Ahamed: Okay. So last quarter, you had after revising your revenue guidance for FY '23, you had lowered that number to around INR 6,500 crores. Do we still maintain that guidance for FY '23 revenues?

Satyanarayana Chava: We're working towards that.

Harith Ahamed: Okay. And this NDA that you filed for this ODF technology-based product, is it a PEPFAR filing? Or is it a normal NDA for the US market?

Satyanarayana Chava: I think eventually, we will sell that in developed markets as well. Yes. See, right now, this oral film is not there in the guidelines for WHO. So they will put into the guidelines once we get an approval from FDA. Yes.

Harith Ahamed: Last one from my side. The supplies under the purchase order. Can you share some directional sense versus 2Q? Was it maintained at the same level? Or do you see a very sharp decline in the supplies? And how we should think about the fourth quarter and FY '24 for this particular contract?

Satyanarayana Chava: We can't share detailed on the contracts.

Moderator: We have next question from the line of Ananda Padmanabhan with PGIM India Mutual Fund.

Ananda Padmanabhan: I couldn't understand your response to the question of the earlier participants with regard to the guidance for the full year basis. So what is the current visibility that Laurus has based on whatever contracts that are in hand in terms of achieving that guidance of INR 6,500 crores on full year basis?

Satyanarayana Chava: We're hopeful to meet that.

Ananda Padmanabhan: And with regard to the CDMO business, you said even though that one contract for those supply of intermediate you have other contracts which you see good visibility. So how should we look at the current run rate? So if I look at the average CDMO run rate, it comes to around INR 650 - odd crores. So should this be taken as the base business run rate for the CDMO business going forward for FY '24 or one should work with a much lower number?

Satyanarayana Chava: CDMO business for anyone is a lumpy business. Yes.

Ananda Padmanabhan: So on a full year basis.

Laurus Labs Limited

January 30, 2023

Page 13 of 18

Satyanarayana Chava: What you have to see is - Are we getting new partners into CDMO? We have added two new big partnerships in this current year. And a number of active partnerships gone up from 50 to 60. And we are building dedicated capacity for CDMO. And we are building a dedicated R&D for CDMO. All those should clearly indicate that we have a very high focus on this segment. And all the investments happening in the company to support this sustained growth.

Ananda Padmanabhan: And final question with regard to the margins. So when you come to the next year, you would see that the contribution from ARV business would go up as your ARV formulation revenue picks up, the CDMO while that could be lumpiness. But probability is CDMO as a percentage of revenues will start coming down. Inherently, the business mix would be inching towards more lower margin business than what it is currently.

So should we work with much lower margins for FY '24 than what we have achieved in the first 9 months of FY '23? Or you are of opinion that the current margins of FY '23 on a 9-month basis, whatever we have achieved is something that is still sustainable.

Satyanarayana Chava: I think

we'll give some flavour during our next financial results. We can't give you any guidance right now.

Ananda Padmanabhan: But from a longer-term basis, beyond FY '24, if all your projects workout, you are confident that you would be able to maintain the margins

Satyanarayana Chava: That's for sure. Yes.

Moderator: We have next question from the line of Nitin Agarwal with DAM Capital.

Nitin Agarwal: Sir, on the CDMO business, in your assessment, animal health and the crop protection business can comprise of what proportion of our CDMO business over the next 3, 4 years? Only I presume all our CDMO businesses on human health only?

Satyanarayana Chava: Our CDMO business is also very diversified, Nitin. So we have a portfolio of steroids and hormones. That business is very stable right now. And our human health side is growing very well with NCE programs. And we also have CDMO for dietary supplement and cosmetic ingredients also. That is also growing very well. And animal health, we are seeing very small base right now. But once the facilities are qualified, that business will grow. And crop protection, serious revenues will come only in FY '26 actually.

Nitin Agarwal: These two segments have the potential to be, what, 1/3 to half of your CDMO business or will continue to dominate by human health only?

Satyanarayana Chava: It's too early to give a number in that direction, itself. Yes.

Nitin Agarwal: And sir, secondly, on the new developments that have happened on the ARV tenders, I mean, how do you look at your INR 3,000 crores per annum guidance for ARV, Formulation and APIs.

I mean are we in a position to exceed that or it's going to be an optimal number where we'll be operating the business at?

Laurus Labs Limited

January 30, 2023

Page 14 of 18

Satyanarayana Chava: We lowered that number to 2,500 crores both APIs and Formulations. I think we are pretty on targets for that.

Nitin Agarwal: And so even on a going on basis, you don't see increase happening to that much number, beyond this?

Satyanarayana Chava: If growth comes, we are okay. Even if the growth doesn't come, we are okay because we are not adding any capital allocation to the ARVs, both either APIs and Formulations. We are putting more focus on high-margin, high-growth business rather than trying to run around the business, which is stabilized. And there's not much growth, even we are not anticipating.

Nitin Agarwal: And sir, when you talk about this ARV business guidance, do you take into account the new NDA that you filed over the last 2 quarters? I mean do have a potential to add meaningfully to these numbers or they will be part of this overall mix only?

Satyanarayana Chava: I think depending on how WHO put guidelines for the paediatric treatments, we are also developing a portfolio of films, not just ARVs and other therapy areas also. I think this platform is very exciting. We're adding more products there.

Nitin Agarwal: And then lastly, on the other API segment, I mean, you've had pretty strong growth in the last 2 quarters in particular. Any particular reasons -- any one-offs, any non-recurring elements in this number? Or this is like a new base on which the business goes on from here?

Satyanarayana Chava: This is based on our product portfolio. Our diversification efforts are giving results. Yes.

Moderator: We have next question from the line of Kunal Dhamesha with Macquarie.

Kunal Dhamesha: First one on the global fund allocation that we have got. So while we have some clarity, some sort of volume allocation for the next few years. The pricing at which it would have happened, would it remain stable going forward? Or there will be annual revision on that?

Satyanarayana Chava: Prices will be stable. Yes.

Kunal Dhamesha: So whatever prices you would have bid would be the price that would continue to 2025? Or that would be like next round

of bidding, which will happen maybe 1 year down the line?

Satyanarayana Chava: The pricing already depressed. We don't expect prices will go down further on this.

Kunal Dhamesha: And second question, given my belief is that API facilities are generally fungible, except for a very different chemistries, and given that the ARV, API seems to be going down probably in terms of pricing, and hence, the return ratios or whatever capacity that we employ would also be going down. So why then go for new capacities for CDMO business and why not just utilize rationalize some of the ARV portfolio where we are not making that much return and utilize that kind of API capacity?

Laurus Labs Limited

January 30, 2023

Page 15 of 18

Satyanarayana Chava: It's a good question. But if you look at the size of the ARV business both API and FDF is not small. It is significant. So we don't want to divert the ARV facilities to CDMO. CDMO we are building anyway. Yes.

Kunal Dhamesha: So whatever capital we would have invested in ARV business. Would have we got that back by now in terms of the payback, or let's say, over the next few years that will happen

Satyanarayana Chava: Just to give you overview of capacity utilization of ARV, it's pretty good actually.

Moderator: We have next question from the line of Jeevan Patwa with Sahasrar Capital.

Jeevan Patwa: So I think Dr. Satya, what's happening is basically, I just want to understand whether we'll be able to maintain the gross margin at a 54% level and above for next year and onwards when we basically start the new FDA Formulation contracts, both ARV, Non-ARV. Because if you are able to maintain 54% gross margin, I think we will be able to maintain the EBITDA once we get the operating leverage. So the question would be, will you be able to maintain the 54% kind of gross margin and above?

Satyanarayana Chava: Currently, where the operational deleverage is happening. Once the operational deleverage is over, then the margins profile will improve

Jeevan Patwa: Basically, I just give you the overview where I'm coming from. So if I just look at the best quarter that we had Q4 FY '21, we had similar gross margin of 54%. But that time, our employee cost was 6%, and our other expenses were 14%, and that's how we actually reported 34% EBITDA margin. Now what is happening is our employee cost has gone up to almost 9.5%, and other expenses gone up to 18.5%. And that's where our EBITDA margin is down. So once we have the operating leverage and we are able to utilize our capacity better. So if we are able to do run rate of, say, INR 2,000 crores, a quarterly run rate, I think we'll get back to that EBITDA margin again. But we need to maintain the gross margin of 54%. So that's why the question is whether we'll be able to maintain a gross margin of 54%, gross margin, I would say?

V. V. Ravi Kumar: I think it all depends on the product mix and then the business division mix also, right? So it all depends.

Jeevan Patwa: So we are starting new orders next year, right, both ARV and Non-ARV Formulation orders. We'll be able to have this kind of gross margin?

Satyanarayana Chava: Jeevan, your point is well taken. The employee benefit expenses was FY '21 was 9%. For the current 9 months is 10%. Whereas other expenses, it's 14% and current it's 18%. Yes. So there's

a lot of deleverage is there, and we appreciate your view. But if leverage starts kicking in, even the gross margins are stable, EBITDA percentage will go up.

V. V. Ravi Kumar: He is talking about gross margin.

Satyanarayana Chava: Gross margin remain same, leverage kicks in, then EBITDA will go up.

Laurus Labs Limited

January 30, 2023

Page 16 of 18

Jeevan Patwa: So the question basically, we'll be able to maintain the gross margin of 54% and above?

Satyanarayana Chava: Yes. Hopefully. Yes.

Moderator: We have next question from the line of Hussa

in Kagzi with Ambit Asset Management.

Hussain Kagzi: So sir, my question is with regards to our Non -ARV Formulation division. If I see that we must have done roughly INR 278 crores in the first 9 months. And I remember that most of our capacity, what we have, 10 billion, out of that, I think, around 2/3 is towards Non -ARV Formulation with further capacity or brownfield addition of 5 billion possible. So sir, I just wanted to get a sense of the division between how much of this revenue what we are doing currently is CMO based and how much would it be on the basis of the ANDAs, which we have signed.

This is because mainly, I wanted to understand the strategy going ahead that, will we be focusing more on CMO side or probably go more after the ANDAs, which we are filing? So yes, that's the question. Yes.

Satyanarayana Chava: Current capacity utilization is over 50%, but maybe I'm saying number, 10 billion is qualified. Currently, we are at 6 billion usage out of that 1.5 billion is CMO.

Hussain Kagzi: Sorry, you said 1.5 billion CMO?

Satyanarayana Chava: Yes, 25% of capacity is used for CMO.

Hussain Kagzi: And is this what going ahead, will we focus more on the CMO part? Or is it more on the, say, launching our own products in the market? I mean how do we distinguish between that strategy going ahead?

Satyanarayana Chava: I want to clarify one point here when we are saying CMO of Formulations. We are not offering CMO for Formulations unless we make the API. So for the Formulations, we also make API Even the CMO.

Moderator: We have next question from the line of Palak Shah with Infina Finance.

Palak Shah: Just one from my end on your Synthesis business. Given the number that we have reported, does that have any new contract that we have recently won in the last 2 quarters? So the contribution despite of one -off project going off, it's still at INR 650 crores.

Satyanarayana Chava: We have a healthy pipeline in our CDMO. Several new active projects kicked in. And that looks very promising. We can give you that details.

Palak Shah: If I clarify a bit, would that mean that the quarterly run rate of INR 120 crores to INR 150 crores previously, actually jumps to INR 350 crores to INR 400 crores now or even above that?

Laurus Labs Limited

January 30, 2023

Page 17 of 18

Satyanarayana Chava: I go back to my statement, a lot of active projects, we can't give you a specific number right now.

Moderator: We have next question from the line of Sajal Kapoor, an Independent Investor.

Sajal Kapoor: Question on sterile injectable. Last year, we commissioned our sterile injectable R&D labs, and we started working on a few priority projects. So as a broad long-term vision, where can we go in the sterile injectables in terms of commercial scale over the medium term of, say, 3-4 years? That's one.

And then a quick question on Laurus Bio. So I heard about this debottlenecking at R2 to enhance the downstream and resolve the mismatch between the upstream and the downstream, which is a common phenomenon in biotechnology. So what is the anticipated sort of timeline for this completion of debottlenecking on in the next sort of plant or land that we have acquired? And on R3, are we still on track to get to 1 million new capacity by FY '25?

Satyanarayana Chava: I think I will answer the last question first. So in the Bio, debottlenecking at R2 will be completed in the next 6 to 9 months, yes. Construction already started. When it comes to R3, we will do instead of 2 Phases, we'll plan to do 3 Phase to go to 2 million. Probably we'll do less than 1 million in Phase 1, maybe around 650,000 litres. So 3 Phases -- 3 equal Phases, 650,000 each to go to 2 million liters. That's the current plan in R3. We are in the design finalization Phase right now with R3. Once the construction starts, we are expecting it will take between 18 and 24 months to go com

mercial.

Sajal Kapoor: And on the sterile injectable, if you could just share some colour around the medium term.

Satyanarayana Chava: We started several projects in R&D. And we are yet to start the construction of commercial facility for sterile products. We have taken land, but construction not started yet.

Sajal Kapoor: And in terms of the commercial scale, I mean, 3, 4, 5 years out, I mean, do we have sort of a rough sketch in terms of how big we want to be in this area over the medium term?

Satyanarayana Chava: We have a plan in place. Yes. We will give more details when we complete R&D stability and then ready to go for commercialization.

Sajal Kapoor: And we have always followed that approach, R&D first and commercial manufacturing later.

Really happy to have all those responses, Dr. Satya. Wish the entire team very best.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I'd now like to hand the conference back over to the management for closing comments. Over to you, sir.

Satyanarayana Chava: Thank you, Monish, for organizing this call, and thank you, the participants, investors for your active participation and very insightful questions. Thank you.

V. V. Ravi Kumar: Thank you.

Laurus Labs Limited

January 30, 2023

Page 18 of 18

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

May 03, 2023
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Full Year and Q4 FY23 Results conference call hosted on April 27, 2023

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated April 21, 2023 , please be informed that the Results conference call for Full year and Q4 FY23 was hosted on April 27 , 2023 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Page 1 of 19

"Laurus Labs Limited
Q4 & Full Year FY '23 Earnings Conference Call"
April 27, 2023

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND CHIEF
EXECUTIVE OFFICER – LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS LIMITED

MR. VIVEK KUMAR –INVESTOR RELATIONS – LAURUS
LABS LIMITED

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING
LIMITED

Laurus Labs Limited
April 27, 2023

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to the Laurus Labs Limited Q4 and Full Year FY '23 Earnings Conference Call, hosted by Antique Stock Broking Limited. As a reminder all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stockbroking. Thank you and over to you sir.

Monish Shah: Thank you, Darwin. Good evening, everyone, and welcome to Laurus Lab's 4Q FY '23 Results Conference Call. We thank the management for giving us the opportunity to host this call.

Today, we have with us Dr. Satyanarayana Chava, Founder and CEO, and Mr. V V Ravi Kumar, Executive Director and CFO.

I will now hand the call over to Dr. Satya for his opening remarks. Thank you, and over to you, sir.

Satyanarayana Chava: Thank you, Monish. Thank you all of investors joining us for our Q4 and full year FY '23 Results Conference Call. We are pleased to have this opportunity to update you on our progress and answer your questions. FY '23 has been a year of significant achievements and meaningful progress for Laurus Labs in light of a challenging environment globally. Our R&D driven manufacturing strategy across our key growth pillars did very well. And I'm glad that our team has delivered on several scientific and operational milestones. We are on track with our diversification roadmap and executing on opportunities ahead of us today and at the same time focusing on what matters for the long term.

Some of these initiatives have started giving results, especially in our CMO and CDMO business. We made significant progress in FY '23, advancing our scientific capability in offering several key technologies to global customers, including access to technologies like continuous flow chemistry at lab and commercial scale, bio-catalysis, continuous chromatography, Enzymes development and manufacturing, precision fermentation, just to name a few.

We secured an important breakthrough with a major big pharma, with record delivery of a large purchase order. We have several pipeline projects from big and medium-sized discovery companies. Revenue from animal health products expected from second half of FY '24. We also made important internal success with broadening pipeline products, collaborations, process efficiencies, innovative drug product platforms, new sterile lab and qualified new capacities for commercial APIs and intermediate production. We are confident in the underlying demand for our portfolio and making efficient use of strongly linked technology platforms, customer centricity and manufacturing excellence to seize new business opportunities and widening our target markets across human health, animal health, agrochemicals and consumer health.

We wanted to provide you an update on our strategy collaboration with cell and gene therapy platform company, ImmunoACT. They're making very good progress and our investment has

Laurus Labs Limited

April 27, 2023

Page 3 of 19

supported establishing a state-of-the-art GMP CAR-T cell therapy facility in Mumbai. They also initiated a Phase 2 for HCAR-19 in lymphoma and Leukemia post, positive Phase 1 data. We'll continue following our disciplined approach to investments in disruptive technologies and we will act when scientific opportunity and value align together.

We have remained focused on the long-term growth and success by delivering on existing capex projects. Throughout FY '23, we invested heavily into strategic growth objectives. We have increased our API/Drug substance capacities by 30% during FY '23. And these capacities

are in

various stages of ramp-up for commercial production. Our CDMO investment to capture high value opportunity is also progressing very well. We're entering FY '24 with greater confidence that we're creating a sustainable engine that will bring greater business resilience and generate

long-term sustainable value to our stakeholders.

Moving on to our financial results, despite the challenges in the business environment, the company achieved strong growth in revenues by 22% to INR6,041 crores and an EBITDA of close to INR1600 crores, INR1,594 crores precisely, delivering a margin of 26%. The growth we experienced in FY '23 reflects fundamental strength of our key growth pillars, CDMO, generics, other than anti-retroviral. The strong growth was after taking into account unexpected and severe pricing-led impact in ARV formulations as well as APIs. We believe these began to stabilize. Our Q4 results were challenging driven by completion of material purchase order supplies last quarter and higher upfront cost on growth projects.

We reported INR1,381 crores in revenues, representing a 4% revenue decline. If you look at from FY '18 to FY '23 overall, we had a strong cumulative performance. We delivered diversified business growth, strong double-digit sales growth of 25% CAGR and EBITDA margin improved by over 500 basis points. In the period FY '18 to FY '23, share of non-ARV business improved from 27% to 60%. That was a big achievement for us.

Going into detailed performance update, I would like to share key updates on our formulation business. In line with the expectation, our formulation division continued to recover sequentially and reported overall revenues of INR1,140 crores for full year. But it declined almost 40% versus FY '22. The year-on-year sales were impacted mainly due to severe price fall and soft demand of ARV formulations. We remain intensely focused to stabilize ARV business throughout FY '24 and beyond while navigating pricing headwinds created by the competition. We have successfully implemented several measures around expansive portfolio and cost improvements. We believe these measures will sufficiently ensure our market readiness and confidence of sustaining our leadership in first-line ARV treatment, both in APIs as well as formulations. Coming to the developed market, we continue to perform well across our portfolio, despite higher competitive intensity. During FY '23, we filed 13 dossiers in the developed markets, six in US, four in Europe and three in Canada. In US, we continue to get good market share on select products and also increasing volumes for our recently launched products. During Q4, we filed one ANDA, taking the total filing to six for FY '23. Cumulative, we have 37 ANDAs, of which we have a total of 14 final approvals and 12 tentative approvals. We continue to have a diverse

Laurus Labs Limited

April 27, 2023

Page 4 of 19

portfolio of products, including 505b(2) products and ARVs, cardiovascular, CNS and GI products.

In Canada, we filed one product during Q4, taking the total of 20 filings. Of those, we got 13 approvals and nine were launched. We expect to launch three more during FY '24. In the EU, we have a basket of 12 approved products, out of which six were launched. We continue to deepen our contract-manufacturing relationship throughout FY '24 and anticipate more volumes in the coming quarters.

During the year, we invested significantly into expanding our non-ARV formulation infrastructure with a total commission capacity of 10 billion units. We anticipate that some of these brownfield capacities that we added during this year should start to get better utilized during FY '24, as we begin to see better demand visibility in ARV business, CMO portfolio and key product approvals across US, Europe and Canada.

On the R&D front, our overall R&D spend to sales was about 3.5%. We continue to make

good

progress and invest in portfolio with product-specific approach based on complexity and economies of scale. During FY '23, we filed our first NDA for novel HIV-pediatric product using oral dissolving films technology. We intend to maximize the opportunity by leveraging this platform to create innovative pipeline in our other therapeutic areas. Our sterile R&D labs, which got commissioned during mid-2022, is already working on several priority projects. We have a total of over 60 products in R&D pipeline, either under review or under development, having addressable market size of over \$40 billion.

We have filed so far 37 ANDAs in US, 15 dossiers in Europe, 20 in Canada, nine with WHO, seven dossiers in South Africa, one dossier in Australia, 20 dossiers in India and 23 products filed in various ROW markets. As we explained multiple times, our approach remains product-specific, not market-specific.

Going to generic API, our generic API division during FY '23 reported strong and all-round growth of 28% to INR2,609 crores, supported by continued CMO opportunities in API as well as healthy growth in non-ARVs, as well as Oncology APIs. Our antiviral API business delivered 21% growth and we achieved INR1,513 crores. This growth was partially due to low base effect, which was impacted by channel destocking. We continue to maintain a leading market share in the current product line. ONCO API business reported a growth of 10% during FY '23 at INR318 crores. Q4 saw strong recovery following uptake in one of the key products.

As all our stakeholders are aware, Laurus Labs has one of the largest high-potent API capacities in India and our aim is to strengthen this further by partnering with global companies. Non-ARV, non-ONCO business also did very well, which includes cardiovascular, diabetes and asthma products. We have seen steady ramp-up of these products for the quarter and full year of FY '23. During Q4, this segment reported INR230 crores sales, growing about 38% year-on-year. While FY '23, the growth is robust at more than 50%, supported by continued ramp-up in new contract supplies. In Q4, we filed two DMFs. In the full year, we filed six DMFs, all are in non-ARV category. With this total number of DMFs filed today is 79. We are also working with Laurus Labs Limited

April 27, 2023

Page 5 of 19

a few more generic customers for CMO opportunities and some of them are in very advanced stage of implementation.

During the year, Synthesis Business recorded a sales of INR2,167 crores, representing an increase of over 136% year-on-year. This growth was driven by high-quality delivery of a large order on time and accelerated demand from existing and few projects from new customers. We have further strengthened our partnership and signed several new clinical-stage projects with a few big pharma customers. We continue to work on over 60 active projects and ongoing commercial supplies for about 10 products, including few APIs as well as several advanced intermediates. As indicated earlier, we are making good progress on new sites for CDMO division, both R&D center as well as manufacturing facility for animal health. New sites will have capabilities to handle steroids, hormones and high-potent molecules apart from large-volume products. Commercial GMP manufacturing of animal health products will begin during the second half of FY '24.

Going on to Laurus Bio, Bio generated a full year reported strong growth of 25% at INR125 crores for the entire year. The growth was driven by substantial increase in the uptake of CDMO business. During FY '23, we have enhanced technical expertise on biocatalysis to promote application of these in small molecule manufacturing, which will strengthen our offering in APIs and CDMO segment. We have completed scheduled expansion at R1, including new R&D block along with balancing downstream equipment. And our

new capacity implemented in R2 is in the ramp-up phase with large-scale CDMO partners.

New greenfield site at R3 is in design finalization phase. We expect expansion to happen in a phased manner. This site should further strengthen Laurus Bio capabilities in offering CDMO services in animal-origin-free proteins, growth factors, apart from large-scale precision fermentation. We believe global opportunity in alternate food proteins is an exciting phase and our focus is to have the right scale, cost and functionality. This will drive our technology differentiation.

Now let me turn on to our FY'24 outlook. While we continue to focus on operational excellence and evolving R&D platform, we anticipate FY'24 to be a consolidation year of sales growth. As mentioned before, we are working on several new projects from Big Pharma and a meaningful contribution from these products likely to happen in the medium term. Also new capacities invested during FY'23 is expected to get optimally utilized towards second half of this year.

With that I will hand over this to Ravi to share some financial highlights.

V V Ravi Kumar: Thank you Dr. Satya and a warm welcome to all the participants for our FY'23 and Q4 earnings call. Total income from operations for the full year is at INR6,041 crores against INR4,936 crores with a growth of 22%. During the quarter INR1,381 crores registered as revenue against INR1,425 crores with a decline of 3% year on year. The gross margin for the full year was moderately down to 54.1%. This is largely due to significant price fall in ARV portfolio and change in product mix.

Laurus Labs Limited

April 27, 2023

Page 6 of 19

Our EBITDA for FY'23 is at INR1,594 crores with margins at 26% whereas for the Q4 it was 21% with INR287 crores. For FY'23, the business mix had positively contributed as margin pressure in ARV business got materially offset by increase in CDMO/CMO business but the negative operating leverage on new capacity commission and higher inflation impact led to the margin fall compared to the last year.

We are working on several initiatives around productivity and cost improvement to manage its impact in FY'24. We are using three-pronged strategy. One is on the raw material price improvements. Second is on the process improvements. Third is on the in-house manufacturing of some of the intermediate for ARV. These three we expect the impact will be minimized in

FY'24. Our diluted EPS for FY'23 is INR14.6 with a decline of 5%. Our return on capital employed is at 23.1 % versus the 26.3%. We have been able to manage it well due to better net working capital management when compared to the Mar ch 22 numbers.

On the capex front, we are in line with INR2,000 crores guidance for the two years, FY'23 and FY'24. INR990 crores was spent on the capex side in FY'23. In FY'24, our majority of our capex is on synthesis and bio. And almost INR800 crores, we are trying to invest into the synthesis business. And the capex investment made in FY'23 will start generating revenue from the second half of FY'24.

With this, I would request the moderators to open lines for the Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Ravi Agarwal from Agarwal Investment. Please go ahead.

Ravi Agarwal: Yes, sir. Namaste. Sir, my question is, what type of growth do you see India as a key supplier of API or intermediates when we consider energy crisis in Europe due to war situation or any other region? Whether due to energy crisis in Europe, many plants are cutting for API and it will be create an opportunity for companies like Laurus in India?

Satyanarayana Chava : The energy crisis in Europe will definitely make cost of manufacturing higher. And if you look at the opportunities for companies like Laurus Labs, it will be in intermediates and APIs, not in the large volume products like specialty chemicals and

other performance chemicals. For that

opportunity to be captured, people need to have capacity. If you look at, Laurus Labs invested almost INR1,000 crores in the last year to see such kind of opportunities.

If you go to companies who wanted to look for contract manufacturing, if some company says please give me contract and I will put up capacities and it will take 15 to 18 months to set up capacities. So Laurus is well positioned to take such advantage and we are seeing some opportunities like that what you have mentioned, Ravi.

Ravi Agarwal: Okay, sir. Sir, one more question. What type of competency in CDMO we have when we compare our company with Lonza or Samsung Biologics or Syngene? Because we have heard from Samsung Biologics that they are opening the fifth plant for bio manufacturing. So, what type of competency we have as we compare to other companies?

Laurus Labs Limited

April 27, 2023

Page 7 of 19

Satyanarayana Chava : We are not into recombinant or bio CMO right now. So, our Laurus Bio is not into therapeutic proteins. Our Laurus Bio is into enzyme manufacturing, food protein manufacturing, not into therapeutic protein manufacturing as yet. So, we are not offering recombinant Mabs for therapeutic use as of now.

Moderator: The next question is from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda: Good evening. Thank you so much for your time. I just wanted to understand a couple of things. Firstly, you have been mentioning about, we are front-loading some costs because we are adding new capacity. Could you quantify broadly how much is the upfront cost which is not generating big revenue at this point?

V V Ravi Kumar: We can give you how much capacity is not utilized but we will not give you how much cost we are front-loading. But one standard principle what we followed since inception, the pre-operative cost of any capacity which is coming online until commercialization is expensed, not even a single dollar is capitalized. Currently, for example, Q4, we have utilized our capacities between 55 and 60 percent. So, lot of spare capacity is available right now for us to seize any opportunities.

Madhav Marda: Okay. And our plants can potentially run at 100% or is the peak utilization like 85%? How does it work in our industry?

Satyanarayana Chava: It is about 85%.

Madhav Marda: 85%. Okay. And then just the second question which I had was if you could just talk about the opportunities that we are seeing from like you mentioned just in the previous question about opportunities coming from Europe, we won the animal health contract which starts in second half. Is there any more such contracts which could potentially win in the next one year? Just wanted to understand your thought process if you could give us an idea.

Satyanarayana Chava: We have several programs in Phase 2, Phase 3 but we do not know how many of those will advance into commercial. So, we have no control and typically we do not get a contract for future supplies until the molecule moves into commercial phase. There are several programs we have and good thing is we have capacities to capture those opportunities if they move into commercial phase.

Madhav Marda: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Nishant Shah from Emkay Global. Please go ahead.

Nishant Shah: Yes. Hi, sir. Thanks for the opportunity. So basically, my question is, is there any one-off in the

revenue ?

Satyanarayana Chava: One of the large contracts we executed with Big Pharma, we have not considered any sales in FY'24. Okay.

Laurus Labs Limited

April 27, 2023

Page 8 of 19

Nishant Shah: And what was the quantum?

Satyanarayana Chava: We cannot give you a number. We have not disclosed. Thank you.

Nishant Shah: Okay. Another question is on the outlook. What is your outlook on the near term and t

he long

term? And you are talking of the cost improvement and the technology improvement, ongoing projects and pipeline and the new growth launches. Will you be able to maintain the 25% CAGR growth that you are saying and any new addition of the geographies?

Satyanarayana Chava: Our growth will come from capturing more opportunities with the existing partners. We are not anticipating growth coming from new geographies.

Nishant Shah: Okay. And is there any line item in the revenues which have occurred in this year or in this quarter that will not be a part of the next year or the future revenues?

V V Ravi Kumar: No, Nothing

Nishant Shah: Yes. Okay. And the last question is if we are seeing the slowdown in the US and there are news of US may go into a recession, what kind of incremental impact that can be seen on the company?

Satyanarayana Chava: Our generic sales in US is not significant for us to get impacted.

Nishant Shah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed: Good evening. Thanks for the opportunity. The 60% quarter on quarter growth that we've seen in the FDF business, trying to understand how much of that has come from ARV formulations versus the exports to US and Europe. So, if you could share the ARV formulations number for the quarter and the exports?

Satyanarayana Chava: In the Q4, we did INR393 crores sales in formulations. Out of that, the ARVs is, I would say 60% is ARVs and the rest is non-ARVs.

Harith Ahamed: Okay. And going forward for the overall ARV business, in the past year, there's been guidance of around INR2,500 crores of revenues for the API plus the FDF ARV combined. Are we maintaining that number for FY'24 and beyond?

Satyanarayana Chava: Yes. We will definitely maintain that number in FY'24 and beyond.

Harith Ahamed: Okay. And in the presentation, you mentioned that you completed supplies under the last purchase order in December 22. While Pfizer has talked about continuing or are guided for fairly large revenues from the product in CY23 as well. So, can we expect further orders under this partnership in future?

Satyanarayana Chava: We don't know and we have no knowledge on that, how things will move.

Laurus Labs Limited

April 27, 2023

Page 9 of 19

Harith Ahamed: Okay. Last one, with your permission. LSPL unit -3 and unit -4, how should we think about the timeline for commissioning of those two capacities?

Satyanarayana Chava: See, LSPL -Unit 2 will be for animal health that will go into commercial production second half of FY24. And LSPL Unit 4 is for agrochemical where we already have a pilot plant for registration batches. And commercial production will happen maybe by second half of FY25.

Harith Ahamed: Okay. And we've have had a couple of years of close to INR1000 crores of capex and we are guiding for the number in FY24. How should we think about capex beyond FY24? Will there be a reduction in the capex intensity in the business?

V V Ravi Kumar: I think we'll take another quarter to give a guidance on FY25. We are working on that. Probably, maybe lesser than what we are spending in the current year and the next year. It all depends on what opportunities will come for us. See, if opportunities are there, we are happy to invest. See, two years back we never thought we will invest INR2000 crores in capex. But we are investing because there is a visibility for us what to make, how much to make, to whom to sell.

Harith Ahamed: Yes. All right, sir. That's all from my side. Thank you for taking my question.

Moderator: Thank you. The next question is from the line of Bino Pathiparampil from Incred Capital. Please go ahead.

Bino Pathiparampil: Hi. Thanks for taking my question. Just a couple of clarifications. So, when you say FY24 is a consolidation year, can we assume that it is like

broadly a flat year for the revenue level?

Satyanarayana Chava: I think you can think that way because we were saying flat year, despite not having that large contract in FY24, we still maintain or grow slightly over FY23. It's a big achievement. So, we are not giving any quantitative guidance. We can only assume it will be flattish despite not having that large contract. We will still grow over previous year. It is a good achievement.

Bino Pathiparampil: Understood. And the 4Q EBITDA margin level, is that a good base to work with? I'm not looking for any specific number for FY24, but generally is that a good reference point for us to work forward?

Satyanarayana Chava: I think we will get back to you in appropriate time. Maybe our Q1 and Q2 results will give you some guidance on which direction we are going in the margin, but we can assure you our EBITDA margin will not go below 20-21%.

Bino Pathiparampil: And sir, I see that you have adopted the new policy for tax. So, what would be your reported tax rate for FY24?

V V Ravi Kumar: 25.17 %. We are moving to new regime.

Bino Pathiparampil: So, it will be 25 % Great. Thank you. I'll join back in the queue.

Laurus Labs Limited

April 27, 2023

Page 10 of 19

Moderator: Thank you. The next question is from the line of Jeevan Patwa from Sahasrar Capital. Please go ahead.

Jeevan Patwa: I have a long question. This time...

Moderator: Sorry to interrupt the line for you is a little muffled.

Jeevan Patwa: So, I'm basically saying this quarter formulation and API has picked up very well, but CDMO is actually much below expectations. So, is there any kind of deferment of shipment or anything?

Satyanarayana Chava: No, no, there is no deferment of shipment, Jeevanji. We delivered what orders we were supposed to deliver in Q4. Nothing was deferred.

Jeevan Patwa: Okay. Because even if I look at the whole year and if I just remove large product delivery, one time delivery, then the CDMO still year-on-year doesn't look any growth.

Satyanarayana Chava: CDMO, you can't have a flat straight line, so it will be depending on what customer needs what to deliver. So, it will be a little bit bumpy sales you can expect in CDMO, not just for us, but any customer.

Jeevan Patwa: Sure. And secondly, the gross margin has actually dipped below 50% this time. So, I'm asking this since last two, three quarters, I think. But I'm still not able to understand the gross margin trajectory has been down since last few quarters. So, earlier, there was a large CDMO, the gross margins were almost 57-58%. Then CDMO percentage was same, but still gross margin actually came to almost 54% and 53%, and now it is below 50%. So, this kind of gross margin you think we can assume actually going forward? Is it 50% to 53% is a good, consistent, sustainable gross margin we can assume?

Satyanarayana Chava: You see, the gross margin impact was mainly due to depressed pricing in ARV APIs and formulation. As we implement some measures in process improvements, manufacturing cost improvement, purchase pricing improvement, these margins will improve. I will not give a quantitative number how much will improve, but definitely margins will improve.

Jeevan Patwa: Okay, perfect. And the last question is on the formulation side, any guesstimate on how much will be our utilization on a billion-tablet basis? So, how much will it be right now and how much you think it will be at the end of the year?

Satyanarayana Chava: Currently we are around 50% capacity utilization out of 10 billion. We expect that will go to 70% by end of FY24.

Jeevan Patwa: Okay, perfect sir. Thanks a lot.

Satyanarayana Chava: Thank you.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Laurus Labs Limited

April 27, 2023

Page 11 of 19

Tushar Manudhane: Sir,

just on your guidance of FY24 remaining stable compared to FY23 in terms of the overall financial performance. So will that be spread across four quarters hence we are considering that fourth quarter FY23 we had INR100 crores PAT. So, should one expect rebound in Q4 FY24 onwards or that will be more back ended as the animal health contract picks up second half of FY24? That's my first question.

V V Ravi Kumar: Tushar, actually we don't want to give a guidance on the quarterly basis. Actually, on the annual basis whatever Dr. Satya had indicated that is based on annual.

Tushar Manudhane: Okay. Secondly on this formulation capacity, while we had good number of ANDAs filed over

past couple of years but not seen good traction at least on the US generic side. So, this new non-ARV formulation, where do we see the business prospects from. Is it more from ANDAs or is it more from the customer specific contracts?

Satyanarayana Chava: Significant growth in formulations in non-ARV will come from contract manufacturing. And also increased sales in US and Canada.

Tushar Manudhane: Okay. Thank you. That's it from us. Thanks

Satyanarayana Chava: Thank you.

Moderator: Thank you. We have the next question from the line of Gaurav Singhal from Aspex Management Hong Kong Limited. Please go ahead.

Gaurav Singhal: Hi. Thanks for taking my question. So one is, can you share how many projects you have in phase 3 for the CDMO project or for the CDMO segment or any other color on phase 3 that you are working on?

Satyanarayana Chava: We are only giving the total number of active projects over 60. We are not giving the detailed breakup of how many in phase 1, phase 2, phase 3.

Gaurav Singhal: Okay. No worries. And then secondly, on the slide that you have for FY24 outlook, you mentioned that one of the negative factors is lower prices for ARV, API and FDF. So, are you suggesting that the prices in FY24 can be lower from Q4? Because my impression was that ARV, API prices, for example, are already stabilized and also on the FDF we got this global contract, which the price is kind of known. So, maybe if you can share some thoughts on why you feel prices can be lower at the end of FY24?

Satyanarayana Chava: We don't expect the prices will be lower when compared to Q4 to Q1 FY24. We are not expecting that. We believe the ARV prices were bottomed out.

Gaurav Singhal: I see, so it's more for full year FY24. Got it. And just one last thing. On this global fund project for the ARV formulation, when do we expect to start the shipment and what can be the guidance on the ramp-up?

Satyanarayana Chava: That shipment is started already.

Laurus Labs Limited

April 27, 2023

Page 12 of 19

Gaurav Singhal: And sorry, just one more if I may. On the large project in CDMO, did we have any contribution of that in Q4 or did we have no contribution in Q4?

Satyanarayana Chava: No. The large order what we delivered has no contribution in Q4.

Gaurav Singhal: Got it. That's very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Bharath from Quest for Value Capitals. Please go ahead.

Bharath: In the presentation, I see there is a new Greenfield Unit 9 in Hyderabad. May I know how much Billion Tablet capacity is that?

Satyanarayana Chava: So that capacity we purchased land, but we haven't started construction of formulation facility in Hyderabad. The first facility will come up in that site will be sterile commercial manufacturing and then followed by oral solid manufacturing.

Bharath: Okay. Thank you. Because in Vizag, I think we have, we have all the civil structures ready and then if we just add the lines, I think we could increase the capacity from 10 billion to 15 billion, I guess.

Satyanarayana Chava: 15 billion, you're absolutely right. So that is the reason the new formation capacity will come up in Hyderabad will be for sterile

commercial manufacturing, not for oral solids.

Bharath: Okay. Yes. Thank you. Thank you very much. And my second question is like this is more on the long term. I want to know your vision, like five years down the line, may I know like how you see the product mix changing? May know how much could be the share of CDMO and bio together combined five years down the line?

Satyanarayana Chava: Very interesting question. Yes. So, this year, which is on discussion FY23, our CDMO revenue was 36%.

Bharath: CDMO and bio in five years should be 50% maybe?

Satyanarayana Chava: 50% okay. That's only a broad number.

Bharath: Yes. Got it. Yes. That comes to my next question. Like we have many divisions now, if you see we have human health CDMO, we have animal health CDMO, we have agro CDMO, we have bio, we have generic FDF, we have ARV as well. So, I just want to know like, do you think you have enough management bandwidth to manage all these divisions?

Satyanarayana Chava: Here in the CDMO, how we define is part of CDMO or not. We are selling any product where technology comes from the partner and sell it to only one, that's CDMO for us. So, there is no technology risk, there is no market risk, there is no pricing risk because all those are predetermined. So, our management bandwidth is only in the manufacturing space, not in the business development space or procurement space. That's easy business to handle for us.

Laurus Labs Limited

April 27, 2023

V V Ravi Kumar: We have enough management bandwidth at this juncture, we have been reviewing on a periodical basis and as, and when necessary, we induct more people into the system.

Bharath: Okay. And when you say that you want to expect for 50% of share from CDMO and bio in five years from now, so it means I understand that the management focus is more towards CDMO than generic.

Satyanarayana Chava: It's not focus. See, if you look at the investor presentation, what we posted, the revenues coming from non -ARV has gone up significantly.

V V Ravi Kumar: I'll just add one point. Yes. Here in your question, there is an answer. So, when you say 50% to the CDMO and bio, the 50% is generic. It is not that we have an equal focus.

Bharat Sheth : Okay. Thank you. Thank you very much. Yes. That's it from my side. Thank you. Thank you.

Moderator: Thank you. The next question is from the line of Monish Shah from Antique Stock Broking.

Please go ahead.

Monish Shah: Actually, my questions are answered. Thank you.

Moderator: Thank you. The next question is from the line of Neha Agarwal from SageOne Investment Managers. Please go ahead.

Neha Agarwal: Thank you so much for taking my question. Dr. Satya, you guided for FY24 revenue growth and the large base of FY23. Just want to understand the growth guidance is also in terms of profitability or is it more of top line growth that you are more confident about?

Satyanarayana Chava : We'll give you more guidance as we declare results in Q1 FY24 and Q2 FY24. So, we can't give you more granular details right now.

Neha Agarwal: Not only looking at numbers here but if you could just suggest whether this is in terms of top line or bottom line.

V V Ravi Kumar : Gave guidance on the top line.

Neha Agarwal: Okay. Okay. Thank you. And another question from my side would be the capex that we did in the last two years FY22, 23 and then the plan that we have for FY24 all put together close to say INR2,500 crores to INR3,000 crores. In how many years subsequently do you think we could achieve full utilization of those capex?

Satyanarayana Chava : I think the current capacities will be fully utilized by FY25. And I'm sure FY25 will put more capex to increase the capacities. See if you don't increase the capacities the growth opportunities are also limited. So, we need to continue to invest. See if you look at we added 30% API capacity in the last 12

months and we added 50% more capacity in formulation in the last 24 months. So that's a significant improvement in capacity.

Laurus Labs Limited

April 27, 2023

Neha Agarwal: So, you're suggesting the capacity put up so far at least for that we are expecting to be utilized .

Satyanarayana Chava: Yes.

Neha Agarwal: And just one last question if I may from my side, sir out of the 60 plus active projects that we have currently in the synthesis side, any new projects that we are expecting to go commercial in FY24 just on the expectations side?

Satyanarayana Chava: I'm sorry we can't give you those kinds of details but see if we broadly mentioned we are putting capacities what to make, how much to make, whom to sell at least there is clarity. Yes.

Sneha Agarwal: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Arun from Nuvama. Please go ahead.

Arun: Hi, sir. My question related to two parts. One is that your CDMO business. I'm in your CDMO page in your PPT which you have released. If you look at your CDMO business is doing INR200 crores on an average if you exclude whatever the number are. So just trying to understand that if you look at even five quarters your CDMO business remains in same level like INR200 crores per quarter. And what is the guidance you are giving for this business because it has a very high base and to matching that high base it will be very difficult even to achieve the same kind of number in FY25. Am I correct or you have some different view?

Satyanarayana Chava: I can't comment on your views. Your views we appreciate. But we feel since we are investing to capture opportunity of CDMO we see opportunities to grow. If we remain at INR200 crores, INR250 crores per quarter and there is no need for us to invest.

V V Ravi Kumar: But you need to look at how the year on year it has grown. So, it was INR500 crores couple of years back. It moved from INR500 crores to INR900 crores. The only one I can say one point of view is you always say that on e-off but the kind of mileage we get from the execution of the contract we will not give any credit. So, as we are indicating repeatedly for last four to six quarters, we are bullish on CDMO. We still bullish on CDMO. We can't give more specifics to this but maybe over a period of time you can see the numbers.

Arun: So, sir you said that we are investing and therefore we are very confident that this what I can get from your words right we are investing if the number will be remain INR200 crores then we should not have been investing. But if you look at your investment in last two years you have almost invested like INR3,000 crores, INR2, 500 crores and I presume that most of the business has gone to CDMO. If I do any kind of calculation and if you are utilizing in 50 60 percent, it is not even matching your one-time asset to turn over. If I exclude your one-off number. We can discuss it offline.

V V Ravi Kumar: But I just give a glance and then we can discuss offline any point of time Arun. If you look at the INR2,000 crores investment we never said it was invested for CDMO business. What we are saying is we are going to invest INR800 crores into the CDMO business in FY24 and those kinds

Laurus Labs Limited
April 27, 2023

Page 15 of 19

of results you will see in the next FY25 onward. So, we can discuss further on this if you have any clarification or offline. Thank you.

Arun: My question is related to guidance sir, if you look at your 5-quarter guidance just last 2-3 quarters you tone down your guidance that you will not be able to achieve 1 billion dollar. I can understand that there are lot of uncertainties in business. But this is humble suggestion that when you guide something you should have some kind of margin of safety for that. Even if you look at this year, whatever I can infer from your word, you are saying that i

n FY24 you will be

probably a flat. If you do any kind of calculation, even you said that your FDF business which is that fixed, I mean your generic business in US will not see any kind of competitive pressure. You answer for certain very specific question which was that recession related. I can understand that recession may or may not. But in India or anywhere in the world, no generic company can guide that our business will not see any kind of pricing pressure. And you have done extremely well in last 12 to 15 months. So, this is my humble suggestion that when you are speaking with lot of investors, at least 1,000 people are listening to you. At least have some kind of margin of safety when we speak as far as the guidance is concerned.

Satyanarayana Chava : Arun, thanks for your suggestion. What I mentioned, our formulation revenue coming from US is not that large to get impacted. That is the comment I made. I think Ravi wants to make some comment.

V V Ravi Kumar: Arun, here we never gave any quantitative guidance till we gave a billion dollar. Of course, our investor friends also make some kind of provocative approach, in the sense not in negative way, positive way, what you will do, how you will do. Then one of the point actually we said billion dollar. In the next quarter when we came to know that the billion dollar is not going to happen, we gave a revised guidance and we are on par with our revised guidance. In our investor presentation also we mentioned that. So, we are cognizant of what we speak. It is not that we know, we are well aware, many people are watching us and we are also aware that how the performance has been improved for several quarters, not one quarter or two quarters and we also know that how we have been built the organization. So, in a 16 year time we have invested INR5,500 crores into capex. We have 6500 families have been working for us. So, we are very cognizant of it. We also know the margin of safety.

Moderator: Thank you. The next question is from the line of Saurabh Kapadia from Sundaram Mutual Fund. Please go ahead.

Saurabh Kapadia: Thank you for the opportunity. Sir, what is the one-off in Q4 that affected our EBITDA margins?

Satyanarayana Chava: There is nothing in Q4, no one-off.

Saurabh Kapadia: Okay, so how can we look at the margins for 2024? You mentioned about the top line to be maintained at FY23 level. How we should look at the margins for 2024?

Laurus Labs Limited
April 27, 2023

Page 16 of 19

Satyanarayana Chava: As we mentioned, I think you will get more clarity and color when we give results for Q1 and Q2 for FY24. I think we will leave at that stage.

Saurabh Kapadia: Okay, thank you.

Moderator: Thank you. The next question is from the line of Yasser Lakdawala from M3 Investment Pvt. Ltd. Please go ahead.

Yasser Lakdawala: Good evening, I have a question on a non-ARV API side. Probably the oncology API business is a low volume, high value API business. But what about the other APIs? What is our right to win in the other APIs? Are they large volume products, do we have some cost advantage there to give some qualitative insight? Are these older or newer molecules, basically things that have lost IP protection in the recent past, if you could give some color on that, that would be very

helpful.

Satyanarayana Chava: Sure. If you slice the API revenues of around INR2,600 crores, we mentioned INR1,513 crores coming from ARV APIs and INR318 crores is coming from oncology. And about INR780 crores is coming from non-ARV, non-oncology. I think that's INR780 crores, half of that revenue coming from contract manufacturing of generic APIs to generic customers. So, we are offering manufacturing as a service to our generic companies where they include our site into their DMF. So, technology is theirs, DMF is theirs. And we make with a defined margin. At least it's a good business because we know

the raw material cost, our partner also knows the raw material cost, we are not changing process. Most likely we are not changing the batch sizes also. We create capacities for them, so we are giving our manufacturing facility, kind of a total manufacturing for them. That's about half of the business. Rest is again medium to large volume products. We are not doing small volume products there. Most of those products are well-established generic molecules. We are not trying to get into day 181 or P4 markets there, well-established markets.

Yasser Lakdawala: Thank you. Also on the formulation side, I saw that we have a few para IV and FTFs. So just to understand this better, we have a CDMO business which is dealing with Big Pharma, biotech. On the one side, we are doing IP protected work for them and on the other side, we are having these para IV and FTFs. So how does, do you feel that you can run these two businesses independently? Is there any sort of conflict of interest or if you can just help us understand what is the thought process here and how do you see your customers reacting to this.

Satyanarayana Chava: Thank you. It's a very pertinent question you have asked. It all depends on the customer and how we are approaching customer and IP. Typically for the class of compounds we work, we don't want to work in generics. And more often right now we are not working on any P4 opportunities with the partners which we are working. So, we don't want to have a conflict in business. So, we are also very clear on our approach right now to the CDMO business.

Yasser Lakdawala: And last question here, we've had this one opportunity during COVID. Just to understand from a company level margin, how do you see or give us some color on the EBITDA level profitability

Laurus Labs Limited

April 27, 2023

Page 17 of 19

of our API and FDF business as compared to CDMO? Are they higher, lower than, what would be our normalized margin?

Satyanarayana Chava: We gave a quantitative, qualitative guidance that in the order of increasing profitability, APIs, formulations and CDMO. That is the only guidance we gave and we stick to that. We don't want to give any absolute numbers there.

Yasser Lakdawala: No worries. Thanks a lot, Dr. Chava.

Satyanarayana Chava: Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Singhal from Aspex Management Limited. Please go ahead.

Gaurav Singhal: Hi. Thank you for taking my question again. Just one follow-up. On the CDMO side, can you share some thoughts on the competitive landscape and the supply of capacity that is coming up in India? And also, specifically for Laurus Labs, some of the advantages I can see obviously is we're working on 60 active projects. So, as they get commercialized, you can be the vendor of choice and you also completed this large project on time. Are there any other advantages that can help us stand versus the competition when we look at the new supply of CDMO in India?

Satyanarayana Chava: The Indian CDMO companies are well positioned to capture the opportunities because of supplier diversification initiatives by big pharma. I think it is a good opportunity not just for Laurus. There are many other CDMO companies that will do very well. That's what we feel. The advantages are the ability to create capacities, the ability to recruit people to support the capacities and the current global scenario is also helping India to get more projects. I'll put it that way.

Gaurav Singhal: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Ratish Varier from Sundaram Mutual Fund. Please go ahead.

Ratish Varier: Yes. Thanks for the opportunity, sir. Congrats. Over the last two years, our execution has been excellent. I would like to place that on board that it has been an excellent execution. There's just one clarity only I wanted. One of my colleagues

also asked this on margins. No guidance. But if you see in the previous five, six quarters, because of one-off opportunities or specific contracts etc, we had certain margins. I just wanted to understand as you move forward over the next one or two years, are those margins aspirational or those are one-offs which went by and it will go by what current Q4 exit run rate is there. From that, slowly improvement is what we have to see?

Just wanted some colors around that. You can give us some thoughts there? Thanks.

Satyanarayana Chava: When the business was very prosperous, even before this large contract, we were inching towards 30% EBITDA even before this large contract from Global Pharma Company. I think we'll put our efforts to improve our margins. And the change in business mix and improvement
Laurus Labs Limited
April 27, 2023

Page 18 of 19

in margins of ARV business and our dependence on ARV business goes down, our margin profile should also increase. If you look at our FY '18 to FY '23, the numbers, we grew our ARV business by INR500 crores, but non-ARV business by INR4,000 crores. So, but the other challenge what we're having is, since we're adding a lot of capacity, a lot of de-leverage is happening. So, as we move away from de-leverage to leverage of our capacities and teams, I think our margins will improve.

Ratish Varier: Okay. Just one more follow-up, sir. Regarding the revenue guidance. I'm not asking for any numbers. Here when we are saying consolidation, etc, this is we are saying based on still we are left to sign certain contracts as you're saying they're in pipeline. Because of that, we are not that confident from a guidance perspective, or we want to be more cautious this time? Thanks.

Satyanarayana Chava: We want to be more cautious.

Ratish Varier: Okay, I understand that. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we will take the last question from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda: In the PPT in the beginning you mentioned about you want to invest up to 10% of profits on disruptive technologies. Has it already started in the previous quarters or this is something we will be starting FY '24?

Satyanarayana Chava: When we mentioned disruptive technologies, the investment we made in ImmunoACT is part of that. And we're evaluating a few more opportunities. And we are also very conscious not to invest more than 10% of our profits in such kind of initiatives. So, we did one and we are evaluating one more and probably when it is materialized, we will let you know. Yes.

Madhav Marda: Has this already happened? Was it FY '23 or is it starting? I'm assuming it's already happened in the last few months.

Satyanarayana Chava: This will happen in FY '24. The new investment will happen in '24, not in FY '23. Our investment in ImmunoACT happened in FY '22 actually. FY '23 we haven't done any such investments. We evaluated but we are moving forward and we will let you know if there is something.

Madhav Marda: And this is 10% of PBT or EBITDA, what is the profit stream?

Satyanarayana Chava: It's a very qualitative number. It's 10% of our profits. Yes. PAT.

Madhav Marda: Of PAT. Okay. Thank you.

Satyanarayana Chava: Thank you.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Laurus Labs Limited
April 27, 2023

Page 19 of 19

Satyanarayana Chava: Thank you all stakeholders for engaging discussions and whatever steps we do, whatever investment we do, whatever initiatives we do is for the benefit of all the stakeholders and we wish you all the best. Yes. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

August 01 , 2023
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Q1 FY24 Results conference call hosted on July 27, 2023

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated July 21, 2023 , please be informed that the Results conference call for Q1 FY24 was hosted on July 27, 2023 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

Page 1 of 20

"Laurus Labs Limited Q1 FY'24 Earnings Conference
Call"

July 27 , 2023

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND CHIEF
EXECUTIVE OFFICER
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER
MR. VIVEK KUMAR – INVESTOR RELATIONS
MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING
LIMITED .

Laurus Labs Limited
July 27, 2023

Page 2 of 20

Moderator : Ladies and gentlemen, good day and welcome to the Laurus Labs Limited Q 1 FY'24 Earnings Conference Call, hosted by Antique Stock Broking.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference has been recorded.

I would now like to hand the conference over to Mr. Monish Shah from Antique Stockbroking.

Thank you and over to you sir.

Monish Shah: Good evening, everyone and welcome to Laurus Lab's for 1 Q FY'24 Results Conference Call.

We thank the management for giving us the opportunity to host the call. Today, we have with us Dr. Satyanarayana Chava - Founder and CEO ; Mr. Ravi Kumar - Executive Director and CFO, and Vivek Kumar from the IR Team.

I will hand the call over to Dr. Satya for his opening remarks. Thank you, and over to you sir.

Satyanarayana Chava : Thank you everyone for joining us for Q1 FY'24 Results Conference Call.

We are pleased to have this opportunity to update you on our results and answer your queries.

During our last call we emphasized on our growing commercial and scientific capabilities along with our customer centricity, which will position us to achieve a sustained future growth.

During the current quarter we have continued to build on it and further advanced our operational excellence as we stepped up application of cutting -edge technologies like Continuous Flow Chemistry, Synthetic Biology and Precision Fermentation. We also executed several value enhancing business development work including our first multiyear commercial contract with a leading Crop science company and deepening our collaboration in cell and gene therapy.

We increased our stake in ImmunoACT close to 34% which will support ImmunoACT with Phase -III trials for their lead candidate HCAR -19 along with expansion of the multi -location GMP facility and scale -up manufacturing of CAR -T. Besides, we also collaborated with IIT Kanpur in in-licensing four patents for three gene therapy programs. And we will also support the clinical activity there. we are also planning to set up a cGMP and vector manufacturing facility at IIT Kanpur. Therefore our team remain fully committed in driving scientific capabilities and delivering on long -term growth of business and efficiency and also allocating resources very efficiently to forward on our transformative opportunities .

During this quarter, our formulation unit, unit -2 received EIR from USFDA.

Laurus Labs Limited
July 27, 2023

Page 3 of 20

Financial Results

Moving onto our Financial Results, our Q1 results were very challenging driven by lower revenues and higher upfront cost and also rescheduling of some of the supplies by customers and global ARV agencies.

It is also important to keep in mind that our year -on-year growth was subdued due to particularly strong quarter last year where we had executed a large PO for a big pharma.

As a result of these factors our revenues have declined to Rs. 1,182 crore and EBITDA at Rs.

168 crore with the EBITDA margin of 14.2%. We believe this is a transient and underlying demand for our key growth portfolio remains strong. We believe both our API business and FDF business will return to normal levels from Q2 itself. Our CDMO business improvement is on track along with execution on some very interesting projects and new partnerships.

ARV revenues on an overall basis have incrementally stabilized during the quarter and expect continued strength given our leadership position in many of the First Line Therapy products.

Our cost improvement programs are also progressing as expected. Therefore we are optimistic about our Q2 and

future quarters in the current financial year.

Key Updates

To begin with I would like to share key updates on our formulation business. We did Rs. 285 crore of formulation sales in Q1 with the decline of around 18% over last year and sequential basis revenues have dropped by 2.7%. Mainly impacted by lower demand particularly in the ARVs, this should rebound from the current quarter itself.

While the overall market volumes largely remain stable in the LMIC business. A shift in the procurement timing from global agencies along with continued lower prices led to a fall in Q1 revenues. This is transitional in nature and expected to be back on track very soon. We remain intensely focused to stabilize ARV business through FY'24 and beyond while navigating pricing headwinds created by the competition.

We have successfully implemented several measures around an expansive portfolio with cost improvement initiatives. And we believe these measures will ensure our market leadership and confidence of sustaining our leadership position in the first-line products both in APIs as well as in formulations.

Coming to the developed market demand for our broader product portfolio remains healthy. In U.S. we continued to get good market share on products and also increasing volumes from the marketed products. During the quarter we filed one ANDA with that cumulatively we have filed 38 ANDAs to date. Of this we have received 15 final approvals and 13 tentative approvals. We

Laurus Labs Limited

July 27, 2023

Page 4 of 20

continue to have diverse portfolio and pipeline including Novel 505b(2) products across ARV, cardiovascular, CNS and GI franchise.

In Canada we have 20 filings of those we got 13 approvals which we have launched in nine products. And we intend to launch three more products during the current financial year.

In EU markets we have 15 filings and we got 12 approvals. Out of those we have launched six products. We have continued to deepen our CMO relationship and anticipate more volumes in the current financial year.

Our FDF division continue to operate a total commission capacity of 10 billion units. We anticipate that some of the Brownfield capacities will fully utilize over the rest of the financial year.

On the R&D front the overall spending to sales for Q1 FY'24 was at 4%. We continue to make good progress and invest in portfolio with product specific approach based on complexity and scale.

During the quarter we got approval for an NDA for HIV pediatric oral dissolving film by USFDA. And we are working towards maximizing opportunity by leveraging this ODF platform in other therapeutic areas including HIV.

We have total 55 products in the R&D pipeline right now with an addressable market size of over \$40bn.

Status of Filings across Globe

38 ANDAs in U.S.; 15 dossiers filed in Europe, 20 in Canada and 9 with WHO, and eight dossiers filed in South Africa, one dossier in Australia, and we filed 21 dossiers in India. And 23 products filed in various ROW markets.

Of the 38 ANDAs filed in U.S. we have 16 PARA IV filings and out of those 11 First to File opportunities having a sizable market opportunity.

In the generic API division during Quarter 1, 2024 we achieved a Rs. 597 crore revenue increased by 2% year-on-year but sequential decline by about 16%.

Our antiviral business during Q1 continuous its steady momentum and witnessed volume led improvement growing 6% year-on-year and 17% sequentially with the revenues out Rs. 407 crore.

The impact of ARV pricing have slowed down and we continue to maintain a leading market share in the first-line HIV treatment.

Laurus Labs Limited

July 27, 2023

Page 5 of 20

Onco API business for the quarter was lower and declined by 13% year-on-year with the revenues of Rs. 54 crore. Sequentially there was a drop of about 60%. This was because we executed a large contract in Q4 FY'23.

As you are aware your company has one of the largest High Potent API capacities in the country. And we continued to strengthen our global leadership in some of the molecules.

In other API segment, which includes cardiovascular diabetes and asthma products, the revenue decreased by 1% year-on-year with the revenues of Rs. 136 crore, the decline was on account of temporary market dynamics and scheduling pattern from our partner.

We are very confident that our underlying demand for our products under CMO order book

continue to look better.

In Q1 we filed three DMFs out of those two are in the non -ARV category. With this the total number of DMFs filed to date is 83.

In the synthesis business, company recorded revenues of Rs. 250 crores during Q1 FY24, the revenues declined due to year-on-year comparison given PO executed last year. Otherwise, the baseless business is seeing healthy momentum overall and the project pipeline continues to scale up, with our existing as well as new customers.

We continue to work on over 60 active projects, ongoing commercial supplies for about 10 products, out of those 4 APIs. We continue to execute well on our scientific led approach to customer acquisition and retention. During Quarter 1 we signed a multiyear commercial supply agreement to global leader in Crop Sciences Company. We believe this agreement is a big milestone and the beginning of our journey towards leadership position in Crop Science chemicals as well. With this we have added a new global partner in our CDMO growth strategy. We are making good progress on new sites for CDMO division, both R&D as well as manufacturing. Our animal health unit was inaugurated during June '23 and commercial validations will begin from October '23. Our animal health site will have capabilities to handle steroids, hormones, high potent molecules apart from large volume products.

Laurus Bio reported Rs. 50 crore revenue in the Quarter 1 with a growth of 70%. The growth was driven by increased uptake in CDMO business and partially booking of certain delayed shipments in the previous quarter. We continue to expand our customer base with a strong pipeline. We are also optimizing our capabilities at R2 with the large-scale CDMO partners. And further expect to complete the downstream debottlenecking during Q3 FY'24. This unit will achieve its peak revenues during FY'25.

Our enhanced technical expertise on biocatalysis is expanding its application in small molecule manufacturing, which is helping the parent company significantly. Progress on our new

Laurus Labs Limited

July 27, 2023

Page 6 of 20

Greenfield site R3 is on track and expect expansion happening in a phased manner. This site should further strengthen Laurus Bio capabilities in offering CDMO services in animal origin free proteins and growth factors apart from large-scale biotransformations and fermentation. With a profound scientific team of over 2400 people, one-third of a total talent works in R&D and quality. We are continuously evolving our R&D platform towards more sustainable technologies to be used in the development and production of small molecules. We continue to implement and operate best-in-class R&D manufacturing quality systems in line with the highest global standards along with comprehensive EHS management.

During Q1 FY'24 the total of 31 quality audits were undertaken including several customer audits. To date since inception, we have successfully passed 89 regulatory audits since 2007 including 44 audits from major global regulatory agencies.

With that I would like to hand it over to Ravi, to share some financial highlights.

V. V. Ravi Kumar : A very welcome to everyone for our Quarter 1 FY'24 earning call.

Total income from operations is Rs. 1,182 crore against Rs. 1,539 crore with a decline of 23%.

As Dr. Satya explained the underlying reasons for that and

and we have more visibility from the

second quarter onwards. Gross margin for Q1 came at 50.6%. This is largely due to the product mix change and partly the fall in ARV prices over last year. But whatever savings we are expecting from raw material prices will affect from Q2.

Our EBITDA for Quarter 1 is at Rs. 168 crore with the EBITDA margin of 14.2% because of operational deleverage and the raw material selling price decrease etc. And we are expecting to improve from Quarter 2 onwards based on the order book, RM price stabilization.

Our diluted EPS for Quarter 1 was Rs. 0.5 reporting a decline of 89%. Our ROCE declined to 16% against 21% due to weak operating results and stronger capital deployments.

On the CAPEX front we invested around Rs. 200 crore for the quarter as I referred that for FY'24 majority of the CAPEX is in synthesis and bio divisions. Most of the expansion projects are on track to support our future growth. You can refer our Slide #7 of our IR presentation for more details.

With this I would request the moderator to open the lines for Q&A.

Moderator : Thank you very much. Ladies and gentlemen we will now begin the question-and-answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Laurus Labs Limited

July 27, 2023

Page 7 of 20

Tushar Manudhane : So, firstly on the formulation revenue how much is ARV and how much is non -ARV for the

quarter?

Satyanarayana Chava : Rs. 188 crore is ARV and Rs. 97 crore is non -ARV , two-third, one -third , yes.

Tushar Manudhane : And given that the facility being started in November '22 so how do we see the ramp up for non - ARV formulation business?

Satyanarayana Chava : The majority growth in formulations in FY'25 onwards will only come from non -ARV. See we expect a similar trend in the diversification of revenues from formulations similar to APIs, if you look at APIs around Rs. 1,500 crore to Rs. 1,600 crore of API sale is in ARVs, but our oncology, non-oncology and CMO revenue increased in API . Similarly, our formulation also we believe the ARV contribution will stabilize around Rs. 1,200 crore and the rest will only come from non - ARV formulations.

Tushar Manudhane : But the visibility for that would be based on the contracts we receive from the customer or product like ANDA product approvals?

Satyanarayana Chava : We have enhanced our CMO for European customers significantly this year when compared to last year . The volumes have gone up significantly. And we also got a few approvals from U.S. and in Canada, so those volumes are also adding up. So, currently our nominal capacity of FDF is 10 billion. But we are operating at 5 billion right now. It will go up to may be 7 billion by the end of the financial year.

Tushar Manudhane : While we have highlighted consolidation year for FY' 24 but given that there has been shift in the procurement by the global agencies and CDMO orders picking up second half. So, just would like to sort of have a reiteration about the sales guidance in terms of whether we will be able to match or there could be some dip in the sales compared to FY'23?

Secondly, given the kind of profitability, which we had from the purchase orders in FY'23, and considering 1Q FY'24 EBITDA margin, how do you look at the full year EBITDA margin for '24?

Satyanarayana Chava : The shift in procurement from the global agencies (ARV overall year they will procure what they committed), is that they shifted from Q1 to Q2, so we will have more sales of ARV formulations in Q2, so that's what we mentioned is that the shift is only transitional in nature, okay. When it comes to the revenue so we mentioned we will be very close to what we indicated earlier so we are not giving any guidance right now on our revenue numbers.

V. V. Ravi Kumar : Tushar whatever we have indicated as consolidation year there

is no change in that statement.

In fact, we are at par with our internal targets or maybe we are better than our internal targets for Quarter 1.

Laurus Labs Limited

July 27, 2023

Page 8 of 20

Moderator : Thank you. The next question is from the line of Jeevan Patwa from Sahasrar Capital. Please go ahead.

Jeevan Patwa : I have a question on ImmunoACT. So, we are also starting trials in Dubai and Mexico, right for ImmunoACT Phase -III trials?

Satyanarayana Chava : It's not Phase -III trial Jeevan; the Mexican authorities will do trial in Mexico using the product made in Mumbai. Yes, it is, you can call Phase -II only not Phase -III, not in Dubai ; it is only in Mexico, that's the current agreement. But they are working with many other countries to have the similar opportunity, but nothing finalized as yet.

Jeevan Patwa : Okay, because we will be launching as per our timelines we may be launching it in end of '24 and start of '25 in India, right. So, are we going to launch it in other countries as well at the same time line or it could be a little later?

Satyanarayana Chava : No, it is only India.

Jeevan Patwa : And secondly on the Richcore side, so have we order from the R3 capacity, have you ordered for the reactors and fermenters?

Satyanarayana Chava : We are in the process of finalizing, yes.

Jeevan Patwa : But we haven't yet ordered it?

Satyanarayana Chava : No not yet, we will order during this quarter.

V. V. Ravi Kumar : The land was acquired, the registration formality is completed , the other groundwork just began.

Jeevan Patwa : Okay, so once we order I think nine to twelve months will be taken right after we order ?

Satyanarayana Chava : I think the facility qualification will start in 18 months from now.

Moderator : Thank you. The next question is from the line of Bharath from Quest for Value Capital. Please go ahead.

Bharath : What is the CAPEX for FY'25 ?

V. V. Ravi Kumar : Especially the animal health whatever we have capitalized during FY'24 it starts generating revenue even in FY'24 in the second half of FY'24 , but in FY'25 it will generate a fully year revenue.

Bharath : I mean my question is about the CAPEX, what is the CAPEX for FY'25, how much of CAPEX

Laurus Labs Limited

July 27, 2023

Page 9 of 20

V. V. Ravi Kumar : FY'25 CAPEX we have yet to crystallize actually without crystallization it's not fair on our part to comment, probably September we will, September result we will come back definitely.

Bharath : And my other question is to Dr. Chava, so I think this animal health would be one of the big growth trigger in FY'25. Apart from animal health may I know what else are the growth triggers in FY'25?

Satyanarayana Chava : FY'25, we will start supplying the Crop Science product, later part of FY'25. And some of the projects in the CDMO will move into higher clinical phases so we will get more volumes. And some of the large volume APIs in the generic also will be commercialized in FY'25. So, the growth will come from generic APIs, generic formulations, and AgChem, animal health and also CDMO so we expect as Ravi mentioned FY'24 is consolidation year, we see these investments will start giving good returns next financial year onwards.

Moderator : Thank you. The next question is from the line of Balaji Boina from JM Financial. Please go ahead.

Balaji Boina : And as an investor, from last two years we are dragging in terms of results and that is reflecting in our stock prices. So, any improvements can we expect in the next financial, next two quarter or after six months?

Satyanarayana Chava : See the biggest CAPEX is going on into commitments what we made to do manufacturing at the commercial scale for several CDMO projects. That was the biggest commitment in capital of what we do. And when it comes to improvement as we mentioned we are very sure the improvement will be visible from Q2 FY'24 itself.

Balaji Boina : As a promoter, from the market perspective you are holding very low equity as a promoter. Is there any probability to buyback or acquiring from your end to make it more than 30%, because actually we have a good name in the market saying that Mr. Satyanarayana Chava is maintaining ethical values for the company and as well as employees, that there is a proud of our state. And if you are increasing the stake for the investors point of view it will help to the investor confidence more. Is there any, can we expect anything?

Satyanarayana Chava : We don't have any plans for that right now. See whatever money the company is generating is going into deployment which will benefit every shareholder of the organization rather than few ones, so we have no plans of buyback in the near future.

Moderator : Thank you. The next question is from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda : My question was on the Crop Science business, the contract which we won so if you could give us some more details in terms of duration of the contract, price of the contract if you can give us some more details that will be very helpful.

Laurus Labs Limited

July 27, 2023

Page 10 of 20

Satyanarayana Chava : As we mentioned this is a multiyear contract long-term, it's not one, two years it's a long-term contract. And volumes are reasonable, I would say. And that partner has a lot of portfolio so we have the ability and interest from both sides to work on more projects we can give that much details right now.

Madhav Marda : And basically, this product was being made by the partner in-house which they are now outsourcing or it is being shifted from a different vendor that they were buying from earlier?

Satyanarayana Chava : We can't give you those details right now.

Madhav Marda : Is it a patented product or is it off-patent?

Satyanarayana Chava : Still under patent.

Madhav Marda : And on the CDMO projects, which we are, doing \$100 million plus CAPEX this year typically what are the asset turns for the CAPEX

Satyanarayana Chava : See CDMO assets are not utilized fully around the year. So, if CDMO assets are utilized fully round the year the asset turn is very high. But this you can consider may be, I think similar to our API business I would say.

Madhav Marda : I was just asking that you said it's similar to the API but typically what is that, is it 1, 1.5x asset turn we can expect typically in a year from the CDMO CAPEX?

Satyanarayana Chava : See what is happening right now as I mentioned earlier, the CDMO partners are asking us to deliver commercial scale batches for Phase -II, Phase -III onwards, especially Phase -III onwards.

So, your facility will be ideal for a reasonable time once you deliver Phase -III molecules, Phase -III volume and wait for significant amount of time. If the block is fully utilized asset turn ratios are over 2 in some cases. In some cases, it is around 1.5 but it is safe to assume at a fully utilized basis for a mix of products we can assume 1.5 asset turn ratio.

Madhav Marda : In CDMO business what is the total gross block that we have invested now excluding what we will be doing this year, like end of FY'23 what was our gross block?

V. V. Ravi Kumar : FY'23 gross block is we don't have any it is a common facilities, the exclusive gross block is

Rs. 250 crore, exclusive gross block Rs. 250 crore to Rs. 300 crore, but it is common facilities.

Moderator : Thank you. The next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh : On ARV side of business, two queries I have, in formulation side the price erosion what we witnessed has stabilized now or we feel that further scope of price erosion is there looking at kind of competition?

Laurus Labs Limited

July 27, 2023

Page 11 of 20

Second question that in ARV API we saw a good uptick in this

quarter. Therefore, again we see

that is going to sustain or this will remain volatile quarter-on-quarter?

Satyanarayana Chava : The ARV API business we have very good order book and visibility. So, we expect ARV, API sale to continue like that. And your first question of price erosion of ARV formulations, it was very drastic in the last financial year, but now we believe it is very close to stable, yes.

Ranvir Singh : So, my question was in a context that because the new tender cycle has started for formulations.

And we expected that gradually we would see the overall revenue moving up. Then two elements here, so price erosion is one, and I believe that volume has also not been witnessing any uptick.

So, am I right that volume is also stable and the price erosion that is impacting or it is volume, we are seeing the improvement but it's a severe price erosion which has impacted the revenue there?

Satyanarayana Chava : In the Q4 to Q1 the price erosion is not much. And volume only went up. And we expect similar pricing in Q2, both API as well as formulations in ARV, but Q2 volumes looking much better than Q1 in formulations.

Ranvir Singh : And on margin side, I think I see three elements here, so operating leverage is one, secondly the price erosion in formulation would have impacted. But on the other hand, we see the raw material prices has also softened that is visible in your gross margin profile also. So, there also I wanted to understand next quarter when we see that most of business vertical we will see a better QoQ growth. Then, regarding raw material prices, do you see that this will also help going forward. So, if any kind of on an annual basis if you could guide the margins that what kind of EBITDA margin we ballpark number we can expect.

Satyanarayana Chava : The raw material price has definitely softened. And we don't expect and we don't wish the prices to go down to unsustainable levels. So, if prices go much below unsustainable levels, some of them will stop manufacturing and then it will have a very bad impact on the prices, they will go up. So, we believe the prices have softened and I think it will maintain at that level.

Moderator : Thank you. The next question is from the line of Harshal Patil from the Mirae Asset. Please go ahead.

Harshal Patil: Just one clarification I need for the oncology and the other API segments where we have got a transient issue in this quarter. So, is it possible to quantify the impact?

Satyanarayana Chava: No.

Harshal Patil: But we are quite confident of it getting rebounded into Q2 onwards?

Satyanarayana Chava: That is based on order book and visible demands we have.

Laurus Labs Limited

July 27, 2023

Page 12 of 20

Moderator: Thank you. The next question is from the line of Devvrat Mohta from Capital International.

Please go ahead.

Devvrat Mohta : Can you just walk us through, you know you called out the reasons for why margins fell so much this quarter, can you I mean without specific numbers can you just walk us to whatever levers for margin can improve Q2 onwards?

V. V. Ravi Kumar : Devvrat one is, ARV FDF uptick is lower that is one reason and then because of that operating leverage to ok place. And the CDMO business is of course when we compare to the last year Quarter 1 this is much lower, these are the two reasons and then selling price is also whatever it impacted in the first quarter, especially one or two APIs, the selling price benefit has not been there, sorry raw material prices decrease has not been affected in the quarter 1, that will be affected in the second quarter. These are the three reasons for the decline in the EBITDA margins.

Devvrat Mohta : And what drives the improvement as we go forward, because I mean again next quarter if you look at next quarter if ARV formulation revenue picks up and CDMO I mean you are saying improvement is really second half onwards

right. So, I mean the mix is again adverse right, there has

been more ARV versus CDMO in the next quarter, so what is the confidence that margin will improve from where we are today. So, what gives you confidence that margins will improve from where we are today?

V. V. Ravi Kumar : ARV FDF we have an order book actually for the entire second quarter and we will be doing

better in the AR V FDF #1. #2, Oncology also it is going to go up . #3 The overall volume we are expecting to go in the second quarter. These are the three reasons; #4 is whatever be the raw material prices softened all these raw materials will be utilized in majority of the second quarter, I don't say entire second quarter, but majority of the second quarter. These are the reasons we are expecting the margins will improve in the second quarter onwards.

Devvrat Mohta : One more question with regard to the animal healthcare, when does that contract starts contributing from a meaningful revenue contribution perspective?

Satyanarayana Chava : From the second half of FY25. So, with the second half of FY24 commercial validations will start Dev vrat and then supplies will start from second half of FY25.

V. V. Ravi Kumar : But FY25 you will have a more meaningful, full year revenue, Dev vrat.

Devvrat Mohta : But do you think second half FY24 itself revenue starts coming though but the full blown impact is FY25?

V. V. Ravi Kumar : Yes corr ect.

Moderator : Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Laurus Labs Limited

July 27, 2023

Page 13 of 20

Nitin Agarwal : Two things, one is on the CDMO business now we have three verticals in CDMO, we have human health, animal health and Crop Protection . Typically crop protection margins are much lower as we have seen in some of the peers group as well . So, is that the right understanding that our margin mix is going to change in CDMO once we have a larger share of Crop protection coming through?

Satyanarayana Chava : See we are not in the Crop protection B2C, it's B2B our margins are similar to other CDMO projects.

Nitin Agarwal : So, I guess whatever margins you are making right, you used to make in human health you are saying the same margins are applicable even for the larger volume contract which are there in CAR production ?

Satyanarayana Chava : See current contract what we have signed is mid volume , we have to experience if we have sign a very large volume how the margins look like. But the current product which we have signed is a complex chemistry so margins are good. It is not a one step or two step but it's a multi -step synthesis so complex chemistry so margins are good.

Nitin Agarwal : If you were to look at maybe two to three years down the line when all of these three streams are, firing is there a broad sense you have in terms of the mix that could be there for us in terms of verticals in the CDMO business.

Satyanarayana Chava : Definitely in the order of revenues we can say human health, animal health and Ag-Chem .

Nitin Agarwal : And last bit on this, we are currently about Rs. 250 crores thereabouts for quarter on the human health CDMO business, and I guess . Where you see that this piece of the business scaling up over the next two to three years? What kind of projects or any color if you can give us, the possibilities which are there in this part of the business?

Satyanarayana Chava : Just I want to correct one statement, here in the CDMO our Rs. 250 crores I want to mention that the entire thing came from human health. It is the combination of many other, many segments. You see we are not giving segment -wise revenues in our CDMO, it will confuse everyone . So, maybe at some point in time, when all the things become very big, we will give, but otherwise we are not fragmenting our synthesis revenues segment wise.

Nitin Agarwal: So, just coming back to the human health oppor

tunity as you see in your pipeline right now how should one think about this opportunity over two-to-three -year time period?

Satyanarayana Chava : Which one in that?

Nitin Agarwal : Human health.

Satyanarayana Chava : Very good, we are very bullish on that, yes.

Laurus Labs Limited

July 27, 2023

Page 14 of 20

Nitin Agarwal : And is it possible if you can give us a sense how many molecules do you possibly see getting commercial in the space over the next two to three years?

Satyanarayana Chava : No, we would like to differ answering that question actually.

Nitin Agarwal : And lastly on the other API segments again taking a two-to-three -year view of the business, what would be the driver, we have done very well in the business over the four to five years in terms of the way we have scaled it up. I mean is it getting to a side where incremental growth is going to be a little more tepid or do you see opportunities to grow this business at the rate you have grown the business in the past and what will drive it?

Satyanarayana Chava : I think it all depends on how many new partners we will bring into that CMO space. See currently we have done very well with one partner and we have added another one . Portfolio is increasing

and we are talking to third one to add. So, we expect it will grow, but it is very difficult to quantify what could be the growth.

Nitin Agarwal : And apart from the CMO partners any other drivers for this business? Earlier you talked about entry into diabetes, cardiac and those products scale up that will drive up the business?

Satyanarayana Chava : I think our CMO approach in generic APIs and formulations is okay, we are not doing Potent formulations but when it comes to APIs we are doing Potent and non -Potent all. So, there is no therapy preference for us.

Moderator : Thank you. The next question is from the line of Kunal Shah from Carnelian Asset Management. Please go ahead.

Kunal Shah : I had two questions; one question was on borrowings so as on 31st March 2023 we had about Rs. 600 odd crores of borrowing and we plan to do another Rs. 1000 crores of CAPEX in the current year. So, how should we look at this borrowings figure in the current year?

The second question was on the expenses part, so you did articulate when explaining on the margin front that since our revenues have kind of went down, the EBITDA margins have kind of compressed due to the operating leverage part. So, just wanted to understand now we will have animal health CAPEX of the CDMO from start in the second half, so how should we look at the employee expenses and other expense which is about Rs. 160 odd crores quarterly right now employee and other expenses at about Rs. 270 odd crores right. So, how do we see this moving ahead?

V. V. Ravi Kumar : First question see we already indicated even in the last call; our net -debt is going to increase by March 2024 maybe by Rs. 300 to Rs. 400 crores , but again start declining from FY25, that is one.

Laurus Labs Limited
July 27, 2023

Page 15 of 20

Second on the expenses part, some of the like s of animal health is already some of the employees or maybe most of the employees required for the completed production block is already been engaged. But we will recruit more people in the second half. So, you are right the expenditure on account of manpower will increase in the second half. But most of this manufacture are at the ground team maybe in the bottom three layers so we are not expecting too much of an increase there.

Kunal Shah : But you would want to guide some amount to have a better understanding for the whole year that would come up in the second half on account of employee addition?

V. V. Ravi Kumar : No we have not disclosed, but if you are particular be in touch with Vivek , he will provide you.

Moderator : Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutions.

Please
go ahead.

Aditya Khetan : The FDF business is witnessing de -growth from the last five quarters. So, what gives you confidence that it will improve from the next quarter?

Satyanarayan a Chava : So, we have order book, so that's the reason that it will improve, yes, your observation is right. In FDF the growth is bumpy , but we expect some stability will come.

Aditya Khetan : So, weakness in numbers in first quarter so we have given a guidance of consolidation for the full fiscal so can we assume that on top -line basis we would be almost flattish for FY24?

V. V. Ravi Kumar : Yes, that's what we are expecting.

Moderator : Thank you. The next question is from the line of Anirudh Shetty from Solidarity Investment . Please go ahead.

Anirudh Shetty: I had two questions around our CDMO business, the last two years has been a bit of a topsy - turvy period wherein it is also given as an opportunity to do projects that really push us to the next level . So, can you just share some of the strengths around our CDMO business, what makes us a unique player compared to the other CDMO players? Where do our strengths lie?

My second question is there are other players in the CDMO business that don't do formulations, because they believe that it can either create conflict of interest or a perception of conflict of interest with the innovator, customers. So, how do we manage that given that we do both formulations and CDMO?

Satyanarayana Chava : The conflict we are managing very well, because we are not filing any more Paragraph IV filings with the partners with whom we are working, that is one conflict management we did. And second, with whom we are working they haven't expressed the concern so far. So, with the partners with whom we are working they never talk to us expressing their dissatisfaction that we

Laurus Labs Limited
July 27, 2023

Page 16 of 20

are in formulation. With some we are doing some of their formulations work also now. Actually we are expanding our offering from API intermediate to API, API to some formulation work. So, we are moving up in the value chain because of having formulations capabilities.

Anirudh Shetty : And my first question around what makes our CDMO business a differentiated business
Satyanarayana Chava : The differentiator is our R&D strength where we have well over 1000 people and our ability to do biocatalysis at scale we have one of the largest hydrogenation capabilities in the country. And the ability to deploy large reactor volume at a short notice, ability to allocate technical resource at a short notice, these are our differentiators.

Anirudh Shetty : And if you are comfortable sharing in our CDMO business today how much would be business from commercial molecules and how much would be more early stage?

Satyanarayana Chava : We gave number, we have over 10 commercial projects, out of those four APIs, that's we are giving but we are not giving break up of revenue coming from those commercials.

Moderator : Thank you. The next question is from the line of Sajal Kapoor an individual investor. Please go ahead.

Sajal Kapoor : I have just two questions, 1) Once a novel molecule during the clinical phase becomes commercially successful, the same team of scientist can support a new project right. So, to grow five times on the current CDMO base we need not double our scientists?

Second question is on Laurus Bio, the design and construction of R3 will take all the learning our R2 downstream debottlenecking that's my understanding. So, we should expect a relatively smoother/faster ramp -up when R 3 goes commercial.

Satyanarayana Chava : I think you have put a very valid point, our learning from R2 debottlenecking will certainly help R3 design which we have done keeping those in mind. The one challenge at R2 was availability of land ; so we have overcome that by taking an adjacent piece of land for debottlenecking, that

problem was not there in R3 , R3 is a 27 acre site so we are designing it very well keeping the challenges what we faced at R2.

Sajal Kapoor : And on the CDMO side Dr. Satya to grow five times current days we need not hire or we need not double the scientific days because once a project is either failed supposed commercial the same set of scientists can pick up the next available project right?

Satyanarayana Chava : You are absolutely right . So, to grow our CDMO we need to add capacity, not scientific staff more. We need to add some, but not in the same arithmetic proportion, yes.

Sajal Kapoor: And finally on this CDMO Slide #13 you mentioned solid outsourcing trend, please can you shed some light on the indicators that lead to such bullishness , is this on the expectation of supply

Laurus Labs Limited

July 27, 2023

Page 17 of 20

chain risk mitigation coming from innovators where they are shying away from staying overly committed to a single country or a single organization for their entire basket of CDMO projects or is this bullishness backed by innovator commitments and contract?

Satyanarayana Chava : It is on the visibility on the number of projects we are talking. See earlier our growth in CDMO came from, we started with Phase -I went with the program Phase -II, commercial and all now off late we are getting opportunities when the molecule is in Phase -III sometimes even when they filed NDA they are coming and trying to add us as additional source. So, that is because of derisking definitely.

Sajal Kapoor : And finally, this new ARV synthesis filings they kick off in second half so is that the reason we are stopped using the old synthesis process , because it wasn't cost effective and the new filing or the new synthesis route is cost effective and that will kick in from second half of this fiscal?

Satyanarayana Chava : It is not new synthesis routes; it is only process scale optimization, solvent recovery optimizations and lower RMC prices. We are not changing processes, that will be very lengthy approval timelines.

Moderator: Thank you. The next question is from the line of Darshil Zaveri from Crown Capital. Please go ahead.

Darshil Zaveri : I just wanted to ask about , now we see better results going forward with Q2, so would we say the margins that we have done last year in Q2/Q3 or how would the margins progression be, will it be an easier growth or would we be able to just jump back to the margin that we have?

Satyanarayana Chava : Going back to healthy margins of 28% to 29% we will need not just this year maybe we will achieve during the next financial year.

Darshil Zaveri : Not 27% or 28% but maybe from 14% could we see a movement towards 24 % and then maybe next year 28% of how would it workout?

Satyanarayana Chava : It will gradually go up, yes. See if you look at why we are saying that, our margin is not impacted, our sales were impacted, our gross margins are around 50%. Our sales was impacted that has impact on every key metrics.

Darshil Zaveri : So, with better volumes you will be able to see better margins.

Satyanarayana Chava : Yes.

Darshil Zaveri : Do we see any threat or risk other than the normal business risk or something specific that we might be on the lookout?

Laurus Labs Limited

July 27, 2023

Page 18 of 20

Satyanarayana Chava : See all our facilities are regulatory inspected, there is no regulatory risk. So, we have good visibility of orders in ARV, APIs and formulations. So, we believe the risks are minimal, so we can't say risk is zero, the risks are minimal.

Moderator : Thank you. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra : Starting with your introduction we see a lot more emphasis on gene therapy and immuno ACT , there is also this crop protection contract we have signed . So, increasingly we are seeing efforts now starting to become intense

on the need to diversify from ARV and the traditional areas you were working on.

Can you just throw some qualitative light and maybe some milestones to look out for over the next say three years. On the different areas that you are working on including maybe immuno ACT and gene therapy itself maybe on flow chemistry, fermentation -based products . There was in one of the calls talk about your efforts on injectables or you are looking out for injectables , just to understand the bridge from where Laurus is today in say three years' time where we would be from a therapy and area of work perspectives.

Satyanarayana Chava : If you look at our Investor Presentation Page 15, we clearly put transformation what we have done in the last 5 years. In FY18 73% of revenues came from ARV both APIs and formulations.

In FY23 37% of revenue only came from ARV, APIs and formulations. So, that's a big transformation. So, when we initiate any transformation activity we also need a lot of gestation period. And going back to your question, what are the areas which will drive our future growth will definitely come from our CMO, generic API and formulations, CDMO and Laurus Bio, these will drive our growth.

Tushar Bohra : This is like something that's already understood. What I am trying to understand is let's say within Laurus Bio what are the initiatives being taken today qualitatively what areas you are focusing flow chemistry you have mentioned, so what exactly are you looking at, something on those lines, maybe a bit more granular and not speaking to generic API and CDMO kind of things ?

Satyanarayana Chava : In the CDMO space as we mentioned and few of our investors also asked questions our animal health, Ag chem space and human health advance clinical programs will give lot of benefit, in the Laurus Bio we are expanding capacity to cater to precision fermentation, we are also getting into terpene space, we are also planning to get into media space there. So, there are several initiatives in CDMO, yes.

Tushar Bohra : And in flow chemistry?

Satyanarayana Chava : Flow chemistry we had two flow chemistry commercial machines installed at Vizag. I think that will continue to help. See what is happening in overall reaction schemes right now, we have a Laurus Labs Limited

July 27, 2023

Page 19 of 20

one flow chemistry in out of 10 reactions. So, unless we have flow chemistry capabilities we cannot take up the entire project. Similarly, biocatalysis, if you are doing 10 chemical steps for a program one biocatalysis, one continuous flow or two biocatalysis, two continuous flow. So, those are the capabilities helping us to get customers attracted towards us in providing manufacturing.

Tushar Bohra: And on immuno ACT though we are now at about 34%, the idea is to consolidate this eventually?

And does this also mean that you are looking at CDMO projects in this space maybe, what is the ambition for this segment?

V. V. Ravi Kumar : Right now no plans Tushar.

Tushar Bohra: You mentioned on the CMO activity on combinations that you are moving up from APIs to formulations. If we could understand what kind of projects are we picking up and what is the potential and is this also, is this maybe to sort of scale up the large capacities or is there an element of specific capabilities at play, that are helping us get high margin CMO activity?

Satyanarayana Chava : You are asking, CMO generic formulations?

Tushar Bohra: Yes.

Satyanarayana Chava : Last year we did close to a billion units, this year that number may inch closer towards 1.5 or 1.6 billion.

V. V. Ravi Kumar : If you have any questions let's take it offline.

Moderator: Thank you. The next question is from the line of Rishabh Shah from Dalal & Broacha . Please go ahead.

Rishabh Shah: My concern would be that in the ARV business, which declined last quarter. So, one of the reasons for the dip in ARV business is

because we did not have procurement of ARV

intermediates by global agencies. So, this quarter where do we stand now? And over the course of time in FY24 how do we expect the business coming from global agencies regarding the ARV intermediates?

Satyanarayana Chava : It's looking very healthy right now, so both API front and formulation front looking very healthy. The only challenge what we had last year was the pricing erosions, so this year we expect price erosion will not happen.

Rishabh Shah : Can you share any ballpark numbers regarding this?

Laurus Labs Limited

July 27, 2023

Page 20 of 20

Satyanarayana Chava : We shared the API sales around Rs. 400 crores ARV and about close to Rs. 190 crores formulations and about Rs. 600 crores of Q1 sales came from ARV, APIs and formulation put together.

Rishabh Shah : Other than pricing improvement, there is no specific improvement for getting orders from global agencies?

Satyanarayana Chava : See we have more supplies planned in Q2 than in Q1 we can give that much guidance.

Moderator : Thank you. Ladies and gentlemen that was the last question for today, I would now like to hand the conference back to the management for their closing comments.

Satyanarayana Chava : Thank you investors for asking very insightful questions. And want to thank Monish for hosting this. And want to thank everyone for your active participation. Thank you.

Moderator : Thank you. On behalf of Antique Stock Broking that concludes this conference thank you all for joining, you may now disconnect your lines.

Call: Oct 2023

October 25 , 2023
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Q2 FY24 Results conference call hosted on October 20 , 2023

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated October 13, 2023 , please be informed that the Results conference call for Q2 FY24 was hosted on October 20 , 2023 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

Page 1 of 17

"Laurus Labs Q2 FY'24 Earnings Conference Call"

October 20, 2023

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER & CHIEF
EXECUTIVE OFFICER , LAURUS LABS LIMITED

MR. V V RAVI KUMAR – EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER , LAURUS LABS LIMITED
MR. VIVEK , INVESTOR RELATIONS TEAM, LAURUS
LABS LIMITED

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

Laurus Labs Limited
October 20, 2023

Page 2 of 17

Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Laurus Labs Limited hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you and over to you, Mr. Shah.

Monish Shah: Thank you, Michelle. Good evening, everyone, and welcome to Laurus Labs 2Q & H1 Results Conference Call. On behalf of Antique Stock Broking, I thank the management for giving us the opportunity to host the call.

Today, we have with us Dr. Satyanarayana Chava -- Founder and CEO; Mr. V V Ravi Kumar - Executive Director and CFO, and Vivek from the IR team.

I will hand the call over to Dr. Satya for his opening remarks. Thank you and over to you sir.

Dr. Satyanarayana Chava: Thank you, Monish for hosting this conference call. Thank you for joining us for our Q2 & H1 FY24 Results Conference Call. We're pleased to have this opportunity to update you on our progress and answer your questions.

Our performance from Q2 started to see improvement and our priorities remain consistent. By focusing on R&D-led commercial strategy and customer-centric business orientation, we're advancing and augmenting our operational excellence to offer cutting-edge technology platforms in the manufacturing of small molecules, deliver the best external and internal opportunities as well as bringing innovative manufacturing solutions to companies and patients. We've executed on several important business development transactions last quarter and we are further accelerating our strategic manufacturing partnerships.

We're also pleased to report that our investment into disruptive technology is progressing well. The first one is our investment in ImmunoACT CAR-T lead compound, NexCAR-19, which completed Phase-II trial for lymphoma and leukemia indication, has been granted marketing approval from CDSCO, Government of India. We feel it is a significant breakthrough and will be the India's first indigenous developed and manufactured cell therapy product for treating certain blood cancers.

The second one is initiation of GLP Lab Construction for the manufacture of viral vectors and gene therapy products at IIT, Kanpur.

Laurus Labs Limited
October 20, 2023

Page 3 of 17

The third one is increase in our stake in Laurus Bio, now 88%. This is a reflection to our confidence on great potential for future developments in enzyme technology platform.

Currently, it's an exciting time at Laurus labs and we are determined to build on our R&D-driven commercial excellence to deliver best quality and affordable healthcare solutions as we seek to create a long-term value for both patients and our all stakeholders.

Our Q2 results is in line and improved over Q1 due to recovery in customer supplies, which is driving higher revenues. While gross margins were maintained at very healthy level, our EBITDA margins have clocked a modest recovery as higher upfront expenses and growth projects have weighed on our overall operating cost. It is important to keep in mind as well as that our year-on-year growth was subdued due to particularly strong quarter we had in FY23. As a result of these factors, our revenues were declined by 22% to Rs.1,224 crores and EBITDA came at Rs.188 crores with a margin of 15.4%. Our quarter-on-quarter growth is rebounding in both our API and formulations business, supported by strong underlying demand in other segments.

Our CDMO business project pipeline have

continued to scale up along with the expansion of our new partnerships. Our cost improvement programs are also progressing as expected. Following the recovery, we saw in Q2, we remain optimistic for a better H2 resulting from both healthy order book and strong commercialization capabilities.

To begin, I would like to share key updates on our formulations business. Our formulations division reported overall revenues of Rs.332 crores for Q2, increasing over 120%. That was because of low base last year. On sequential basis revenues have also improved by 16%. Moreover, if you look at our H1, revenues increased by 24%. This was primarily driven by recovery in every business along with growth in our developed market share.

Coming to LMIC business, overall market volumes have largely remained stable, partly supported from stable prices. We remain fully committed to stabilize our ARV franchise business throughout the FY24 and beyond while navigating the pricing headwinds.

We awarded with 20% recent NACO tender for a supply of key products and this is our maiden successful bid in the Government of India tender for the supplies of HIV products in India. This was achieved primarily because of our fully backward integrated offering in ARV model.

We have successfully implemented several cost improvement measures and we believe these measures will sufficiently ensure our market readiness and confidence of sustaining leadership position in first line ARV treatment both in APIs and formulations.

Coming to the developed markets, demand for our broader portfolio remain healthy. In US, we continue to get good market share on several products and also increasing volumes.

Laurus Labs Limited

October 20, 2023

Page 4 of 17

During H1, we filed one ANDA. Cumulatively, we have filed total 38 ANDAs to-date. Of this, we have 15 final approvals and 13 tentative approvals so far.

We continue to have diverse portfolio and pipeline including novel 505(b)2 products comprising of ARV, cardiovascular, diabetes, CNS, and gastrointestinal.

In Canada, we have 21 filings with 13 product approvals, of which we have launched nine products and we are intending to launch at least two more products during the second-half of FY24.

For EU markets, we have 18 filings with 14 product approvals, of which we already launched six products. We have continued to strengthen our CMO relationships and anticipate further volume increases in the coming quarters.

Our FDF division continue to operate most of the total commission capacity of 10 billion, in which we anticipate that the remaining Brownfield capacities that we added in the last year should start to get optimally utilized by end of this year.

On R&D front, overall R&D spending to sales for H1 FY24 was at 4.5%. We have incurred little higher R&D expenditure in this quarter as we acquired intellectual rights for few gene therapy products from IIT, Kanpur.

We continue to make good progress and invest in portfolio with product-specific approach based on complexity and scale economics.

We have total 62 products in R&D pipeline with market size of over US\$ 49 billion.

I would like to share the status of our filings as of now; 38 ANDAs in the US, 18 dossiers in Europe, 21 products in Canada, nine dossiers with WSO, eight dossiers in South Africa, one in Australia, while 20 dossiers filed in India, while several products were filed in various ROW markets.

Overall R&D to sales of the full year is expected to be around 4.5%.

While coming to generic APIs, revenue from generic APIs during the Q2 declined by 8% year-on-year to Rs.629 crores. However, sequentially, it has improved by 5%. For H1, overall growth was flat.

ARV retained its volume-led steady momentum through Q2 and revenues moderated a bit, attributing to an element of cyclicity in the ordering.

We continue to maintain a lead

in market share in the first line HIV treatment-related APIs.

Laurus Labs Limited

October 20, 2023

Page 5 of 17

In the onco API space, the sales for the quarter rebounded and delivered a strong revenue increase over 100% year-on-year to Rs.117 crores. In H1, the growth is over 50%. This is reflective of strong demand across our portfolio and favorable industry dynamics. We are augmenting the new capacity for oncology products to accommodate the increased demand. More importantly, Laurus Labs, one of the largest high potent API capacities in the country. And our aim to strengthen global leadership in some of the existing products by focusing on higher volumes and adding new potent molecules.

In the other API segment, which includes cardiovascular, diabetes, asthma has slightly

recovered, tracking only 2% growth quarter -on-quarter to Rs.139 crores. Recovery is muted on account of tempo rary market dynamics and scheduling patterns from our partners. On the year -on-year basis , revenues declined by 37%. We are confident that underlying demand for our products remain strong and our CMO order book has continued to look very healthy.

In first half this financial year, we have filed three DMF , out of those two are in non -ARV category . With this company has a total of 83 DM F.

While coming to synthesis business during the Q2, the company CDMO business recorded revenues of Rs.224 c rores, decline of almost 70% year -on-year. The revenues declined due to a weak year -on-year comparison given large CDMO projects executed last year. Otherwise , the baseline business tracking healthy and project pipeline continues to scale up very well with our existing and new customers added in the last six months.

We continue to execute on our scientific -led approach to customer acquisition and retention. We are further strengthening and expanding our relationship with several big pharma.

We remain focused on improving ou r integrated CDMO enabling technology platform to achieve diversified revenue stream, ensuring stability and resilience.

We are working on over 60 projects , out of this, there are 10 products, commercial , few APIs and several intermediates.

We made good pr ogress on new science for CDMO division, b oth R&D Center and manufacturing facilities under L SPL.

Our an imal health unit initiated commercial validations from this month and should gradually scale up. R&D center is likely to get commissioned by the end of FY24. Our new animal health site will have all the capabilities to handle steroids, hormones and high poten t molecules apart from other large volume products.

In Laurus Bio, we recorded strong growth for Q2 and H1 ; Q2 we grew the revenues by 44% and H1 by 56%. The growth was led by attraction in CDMO services along with the expansion in Laurus Labs Limited

October 20, 202 3

Page 6 of 17

our customer base. We're also optimizing our capacities with the large scale CDMO partners and expect increased downstream capacity to come on line by December '23. This unit will achieve its peak revenues during F Y25.

Our enhance d technical expertise and biocatalysis is expanding its application in several small molecule manufacturing where L aurus is utilizing this expertise to servic e big pharma.

Progress on our new Greenfield site at R3 is on track and we have completed the design phase. We expect the expansion to happen in a phased manner. This site should further strengthen Laurus capabilities in offering CDMO services in animal or igin free proteins and growth factors apart from large scale permutation.

Let me share brief on quality and EHS initiatives. We have continued to implement and operate best-in-class R&D, manufacturing and quality control systems in line with the highest gl obal standards along with a comprehensive EHS management . This is enabled by our profound scientific team of over 2 ,300 people embracing comm

itment to ev olve to address new opportunities.

During Q2, we implemented the project called "Sankalp " in associatio n with DuPont Sustainability Solutions to further enhance organizational safety excellence.

During the H1 F Y24, a total of 51 quality audits were undertaken, including several customer audits . To-date since inception we have successfully passed 91 regulator y audits, including 40 audits from major global regulatory agencies like US FDA, WHO, PMDA, TGA, EMA and MHRA.

With that, I would like to hand it over to Ravi to share some of the financial highlights.

V V Ravi Kumar : Thank you, D r. Satya and a very warm welcome to everyone for Q2 and H1 FY24 earnings call.

Total income from operations for the H1 was Rs. 2,406 crores as against Rs.3,115 crores.

Excluding large PO, you're all aware that we have executed a large PO last year. The underlying busine ss delivered growth of 14% for H1, whereas for the Q2 it was 18%.

As you would notice that our quarter performance has recovered and we showed an improving momentum for majority of our business , also as D r. Satya highlighted about the strong underlying dem and across our growth pillars, we believe it will continue to support our outlook for the rest of the current fiscal.

Gross margin for Q2 have improved at 52.5%. And if you look at EBITDA for Q2 FY24, is at Rs.188 crores with a margin of 15.4 % , whereas for the first half it was Rs.356 crores with an EBITDA margin of 14.8%. The impact is primarily due to operational deleverage, lower CDMO business , and some of the new initiatives' expenditure being incurred like CGT , etc., I think overall, we spent about Rs.16 crores on the new initiatives.

Laurus Labs Limited

October 20, 202 3

Page 7 of 17

Our diluted EPS for Q2 was 0.6 and for H1 it is 1.1 without any annualization. And our ROCE is at 11.4 % due to operating deleverage and the strong capital deployments for the future growth. On the CAPEX front, we invested close to Rs.182 crores for the quarter and Rs.385 crores for the first H1.

The board of directors recommended a dividend of 40 paise per share.

As you are aware for FY24, the majority of CAPEX is for the synthesis and bio divisions and most of the expansion projects are on track to support our future growth ...you can refer to our IR presentation for more details.

With this, I would request the moderator to open the lines for Q&A .

Moderator: We will now begin the question -and-answer session. We'll take the first question from the line of Jeevan Patwa from Sahasr Capital. Please go ahead.

Jeevan Patwa : Firstly, congratulations for market authorization for CAR -T technology. Just wanted to understand , now we have the authorization for India, what is our plan for other markets or other geography , is there any other geographies where we are conducting the clinical trials?

Dr. Satyanarayana Chava: Currently , our associate company Immun oACT has partnered with Mexican Minister of Health and trials will be done in Mexico and We are in the process of finalizing some licensing deal with a European company. So , next year we expect clinical trials will start in Mexico for this product , and in year 2025, clinical trials will also start in Europe . In Europe since the licensing deal is under negotiation , I can't give you more details, but there are some licensing deals being pursued by the company . Going back to your question, since the approval is obtained, we expect to launch in the next few months in India, we are gearing up to do commercial manufacturing while getting all the necessary licenses needed for India launch.

Jeevan Patwa: Is there any other type of cancer that you are working on ... any solid tumor cancer?

Dr. Satyanarayana Chava: There is one Clinical candidate is in pipeline which is in preclinical , will go to Phase -II in the next six months , that is BCMA. There is another asset which is in t

he early stage of research for the solid tumors.

Jeevan Patwa: Just wanted to understand on this API and FDF side. So, we are talking about new CMO orders .

Last quarter we said we have tied up with few clients. This quarter, we are saying we have CMO order , a healthy pipeline. So , can you elaborate more on this when will they are going to start ... so is it going to be in the second -half and how big they are ? Because our API revenue has been constant since last many quarters now despite having expanded our capacities by more than 50%. So, when can we actually see this number ramping up on the API side actually , and then on the FDF side as well ? So, on this CMO order basically can you elaborate more ?

Laurus Labs Limited

October 20, 2023

Page 8 of 17

Dr. Satyanarayana Chava: The CMO order we got from our partners for integrated manufacturing of API and formulations. If you recollect , we were talking about billion tablets CMO . That will increase to 1.5 , 1.6 billion . We are qualifying the packaging lines also. Earlier , we used to do bulk packaging , now we are doing the secondary packaging as well. And then your question of our 50% capacity addition, majority addition, we have done for CDMO. So , as you're aware , in CDMO business, we have to have patience because we have to deliver Phase -II, Phase -III and wait for the commercial launch. So , I can assure you your company is in a good position to offer CDMO differentiation when compared to other CDMO companies in India.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Please go ahead.

Tushar Manudhane: So just on the gross margin firstly on sequential basis, when the synthesis business has in fact there has been slight decline and formulations business has also been quite stable. So , if you could just explain the reason for better gross margin this quarter compared to previous quarter ?

Dr. Satyanarayana Chava: The better gross margin in this quarter is primarily because of improvements we have done earlier were commercialized and also, we are operating our ARV facilities at full scale , that is also helping us to leverage.

Tushar Manudhane: Considering the FY 24 sales outlook and presumably significant chunk of the business coming from CMO , CDMO side, as you have indicated in just the earlier commentary that the ARV -led API and formulations could be stable, so does it mean that there should be a significant improvement further in the gross margin in the coming quarters?

Dr. Satyanarayana Chava: The gross margin improvement, if you look at our second quarter FY23 was at 55% where our revenue was primarily driven by large CDMO orders. Yes, if the CDMO revenues pick up, the margins will slightly improve better.

Tushar Manudhane: Means we can go back to 55% ?

Dr. Satyanarayana Chava: I'm not commenting, but with the revenue growth primarily driven by CDMO business, the chances of increasing beyond the 52% what we have reported will certainly go up.

Moderator: The next question is from the line of Bharat from Quest Value Capitals . Please go ahead.

Bharat: Recently , Andhra Pradesh Chief Minister has said ground breaking for unit -7 in Vizag . May I know what is this unit -7?

Dr. Satyanarayana Chava: New groundbreaking ceremony was done last week is primarily to add more capacity for CDMO. We are making that common infrastructure for new CDMO sites.

Bharat: This unit-7 for a specific customer or is it for generic -?

Laurus Labs Limited

October 20, 2023

Page 9 of 17

Dr. Satyanarayana Chava: There are two sites. We are creating common infrastructure and building one block in each of those to get the necessary regulatory approval so that that site also can be audited by big pharma and we can able to service from that site as well.

Bharat: May I know what is the CAPEX for FY25?

Dr. Satyanarayana Chava:

We will give you more details in the next quarter conference call about the new CAPEX in those new sites.

Bharat: If you see in the presentation you said like this year would be a year of consolidation and the two quarters back you said that a year of consolidation means you don't expect any degrowth.

May I know what do you mean now with this a year of consolidation , do you expect any degrowth now?

Dr. Satyanarayana Chava: When we are saying this year will be a year of consolidation , that means we are adding a lot of capacity. If you look at in the last three years, we have added 3 million liters capacity and 5 billion tablets capacity. So , all those will be utilized in the next financial year onwards. There , a lot of leverage will come. Currently , negative leverage is happening. We have capacities , we have people and we are only doing trial quantities. So, we are spending more than what we are earning from those sites. So , once we do commercial manufacturing from those sites, you will see very healthy EBITDA margins and then return ratios.

Moderator: The next question is from the line of Vivek Agrawal from Citigroup. Please go ahead.

Vivek Agrawal: In API segment actually, we have seen a decent rebound and it is largely led by oncology. So , can you please call out what has driven this rebound and is it a broad -based or any product - specific contribution , any milestone income in oncology , etc., that would be helpful ?

Dr. Satyanarayana Chava: Thanks, Vivek. The growth in oncology business is also a pleasant surprise for us as well . Maybe the regulatory setbacks for some of the companies is helping us to gain market share , and as I mentioned, we have the largest capacity in oncology , so we're able to capture that opportunity.

And if you look at our oncology API sale in H1, we have done Rs.171 crores and we have very, very good order book for H2. So , looks like we'll do very well in our oncology segment.

Vivek Agrawal: So, do you expect the current run rate can sustain in the coming quarters or in the next year as well?

Dr. Satyanarayana Chava: We certainly believe so because we have order books well beyond Q4 this year .

Vivek Agrawal: One question on FDF. How much of the business coming from US now, if you can help us understand?

Dr. Satyanarayana Chava: I can give you a number for North America . This year all put together, it could be \$35-40 million

Laurus Labs Limited

October 20, 2023

Page 10 of 17

Vivek Agrawal: Just last question on synthesis business, right . So next few projects that we have in the segments are largely in the animal health region or agrochem, right . So, can you also talk a bit on human health project , that's a bigger market , so is there any progress out there , has the company received any mid or large -scale project of late

Dr. Satyanarayana Chava: In the synthesis, there are several projects in the clinical phase right now. We believe we are well positioned for several reasons. The one reason is we have capacity and our regulatory track record is very good and we have scale and we have technical capabilities. See, nowadays we have capabilities from biocatalysis to continuous flow chemistry to very large -scale hydrogenation, very low temperature reactions, very high temperature reactions. We are capable of delivering wide variety of chemistries , that is also well appreciated by our partners. So , we believe we are well positioned to get that opportunity.

Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav : I just wanted to understand on the approval for the CAR-T therapy which we have received for India. How big is the addressable market , like do we know how many patients there are in India which can be addressed by this drug? And I was just reading some article online. They said that treatment cost is about 30 lakhs per patient per year. I

s that like broadly a right number that we should understand?

Dr. Satyanarayana Chava: We cannot give you the exact cost to the patient. We can only give you what is the product cost we are going to supply to the hospitals. It is between 30 to 40 lakhs. So, we don't have any control or estimation on how much it will cost to the patient. Our associate companies plan to sell between 30 to 40 lakhs per treatment.

Madhav: What's the patient population in India, do we have any broad estimation for that?

Dr. Satyanarayana Chava: I don't have the right number with us, but currently, Immuno ACT geared up to deliver about 500 treatments per year from the current facility and also creating facility which will be ready by March 2025 where we can deliver additional 2,500 treatments per year.

Madhav: Then just on the CDMO business, I think you have mentioned we have 62 active projects in the pipeline. Could you please help us understand like how many of these are Phase -II, Phase -III and commercialized molecules, if you could share some split it will be very helpful.

Dr. Satyanarayana Chava: As I mentioned in our presentation, we have about 10 commercial products, four APIs and other advanced intermediates and we have an additional 60 projects in various clinical stages.

Madhav: My question is like if we have 10 commercialized projects, that should mean like good potential as we go into next year, right, because we are building the capacity and if 10 of them are commercial, is that the right understanding?

Laurus Labs Limited

October 20, 2023

Page 11 of 17

Dr. Satyanarayana Chava: We have built capacity for commercial products already. The additional capacity, for example, in animal health, we just started commercial validation from this month. Our crop science facility is still under construction. While other human health projects where we are creating capacity, we are doing either Phase -II or Phase -III quantities. So, once we do those, we have to wait for certain time until we get the commercial orders. So, what we are envisaging, what we're also telling all our stakeholders, the company is well positioned because of the Greenfield infrastructure, our quality and our chemistry capabilities, the company is well positioned to take those opportunities.

Moderator: The next question is from the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: My first question is if you could provide the split between your ARV and non-ARV revenue for this quarter on a consolidated basis?

Dr. Satyanarayana Chava: ARV is 49%.

Krish Mehta: Could you provide the split between your ARV FDF and non-ARV FDF for this quarter?

Dr. Satyanarayana Chava: We have done about Rs.110 crores of non-ARV formulations. If you look at our split there, it is slightly moving towards non-ARV products, that's what we are mentioning. The growth in formulations also in the future quarters will only come from non-ARV.

Moderator: The next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: My question is related to Immuno ACT. When we are expecting it to roll out in India?

Dr. Satyanarayana Chava: We expect the rollout will happen in the next two months.

Ranvir Singh: Do we have a plan to increase your stake there from 34%?

Dr. Satyanarayana Chava: It's too early to say anything because they have enough capital to deploy and if they get approval and that will also give some additional cash flow for them, we don't expect.

Ranvir Singh: In last quarter, we indicated that EBITDA margin may come back to around 25% -plus kind of a number going forward. Because in first half that doesn't seem a distant goal. So, any comment over here?

Dr. Satyanarayana Chava: Based on the current trend of growth in all segments, we expect the margins will be better when compared to the first half and we are

very optimistic about second half of this financial year.

Ranvir Singh: So overall for a full year, the margin can we expect in the range of 20% at least?

Dr. Satyanarayana Chava: I can still say we'll improve beyond this 15% right now, yes.

Laurus Labs Limited

October 20, 2023

Page 12 of 17

Ranvir Singh: Third on bio side, have you added any more products other than Trypsin in this division?

Dr. Satyanarayana Chava: In bio, the majority revenue is driven by our CDMO partners. So, our revenue coming from Trypsin and animal origin free ingredients is also growing, but major growth is coming from our CDMO offerings there.

Ranvir Singh: So, on a full year basis, what kind of potential we can see from this division?

Dr. Satyanarayana Chava: The H1 bio is Rs.89 crores and the second half will also be very similar to that, yes. We expect some more decrease in Q3 because of we are shutting down some of the facility for debottlenecking and where Q4 will rebound. So, that that division is doing very good as you have seen from our previous quarters. That is the reason we increase our stake in the company. We have lot of confidence on that business segment.

Moderator: The next question is from the line of Sajal Kapoor, an individual investor. Please go ahead.

Sajal Kapoor: My first question is, there is a quote from Henry Ford and I quote him, he said, "The only real

mistake is the one from which we learn nothing. " Do you believe D r. Satya that failures can sometimes lead to new opportunities or landing strips and provided the lessons are learned and internalized , and if yes, what examples from your own experience over the past year or so might you be able to share?

Dr. Satyanarayana Chava: We have several examples. Our conviction put us into a very leadership position . For some products where we failed to validate , some products we failed to get the right costing, but we continue to invest on those products and we enjoyed the success , there are several examples for that. We cannot fail every time. So , we fail once , twice, but we eliminate the opportunities for failure significantly at every failure.

Sajal Kapoor: My second question, D r. Satya is , at a recent innovation conference in Cambridge , I heard a quote from a member of pharmaceutical life sciences company that kind of keeps coming back to me . The person asserted that possibility always produces uncertainty and fear of uncertainty is a competitive advantage or mode that keeps their business safe from rivals or competition. And they claim that if something is too simple to discover or develop, then anybody and everybody will eventually get involved in the field of delivering or developing new drugs. So , the uncertainty is kind of a mode that protects their business , that was their hypothesis. I mean, what's your sense on this , if you can please ?

Dr. Satyanarayana Chava: We can give you on our recent success . Our investment in cell therapy is a lot of uncertainties around that discovery and development. So many people don't go into that. That's one way we had enjoyed success. The second is not many people are investing in gene therapy because of lack of talent, lack of understanding of that segment , we invested there . But it will take some time for us to enjoy success in gene therapy . When it comes to the CDMO, what you said is absolutely right. How many companies in India have created three million liters of new capacity

Laurus Labs Limited

October 20, 2023

Page 13 of 17

in the last three years ? Not many . How many companies have scale at which we are operating? How many companies are having fully integrated development , that means from enzyme design, enzyme manufacturing to biocatalysis to large scale hydrogenations , flow chemistry and all . So, we are creating competitive advantage by investing ahead of the time , that is our success mantra ,

that's we are saying many a time and you pointed out very well. So , the fear of failure will prevent many people to invest, yes.

Sajal Kapoor: Dr. Satya, one question on regulatory uncertainty . What else could potentially harm or disappoint shareholders in the medium term, let's say next two to three years when it comes to the uncertainty that we have on the regulatory front, it could be USFDA audit, it could be some unexpected development , anything on your horizon that we have to be guarded against ?

Dr. Satyanarayana Chava: We have derisked significantly, but we can't say 100%. We have multiple facilities now . We are operating in multiple regions. So , we have our bio division in Bangalore, Tumkur and Mysore. We have our R&D in Hyderabad, Telangana. We have API facilities in Vizag, Andhra Pradesh. We have our associate company in Mumbai . And we have our cell and gene therapy facility being created at Kanpur. So , we have diversified significantly regional wise also . And second when it comes to regulatory inspections , you have seen our impeccable track record there and we expect to maintain that.

Moderator: We will take the next question from the line of Saurabh Kapadia from Sundaram Mutual Fund. Please go ahead.

Saurabh Kapadia: The outlook for second -half and '25 looks positive. So , will it be driven by more of the animal health project or the current commercialized molecule has the scope to drive it further , is there any large molecule or the molecule where there's a large opportunity in the current commercialized molecule as well?

Dr. Satyanarayana Chava: Our optimism in second -half is primarily driven by increased sales in API , ARV, increased sales in oncology, increased sales in formulations , and also increased sales in CDMO , it is driven by all segments.

Saurabh Kapadia: On synthesis side, will it be the animal health project only or the current commercial molecules also should the ARV growth as well ?

Dr. Satyanarayana Chava: We are not expecting any new commercial sales during the second -half. We're only anticipating a supply of Phase -II, Phase -III quantities in the second -half.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Just following up, sir, on the synthesis question , after the second -half, you mentioned the animal health business begins to scale up. When is the agrichem business contract largely to scale up for us

Laurus Labs Limited

October 20, 2023

Page 14 of 17

Dr. Satyanarayana Chava: That will be in the second -half of FY25.

Nitin Agarwal: Sir, beyond these two contracts, are there any major milestones for the segment that we can sort of look forward to ?

Dr. Satyanarayana Chava: We are working on some R&D projects with partner, but we don't expect commercial sales in the next 12 to 18 months, yes. As you are aware, we are working with one of the top leading crop science companies. So, we have lot of potential to grow, but we are also cautious not to overcommit and underdeliver. We are taking projects what we can deliver. So, our current challenge is also lot of CAPEX projects going on. So, we are also cautious on where to invest, how much to invest.

Nitin Agarwal: So, sir, is the understanding right that animal health will contribute this second -half of this year, agrochemicals product will contribute in second -half of next year, and I guess there is not much of incremental large contract is likely to contribute in the human health over the next at least 18 months ?

Dr. Satyanarayana Chava: I said next six months.

Nitin Agarwal: So, do you expect some commercialization of human health business also in FY25?

Dr. Satyanarayana Chava: I can't give more specific, but there are products which will go from Phase -II to Phase -III next year.

Nitin Agarwal: Sir, this \$100 million ongoing CAPEX in synthesis, by when do you see it is reasonably utilized?

Dr. Satyanarayana Chava: Mid of next financial year onwards.

Nitin Agarwal: Sir, lastly on the FDF business this quarter, what was the component of non -ARV business in that?

Dr. Satyanarayana Chava: Rs.105 crores are non-ARV business from formulations.

Nitin Agarwal: And sir, lastly, on the other APIs, how should we think about this business growth from a 12 to 18 months perspective?

Dr. Satyanarayana Chava: Non-ARV formulations potential is very high. In ARV, API as well as formulations, we will have a threshold, we will not go beyond that because the number of patients is also plateauing in the African region. We anticipate both ARVs APIs and formulations will also attain its peak revenues soon maybe. So, the growth in both APIs growth, in formulations will come from non-API, non-ARV formulations.

Laurus Labs Limited

October 20, 2023

Page 15 of 17

Nitin Agarwal: What will be the drivers for this growth, any specific molecules or therapies or it could be broad-based growth over here?

Dr. Satyanarayana Chava: Our new approvals in US, our new contract manufacturing deals in APIs and formulations, our onco sales are growing, our non-ARV, non-onco API sales are growing. So, there are a lot of avenues for us to grow there.

Nitin Agarwal: On this Immuno ACT business, apart from the financial stake that we have, what other role do we have in this partnership?

Dr. Satyanarayana Chava: We have two board membership there and we help them in thinking at about scale, some strategic

inputs. Beyond that we are not involved in the day-to-day operations there.

Nitin Agarwal: Any role in the manufacturing?

Dr. Satyanarayana Chava: No. But in IIT, Kanpur we are operating our own facility there. So, just on the contrary to Immuno ACT, In gene therapy, we are going to operate our own facilities.

Moderator: The next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: So, on the last call, you said that you expect improvement in the synthesis business from the next quarter onwards and this quarter that we have seen that that particular division has grown by 10% sequentially. So, can you help us understand what changed within three months and what is the outlook for this particular division going forward?

Dr. Satyanarayana Chava: See, CDMO, supplies, timelines all depends on what our partner is requesting. Sometimes if the partner asks deliveries in the next quarter, we have to deliver when he needs. So those kinds of uncertainties will be at CDMO. But, our customer list is increasing, our project list is increasing.

That is the reason we are also very confident on this segment.

Rohit Jain: No, I understand. The reason I ask that is on the last call you said that there was some deferment and that's why the first quarter number was lower and you expect improvement sequentially. So, should we understand that there was some further deferral?

Dr. Satyanarayana Chava: Yes, that's the reason we didn't have any sequential growth.

Rohit Jain: This was asked earlier on the call. Just wanted to confirm that. So, you said that this is the year of consolidation which earlier sort of indicated that you expected flat EPS YoY given the performance in 1H that seems like a difficult task. So, how should we think of that qualitative guidance of this year of consolidation in terms of financial?

Dr. Satyanarayana Chava: We're not giving guidance, but as we mentioned, this is exciting times for us in the company, that means we have many prospects, many exciting projects and things are in a good shape. So,

Page 16 of 17

that is the reason we are investing into the future. That's my answer for this, yes. We can't give you guidance right now.

Rohit Jain: For the CDMO CAPEX and

and for the size that you're preparing, what sort of asset turns should we think of, the broad range like the high and the low?

Dr. Satyanarayana Chava: I will give you a very broad number. It varies between one and two asset turn, all depends on the project, yes.

Moderator: The next question is from the line of Abhijeet K from PCL. Please go ahead.

Abhijeet K: First, I'd like to ask a question with regards to the revenue base. I'm looking at the presentation, I see that there is a sequential increase in the revenue removing the CDMO base of the previous contract which is Paxlovid. How do you see the revenues growing over the next two quarters and also in the next one year?

Dr. Satyanarayana Chava: In the synthesis, if you look at the overall year, last year was lot of commercial supplies happened. This year, we don't have any commercial supplies, but we hope next year will be again a good year for a CDMO, some of the projects are moving into the late clinical phase or commercial. So, things will be in a good shape next year.

Abhijeet K: Next part is with regards to the CDMO. You've mentioned that one is going to be the animal API business that is going to come into place and the other is the agrochemical. Do you see that this is going to be a structural change in the company where you're going to be diversifying not only from a pharma-based thing and diversify into other revenue streams like agri and also alternative sectors?

Dr. Satyanarayana Chava: The animal health is a contract signed with one customer for good chunk of products. And in crop sciences, we have signed one development agreement and we'll also sign a second commercial agreement soon. So, our CDMO comprises of human health, animal health, some cosmetic ingredients we are doing. So that way, our CDMO division is well diversified when compared to many other CDMOs, yes.

Moderator: We'll take the next question from the line of Aditya Sen from RoboCapital. Please go ahead.

Aditya Sen: Once we start utilizing our new facilities, let's say by late FY25 or even FY26, then will we be able to get back to the previous high range that is plus 25% range of EBITDA?

Dr. Satyanarayana Chava: This is a very interesting question, but we can promise you we will get closer to 30%, but I will not tell you which year. Our growth, our revenue contribution significantly tilts towards CDMO, I'm sure we have an opportunity to take our EBITDA back to around 30% level.

Laurus Labs Limited
October 20, 2023

Page 17 of 17

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Dr. Satyanarayana Chava: Thank you, Mohanish for organizing this call and thank you our stakeholders who have a lot of confidence on us and I'm sure we will meet your expectations as we continue to commit ourselves to bring cutting edge technologies and servicing customers with our wide range of chemistry offerings.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Antique Stock Broking, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

October 25 , 2023
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Q2 FY24 Results conference call hosted on October 20 , 2023

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated October 13, 2023 , please be informed that the Results conference call for Q2 FY24 was hosted on October 20 , 2023 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

Page 1 of 17

"Laurus Labs Q2 FY'24 Earnings Conference Call"

October 20, 2023

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER & CHIEF
EXECUTIVE OFFICER , LAURUS LABS LIMITED

MR. V V RAVI KUMAR – EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER , LAURUS LABS LIMITED
MR. VIVEK , INVESTOR RELATIONS TEAM, LAURUS
LABS LIMITED

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

Laurus Labs Limited
October 20, 2023

Page 2 of 17

Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Laurus Labs Limited hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you and over to you, Mr. Shah.

Monish Shah: Thank you, Michelle. Good evening, everyone, and welcome to Laurus Labs 2Q & H1 Results Conference Call. On behalf of Antique Stock Broking, I thank the management for giving us the opportunity to host the call.

Today, we have with us Dr. Satyanarayana Chava -- Founder and CEO; Mr. V V Ravi Kumar - Executive Director and CFO, and Vivek from the IR team.

I will hand the call over to Dr. Satya for his opening remarks. Thank you and over to you sir.

Dr. Satyanarayana Chava: Thank you, Monish for hosting this conference call. Thank you for joining us for our Q2 & H1 FY24 Results Conference Call. We're pleased to have this opportunity to update you on our progress and answer your questions.

Our performance from Q2 started to see improvement and our priorities remain consistent. By focusing on R&D-led commercial strategy and customer-centric business orientation, we're advancing and augmenting our operational excellence to offer cutting-edge technology platforms in the manufacturing of small molecules, deliver the best external and internal opportunities as well as bringing innovative manufacturing solutions to companies and patients. We've executed on several important business development transactions last quarter and we are further accelerating our strategic manufacturing partnerships.

We're also pleased to report that our investment into disruptive technology is progressing well. The first one is our investment in ImmunoACT CAR-T lead compound, NexCAR-19, which completed Phase-II trial for lymphoma and leukemia indication, has been granted marketing approval from CDSCO, Government of India. We feel it is a significant breakthrough and will be the India's first indigenous developed and manufactured cell therapy product for treating certain blood cancers.

The second one is initiation of GLP Lab Construction for the manufacture of viral vectors and gene therapy products at IIT, Kanpur.

Laurus Labs Limited
October 20, 2023

Page 3 of 17

The third one is increase in our stake in Laurus Bio, now 88%. This is a reflection to our confidence on great potential for future developments in enzyme technology platform.

Currently, it's an exciting time at Laurus labs and we are determined to build on our R&D-driven commercial excellence to deliver best quality and affordable healthcare solutions as we seek to create a long-term value for both patients and our all stakeholders.

Our Q2 results is in line and improved over Q1 due to recovery in customer supplies, which is driving higher revenues. While gross margins were maintained at very healthy level, our EBITDA margins have clocked a modest recovery as higher upfront expenses and growth projects have weighed on our overall operating cost. It is important to keep in mind as well as that our year-on-year growth was subdued due to particularly strong quarter we had in FY23. As a result of these factors, our revenues were declined by 22% to Rs.1,224 crores and EBITDA came at Rs.188 crores with a margin of 15.4%. Our quarter-on-quarter growth is rebounding in both our API and formulations business, supported by strong underlying demand in other segments.

Our CDMO business project pipeline have

continued to scale up along with the expansion of our new partnerships. Our cost improvement programs are also progressing as expected. Following the recovery, we saw in Q2, we remain optimistic for a better H2 resulting from both healthy order book and strong commercialization capabilities.

To begin, I would like to share key updates on our formulations business. Our formulations division reported overall revenues of Rs.332 crores for Q2, increasing over 120%. That was because of low base last year. On sequential basis revenues have also improved by 16%. Moreover, if you look at our H1, revenues increased by 24%. This was primarily driven by recovery in every business along with growth in our developed market share.

Coming to LMIC business, overall market volumes have largely remained stable, partly supported from stable prices. We remain fully committed to stabilize our ARV franchise business throughout the FY24 and beyond while navigating the pricing headwinds.

We awarded with 20% recent NACO tender for a supply of key products and this is our maiden successful bid in the Government of India tender for the supplies of HIV products in India. This was achieved primarily because of our fully backward integrated offering in ARV model.

We have successfully implemented several cost improvement measures and we believe these measures will sufficiently ensure our market readiness and confidence of sustaining leadership position in first line ARV treatment both in APIs and formulations.

Coming to the developed markets, demand for our broader portfolio remains healthy. In US, we continue to get good market share on several products and also increasing volumes.

Laurus Labs Limited

October 20, 2023

Page 4 of 17

During H1, we filed one ANDA. Cumulatively, we have filed total 38 ANDAs to-date. Of this, we have 15 final approvals and 13 tentative approvals so far.

We continue to have diverse portfolio and pipeline including novel 505(b)2 products comprising of ARV, cardiovascular, diabetes, CNS, and gastrointestinal.

In Canada, we have 21 filings with 13 product approvals, of which we have launched nine products and we are intending to launch at least two more products during the second-half of FY24.

For EU markets, we have 18 filings with 14 product approvals, of which we already launched six products. We have continued to strengthen our CMO relationships and anticipate further volume increases in the coming quarters.

Our FDF division continues to operate most of the total commission capacity of 10 billion, in which we anticipate that the remaining Brownfield capacities that we added in the last year should start to get optimally utilized by end of this year.

On R&D front, overall R&D spending to sales for H1 FY24 was at 4.5%. We have incurred little higher R&D expenditure in this quarter as we acquired intellectual rights for few gene therapy products from IIT, Kanpur.

We continue to make good progress and invest in portfolio with product-specific approach based on complexity and scale economics.

We have total 62 products in R&D pipeline with market size of over US\$ 49 billion.

I would like to share the status of our filings as of now; 38 ANDAs in the US, 18 dossiers in Europe, 21 products in Canada, nine dossiers with WSO, eight dossiers in South Africa, one in Australia, while 20 dossiers filed in India, while several products were filed in various ROW markets.

Overall R&D to sales of the full year is expected to be around 4.5%.

While coming to generic APIs, revenue from generic APIs during the Q2 declined by 8% year-on-year to Rs.629 crores. However, sequentially, it has improved by 5%. For H1, overall growth was flat.

ARV retained its volume-led steady momentum through Q2 and revenues moderated a bit, attributing to an element of cyclicity in the ordering.

We continue to maintain a lead

in market share in the first line HIV treatment-related APIs.

Laurus Labs Limited

October 20, 2023

Page 5 of 17

In the onco API space, the sales for the quarter rebounded and delivered a strong revenue increase over 100% year-on-year to Rs.117 crores. In H1, the growth is over 50%. This is reflective of strong demand across our portfolio and favorable industry dynamics. We are augmenting the new capacity for oncology products to accommodate the increased demand. More importantly, Laurus Labs, one of the largest high potent API capacities in the country. And our aim to strengthen global leadership in some of the existing products by focusing on higher volumes and adding new potent molecules.

In the other API segment, which includes cardiovascular, diabetes, asthma has slightly

recovered, tracking only 2% growth quarter -on-quarter to Rs.139 crores. Recovery is muted on account of tempo rary market dynamics and scheduling patterns from our partners. On the year -on-year basis , revenues declined by 37%. We are confident that underlying demand for our products remain strong and our CMO order book has continued to look very healthy.

In first half this financial year, we have filed three DMF , out of those two are in non -ARV category . With this company has a total of 83 DM F.

While coming to synthesis business during the Q2, the company CDMO business recorded revenues of Rs.224 c rores, decline of almost 70% year -on-year. The revenues declined due to a weak year -on-year comparison given large CDMO projects executed last year. Otherwise , the baseline business tracking healthy and project pipeline continues to scale up very well with our existing and new customers added in the last six months.

We continue to execute on our scientific -led approach to customer acquisition and retention. We are further strengthening and expanding our relationship with several big pharma.

We remain focused on improving ou r integrated CDMO enabling technology platform to achieve diversified revenue stream, ensuring stability and resilience.

We are working on over 60 projects , out of this, there are 10 products, commercial , few APIs and several intermediates.

We made good pr ogress on new science for CDMO division, b oth R&D Center and manufacturing facilities under L SPL.

Our an imal health unit initiated commercial validations from this month and should gradually scale up. R&D center is likely to get commissioned by the end of FY24. Our new animal health site will have all the capabilities to handle steroids, hormones and high poten t molecules apart from other large volume products.

In Laurus Bio, we recorded strong growth for Q2 and H1 ; Q2 we grew the revenues by 44% and H1 by 56%. The growth was led by attraction in CDMO services along with the expansion in Laurus Labs Limited

October 20, 202 3

Page 6 of 17

our customer base. We're also optimizing our capacities with the large scale CDMO partners and expect increased downstream capacity to come on line by December '23. This unit will achieve its peak revenues during F Y25.

Our enhance d technical expertise and biocatalysis is expanding its application in several small molecule manufacturing where L aurus is utilizing this expertise to servic e big pharma.

Progress on our new Greenfield site at R3 is on track and we have completed the design phase. We expect the expansion to happen in a phased manner. This site should further strengthen Laurus capabilities in offering CDMO services in animal or igin free proteins and growth factors apart from large scale permutation.

Let me share brief on quality and EHS initiatives. We have continued to implement and operate best-in-class R&D, manufacturing and quality control systems in line with the highest gl obal standards along with a comprehensive EHS management . This is enabled by our profound scientific team of over 2 ,300 people embracing comm

itment to ev olve to address new opportunities.

During Q2, we implemented the project called "Sankalp " in associatio n with DuPont Sustainability Solutions to further enhance organizational safety excellence.

During the H1 F Y24, a total of 51 quality audits were undertaken, including several customer audits . To-date since inception we have successfully passed 91 regulator y audits, including 40 audits from major global regulatory agencies like US FDA, WHO, PMDA, TGA, EMA and MHRA.

With that, I would like to hand it over to Ravi to share some of the financial highlights.

V V Ravi Kumar : Thank you, D r. Satya and a very warm welcome to everyone for Q2 and H1 FY24 earnings call.

Total income from operations for the H1 was Rs. 2,406 crores as against Rs.3,115 crores.

Excluding large PO, you're all aware that we have executed a large PO last year. The underlying busine ss delivered growth of 14% for H1, whereas for the Q2 it was 18%.

As you would notice that our quarter performance has recovered and we showed an improving momentum for majority of our business , also as D r. Satya highlighted about the strong underlying dem and across our growth pillars, we believe it will continue to support our outlook for the rest of the current fiscal.

Gross margin for Q2 have improved at 52.5%. And if you look at EBITDA for Q2 FY24, is at Rs.188 crores with a margin of 15.4 % , whereas for the first half it was Rs.356 crores with an EBITDA margin of 14.8%. The impact is primarily due to operational deleverage, lower CDMO business , and some of the new initiatives' expenditure being incurred like CGT , etc., I think overall, we spent about Rs.16 crores on the new initiatives.

Laurus Labs Limited

October 20, 202 3

Page 7 of 17

Our diluted EPS for Q2 was 0.6 and for H1 it is 1.1 without any annualization. And our ROCE is at 11.4 % due to operating deleverage and the strong capital deployments for the future growth. On the CAPEX front, we invested close to Rs.182 crores for the quarter and Rs.385 crores for the first H1.

The board of directors recommended a dividend of 40 paise per share.

As you are aware for FY24, the majority of CAPEX is for the synthesis and bio divisions and most of the expansion projects are on track to support our future growth ...you can refer to our IR presentation for more details.

With this, I would request the moderator to open the lines for Q&A .

Moderator: We will now begin the question -and-answer session. We'll take the first question from the line of Jeevan Patwa from Sahasr Capital. Please go ahead.

Jeevan Patwa : Firstly, congratulations for market authorization for CAR -T technology. Just wanted to understand , now we have the authorization for India, what is our plan for other markets or other geography , is there any other geographies where we are conducting the clinical trials?

Dr. Satyanarayana Chava: Currently , our associate company Immun oACT has partnered with Mexican Minister of Health and trials will be done in Mexico and We are in the process of finalizing some licensing deal with a European company. So , next year we expect clinical trials will start in Mexico for this product , and in year 2025, clinical trials will also start in Europe . In Europe since the licensing deal is under negotiation , I can't give you more details, but there are some licensing deals being pursued by the company . Going back to your question, since the approval is obtained, we expect to launch in the next few months in India, we are gearing up to do commercial manufacturing while getting all the necessary licenses needed for India launch.

Jeevan Patwa: Is there any other type of cancer that you are working on ... any solid tumor cancer?

Dr. Satyanarayana Chava: There is one Clinical candidate is in pipeline which is in preclinical , will go to Phase -II in the next six months , that is BCMA. There is another asset which is in t

he early stage of research for the solid tumors.

Jeevan Patwa: Just wanted to understand on this API and FDF side. So, we are talking about new CMO orders .

Last quarter we said we have tied up with few clients. This quarter, we are saying we have CMO order , a healthy pipeline. So , can you elaborate more on this when will they are going to start ... so is it going to be in the second -half and how big they are ? Because our API revenue has been constant since last many quarters now despite having expanded our capacities by more than 50%. So, when can we actually see this number ramping up on the API side actually , and then on the FDF side as well ? So, on this CMO order basically can you elaborate more ?

Laurus Labs Limited

October 20, 2023

Page 8 of 17

Dr. Satyanarayana Chava: The CMO order we got from our partners for integrated manufacturing of API and formulations. If you recollect , we were talking about billion tablets CMO . That will increase to 1.5 , 1.6 billion . We are qualifying the packaging lines also. Earlier , we used to do bulk packaging , now we are doing the secondary packaging as well. And then your question of our 50% capacity addition, majority addition, we have done for CDMO. So , as you're aware , in CDMO business, we have to have patience because we have to deliver Phase -II, Phase -III and wait for the commercial launch. So , I can assure you your company is in a good position to offer CDMO differentiation when compared to other CDMO companies in India.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Please go ahead.

Tushar Manudhane: So just on the gross margin firstly on sequential basis, when the synthesis business has in fact there has been slight decline and formulations business has also been quite stable. So , if you could just explain the reason for better gross margin this quarter compared to previous quarter ?

Dr. Satyanarayana Chava: The better gross margin in this quarter is primarily because of improvements we have done earlier were commercialized and also, we are operating our ARV facilities at full scale , that is also helping us to leverage.

Tushar Manudhane: Considering the FY 24 sales outlook and presumably significant chunk of the business coming from CMO , CDMO side, as you have indicated in just the earlier commentary that the ARV -led API and formulations could be stable, so does it mean that there should be a significant improvement further in the gross margin in the coming quarters?

Dr. Satyanarayana Chava: The gross margin improvement, if you look at our second quarter FY23 was at 55% where our revenue was primarily driven by large CDMO orders. Yes, if the CDMO revenues pick up, the margins will slightly improve better.

Tushar Manudhane: Means we can go back to 55% ?

Dr. Satyanarayana Chava: I'm not commenting, but with the revenue growth primarily driven by CDMO business, the chances of increasing beyond the 52% what we have reported will certainly go up.

Moderator: The next question is from the line of Bharat from Quest Value Capitals . Please go ahead.

Bharat: Recently , Andhra Pradesh Chief Minister has said ground breaking for unit -7 in Vizag . May I know what is this unit -7?

Dr. Satyanarayana Chava: New groundbreaking ceremony was done last week is primarily to add more capacity for CDMO. We are making that common infrastructure for new CDMO sites.

Bharat: This unit-7 for a specific customer or is it for generic -?

Laurus Labs Limited

October 20, 2023

Page 9 of 17

Dr. Satyanarayana Chava: There are two sites. We are creating common infrastructure and building one block in each of those to get the necessary regulatory approval so that that site also can be audited by big pharma and we can able to service from that site as well.

Bharat: May I know what is the CAPEX for FY25?

Dr. Satyanarayana Chava:

We will give you more details in the next quarter conference call about the new CAPEX in those new sites.

Bharat: If you see in the presentation you said like this year would be a year of consolidation and the two quarters back you said that a year of consolidation means you don't expect any degrowth.

May I know what do you mean now with this a year of consolidation , do you expect any degrowth now?

Dr. Satyanarayana Chava: When we are saying this year will be a year of consolidation , that means we are adding a lot of capacity. If you look at in the last three years, we have added 3 million liters capacity and 5 billion tablets capacity. So , all those will be utilized in the next financial year onwards. There , a lot of leverage will come. Currently , negative leverage is happening. We have capacities , we have people and we are only doing trial quantities. So, we are spending more than what we are earning from those sites. So , once we do commercial manufacturing from those sites, you will see very healthy EBITDA margins and then return ratios.

Moderator: The next question is from the line of Vivek Agrawal from Citigroup. Please go ahead.

Vivek Agrawal: In API segment actually, we have seen a decent rebound and it is largely led by oncology. So , can you please call out what has driven this rebound and is it a broad -based or any product - specific contribution , any milestone income in oncology , etc., that would be helpful ?

Dr. Satyanarayana Chava: Thanks, Vivek. The growth in oncology business is also a pleasant surprise for us as well . Maybe the regulatory setbacks for some of the companies is helping us to gain market share , and as I mentioned, we have the largest capacity in oncology , so we're able to capture that opportunity.

And if you look at our oncology API sale in H1, we have done Rs.171 crores and we have very, very good order book for H2. So , looks like we'll do very well in our oncology segment.

Vivek Agrawal: So, do you expect the current run rate can sustain in the coming quarters or in the next year as well?

Dr. Satyanarayana Chava: We certainly believe so because we have order books well beyond Q4 of this year .

Vivek Agrawal: One question on FDF. How much of the business coming from US now, if you can help us understand?

Dr. Satyanarayana Chava: I can give you a number for North America . This year all put together, it could be \$35-40 million

Laurus Labs Limited

October 20, 2023

Page 10 of 17

Vivek Agrawal: Just last question on synthesis business, right . So next few projects that we have in the segments are largely in the animal health region or agrochem, right . So, can you also talk a bit on human health project , that's a bigger market , so is there any progress out there , has the company received any mid or large -scale project of late

Dr. Satyanarayana Chava: In the synthesis, there are several projects in the clinical phase right now. We believe we are well positioned for several reasons. The one reason is we have capacity and our regulatory track record is very good and we have scale and we have technical capabilities. See, nowadays we have capabilities from biocatalysis to continuous flow chemistry to very large -scale hydrogenation, very low temperature reactions, very high temperature reactions. We are capable of delivering wide variety of chemistries , that is also well appreciated by our partners. So , we believe we are well positioned to get that opportunity.

Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav : I just wanted to understand on the approval for the CAR-T therapy which we have received for India. How big is the addressable market , like do we know how many patients there are in India which can be addressed by this drug? And I was just reading some article online. They said that treatment cost is about 30 lakhs per patient per year. I

s that like broadly a right number that we should understand?

Dr. Satyanarayana Chava: We cannot give you the exact cost to the patient. We can only give you what is the product cost we are going to supply to the hospitals. It is between 30 to 40 lakhs. So, we don't have any control or estimation on how much it will cost to the patient. Our associate companies plan to sell between 30 to 40 lakhs per treatment.

Madhav: What's the patient population in India, do we have any broad estimation for that?

Dr. Satyanarayana Chava: I don't have the right number with us, but currently, Immuno ACT geared up to deliver about 500 treatments per year from the current facility and also creating facility which will be ready by March 2025 where we can deliver additional 2,500 treatments per year.

Madhav: Then just on the CDMO business, I think you have mentioned we have 62 active projects in the pipeline. Could you please help us understand like how many of these are Phase -II, Phase -III and commercialized molecules, if you could share some split it will be very helpful.

Dr. Satyanarayana Chava: As I mentioned in our presentation, we have about 10 commercial products, four APIs and other advanced intermediates and we have an additional 60 projects in various clinical stages.

Madhav: My question is like if we have 10 commercialized projects, that should mean like good potential as we go into next year, right, because we are building the capacity and if 10 of them are commercial, is that the right understanding?

Laurus Labs Limited

October 20, 2023

Page 11 of 17

Dr. Satyanarayana Chava: We have built capacity for commercial products already. The additional capacity, for example, in animal health, we just started commercial validation from this month. Our crop science facility is still under construction. While other human health projects where we are creating capacity, we are doing either Phase -II or Phase -III quantities. So, once we do those, we have to wait for certain time until we get the commercial orders. So, what we are envisaging, what we're also telling all our stakeholders, the company is well positioned because of the Greenfield infrastructure, our quality and our chemistry capabilities, the company is well positioned to take those opportunities.

Moderator: The next question is from the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: My first question is if you could provide the split between your ARV and non-ARV revenue for this quarter on a consolidated basis?

Dr. Satyanarayana Chava: ARV is 49%.

Krish Mehta: Could you provide the split between your ARV FDF and non-ARV FDF for this quarter?

Dr. Satyanarayana Chava: We have done about Rs.110 crores of non-ARV formulations. If you look at our split there, it is slightly moving towards non-ARV products, that's what we are mentioning. The growth in formulations also in the future quarters will only come from non-ARV.

Moderator: The next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: My question is related to Immuno ACT. When we are expecting it to roll out in India?

Dr. Satyanarayana Chava: We expect the rollout will happen in the next two months.

Ranvir Singh: Do we have a plan to increase your stake there from 34%?

Dr. Satyanarayana Chava: It's too early to say anything because they have enough capital to deploy and if they get approval and that will also give some additional cash flow for them, we don't expect.

Ranvir Singh: In last quarter, we indicated that EBITDA margin may come back to around 25% -plus kind of a number going forward. Because in first half that doesn't seem a distant goal. So, any comment over here?

Dr. Satyanarayana Chava: Based on the current trend of growth in all segments, we expect the margins will be better when compared to the first half and we are

very optimistic about second half of this financial year.

Ranvir Singh: So overall for a full year, the margin can we expect in the range of 20% at least?

Dr. Satyanarayana Chava: I can still say we'll improve beyond this 15% right now, yes.

Laurus Labs Limited

October 20, 2023

Page 12 of 17

Ranvir Singh: Third on bio side, have you added any more products other than Trypsin in this division?

Dr. Satyanarayana Chava: In bio, the majority revenue is driven by our CDMO partners. So, our revenue coming from Trypsin and animal origin free ingredients is also growing, but major growth is coming from our CDMO offerings there.

Ranvir Singh: So, on a full year basis, what kind of potential we can see from this division?

Dr. Satyanarayana Chava: The H1 bio is Rs.89 crores and the second half will also be very similar to that, yes. We expect some more decrease in Q3 because of we are shutting down some of the facility for debottlenecking and where Q4 will rebound. So, that that division is doing very good as you have seen from our previous quarters. That is the reason we increase our stake in the company. We have lot of confidence on that business segment.

Moderator: The next question is from the line of Sajal Kapoor, an individual investor. Please go ahead.

Sajal Kapoor: My first question is, there is a quote from Henry Ford and I quote him, he said, "The only real

mistake is the one from which we learn nothing. " Do you believe D r. Satya that failures can sometimes lead to new opportunities or landing strips and provided the lessons are learned and internalized , and if yes, what examples from your own experience over the past year or so might you be able to share?

Dr. Satyanarayana Chava: We have several examples. Our conviction put us into a very leadership position . For some products where we failed to validate , some products we failed to get the right costing, but we continue to invest on those products and we enjoyed the success , there are several examples for that. We cannot fail every time. So , we fail once , twice, but we eliminate the opportunities for failure significantly at every failure.

Sajal Kapoor: My second question, D r. Satya is , at a recent innovation conference in Cambridge , I heard a quote from a member of pharmaceutical life sciences company that kind of keeps coming back to me . The person asserted that possibility always produces uncertainty and fear of uncertainty is a competitive advantage or mode that keeps their business safe from rivals or competition. And they claim that if something is too simple to discover or develop, then anybody and everybody will eventually get involved in the field of delivering or developing new drugs. So , the uncertainty is kind of a mode that protects their business , that was their hypothesis. I mean, what's your sense on this , if you can please ?

Dr. Satyanarayana Chava: We can give you on our recent success . Our investment in cell therapy is a lot of uncertainties around that discovery and development. So many people don't go into that. That's one way we had enjoyed success. The second is not many people are investing in gene therapy because of lack of talent, lack of understanding of that segment , we invested there . But it will take some time for us to enjoy success in gene therapy . When it comes to the CDMO, what you said is absolutely right. How many companies in India have created three million liters of new capacity

Laurus Labs Limited

October 20, 2023

Page 13 of 17

in the last three years ? Not many . How many companies have scale at which we are operating? How many companies are having fully integrated development , that means from enzyme design, enzyme manufacturing to biocatalysis to large scale hydrogenations , flow chemistry and all . So, we are creating competitive advantage by investing ahead of the time , that is our success mantra ,

that's we are saying many a time and you pointed out very well. So , the fear of failure will prevent many people to invest, yes.

Sajal Kapoor: Dr. Satya, one question on regulatory uncertainty . What else could potentially harm or disappoint shareholders in the medium term, let's say next two to three years when it comes to the uncertainty that we have on the regulatory front, it could be USFDA audit, it could be some unexpected development , anything on your horizon that we have to be guarded against ?

Dr. Satyanarayana Chava: We have derisked significantly, but we can't say 100%. We have multiple facilities now . We are operating in multiple regions. So , we have our bio division in Bangalore, Tumkur and Mysore. We have our R&D in Hyderabad, Telangana. We have API facilities in Vizag, Andhra Pradesh. We have our associate company in Mumbai . And we have our cell and gene therapy facility being created at Kanpur. So , we have diversified significantly regional wise also . And second when it comes to regulatory inspections , you have seen our impeccable track record there and we expect to maintain that.

Moderator: We will take the next question from the line of Saurabh Kapadia from Sundaram Mutual Fund. Please go ahead.

Saurabh Kapadia: The outlook for second -half and '25 looks positive. So , will it be driven by more of the animal health project or the current commercialized molecule has the scope to drive it further , is there any large molecule or the molecule where there's a large opportunity in the current commercialized molecule as well?

Dr. Satyanarayana Chava: Our optimism in second -half is primarily driven by increased sales in API , ARV, increased sales in oncology, increased sales in formulations , and also increased sales in CDMO , it is driven by all segments.

Saurabh Kapadia: On synthesis side, will it be the animal health project only or the current commercial molecules also should the ARV growth as well ?

Dr. Satyanarayana Chava: We are not expecting any new commercial sales during the second -half. We're only anticipating a supply of Phase -II, Phase -III quantities in the second -half.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Just following up, sir, on the synthesis question , after the second -half, you mentioned the animal health business begins to scale up. When is the agrichem business contract largely to scale up for us

Laurus Labs Limited

October 20, 2023

Page 14 of 17

Dr. Satyanarayana Chava: That will be in the second -half of FY25.

Nitin Agarwal: Sir, beyond these two contracts, are there any major milestones for the segment that we can sort of look forward to ?

Dr. Satyanarayana Chava: We are working on some R&D projects with partner, but we don't expect commercial sales in the next 12 to 18 months, yes. As you are aware, we are working with one of the top leading crop science companies. So, we have lot of potential to grow, but we are also cautious not to overcommit and underdeliver. We are taking projects what we can deliver. So, our current challenge is also lot of CAPEX projects going on. So, we are also cautious on where to invest, how much to invest.

Nitin Agarwal: So, sir, is the understanding right that animal health will contribute this second -half of this year, agrochemicals product will contribute in second -half of next year, and I guess there is not much of incremental large contract is likely to contribute in the human health over the next at least 18 months ?

Dr. Satyanarayana Chava: I said next six months.

Nitin Agarwal: So, do you expect some commercialization of human health business also in FY25?

Dr. Satyanarayana Chava: I can't give more specific, but there are products which will go from Phase -II to Phase -III next year.

Nitin Agarwal: Sir, this \$100 million ongoing CAPEX in synthesis, by when do you see it is reasonably utilized?

Dr. Satyanarayana Chava: Mid of next financial year onwards.

Nitin Agarwal: Sir, lastly on the FDF business this quarter, what was the component of non -ARV business in that?

Dr. Satyanarayana Chava: Rs.105 crores are non-ARV business from formulations.

Nitin Agarwal: And sir, lastly, on the other APIs, how should we think about this business growth from a 12 to 18 months perspective?

Dr. Satyanarayana Chava: Non-ARV formulations potential is very high. In ARV, API as well as formulations, we will have a threshold, we will not go beyond that because the number of patients is also plateauing in the African region. We anticipate both ARVs APIs and formulations will also attain its peak revenues soon maybe. So, the growth in both APIs growth, in formulations will come from non-API, non-ARV formulations.

Laurus Labs Limited

October 20, 2023

Page 15 of 17

Nitin Agarwal: What will be the drivers for this growth, any specific molecules or therapies or it could be broad-based growth over here?

Dr. Satyanarayana Chava: Our new approvals in US, our new contract manufacturing deals in APIs and formulations, our onco sales are growing, our non-ARV, non-onco API sales are growing. So, there are a lot of avenues for us to grow there.

Nitin Agarwal: On this Immuno ACT business, apart from the financial stake that we have, what other role do we have in this partnership?

Dr. Satyanarayana Chava: We have two board membership there and we help them in thinking at about scale, some strategic

inputs. Beyond that we are not involved in the day-to-day operations there.

Nitin Agarwal: Any role in the manufacturing?

Dr. Satyanarayana Chava: No. But in IIT, Kanpur we are operating our own facility there. So, just on the contrary to Immuno ACT, In gene therapy, we are going to operate our own facilities.

Moderator: The next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: So, on the last call, you said that you expect improvement in the synthesis business from the next quarter onwards and this quarter that we have seen that that particular division has grown by 10% sequentially. So, can you help us understand what changed within three months and what is the outlook for this particular division going forward?

Dr. Satyanarayana Chava: See, CDMO, supplies, timelines all depends on what our partner is requesting. Sometimes if the partner asks deliveries in the next quarter, we have to deliver when he needs. So those kinds of uncertainties will be at CDMO. But, our customer list is increasing, our project list is increasing.

That is the reason we are also very confident on this segment.

Rohit Jain: No, I understand. The reason I ask that is on the last call you said that there was some deferment and that's why the first quarter number was lower and you expect improvement sequentially. So, should we understand that there was some further deferral?

Dr. Satyanarayana Chava: Yes, that's the reason we didn't have any sequential growth.

Rohit Jain: This was asked earlier on the call. Just wanted to confirm that. So, you said that this is the year of consolidation which earlier sort of indicated that you expected flat EPS YoY given the performance in 1H that seems like a difficult task. So, how should we think of that qualitative guidance of this year of consolidation in terms of financial?

Dr. Satyanarayana Chava: We're not giving guidance, but as we mentioned, this is exciting times for us in the company, that means we have many prospects, many exciting projects and things are in a good shape. So,

Page 16 of 17

that is the reason we are investing into the future. That's my answer for this, yes. We can't give you guidance right now.

Rohit Jain: For the CDMO CAPEX and

and for the size that you're preparing, what sort of asset turns should we think of, the broad range like the high and the low?

Dr. Satyanarayana Chava: I will give you a very broad number. It varies between one and two asset turn, all depends on the project, yes.

Moderator: The next question is from the line of Abhijeet K from PCL. Please go ahead.

Abhijeet K: First, I'd like to ask a question with regards to the revenue base. I'm looking at the presentation, I see that there is a sequential increase in the revenue removing the CDMO base of the previous contract which is Paxlovid. How do you see the revenues growing over the next two quarters and also in the next one year?

Dr. Satyanarayana Chava: In the synthesis, if you look at the overall year, last year was lot of commercial supplies happened. This year, we don't have any commercial supplies, but we hope next year will be again a good year for a CDMO, some of the projects are moving into the late clinical phase or commercial. So, things will be in a good shape next year.

Abhijeet K: Next part is with regards to the CDMO. You've mentioned that one is going to be the animal API business that is going to come into place and the other is the agrochemical. Do you see that this is going to be a structural change in the company where you're going to be diversifying not only from a pharma-based thing and diversify into other revenue streams like agri and also alternative sectors?

Dr. Satyanarayana Chava: The animal health is a contract signed with one customer for good chunk of products. And in crop sciences, we have signed one development agreement and we'll also sign a second commercial agreement soon. So, our CDMO comprises of human health, animal health, some cosmetic ingredients we are doing. So that way, our CDMO division is well diversified when compared to many other CDMOs, yes.

Moderator: We'll take the next question from the line of Aditya Sen from RoboCapital. Please go ahead.

Aditya Sen: Once we start utilizing our new facilities, let's say by late FY25 or even FY26, then will we be able to get back to the previous high range that is plus 25% range of EBITDA?

Dr. Satyanarayana Chava: This is a very interesting question, but we can promise you we will get closer to 30%, but I will not tell you which year. Our growth, our revenue contribution significantly tilts towards CDMO, I'm sure we have an opportunity to take our EBITDA back to around 30% level.

Laurus Labs Limited
October 20, 2023

Page 17 of 17

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Dr. Satyanarayana Chava: Thank you, Mohanish for organizing this call and thank you our stakeholders who have a lot of confidence on us and I'm sure we will meet your expectations as we continue to commit ourselves to bring cutting edge technologies and servicing customers with our wide range of chemistry offerings.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Antique Stock Broking, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Jan 2024

January 30, 2024
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Q3 FY24 Results conference call hosted on January 24, 2024

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated January 17, 2024 , please be informed that the Results conference call for Q3 FY24 was hosted on January 24, 2024 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

Page 1 of 18

"Laurus Labs Limited
Q3 FY '24 Earnings Conference Call "
January 24, 2024

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS
MR. VIVEK KUMAR –INVESTOR RELATIONS – LAURUS
LABS

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

Laurus Labs Limited
January 24 , 2024
Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Laurus Lab Limited Q3 FY '24 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you, and over to you, sir.

Monish Shah : Thank you, Yusuf. Good evening, everyone, and welcome to Laurus Labs 3Q and 9 Months FY '24 Results Conference Call. On behalf of Antique Stockbroking, I thank the management for giving us the opportunity to host this call. Today, we have with us Dr. Satyanarayana Chava , Founder and CEO; Mr. V.V. Ravi Kumar, Executive Director and CFO; and Vivek from the IR team.

I will hand the call over to Dr. Satya for his opening remarks. Thank you, and over to you, sir.

Satyanarayana Chava: Thank you for joining us for our Quarter 3 and 9 months FY '24 results conference call. We are pleased to have this opportunity to update you on our progress and answer your questions.

We continue to make good progress in advancing our strategic priorities with focus on long - term success. We are progressing on building promising pipeline, augmented by our widening technology platform offerings and leveraging our commercial excellence. Our enabling capability is gaining lot of customer confidence, and this is quite well complemented by our continued growth investment which is expected to accelerate future business potential driven by several volume and value late -stage projects with key CDMO partners.

We also remain quite excited on transformative cell and gene therapy space that were added through strategic business development, such as India's first indigenously developed cell therapy product, NexCAR19, which was approved in December 2023 and is moving rapidly with commercial collaboration to enhance access, which will benefit cancer patients in India.

In addition, the Phase II interim results of NexCAR19 were presented during November '23 ASH conference, which was well appreciated. Secondly, our collaboration on gene therapy is progressing well and started GLP lab construction for the manufacture of viral vectors and cGMP gene therapy products. We expect to operate Phase 1 of this facility at IIT Kanpur campus from June 2024.

Moving on to our financial results. While our quarter 3 headline results were subdued, the underlying financial strength of our business have remained quite strong, which was reflected in our resilient gross margins of over 52% for several quarters. EBITDA margin were negatively impacted due to higher upfront expenses on growth projects and new initiatives to access

Laurus Labs Limited
January 24 , 2024
Page 3 of 18

innovative technologies. It is important to keep in mind as well as our year -on-year growth was impacted due to a particularly strong quarter we had in 2023, which included large PO delivery in the CDMO space.

Our revenues for the quarter increased by 6% ex -large CDMO PO, but overall declined by 23% to INR1,195 crores. And our EBITDA came at INR183 crores with a margin of 15.3%. The positive momentum in FDF and Onco APIs as well as Bio division was more than offset by softer sales in CDMO and our APIs.

This volatility was more driven by timing of several customer contracts. Having said that, the overall volume trend across our business have remained upbeat. Our cost improvement programs are also progressing quite well. We anticipate that a slower Q3 performance should rebound resulting from both healthy order book and strong commercial execution from Q4 FY

'24 onwards.

Overall, our confidence in the business remains high, and we are moving ahead with a clear

focus on technology breadth, coupled with scale differentiation to address commercial needs of our customers and create a value for our stakeholders over long term.

To begin, I would like to share key updates on our Formulation business. Our formulation division reported overall revenues of INR367 crores for the quarter 3, increasing by 47% over last year. On a sequential basis, revenues improved by 11%. Moreover, if you look at our 9 months, the revenues increased by 32%. This is primarily driven by consistent recovery in the ARV business, along with growth in developed market sales.

Coming to our LMIC business, overall market volumes have largely remained stable, partly supported from stable prices. We remain on course to fully stabilize our ARV franchise business through FY '24 and beyond. We are actively pursuing optimization programs to counter any pricing impact in the future. Supplies to recent NACO tender has started that will ensure our volume continuity.

Coming to the developed market, demand for our broader portfolio have remained healthy. In US, we continue to get good market share on the products that we are selling and also with very good increase in volumes. We have additional products under launch preparation for Q4, which will support asset utilization of our expanded greenfield capacity.

During 9 months, we filed 2 ANDAs. Cumulatively, we have a total 39 ANDAs filed to date.

Of this, we have a total 16 final approvals and 14 tentative approvals so far. In Canada, we have 21 filings, 14 product approvals, of which we have launched 9 products, and we intend to launch 2 more products in the current quarter.

For EU markets, we have 18 filings with 14 product approvals with 6 commercial launches. We have continued to strengthen our existing CMO relationships and discussing additional opportunity with new customers. Accordingly, we anticipate further volume increases in the coming quarters.

Laurus Labs Limited

January 24, 2024

Page 4 of 18

Our FDF division has a total commission capacity of 10 billion units right now, and we anticipate that some of the brownfield capacities that we have added in the last year should start to get optimally utilized from the next quarter onwards. This is primarily driven by sales in partner portfolio, full scale benefit of our new launches scheduled in Q4 and certain key product approvals besides stabilizing ARV volumes.

On R&D front, overall R&D spending to sales for the 9 months FY '24 was at 4.8%. Higher R&D spend in this quarter is in line to enhance our pipeline, which also includes our spend toward additional initiatives in gene therapy assets. We continue to make good progress and invest in portfolio with product-specific approach based on complexity and scale. We have a total of 61 products in the R&D pipeline, either under review or under development.

I'd like to share the status of our filings as of now. We have filed so far 13 ANDAs in US, 18 dossiers in Europe, 21 in Canada, 9 with WHO, 8 dossiers in South Africa and 1 in Australia, while 20 dossiers were filed in India. And 23 products were filed in various Rest of the World markets. Of the 13 ANDAs filed in US, we have 16 Para IV filings, including 11 fast-to-file opportunities. Overall, R&D to sales for the full year is expected to be around 4.5%.

In the generic API space, the revenue from generic API during the Q3 declined by 9% year-on-year to INR574 crores. For the 9 months, overall revenue was down by 5% only. ARV APIs retained its volume-led steady momentum and reported revenues of INR347 crores, a decline of 8% year-on-year and quarter-on-quarter. The current order book for these APIs looks encouraging. We continue to maintain a leading market share in the first-line HIV treatment. Onco API business

for the quarter delivered a strong revenue increase of 18% year-on-year to INR87 crores. When compared to 9 months, the revenue increased by 38%. We remain upbeat on this portfolio, which was supported by positive market dynamics. Accordingly, new capacity addition work is also under progress. More importantly Laurus Labs have one of the largest high-potent API capacity in the country. Our aim is to strengthen global leadership in some of the existing products by focusing on high-potent molecules.

In the other API segment, which includes cardiovascular, diabetes and asthma, these API sales largely remain muted and reported sales of INR140 crores, a decline of 23% year-on-year, whereas it was very flat quarter-on-quarter. The moderation was mainly due to transitional shipment impact and subdued pricing. We anticipate a better Q4 following the scheduled delivery of some of our CMO contracts.

We are confident that the underlying demand for our products in the CMO space, which have remained very strong and order book continue to look healthy. During the 9 months period, we filed 4 DMFs, 3 in non-ARV category that shows the diversification efforts of the company moving away from filing more DMFs in non-ARV space. As of today, the company has filed 83 DMFs.

Coming to the Synthesis business. During the Q3, the company's CDMO business recorded

to scale up well with our existing and new customers. On 9 months basis, ex -large CDMO PO, the division recorded a 30% growth.

We are seeing good RFPs flow from several big pharma and leading biotechs, and our advanced and integrated scientific platform is helping us in working towards addressing commercial needs of our customers, which is expected to accelerate CDMO growth potential in the coming years. We are working on over 60 active projects with ongoing commercial supplies for about 10 products, including APIs as well as advanced intermediates.

Key CDMO capex projects across R&D and commercial manufacturing facility are on track.

Our Crop Sciences chemical unit is under construction. And the Animal Health unit has started commercial validation supplies and scaling up well. As we mentioned, the Animal Health capacities are almost fully contracted to one big pharma partner.

The new animal site will have the capabilities to handle steroids, hormones, high -potent molecules apart from other large volume products. Our dedicated R&D center likely to get commissioned by end of this financial year, which will support our new business opportunities. Our focus remains to build diversified CDMO engine besides riding on the momentum in our NCE clinical projects.

Our Bio division witnessed a continued strong momentum with INR42 crores sales in Q3 and INR131 crores sales in the 9 months of FY '24, reporting a significant growth. The strong growth was led by diversifying application of our CDMO services across expanding customer base. We have continued to grow our enzyme engineering and production capabilities into small molecule clinical as well as commercial API projects, which will augment our pipeline in the green chemistry for sustainable journey.

Downstream processing at R2 is now operational, increasing capacity by about 20%, and this unit will achieve its peak revenues during FY '25. We broke the ground for greenfield R3 facility after receiving environment clearance. The construction is likely to begin this quarter with a target to install up to 2 million liters fermentati on capacity in a phased manner.

We see overall demand for products delivered from fermentation to remain upbeat, and the new large -scale capacity expansion should further transform Laurus capabilities into API offerings and CDMO activity.

Let me share brief on our quality and ESG si

de as well. While we execute on our R&D -led commercial strategy and planned growth investments, we remain equally committed to advance our quality systems and ESG agenda. We signed GHG commitment with SBTi during the quarter, and there are several ES G projects under implementation, including carbon neutral sourcing of power for few of our manufacturing units.

Further, during 9 months FY '24, a total of 97 quality audits were performed, including several customer audits. To date, since inception, we have successfully passed 96 regulatory audits, Laurus Labs Limited

including 45 audits from major global regulatory agencies like USFDA, WHO, PMDA, TGA, EMA and MHRA.

With that, I would like to hand it over to Ravi to share financial highlights.

V. V. Ravi Kumar : Thank you, Dr. Satya. A warm welcome to quarter 3 and 9 months of FY '24 conference call.

Excluding large CDMO PO, the underlying business delivered 11% growth in the 9 months' time. Total income from operations, INR3,601 crores in 9 months as against INR4,660 crores, with a declining of 23%. During the quarter, we reported INR1,195 crores sales against INR1,545 crores with a 23% decline. But barring large CDMO PO, we have registered a growth of 6%. The underlying demand across our growth portfolio has largely remained healthy. Gross margin for quarter 3 have improved at 54.3%. This is in line with our guidance on the improvement in various areas, especially in the ARVs. However, EBITDA for the quarter was lower to INR183 crores with 15.3% EBITDA margins .

Our EBITDA for 9 months was at INR539 crores, with a margin of 15%. The impact is primarily due to operational leverage, lower CDMO business. And these are the two reasons. Our diluted EPS of INR0.4. And for 9 months, it is INR1.60. Our ROCE and return on net worth was lower due to the lower profitability and higher investments.

On the capex front, we have invested INR191 crores during the quarter. And for the 9 months, it is INR576 crores. As you are aware that FY '24, the majority of the capex is for the Synthesis and Bio divisions. Most of the expansion projects are on track to support our future growth. You may refer for further details in IR presentation .

And with this, I would request the moderator to open the lines for the Q&A. Thank you.

Moderator : Thank you. We will now begin the question-and-answer session. First question is from the line of Sajal Kapoor an investor.

Sajal Kapoor : So firstly, Laurus operates in highly regulated markets, including the U.S. and Japan. They have multiple lines of business in Bio CDMO, NCE CDMO, generic APIs and generic formulations. We have a diverse development and manufacturing footprint across several units and locations, and we are growing. So in future, we will be a much bigger organization. With all that context, my question is, how do you verify that good culture is uniform.

And that there is no cross contamination between compliance plus mindset and the practice of cutting corners and not maintaining the high standards of compliance that regulators and stakeholders expect from Laurus. That's my first question, and I've got another one.

Satyanarayana Chava: Interesting question. Our philosophy always remain operate all units to one standard, quality standard. When we go through audits, either customer or regulatory audits, any comments which will improve our quality systems are implemented across the units, even one unit comments from the audits, we don't implement for that unit only. We take those improvements across all of our units. That's the corporate culture, and we don't want to deviate from that. So going back Laurus Labs Limited

January 24, 2024

Page 7 of 18

to your question, the quality culture will remain similar across all units. There are no cost-cutting or corners taken unit-wise.

Sajal Kapoor : That's helpful

and reassuring, Dr. Satya. And my second question is, one of our Indian competitors which is a pure-play CDMO has close to 100 projects with 400 scientists. So 4 scientists per project is the average. We have 60 projects and 750 scientists excluding generic formulations and generic API scientific talent that we have.

So I'm adjusting the number that we have published, which is 1,088, and I'm reducing that to a number closer to 750, spread across 60 projects. Now this is way above the industry average of 4 to 5 scientists per project. So 60 projects should require anywhere between 200 to 400 scientists as a rough estimate, depending upon where that project is in the life cycle. Early-stage projects will require more scientists, Phase III projects will require less scientists and so on.

So how come our scientific talent pool purely on the CDMO side is double that of the industry average? That is the question I'm trying to get your view on because clearly, scientific talent is a fixed cost for us. And part of the operational deleverage that we are seeing in the operating margins is because of this high fixed cost that is not translating into revenues and scientific talent is definitely 1 element in that fixed cost. So why are we having such a high ratio of only 60 projects with 750 scientists?

Satyanarayana Chava: Thanks for asking this question. It all depends on the stage and complexity of the projects being handled. If it is RSM, which may involve 1 or 2 steps. If it is intermediate, maybe 6, 7 steps, if it is API, it could involve additional steps. I'll give you an example. We executed on project last quarter, including backward integration, we did 15 chemical steps. So you can't compare projects and number across the 60 projects.

We also hope to work on some projects which are even more complex than what we handled so far, 30, 40 chemical steps for each project. Then the demand for the scientific talent, I would say depending on number of steps, your initial comment of 4 scientists. It may be valid for 1 step. If we are handling 30, 40 steps, you may need 100 people for project also, depending on the complexity.

So the advantage what the company is having is the ability to handle complex projects at scale. Maybe we are in a sweet spot to attract such kind of projects, high volume, high complex, large synthetic schemes. That is taking away a lot of our scientific talent. One good thing is there are not many companies who can offer such complex chemistry and scale. That is the reason we have some interesting projects coming to scale up. I hope I answered your question.

Sajal Kapoor : Definitely, Dr. Satya. Thank you so much. I've got more questions. I will rejoin the queue.

Moderator : Next question is from the line of Jeevan Vijay from Sahasrar Capital.

Jeevan Vijay : So just wanted to understand, so I would request you to actually give us some sense on how we are going to move in next quarter and next year? So since start of the year, we are saying this is

Laurus Labs Limited

January 24, 2024

Page 8 of 18

a consolidating year for us. And we are seeing that in terms of technology, in terms of projects, everything we are basically moving toward diversifying from ARV based and we are doing it pretty successfully. I just want to understand in terms of numbers.

So qualitatively, I understand we are on right track. But quantitatively, just want to understand where are we? So -- because last 3 quarters, I think, honestly, it's below our expectations. So in

terms of numbers, in term of quantitative give us some sense, where do we stand? And how do you see FY '24 year closing and the next year?

Satyanarayana Chava: We believe we are putting the bad quarters behind. And we hope Q4 onwards, we definitely see improvements. That confidence is coming because of the order book and the deliveries what we are going and planning to do in Q3. That's the confidence what we have.

Jeevan Vijay : Any quantitative numbers -- I just request you to -- if you can just share some numbers because we are already close to FY '24 and we are 1 month already into Q4. And we'll be closing the year after 2 months. So last year, it was like we will be somewhere closer to what we did in FY '23. And now we are almost 23% lower than there. So is it like we are going to close actually minus 10%, minus 15%, where do you see this year getting closed

Satyanarayana Chava: I will give it to Ravi to give some light on this?

V. V. Ravi Kumar : I think we can't give any quantity guidance. We never gave except once. But if you look at it in our investor presentation, we have given a slide where we said that based on the capex investment, what could be the asset turn we can do it, what we have done in the peak. So we are in a growth phase. We also indicated in the last 2-3 quarters back that 3 year or back, actually, we have seen the same situation. We are hoping that history should repeat, and there is a progress but we can't give any quantitative guidance

Jeevan Vijay : I also have similar view, Ravi, that history will repeat, the FY '20, FY '21 numbers should start again coming in FY '25, '26. So just wanted to check what is happening as after Q1 everyone and I also thought that the bad is behind, and now we should move ahead. But Q2 was, again, the number didn't come and now Q3 again, the number didn't come. So I'm just trying to understand, are we closer now to the end of the tunnel

V. V. Ravi Kumar : That's what Dr. Satya indicated. And if you look at our last quarter call, we have guided that second half will be better than the first half. We still commit to that. We have not indicated quarter 3 will be better than quarter 2, but second half will be definitely better than the first half.

That's what we indicated in the last call, and we are still committing to that.

Jeevan Vijay : Okay. Perfect. Around the Bio side, we say that we have started the work on the new facility, the 2 million-liter facility and we see that Phase 1 should start in June '26, which is almost 30 months from now. So why there is so much of time? Is it like once we start the Phase I the next phases will come quickly after that?

Laurus Labs Limited

January 24, 2024

Page 9 of 18

Satyanarayana Chava: As I mentioned, the 2 million liters fermentation capacity will be added in a phased manner. The first phase, we are expecting to add 700,000 to 800,000 liters fermentation capacity and which will come up in qualified trials done in '24 months. That's the estimation of what we have right now. It's not a brownfield, it is a greenfield expansion, yes.

Jeevan Vijay : Okay. Okay. And then the next expansion, the next phase will come pretty fast.

Satyanarayana Chava: 12 months. We expect it will be 12 months, yes.

Jeevan Vijay : Okay. And the third question, the last question, we have commercialized the ImmunoACT, the CAR-T cell therapy in India. So any sense on how is the response or what is our strategy to reach to the patients in India? How do you basically plan to reach to the masses of India.

Satyanarayana Chava: So last month, they started enrolling patients. And we're happy to share. Hopefully, they will turn from red to green in this quarter.

Moderator : Next question is from the line of Harith Ahamed from Avendus Spark.

Harith Ahamed : So Ravi sir, when I look at the operating cash flows that you have shared in your presentation, I see that for 9 months FY '24 is around INR370 crores, which is less than what you have shared in the last quarter. So we are seeing a negative OCF in 3Q? How would you explain this?

V. V. Ravi Kumar : Harith, your voice is not very clear. Are you using hands-free?

Harith Ahamed : No. Yes. Is it better now? Can I try again?

V. V. Ravi Kumar : Yes, it's better.

Harith Ahamed : Yes. So for the operating cash flow

is that you've disclosed for 9 months FY '24, it's less than

what you had disclosed in 1H. So it appears that there is a negative operating cash flow in the third quarter. So I'm just trying to understand what exactly has happened. So the INR370 crores number that you shared in the 3Q presentation for 6 months, it was INR475 crores.

Harith Ahamed : So 9 months OCF is less than 6 months OCF. That's my question.

V. V. Ravi Kumar : It cannot be probably we will discuss offline on this, yes.

Harith Ahamed : Yes. And the last couple of years, we had a capex of around INR900 crores and as compared with where we are looking at a similar level for FY '24 as well. So from FY '25 there will be a moderation from this INR900 crores numbers that we've seen in the last few years?

V. V. Ravi Kumar : Right now, the capex for the FY '25, the ongoing projects of Animal Health, may be one block from Animal Health and Agri unit also will be there and then Bio. These 3 are the ongoing

projects, apart from that, the LSPL R&D. These 4 are the ongoing projects. We are not taking up any new projects as of now. So probably on the specific number, what we are planning for

Laurus Labs Limited
January 24, 2024
Page 10 of 18

FY '25, we will come back in the April conference call. But we are also thinking like if possible, actually, we want to downsize without cutting the future

Harith Ahamed : Okay. And then you mentioned that we have operationalized LSPL 2 during the quarter. So I'm just wondering if there is a contribution from the Animal Health contract in the CDMO revenues for the quarter?

V. V. Ravi Kumar : Very small and meager. They are very meager in the quarter 3. And maybe quarter 4 onwards, it will slowly pick up. But as we envisaged it before, it has got 1, 2 quarters delay, yes.

Harith Ahamed : Okay. And sir, just to rephrase my previous question on the operating cash flow. When I look at net debt number currently, based on your disclosure of around 3x EBITDA, it's around -- it's working out to around INR2,500 crores. The same number at the end of September quarter was around INR2,000 crores. So there's a INR500 crores increase in net debt, that cash flow deficit is what I am trying to understand.

I will connect with you offline on this. So the question from my side is on the R&D center, CDMO R&D center, which you've guided for commissioning in June this year. So how should we think about revenues from the center? Is this R&D center for our captive R&D work? Or Should we look at this as R&D center commissioning will lead to revenue generation from this center? So just trying to understand the nature of work that we are planning at the center.

Satyanarayana Chava: R&D center will augment our capacity to offer more clinical early stage projects. We don't anticipate significant revenue coming out of that R&D center.

Moderator: Next question is from the line of Rohit Jain from Tara Capital Partners. Please proceed.

Rohit Jain : One question from my side. Can you help us understand what is the target margin, let's say, levels for FY '25, the EBITDA margin levels?

Satyanarayana Chava: As the volume of sales picks up, we do anticipate significant improvement from the EBITDA margins from current little over 15% to definitely behind 20%. We can't give you a number, but it will improve significantly, yes.

Rohit Jain: Just one -- I think one of the earlier callers has also mentioned this. Over the last 3 quarters, what we have seen on the call, which is just qualitative comments that it will get better without any tangible numbers. So for us, to be honest, it's a very difficult situation because, let's say, if you have 15% going to 18%, that can also be classified a significant improvement, 20% can also be significant, 22% can also be significant. So how should we think about the actual numbers because a lot of improvement is obviously already

ready baked in?

Satyanarayana Chava: I think, see, one confidence what we wanted to give the investors is, one is quality of business. Second is quantum of the business. As we mentioned in this call, the quality of business is very good. We are doing gross margin well above 52% even in the current quarter Q3 FY '24, we did over 54%. And we expect that will continue.

Laurus Labs Limited

January 24, 2024

Page 11 of 18

As we increase our sales in CDMO space, which we expect next year will increase. The ability to remain at that level for gross margins is very high. And what we are saying as the order book increases and the revenue goes up, and most of the gross margin will flow into EBITDA, not all of that, most of the gross margin.

So that is the reason we expect significant improvement. And it's not that we have done that performance earlier. Which we had. Without segment contribution from CDMO, we were at close to 30% of EBITDA. And we came down, but we never went down at a gross margin level. So that's the confidence the management has. And I'm sure we will regain your confidence for sure in as shortest possible time as we can, yes.

Rohit Jain : And just one last question on margin again. Your slide said that your asset turn is right now 0.9 and the average is 1.1. So assuming we reach 1.1 next year, let's say, 20% increase from the current level. And if we assume gross margin at 50% and we assume that the entire incremental sales flows to EBITDA then we get to a margin of 20% from the current 15%. Would that be the right way of looking at it, that is pretty much the ceiling as far as our utilization remains at 1.1?

Satyanarayana Chava: I'm not going to give arithmetic of that statement, but we are on the right direction, you and we, both of us, yes.

Rohit Jain : Okay. Fair enough. And can you help us understand, you mentioned that Animal Health has been delayed by a couple of quarters. So is this just a time delay or the initial amount that we thought we will get from this, has there been some tampering in that also?

Satyanarayana Chava: No, no. So we have a long-term contract in place. The delay was due to 2 reasons. One was there was delay in qualifying the facility. There was some delay in validations because of the strong chemical synthesis needs of that. And as I mentioned in my opening remarks, whatever capacity we have created in that unit is already contracted to 1 big pharma. And we don't have any reservations that the quantum of the business will go down than what we anticipated.

Like the CDMO revenue coming from our Unit 5 steroids and hormones went into a pretty stable mode. We expect Animal Health revenues will also go into a stable mode in the next 3 years. So we will have a very detailed plan in place, how many products are going to validation, how many products are going to filing, how many products are going to be commercialized. This is a well-structured program, and we don't see any challenges out of that.

Rohit Jain : Okay. And I think you mentioned to the other participant that you will clarify the cash flow and the debt, even we can't understand whether this quarter had a negative operating cash flow because that is what the slide deck suggests. So in case there is any clarification, it would be really helpful if you can file it with BSE so that the wider group can understand what happened with the cash flow in this quarter. That would be one suggestion.

Satyanarayana Chava: We'll submit revised statement, if there are any changes, yes.

Laurus Labs Limited

January 24, 2024

Page 12 of 18

V. V. Ravi Kumar : As far as the debt is concerned, as answered to the previous question, it is indicated around that level.

Rohit Jain : I'm talking about cash flow. So in case there is any change in numbers there. That is what I was mentioning.

Satyanarayana Chava: Thanks for raising that question. If there are any changes,

we'll resubmit to the stock exchanges.

Moderator: Next question is from the line of Foram Parekh from Sharekhan.

Foram Parekh : Thank you for the opportunity. I only have one question. So in the last con call, the management has alluded that H2 would be better than H1. And 9 months down the line, our EBITDA margin is just 15-odd percent. And now in the commentary also, the management did mention that H2 will be significantly better than H1, despite 3 quarters being passed. So are we confident that we will close FY '24 at 20% EBITDA margin as guided in the previous quarter con call?

Satyanarayana Chava: Our CFO mentioned, we are committed to our statement made in the last con call that H2 will be better than H1, and we are very confident that we will deliver better H2 than H1 even now.

Foram Parekh : Okay. So then we see that in the larger pie of [inaudible 0:43:43] segment and commodity prices are softening and also CDMO, which is just 25% of the total sales. So if there's a pickup in CDMO sales too, so you'll be still saying that when the larger pie is not growing, we can still increase our EBITDA margin?

Satyanarayana Chava: You are right, we'll definitely increase our EBITDA margins. See, currently, all our costs are absorbed and any improvement in sales the gross margins, most of that will flow into EBITDA. So we're very confident the EBITDA percentage will also move upwards in Q4.

Foram Parekh : Okay. So while gross margin remains the same and EBITDA is expected to increase, so where are we seeing the cut. Are we expecting R&D sales to come down or employee costs to come down? If you can just specifically highlight which cost is expected to come down?

Satyanarayana Chava: Costs are not going to come down. Only sales is going up.

Moderator : Next question is from the line of Harshal Patil from Mirae Asset Capital Markets. Please go ahead.

Harshal Patil : Thank you sir for the opportunity to ask the question. Most of my questions are answered. Just need 2 clarifications from you. One is for the other APIs where we've clearly mentioned of shipments getting impacted or delayed. So is it that, sir, we will see the shipments coming back in Q4?

Satyanarayana Chava: Actually, see, it's not shipment delays. So that is a scheduled delivery. Our partner asked us to deliver in Q4 than in Q3, yes.

Laurus Labs Limited

January 24, 2024

Page 13 of 18

Harshal Patil : So it will be there in Q4. And sir, if you could just also mentioned like, you also said that there's some impact of pricing. So any flavor of what can be the impact in terms of maybe percentage or something for the pricing thing?

Satyanarayana Chava: Actually, the pricing impact was offset by increased volumes in some of the products. So that's the one reason where our gross margins also went up. If you look at it from quarter-to-quarter, we have improved our gross margin of 180 basis points, yes.

Harshal Patil : Okay. Got that. And sir, just one more thing on the Animal Health project, where we are envisaging some delay of 1 to 2 quarters, I'm sure that would definitely be starting. But sir, any flavor on the potential size of revenues that can be expected from the Animal Health, I guess it

will be mostly in FY '25 now.

Satyanarayana Chava: The peak revenues for that unit will be in FY '26, not in FY '25 also. So we have to validate 20 APIs from the site. But currently, third product validation is going on right now. You can imagine 17 more products to go validation. And we have to do at least 1 product per quarter or more than 1 product per quarter to complete our validation. We scheduled to complete our validation by 2026 April. That's the current schedule.

Harshal Patil : Okay. So post that only, we would see some material revenue coming in from the Animal Health.

Satyanarayana Chava: The earlier products, which are validated, will be filed and we expect 12 months' time required

to get approvals from the agencies. So we expect commercial sales will come from first product, 2 products are already done. I think we have orders for 1 product for next year. Second product orders will come end of FY '25. So it is a very well-defined program we have in place.

Harshal Patil : Okay. And the potential definitely would be a sizable one?

Satyanarayana Chava: It will be very good, yes.

Mod erator : Next question is from the line of Tushar Bohra from Emkay Ventures. Please go ahead.

Tushar Bohra : Thanks for the opportunity . Sir, first, just to quickly check what is the expected gross block going to be end of this year as per the guided capex line, ballpark number?

Satyanarayana Chava: I'll ask Ravi to take this question.

V. V. Ravi Kumar : Around INR6,000 crores, Tushar.

Tushar Bohra : And next year, we are doing another, sir, INR1,000 crores capex . I don't know the exact ballpark, what is your guidance for next year?

V. V. Ravi Kumar : Nothing at this juncture, but probably, we have a visibility of adding at least INR500-600 crores . We will get back on the exact number in the April quarter.

Laurus Labs Limited

January 24 , 2024

Page 14 of 18

Tushar Bohra : So my question is just looking back, the first time we hit, Sales more than INR1,100 crores about INR1,140 crores was second quarter of FY '21, which was quite a few quarters back. I am just looking at the gross margin and the cost structure and the profit structure for the company at that point versus for the current quarter, which is INR1,195 crores or thereabout revenue. So the revenue profile is in the similar ballpark Q2 FY '21 versus Q3 FY '24. And on the cost side, below gross profit, I see a difference of INR300 crores on a quarterly basis.

And for the corresponding revenue, the costs are higher by INR300 crores, employee, other operating costs, depreciation and interest. So my assumption would be a large part of this would be for incremental initiatives, which are not yet yielding results because the revenue profile is very much similar. And now that the CDMO business has also seen an increase in revenues but some segments have degrowth elsewhere. But the overall revenue profile is similar.

So I'm assuming and that is where I would like a commentary from you that this INR300 crores difference in cost, a large part of this, can we attribute this to new initiatives where obviously, the depreciation and interest toward the capacity? That's first. Second, from INR2,700 crores or thereabouts gross block end of FY '21, which was good enough to support close to INR5,000 crores revenues that year.

We are now going to be at INR6,500 crores gross block by end of next year, INR6,000 crores by end of this year. So Ideally, if we assume that the asset utilization would be similar to earlier levels, we are talking potentially more than INR10,000 crores revenue being supported by the current gross block alone, and we're adding to it.

So just to get a sense, when do we start to see the revenue profile not exactly in the same ballpark, but the revenues have been stagnating for some time now. When do we start to see material traction on revenues, which obviously will then cover for your operating deleverage for the operating cost as well?

Satyanarayana Chava: I think, Tushar, very interesting though provoking question you put. The revenue profile in Q3 FY '21 to Q3 FY '24 has changed significantly. From ARV -driven revenues to non -ARV driven revenues, that is one. And second, as we mentioned, gross block improved significantly. Our team size has also improved significantly.

Not just capex , in the last 3 years, we also invested non -capex close to INR450 crores, almost INR300 crores equity infusion done in Laurus Bio. And about INR100 crores , a little over INR100 crores was done in ImmunoACT. And the gene therapy assets were licensed from IIT Kanpur. So

over INR450 crores, non -capex -related investments were also done.

That is another significant diversification by the company. And second, 2021, no new R&D center for Synthesis, no new unit for Animal Health, no new unit construction for Crop Science chemicals. So we have taken a lot of initiatives to diversify revenues from nongrowing therapies like HIV to potentially high -growth segments like CDMO, Animal Health , Crop Science with great opportunity, disruptive therapies like cell and gene therapy and also going into new age

So all these have added to our cost structure significantly, while we are not seeing the real benefit right now. But all these at some point of time, will start delivering the right results what we anticipated. If you look at Bio, which is older investment, when compared to other investments. When we invested the company was having INR50 crores revenue. Today, this year, I'm sure that will deliver INR50 crores EBITDA. So that is definitely giving benefit what we thought. ImmunoACT will also give benefit.

As I mentioned, hopefully, this quarter, they'll become green from red. That is very remarkable for a start-up. Whereas our Animal Health, we invested significant money. We had a full-fledged team on the ground, but we are only doing validation right now. So it will take another 12 months for that unit to turn green.

Crop Sciences will take 18 months to turn green. So all these are very conscious and judicious investment the company is doing to diversify and also bring sustainability to the organization.

Tushar Bohra : Sir, noted, and we appreciate the purpose of the management, which is not looking at a short-term view. But so the point to really understand is that the gross block investment has already been done, and it's a sizable investment. And we've done it over a 4-year period from FY '21 -- at least 3-year period until end of this year.

Now -- so one question that we need to understand is that whether some of the revenue profile that has changed, does this point to a permanent loss of competitiveness or revenue opportunities from the existing business. So what happens to that gross block, which was part of the original INR2,700 crores whether that gross block can be or has been repurposed and is yet to deliver results because we don't have a breakdown of the gross block for each segment or at least not immediately in front of me to qualify that.

But if you're saying that some of these gross block change has gone toward a revenue replacement for the earlier ARV business. Then what has happened to the original gross block, the original capacity dedicated to ARV. Have they been repurposed in any way? Or how do we ensure that, that capacity can be repurposed if the ARV business is going to permanently be at a different scale than originally envisaged?

Second, if the new initiatives like you highlighted. Can we have some more milestones for the other segments? Like let's say, from here over the next 3 years, how do we look at Laurus Bio. What kind of numbers can we look at from Animal Health business? Some more clarity that allows us to say, if not segment-wise at an overall gross block level, this INR6,500 crores gross block that we're talking FY '25.

How do we look at this over the next 3 years? How should we look at the overall utilization? And how do we get a comfort that by the time we reach the utilization for this gross block, the management would have not already added another INR2,000 crores, INR3,000 crores gross block in anticipation of the business, which are thereafter. We don't want to be in a perennial investment situation where the investors don't see a profit outcome.

V. V. Ravi Kumar : I think, Tushar, your points are valid, good obser

vation. So the overhead numbers and coming to the ARVs more or less in this last 3-year time, the more or less the ARV revenue is close to the number of what quarter to FY '21 you have talked about. But if you look at the price fall in the last 3 years on the ARV side and then the volume increase there in the ARV. For example, efavirenz is the 1 product of ARV, which was fallen, which was replaced with the dolutegravir, we have changed that.

But if you recollect and refer to Slide 8, what we have given here, how the capex is right now, the 0.9 is the asset turn and the peak is 1.4, but if you look at last 5-year average is 1.1. This is how the revenue can be scaled. It's only a matter of time. The kind of an investment, what we have made in the last 3 years or last 4 years when we added a INR3,000 crores capex. Some of it has not generated any revenue. So that has a potential to generate more revenue. If you look at on the positive side, once everything has been done, actually, we have a capacity to run, people to run. We are incurring the expenditure.

So probably the incremental revenue generate with a not significant upside on the expenditure side. That's how you have to look at. And, then coming to the numbers, what we are saying, we don't want to give any quantitative guidance, Tushar. And then I think once we start generating revenues, then everything will be fine.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal : Sir, we've discussed a bit on the CDMO part during the call. But the other relevant component

of the business, which is the Fixed Dosed Formulations business and the other API business segment, I mean, they've also had their share of challenges over the last 1 year, 1.5 years. Now when you look forward or the next few quarters, I mean, the 2 things is what has really led to relatively modest growth in some of these segments. I think we've been reasonably positive on the contract manufacturing opportunities in both these businesses. And from here on, sir, how should we look at growth in these businesses?

Satyanarayana Chava: Nitin, you're breaking, but we got the essence of your question. Some segments did very well in the Q3 as well. The oncology did report significant growth. Other APIs did okay. The FDF we did well. FDF in developed market did very well. We hope oncology growth will continue to be there. That will also be reflected in our Q4 numbers you will see in April. Overall, the growth has to come from oncology, other APIs, generics CMO, CDMO and Bio. And as we mentioned, we expect the plateau for ARV APIs and formulation sale together. It will be vary INR50 crores - INR100 crores here and there, but it will stabilize around INR2,500 crores. We don't expect that will go significantly up or significantly down. The growth is anticipated in other areas, and that is primarily, we believe, because of the projects we are working, customers who are talking to us on the volumes in various fields.

Nitin Agarwal : Sir, on the FDF last capacity expansion that you undertook, most of the capacity was utilized by the ARV supplies. Now since the ARV supply is not an incremental growth driver for the

Laurus Labs Limited

January 24 , 2024

Page 17 of 18

business, and we've put up significant FDF capacity since then. How do you see the FDF capacity getting utilized? I mean, what will be the utilization drivers for the FDF capacity going forward? Because CDMO largely, I presume, is all API and specialty chemical driven.

Satyanarayana Chava: The capacity required for ARV formulations is very less. So less than 20% of our capacity, 2 billion. I wouldn't expect we'll use even 2 billion tablets. It is probably 1.5 billion tablets will be used for ARVs because these are a 3 -drug combination. So increase or decrease in ARV capacity utilization formulations will not consume bigger capacity for our

small molecules. I hope Nitin, I answered your question.

Nitin Agarwal : What sort of therapies, what segment do you think, which geographies will use up the 8 billion other capacity, which is there outside of the ARVs? And how much utilization are we on that right now of the 8 billion?

Satyanarayana Chava: We're between 6 billion and 7 billion right now. And we expect to use maybe 1 more billion during this quarter because of the anticipated launches in U.S. and also increased demand coming from our CMO partner from Europe. So in next 6 months, we hope to utilize that capacity optimum. And at the time, I think once we reach that stage, where we will equip our remaining MB3 . But right now, we definitely have some capacity to offer to our launches or to our CDMO partner.

Moderator : We will take our last question from the line of Shivam Agarwal from Mirae Asset Capital Markets. Please go ahead

Shivam Agarwal : So just one question for you, sir. On the CDMO side, so can we assume that the quarter 3 revenues for CDMO will be the base going forward? And even that on an ex-PO basis, we have grown at 30% on the 9 -month period. So can this growth trajectory be sustained going forward?

Satyanarayana Chava: We have enough projects on hand to take our revenue beyond our peak last year. But we are not committing when we will cross that. But we can tell you we have enough projects to surpass that number. See, we have no control on the advancement of clinical programs, but we have enough projects in advanced stages. That is the reason despite of the current challenges, management is very upbeat and continue to invest in resources to take us to the next level in our CDMO plays.

Moderator : Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for the closing comments.

V. V. Ravi Kumar : The question asked by 2 people on the operating cash flow, the numbers are right. Numbers have been reflecting because of this change in working capital. So this, we thought we will clarify. We are clarifying in the call itself. Thank you.

Satyanarayana Chava: Thanks, everyone, for your insightful questions and also patience in waiting for our performance and which, as we mentioned, we hope to keep up to your confidence from Q4 onwards. Thanks for your time to join this call. Thank you.

Laurus Labs Limited

January 24 , 2024

Page 18 of 18

Moderator: Thank you very much, sir. On behalf of Antique Stock Broking that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Apr 2024

April 30 , 2024
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Q4 FY24 Results conference call hosted on April 25 , 2024

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated April 18, 2024 , please be informed that the Results conference call for Q4 FY24 was hosted on April 25, 2024 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

Page 1 of 17

"Laurus Labs Limited Q4 FY24 Earnings Conference
Call"

April 25, 2024

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER & CEO,
LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR &
CFO , LAURUS LABS LIMITED
MR. VIVEK KUMAR - INVESTOR RELATIONS , LAURUS
LABS LIMITED

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

Laurus Labs Limited
April 25 , 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Laurus Labs Limited Q4 FY24 Earning Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking Limited.

Thank you and over to you , sir.

Monish Shah : Thank you, Ria. Good evening, everyone and welcome to Laurus Labs 4Q and Full Year 24 Results Conference Call.

On behalf of Antique Stock Broking, I thank Laurus Management for giving us the opportunity to host this call. Today , we have with us Dr . Satyanarayana Chava - Founder and CEO; Mr. V. V. Ravi Kumar - Executive Director and CFO and Vivek from the IR team . I would now like to hand the call over to Dr . Satya for his opening remarks. Thank you and over to you , sir.

Satyanarayana Chava : Thank you, Monish. Thank you for joining us for our Q4 and Full Year FY24 Results Conference Call.

We are pleased to have this opportunity to update you on our progress and answer your questions.

Our R&D-led commercial strategy made good progress and I am pleased with the resilience performance backed by our robust integrated model . In 2024, we advanced on several pipeline projects across our offerings and augmented our broad technology and manufacturing platforms. The Company 's BD (Business Development) efforts also resulted in a multiyear CDMO contract with a leading Crop Science Company and over a decade of fruitful long -term collaboration with KRKA fructified into formation of a joint venture. Further, we deepened our cooperation with major CDMO clients on green and sustainable technology platforms, especially high-pressure hydrogenations, continuous flow chemistry and biocatalysis. We are also currently engaged in delivering multiple projects involving multistep complex chemistry, large scale biocatalysis with in-house enzymes manufacturing. Over the past 3 years, we have made significant investments in our development and manufacturing capabilities to see d in the next wave o f impact ful growth for Laurus Labs .

Our ongoing innovative CGT investments continue to report significant updates for the period under review, especially the successful NexCAR 19 commercial launch in India to treat certain cancers . Further , a second large GMP integrated CAR-T facility i s under construction to service more patients and making treatment more affordable . With our collaboration on gene therapy

Laurus Labs Limited

April 25 , 2024

Page 3 of 17

with IIT Kanpur , the Company started GLP, GMP plant construction for the manufacture of viral vectors and gene therapy products . We target to operate phase one by the end of Q3 FY25.

Moving to our financial results :

Our Q4 core results reflect continued resilience in financial health across our business divisions despite no COVID treatment related supplies and significant pricing pressure on the generic APIs . We delivered underlying growth of 9% in revenues to Rs. 5,041 crores, driven by strong performance in formulations, CDMO, Onco APIs and Bio division. And also, this was achieved because of stabilizing ARV sales. Gross margins were maintained at 52% for the whole year despite quarter -to-quarter variation . EBITDA margins negatively impacted, and we reported 16% EBITDA margins due to higher OPEX on growth projects and higher R&D spend. Our Q4 results improved sequentially led by positive contributions from all businesses backed by a volume increase and healthy order book.

To begin, I would like to share key updates on o

ur various business segments :

In Formulations :

This division reported overall revenues of Rs. 430 crores for Q4, increasing by 9% over last year. On a sequential basis, revenues further improved to 17%. This is primarily driven by a consistent recovery in ARV business along with growth in developed markets. During the quarter, we signed a joint venture with K RKA with a focus to enhance combined generic portfolio and market presence. I feel it is a great opportunity to utilize our integrated manufacturing capabilities and extensive pipeline from K RKA in innovative and complex generics which offers attractive growth prospects in the long run.

Coming to ARV business :

Overall market volumes have largely remained stable, largely supported by stable pricing trends over the last 2-3 quarters and NACO supplies. We believe the impact in ARV franchise are broadly stabilized and expected to stay in this range. While we continue to pursue optimization programs to counter any pricing impact, our extensive knowhow, portfolio breadth including complex formulations and new market potentially solidify our leadership position in ARVs to withstand any further market challenges.

Coming to the developed market :

We continue to perform well across our broader portfolio despite higher competitive intensity. During FY24, we filed 8 dossiers and a total of 9 approvals were received, including few tentative approvals.

Laurus Labs Limited

April 25, 2024

Page 4 of 17

In the US, we continue to get good market share on select products and also increasing volumes. Recent US approved flowthrough has been very good, and we launched 2 products in US during the Q4 and 2 more products launches is under preparation. These launches will support better asset utilization. Cumulatively, we have a total of 40 ANDAs filed so far. Of these, we have 18 final approvals and 14 tentative approvals. We continue to have diverse portfolios and pipelines across ARVs, Cardiovascular, Diabetes, CNS, and GI.

On R&D front :

Overall R&D spending to sales for FY24 was at 4.8%. Higher R&D spend is in line to enhance our pipeline, which includes spend towards additional initiatives in Cell and Gene Therapy. Commercialization of our first modified release product was done during the last quarter of FY24. We continue to invest in portfolios with product specific approach based on complexity and scale economies.

In the generic APIs, revenue for the Q4 was very strong at Rs. 745 crores supported from growth across franchises. For FY24, the overall growth was down by 2% for the entire year, mainly impacted from other APIs offsetting positive growth in Onco APIs. ARV APIs have retained its volume led steady momentum and reported a revenue of Rs. 408 crores for the quarter. For FY24, the division has continued to internally support FDF requirements. Accordingly, the business reported flattish performance for the full year. The current order book for our API basket looks encouraging. We continue to maintain a leading market share in the first-line HIV treatment.

Onco API business reported the highest ever quarterly sales of Rs. 147 crores. The year reported strong growth of over 27%. During the year, we have completed validation of few oncology products at our Vizag site with increased batch sizes and increased capacity multifold for few products. We believe our portfolio breadth, new capacities along with ongoing positive market dynamics would continue to support additional volumes in this division.

Other API segments which include Cardiovascular, Diabetes and Asthma have recovered sequentially led by CMO contract delivery and reported a sale of Rs. 190 crores. FY24 revenues for other APIs have declined by 22% due to challenging price environment, mostly offsetting volume growth. While pricing headwind may continue even in FY25, we are committed

to long -

term growth with clear focus on cost leadership in selecting high value APIs. We are accelerating, focusing on increased efficiency, sourcing, and cost improvements to mitigate inflation and price pressures. We filed 4 DMFs, 3 in non-ARV, 1 in ARV. With this, we filed a total of 83 DMFs.

In our CDMO business :

We did achieve Rs. 922 crores sales. We saw substantially more RFPs in FY24 versus FY23 from several big pharma and leading biotech's. Increased RFPs for the late-stage projects will

Laurus Labs Limited

April 25, 2024

Page 5 of 17

certainly provide a very good opportunity for the Company. Besides, we are also increasing our BD (Business Development) efforts towards securing early-stage projects to widen the project

pipeline, laying the foundation for long-term growth. We are working on over 70 active projects, ongoing commercial supplies for about 10 products, including APIs, as well as several intermediates.

Key CDMO growth projects across our R&D and commercial manufacturing facility is on track. Our Crop Science unit is under construction and Animal Health unit has started commercial validation supplies and scaling up well. These capacities are almost fully contracted with a big pharma partner. The new Animal Health site will have capabilities to handle steroids, hormones and high protein molecules apart from other large volume products. Our focus continues to be leveraging significant scientific overlaps and build a diversified revenue streams from customers. In the Bio division, the full year reported stronger than expected growth of Rs. 164 crores sales, 28% over the previous year. This was despite transitionary very low Q4 sales because of order cyclicality. The strong growth was led by diversifying applications for our CDMO services and rapid expansion in our customer base. We continue to grow our enzyme engineering and production for small molecule, clinical and commercial API projects which will augment our pipeline using green chemistry for sustainable manufacturing.

During the year, we operationalized downstream capacity and R2 capacity increased by 20%. The unit is likely to achieve peak revenues during FY25. We also made plans to create larger fermentation manufacturing capacity both in Vizag and Mysore, respectively. Earlier, we mentioned only Mysore, but we also initiated construction of Bio at Vizag because of opportunities we saw in GMP pharmaceutical manufacturing. The facility will be ready by the end of FY26.

Let me share brief on our quality and ESG initiatives. In 2024, the Company underwent more than 130 quality audits by multiple regulatory agencies and several customers. The Company has successfully passed audit inspections without critical findings. We remain committed in advancing quality systems, meeting stringent requirements from clients as well as global regulatory standards. We are also making good progress on our ESG, EHS agenda for long-term success.

Now, let me turn to a broad FY25 outlook:

We are entering the year with solid foundation and remain committed to unlock sustainable and profitable growth by focusing on technology breadth and commercial excellence of the Company. We are prioritizing efforts to improve our operating margin, particularly increasing asset utilization across our network and delivering on a few of our late phase commercial NCE opportunities. We also expect pricing headwinds in the parts of the API portfolio, but which we believe will offset from volume increases and continued cost improvement measures. At the

Laurus Labs Limited

April 25, 2024

Page 6 of 17

same time, we have been investing in Laurus' future and continue to create long-term value for all stakeholders.

With that, I would like to hand it over to Ravi to share "Financial Highlights."

Ravi Kumar: Thank you, Dr. Satya, and a very warm welcome

to everyone on our Quarter 4 and FY24 Earning

Call.

Excluding large CDMO IPO, we reported 9% growth in FY24. Total income from operation is at Rs. 5,041 crore against Rs. 6,041 crores and overall, actually we declined 17%. During the quarter, we reported Rs. 1,440 crores sales against Rs. 1,381 crores increased 4% year-on-year and 21% quarter-on-quarter. The growth was supported from all divisions.

Gross margin for the full year is around 52%. The main reason for the gross margin decline from Q3 to Q4 is the product mix. Our EBITDA for FY24 was 16% and for the quarter, it was 18%. Our diluted EPS for FY24 is Rs. 2.9 reporting a decline and our ROCE is at 6.4% versus 21.3% due to lower operating results and strong capital deployment towards growth projects.

On the CAPEX front, we invested close to Rs. 700 crore for the year and continued to invest in CDMO and bio division. Our net debt stood at Rs. 2,368 crore as we indicated, around Rs. 2,500 crore and debt to EBITDA is around 3x. It will reduce in the coming year based on better performance and capping the debt at the similar levels. Going ahead, we are focusing on gradually returning to growth and prioritizing investment in high value segment along with improvement in the working capital efficiencies. You can refer IR presentation for more details. We also would like to take this opportunity to convey that we have proposed a certain board level reorganization. So, Dr. MVG Rao, who is an Independent Director and Non-Executive Chairman of the board shall end his second term on 17th May, you are all aware, actually in any board member, Independent Director can be there for only for two terms. Based on the age actually he is retiring and accordingly the Board of Directors is proposing to reorganize to take care of the future requirements.

Now, another thing is the Company is growing and expanding into newer business areas such as CDMO business including Animal Health, Crop Sciences, Biotechnology, Cell, and Gene

Therapy apart from the generics and the KRKA JV under the generics. Therefore, there is a need to groom the next generation to take up the increased responsibility as a part of the succession planning. With that, we are appointing Dr. Ravindranath as a Non-Executive Chairman of the Board of Directors with effect from 18th May 2024, but of course, Dr. Ravindra Nath is a Board Member and Independent Director since 2017. Appointment of Mr. Krishnan Chaitanya Chava as the Additional Director and Executive Director, appointment of Ms. Soumya Chava as Additional Director and Executive Director, Krishna and Soumya are son and daughter of Dr. Satya and appointment of Mr. Karnam Sekar as Additional Director. He is a retired banker and he worked in SBI as a DMD and a couple of other public sector banks as a Managing Director.

Laurus Labs Limited
April 25, 2024

Page 7 of 17

So, with this, we request the moderator to open the lines for the question and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sajal Kapoor, an Individual Investor. Please go ahead.

Sajal Kapoor: Dr. Satya, do you believe that the whole can be greater than the sum of the parts in the context of the often CDMO services in biocatalysis, enzymes, cell and gene therapy and of course various chemistries across animal health, crop and human Life Sciences?

Satyanarayana Chava: The sum of the parts is greater than the whole definitely. For some projects we started biocatalysis using third party supplied enzymes whereas our big pharma partner decided to use our expertise in R&D and manufacturing of enzymes and provided the plasmids and we made the enzymes and currently using that for the batches being executed. This integrated approach is definitely going to offer significant advantage

when compared to non-integrated players who are not capable in making enzymes themselves.

Sajal Kapoor: So, has there been any difference in the level of engagement with the innovators today versus let us say, 5 years back when we were only in the human pharma chemistries. Has the level of engagement shifted?

Satyanarayana Chava: Absolutely, the depth and breadth of engagement has gone up. They can talk to one vendor who can offer all these. That is one and second, for them, there is no need to go to another CMO for a large-scale manufacturing. We can offer enzyme screening, we can offer, in fact most of the projects we are handling are very complex in nature, and it has at least one or more continuous flow chemistry techniques and also at least one or more biocatalysis in a 10-12 step complex chemistry. So, these are becoming an integral part because the big pharma's commitments towards ESG also pushing them to adopt new technologies, cleaner and greener technologies, pushing them to go to continuous flow as well as the biocatalytic approaches. So, we are becoming a very interesting partner to offer all these.

Sajal Kapoor: Secondly, In the context of the Biosecure Act, what I am trying to understand is if I look at the large three-four players in China, they have got significant exposure to US on the CDMO services and now because of this Biosecure Act some of the innovators desire to move away from overly dependent China. We have the capacity and the capability right, so are we efficient to take advantage of this shift and it is already happening in various discussion levels, can something materially change for India as a whole over the next 2-3 years, that's the expectation that we have and how do you see from your point of view?

Satyanarayana Chava: This is a very broad question, Sajal. This shift in big pharma to diversify their vendor base has started, I think all Indian CDMO companies are at the beginning of that shift, so few companies will definitely be benefited from this, but it will take its own time. If the partner is an existing customer, then onboarding is easier. If they have to onboard a new vendor, it will take its own time.

Laurus Labs Limited
April 25, 2024

Page 8 of 17

time, but the benefit of their diversification has started showing results. It is also very clear we got more RFPs in the last 12 months for late phase projects when compared to previous years. That is an indication that there is a diversification effort from big pharma, and it is clearly visible.

Sajal Kapoor: And finally, the debt side, we have got 3x net debt to EBITDA today, is it fair to assume that the debt has peaked and when EBITDA starts meaningfully reverting, we should be below 2x net debt-to-EBITDA or that is the kind of aspiration that we have?

Ravi Kumar: Yes, Sajal, once the EBITDA improves, that is our aim. And if you look at even historically also at this kind of a range actually in the last 15 years, we have only for a few years, and we are expecting to come down in the coming year.

Moderator: Thank you. Next question is from the line of Jeevan Patwa from Saahasra Capital. Please go ahead.

Jeevan Patwa: Sir, two questions, one is on the FD side. So, we have launched one product in the US and

there are two more products we are going to launch in US. I remember some 2 years back we used to say that we want to be global leader in 15 products, right, so are these three products in that list of 15 products and we want to be the global leader?

Satyanarayana Chava : Jeevan, that is right. So, these are the products which are genericized with significant volume and also still growing. The new approvals came as part of our long-term strategy for global markets, not just for US. Couple of these products we are also planned to launch in Canada.

Jeevan Patwa : Because all three products are pretty big products, but when you say that we want to be global

leader, are you actually expecting to have like 20% plus kind of market share in this product?

Satyanarayana Chava : We don't want to get into market share by disrupting market by only price. So, if you look at our products where we have increased our market share it was done over a period of 12 to 18 months after approval. We don't want to get on day-one to secure the market share. That means we are cutting our own legs. So, we wait for the right opportunity to get market share.

Jeevan Patwa : And secondly, on the formulation last quarter which ended, we have actually got a client where we will be doing tertiary packaging on the formulation, is that contract started or it hasn't yet started, or when it is going to start?

Satyanarayana Chava : Expecting more in the packaging lines right now to cater to that contract and it is not a one-time contract. It is a multiproduct multiyear contract. So, we are investing in the packaging lines in the new formulation capacity building.

Jeevan Patwa : So, when can we expect it to start, sir?

Satyanarayana Chava : We started supplying finished packs from the existing packaging lines and we are buying two more packaging lines which will be qualified by September this year.

Laurus Labs Limited

April 25, 2024

Page 9 of 17

Jeevan Patwa : So, post that contract will start fully?

Satyanarayana Chava : Yes.

Jeevan Patwa : And on the CDMO side, so last few years, we have been adding multiple capabilities on the CDMO side, but we haven't yet heard about any new contracts that we have signed, so after that agrochemical contract, I think we haven't yet announced anything on that. Is there anything in the pipeline in the very advanced stage where we expect to have some long-term contract?

Satyanarayana Chava : Currently, we don't have any agreements in negotiations for long-term talks, but several projects are moving into later clinical phases, for example, currently we are validating two APIs, which will go into NDA soon. So, the scale at which we are operating moved to offering APIs, not just intermediates, that's a significant step. If you look at, one previous investor was asking question on the diversification, see most of these big pharma source APIs from elsewhere, so when they want to have new vendor, they want to have a vendor who can offer APIs, not just starting materials or intermediates, so that is the advantage we are having right now. But you know these batches, Filings, Approvals is a long-term process, but the prospects looks very interesting.

Jeevan Patwa : And sir, on the Bio side, so if I heard right, you said that we are starting work on Vizag and Mysore both the sites, earlier we were working only on one side, Mysore side?

Satyanarayana Chava : You are absolutely right. As Ravi mentioned in his commentary, we have opportunities to produce pharmaceutical grade intermediates and products.

Jeevan Patwa : Is it fermentation API that we are talking?

Satyanarayana Chava : Intermediates and APIs, both. So, why we changed, We augmented our strategy to non-pharma products at Laurus Bio and pharmaceutical related fermentation products in Laurus. That is the change in strategy what we had in the recent past.

Jeevan Patwa : So, Mysore will be mostly the food protein side and Vizag will be mostly toward pharma side?

Satyanarayana Chava : Yes, Jeevan, correct.

Jeevan Patwa : And in that I have just read one project report which was submitted to the government on the food protein side, Laurus project report which mentions about 10 different food proteins with total capacity of 1350 ton, so is it like the long-term plan of the Company of getting into 10 different food proteins of 1350 tons of capacity?

Satyanarayana Chava : Those are the pipeline products. So, those are all contract manufacturing. The Laurus Bio except the cell culturing reagents, none of these food proteins are marketed to customers, it is B2B.

Jeevan Patwa : Because each of these protein is like very high value proteins, 50 tons is a pretty large capacity?

Laurus Labs Limited

April 25, 2024

Page 10 of 17

Satyanarayana Chava : When it is a food, 50 tons is not big. It is small.

Moderator : Thank you. Next question is from the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta : I wanted to get the mix for ARV versus non-ARV for Q4 and ARV FDF versus non-ARV FDF?

Satyanarayana Chava : In the APIs in the Q4 out of Rs. 745 crores, Rs. 408 crores came from ARVs and Rs. 337 crores

came from non-ARVs. So, you are also seeing that gradual increase in the share of non-ARV APIs and also gradual share increase in the ARV formulations as well.

Krish Mehta : And what would be the number for the end? I was asking what would be the entire number for the total ARV share for Q4 including FDF and ARV?

Ravi Kumar : Rs. 709 crores.

Satyanarayana Chava : About 50% of our sale came from ARV in the Q4, both APIs and formulations put together.

Moderator : Thank you. Next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal : Sir, my question is on, you made a few references to late-stage contracts on CDMO, so are you referring to molecules, which are already commercial, and you would be coming up as a second or third source for the innovator that is the kind of contract you are talking about over here?

Satyanarayana Chava : What I mentioned, two products under validation, those are yet to be launched, they are filing NDAs soon.

Nitin Agarwal : But besides that, are you also pursuing opportunities where the molecules are already commercialized and where the innovator opts for the second supply source?

Satyanarayana Chava : For some intermediates, yes, but those are at the very early stages of progress, I put it that way.

Nitin Agarwal : Sir, if I would then probably just summarize some of the things that you just said, give us some timeline for when would the meaningful impact of the animal health business contract will start to be visible and when the crop protection contract becomes to start visible?

Satyanarayana Chava : We can't give you more specific details, but we expect these products and the RFPs what we're receiving will add lot of value for all the stakeholders.

Moderator : Thank you. Next question is from the line of Bino K from Elara Capital. Please go ahead.

Bino K : It is really just a couple of housekeeping questions. What sort of tax rate do you expect for next year and thereafter, we are now about the corporate tax rates, how do you see this planning out?

Laurus Labs Limited

April 25, 2024

Page 11 of 17

Ravi Kumar : I think we shifted to the new regime for the Laurus Labs. So, we expect to be around the 25% plus will be the tax rate, but for our subsidiaries we haven't migrated to the new regime. So, maybe we expect in the similar range what we have this year.

Bino K : And what is the CAPEX plan for next year?

Ravi Kumar : CAPEX, I think will be in the similar range of the current year.

Bino K : And where would that go to?

Ravi Kumar : That goes to the Bio and the CDMO.

Bino K : The consolidated receivables number debtor days are higher this year, why is it and is it going to be still like that?

Ravi Kumar : No, because of the quarter revenue is higher, the receivables also higher by end of the financial year, but it is based on the quarter revenue, the receivable number will change.

Bino K : And finally, could you just help me understand the thought process behind this investment in ImmunoAct, specifically what kind of financial analysis did you do, what kind of opportunity that product has and so what sort of order are you looking from it?

Ravi Kumar : I think few years back we decided

this, still we have that strategy of investing up to 10% of our profits into disruptive technologies either in-house or external. When we are explaining the strategy, one of the big fund actually they have connected this ImmunoAct team. Then we had a lot of discussions around the world and with the few experts and few oncologists on this treatment and we found it very interesting and that is how we made our first investment of Rs. 40 crores. It is a high-risk investment made a few years back when it has not even completed a phase one clinical trial. So, once phase one clinical trial is completed and then phase before completing the phase two clinical trial, again we got an opportunity to invest further, but of course the valuation has been much higher than the first investment because they were about to complete phase 2. So, now they got phase two approval and then they already launched in the market. They already serviced including the clinical trial they have completed the 100 patients treatment. We are very happy that we could be able to contribute through our money, this treatment has come to India and then recently you must have noticed in IIT Mumbai, President of India has dedicated this product to the Indian people. So, there are very interesting things going on. They are setting up a large manufacturing facility in the Navi Mumbai, they got a land parcel, and they are building on their own. They are also tying up with some other countries and this is also encouraging, and they are also trying to get in another treatment. They have to conduct a trial. So, this looks interesting today, but we don't have any plans to further increase our stake and they don't require any more money.

Laurus Labs Limited

April 25, 2024

Page 12 of 17

Satyanarayana Chava : Bino, if you look at the kind of investments, what we are doing, for the investments what we

made in Immuno Act. So, far, we are only recognizing our share of losses in our balance sheet and also invested almost Rs. 120 crores. But the opportunity is very big and like that, we have also invested in R&D as well as in the manufacturing assets at IIT Kanpur. These initiatives are putting very interesting for the long term, but short term, these are very painful investments because we are investing in CAPEX, OPEX both. All these are going through the balance sheet, but one has to realize, your Company is putting money in the right places for long-term and sustainable growth.

Moderator : Thank you. Next question is from the line of Bharath from Bosch. Please go ahead.

Bharath : We have increased our API capacity by more than 50% recently, but if you see this other API segment, last year we have done around Rs. 800 Cr and this year we have done around 600Cr. So, it has declined by around 22%, how do you feel on this like capacity going up 50% and revenue declining by 22%?

Satyanarayana Chava : The capacity going up is the reactor volume and most of the reactor volume, what we re increased is utilizing for the manufacture of clinical phase programs for big pharma. So, the capacity increase is not primarily meant for generic APIs, it is majority meant for clinical programs for phase two, phase three and validation batches.

Bharath : So, do you see any pricing pressure in other API because there is a decline of 25% in other API year-over-year?

Satyanarayana Chava : Actually, if you look at the quantum of revenue coming from other APIs is only a quarter of our revenues. That is not the big chunk of our APIs. 50% of the API sales come from ARVs and then contract manufacturing and Onco is another 25 %-30% actually, maybe around 25% is contributed to other APIs. So, the growth in other APIs is not going to impact the entire API segment.

Bharath : And if you compare Q3 and Q4, there is no much significant product changes, in fact, if you see the Onco API contribution

has increased from 7 % to 10%, but there is a decline of 450 basis points in the gross margin, may I know the reason for this?

Satyanarayana Chava : That was primarily driven by the product mix in Q4. If you look at, there is little growth in our CDMO revenues from Q3 to Q4, but there is significant growth in our ARVs, both APIs and formulation Q4. So, this is the primary reason for that.

Ravi Kumar : I think if you look at quarter 3, Bio and Synthesis together 22%, from there now in Quarter 4 it is 18%. So, both Synthesis and Bio are the high gross margin areas, 4% decline in share. Second, finished goods and in process inventory has also come down. So, part of the overheads will be added to the inventory valuation. So, that is also another reason. These are the two reasons, but

Laurus Labs Limited

April 25, 2024

Page 13 of 17

in the coming years, we are not saying that this will be at the same level, but it can improve once the CDMO revenue share is being increased in overall.

Bharath : R3 plant in Mysore is 2-million -liter capacity, right? And the new plant which we are going to build in Vizag is also 2-million -liter capacity, right?

Satyanarayana Chava : Actually, the fermentation plant we are planning at Vizag will be currently is 500,000 liters only.

Bharath : So, this is on top of R3 in Mysore, right?

Satyanarayana Chava : Yes.

Bharath : And my last question is that I understand that management is very bullish in CDMO segment, but if you see the trend of our CDMO revenue for last 3 years in FY22, we have done around Rs. 900 crores and FY24 we have done again Rs. 900 crores, so in the last 3 years it is almost flat with no growth, how do you see it? It is like can you expect good growth in coming years?

Satyanarayana Chava : If you look at the investments, what we made in the Animal Health plant, we will see segment revenues in FY25. Our Crop Science plant you see investments may be next year, not even this year and many projects are moving from phase one, phase two to phase three and commercial. So, I would say this is a transitional period for the investments what you have done to see significant contributions coming from those initiatives.

Moderator : Thank you. Next question is from the line of Rahul, an Individual Investor. Please go ahead.

Rahul : Dr. Satya, in terms of specific priorities, beyond the next couple of quarters, can you share your vision for the Company's long-term growth trajectory, so that will be my first question?

Satyanarayana Chava : If you look at the transformation and transition the Company underwent in the last 6-7 years, from a pure play API to integrated formulations, then we started investing in Bio, then we started investing into Animal Health, started investing into Crop Science Chemicals and also Cell and Gene Therapy assets being created. So, all these will put the Company into a very integrated CDMO player offering broad segments and each of these segments has their own gestation, for example, selling enzymes is easier, crop science is easier, animal health may have to go through a lot of regulatory pathway, and the human health has to go through even more stringent and long regulatory pathway. But all these we have invested very early into this vendor diversification by the major pharmaceutical companies. So, we believe we have created

technology platforms and also have created capacity to capture that opportunity and we are saying this for the last three quarters, but numbers haven't improved significantly as one of the investors asked FY20 to FY24 revenues were same, it is true, but the clinical development timeline is 7-8 years, if it is very short, it is 5-6 years and we have projects in different phases of their life cycle and when we are investing in these initiatives, either we have partner who is willing to work with us or we have

a contract with the partner who is already working with us
Laurus Labs Limited
April 25, 2024

Page 14 of 17

or we have conviction that people will come to us, use our capabilities. I think all these will definitely demonstrate and then you ask the question and leave one or two quarters, but at some point if then these numbers will come and all of us who have confidence in the Company will definitely benefit from this.

Rahul : As a follow up question, since CDMO is a growth part of the business, 5 years out from now, around what percentage do you think CDMO space will be contributing to the overall revenue mix for Laurus

Satyanarayana Chava : CDMO business used to contribute 20% of revenues in FY20 -FY21. FY23 was a big jump because of the COVID-related supplies, but a gain FY24 is similar to 20% if you add CDMO and the BIO. We expect in the next couple of years this should grow to again one-third. That is our belief.

Rahul : And any Indian pharma peers that you think are doing great work in the CDMO space that we can pick up best practices from or you look up to?

Satyanarayana Chava : I think I don't want to comment on your question.

Moderator : Thank you. Next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane : So, firstly, on this \$40 million fermentation CAPEX, so is this considering the contract already in hand or you are building the facility and then subsequently we will look for the contract?

Satyanarayana Chava : It is mix of both. We also have certain intermediates plants, and some partners want to use our expertise in fermentation. So, it is a combination of internal as well as we make products for our partners.

Tushar Manudhane : And so, out of this total Rs. 700 crore CAPEX which we have envisaged for FY25, how much would be funded from internal accruals, or will there be further increase in debt?

Ravi Kumar : I think Tushar, we are not trying to increase too much debt. Depreciation itself is almost like Rs. 350-Rs. 380 crores. So, I think we will try to manage without increasing substantial debt, Tushar.

Tushar Manudhane : And the CAPEX which we have invested to debt, let us say is a Rs. 2,600 crore, or in particular for the CDMO projects, so effectively the pickup in timeline because as we have indicated in the presentation as well that there has been some delay in the pickup of the Animal Health Facility, which has been actually operational from November 23. So, effectively, when do we see the meaningful scale up from the investments which you have done on the CDMO facility, is it like second-half of FY25 or is it getting pushed to FY26?

Satyanarayana Chava : I mean, in this year FY25, we will deliver launch quantities for the Animal Health NCE program from that site. And we will be completing validations for around 4 products in this financial

Laurus Labs Limited
April 25, 2024

Page 15 of 17

year, commercial validations. So, we started, or we are going to start commercial supplies from the Animal Health facility this year whereas Crop Science Facility will be ready by end of this year, but commercial supplies will come only next year. In the CGT space, we are building vector capacity and then gene therapy products capacity at Kanpur. Maybe we will have revenues only in the next financial year. I hope I answered your question.

Tushar Manudhane : And similarly, also if you could throw light on the API side industry, because at least in FY23 also at the industry level API has witnessed significant erosion in price hikes, while at least FY23 companies were able to offset that with higher volume throughput, but broadly these APIs are like legacy or old APIs, so the demand would be in the range of say 5% to 7%. So, will we be able to offset further price erosion in FY25 also or will we see the pricing again

impacting the
profitability for FY25?

Satyanarayana Chava : Don't expect the pricing will be impacted further. And we will give you more details in the coming quarter's conference calls. We are identifying some areas where we could really add value by making fully integrated products. We will give you more light in the coming quarters, what are the areas we are focusing in the API space.

Moderator : Thank you. Next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav : I just had one question on the IIT Kanpur link project which you spoke about, the re you said some revenue to start in FY26, could you give some more detail in terms of how much CAPEX are we doing here? And I mean typically who are the clients for these kind of projects? How many products do we have? It is like a slightly new thing. I don't think you mentioned about revenue starting from this part of the business earlier .

Satyanarayana Chava : We ex pect some revenues will come next year for vector manufacturing. CAPEX and OPEX in the next 3 years could be potentially closer to Rs. 300 crores , next 3 years ,

Madhav : So, Rs. 300 crores is the CAPEX for the next 3 years ?

Satyanarayana Chava : CAPEX and OPEX , I am not saying only CAPEX, it is both.

Madhav : When you say OPEX , it is like R&D spend s that is what the area of fund ing?

Satyanarayana Chava : R&D spend will be in the range of 5% only .

Madhav : For the Company as a whole?

Satyanaray ana Chava : Overall Company .

Ravi Kumar : I think CGT is what Dr. Satya said , you need to keep in mind that it is assuming that it needs to pass through a clinical trial. The majority of the cost will be for the clinical trial. So, otherwise if it is not suc cessful then clinical trial costs will not be incurred.

Laurus Labs Limited

April 25 , 2024

Page 16 of 17

Madhav : You are saying Rs. 300 crore CAPEX and OPEX is seeing happen is linked to a clinical trial. It will come in if the project moves ahead successfully in the next few sort of steps .

Satyanarayana Chava : Yes.

Moderator : Thank you. Next question is from the line of. Aniket Singh from Kotak Institutional Equities. Please go ahead.

Alankar : This is Alankar here from Kotak . Sir, just one clarification on gross margin , sir you made that point on lower contribution from Synthesis and Bio, but just trying to understand whether higher CMO contribution in the API segment has also led to lower gross margins in this quarter?

Satyanarayana Chava : The CMO segment in APIs is better than the general APIs, but less than the CDMO. So, you are right . That is also a part contributor.

Alankar : Sir, then essentially from an overall EBITDA margin standpoint, would it be fair to say that our EBITDA margins can improve meaningfully and go beyond 20% once again only once this synthesis and bio contribution increases fairly significantly? Of course, I mean we need to adjust for slightly higher CMO contribution in this quarter , but more from a directional standpoint to go beyond 20%, we need a CDMO synthesis plus bio to increase meaningfully ?

Satyanarayana Chava : Yes.

Alankar : And maybe one final question, sir, regarding your discussions with CDMO clients, are these more with existing clients or has the engagement with potential new clients inc reased significantly over the past year or so?

Satyanarayana Chava : We have added two new clients and increased our product basket with the existing clients.

Alankar : And when you say added t wo clients, does it mean on the engagement side there could poten tially be more clients , so with more new clients, we are discussing the CDMO contracts ?

Satyanarayana Chava : At the very early stage, nothing meaningful will come in the 12 months from the new clients. By the time we sign C ontract , six months will be over.

Moderator : Thank you. Next question is from the line of For am Par ekh from Sharek

han. Please go ahead.

Foram Parekh : Sir, I think you said that in CDMO sales, sales from crop protection and CGT sales would not be a part of sales for the next 1-2 years . Even animal health sales would be after FY27, so with the same amount of CDMO sales, can we assume that EBITDA margin for the next 1-2 years would be in the same range or there is a potential to increase the EBITDA margin. So, how should we look at it?

Laurus Labs Limited

April 25 , 2024

Page 17 of 17

Satyanarayana Chava : What I mentioned Crop Sciences and CGT, no revenues will come from F Y25 while the Animal Health revenues will come in F Y25 itself, but the peak revenues i n Animal Health will be in FY27.

Foram Parekh : So, with this, do we at least see 300 plus increase in EBITDA margin and?

Satyanarayana Chava : I think we don't want to give specific number; we hope the EBITDA margins will improve because see we are not taking any new initiatives. People are there at all these new factories. So, any sales coming f rom extra sales coming from s hould add into the EBITDA margins .

Foram Parekh : And sir, my second question is on the ROCE, we are at the bottom of the ROCE levels right now. So, from here on, what is our plan? Do we have any target ROCE in mind for the next couple of years?

Ravi Kumar : We can't tell for the ROCE for the couple of years, but broadly we always used to aim for 20 %

to 25%. But I think because we made a lot of investments once we started yielding out of this investment, we can be better ROCE .

Moderator : Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Dr. Satya for closing comments.

Satyanarayana Chava : Thank you for participating in our Q4 FY 24 and FY24 results call and we appreciate outside in view of the organization and asking very relevant question s. Thank you everyone. Have a good evening.

Moderator : Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

July 29, 2024
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street ,
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East) ,
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q1 FY25 results conference call hosted on July 25, 2024

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our results conference call intimation dated July 19 , 2024 , please be informed that the Results conference call for Q1 FY25 was hosted on July 25, 2024 and the transcript of the conference call is enclosed for your information and record.

Thanking you,

Yours sincerely,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

Page 1 of 15

“Laurus Labs Limited Q1 FY25 Earnings Conference
Call”

July 25, 2024

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER & CEO,
LAURUS LABS LIMITED

MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR &
CFO, LAURUS LABS LIMITED

MR. VIVEK KUMAR – INVESTOR RELATIONS , LAURUS
LABS LIMITED

MODERATORS : MR. MONISH SHAH – ANTIQUE STOCK BROKING

Laurus Labs Limited

July 25, 2024

Page 2 of 15 Moderator: Ladies and gentlemen, good day and welcome to Laurus Labs Limited Q1 FY25 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you, and over to you, sir.

Monish Shah : Thank you, Seema. Good evening, everyone, and welcome to Laurus Labs Q1 FY 25 Earnings Conference Call .

Today we have with us Dr. Satyanarayana Chava – Founder & CEO, Mr. V. V. Ravi Kumar – Executive Director & CFO, and Vivek from the IR team. On behalf of Antique Stock Broking, I thank the Laurus management for giving us the opportunity to host this call.

I would now like to hand the call over to Dr. Satya for his opening remarks. Thank you and over to you, sir.

Dr. Satyanarayana Chava: Thank you, Monish, for your introduction. Thank you all for joining us on our Q1 FY25 Results Conference Call. We are pleased to have this opportunity to update you on our progress and answer your questions.

As we continue to grow and innovate, we are embarking on Laurus most significant rebrand initiative in a decade, making the start of our new journey towards expanded horizon. Our new tagline, Chemistry for Better Living, reflects our dedication and purpose in leveraging scientific innovation and chemistry to enhance the quality of life for people around the globe. And I am confident that the new identity will reinforce our global positioning as a provider of manufacturing as a service in the pharmaceutical and biotechnology landscape. We have begun our FY 25 on a positive note, sustaining momentum in our key CDMO clinical projects and demonstrating resilience in our financial health. We are leveraging power of our wider and sustainable technology platforms and commercial excellence to advance our partners pipeline projects and maximizing the impact of our robust integrated model in delivering long -term stakeholder value. We are currently engaged in delivering multiple RFPs involving multi -step complex chemistry , large scale biocatalysts using inhouse manufactured enzymes for our partners clinical programs. I would say we have important large opportunities ahead of us. And we are highly focused on realizing them starting second half of this financial year.

We have invested significantly towards expanding our development and manufacturing capabilities over the last few years and this has been painful because of significant deleverage , but we believe this will be very rewarding and will significantly support another transition at Laurus of converting from highly generic focused into a well -respected and diversified CMO

Laurus Labs Limited

July 25, 2024

Page 3 of 15 focused company. Our commitment to disruptive technology in cell and gene therapy space continued to do well, especially enabling broader access to innovative cell therapy product, NexCAR 19 for patients in needs. In gene therapy, we are actively progressing on the construction of GMP lab, with focus on manufacturing GMP viral vectors and gene therapy products.

Moving on to our financial results :

Our Q1 results demonstrated continued strong resilience in financial health, reflecting robust business quality across divisions despite pricing pressure in generic APIs. I would also say that Q1 has been largely on expected lines as we prioritized a lot of resources towards delivering several clinical -phase complex projects. The performance is expected to pick up through second half. For the quarter, we delivered a flatish

revenue growth of 1% and achieved revenues of Rs.

1,195 crores. Strong growth in oncology APIs and firm demand in ARV portfolio was offset by

slightly sluggish performance in CDMO division. Gross margins were strong and maintained above 50% range, while EBITDA margins remained subdued at 14% due to lower asset utilization and dilution from investments in growth projects and new initiatives.

I would like to share key updates on various business divisions :

In the CDMO division, we continued operational commercial improvements and recorded sales of Rs. 214 crores. Revenue is on expected lines driven by significant resource allocation to various clinical phase deliveries. This also reflects growing customer confidence in our wider technology platform and capabilities like hydrogenation, flow chemistry, biocatalysis, and large commercial capacity. For the full year, we remain committed to a healthy growth outlook, which is supported by scheduled project deliveries for key late phase NCE projects in the Q4 of this financial year. Momentum in RFP continued from big pharma and large Biotechs, and we are also increasing our business development efforts towards securing early stage projects to widen the project pipeline. As mentioned earlier, we are working on over 70 active projects, ongoing commercial supplies for about 10 products, including APIs as well as several advanced intermediates.

Key CDMO focused growth projects is progressing in line with plan. Animal health facility under early ramp-up phase, commercial validations are going on. Crop Protection Ingredients Facility qualification targeted by end of FY 25. R&D center commission in the next month, which will further expand our R&D capabilities to support new business opportunities. Our focus continues on leveraging significant scientific overlaps and build diversified revenue stream from customers.

In the generic API division :

Revenues from this division are at Rs. 664 crores with a 10% growth, supported from strong oncology delivery and firm demand in the ARV volumes and growth in other APIs. ARV APIs has retained its volume-led steady momentum and reported revenues of Rs. 400 crores. The Laurus Labs Limited

July 25, 2024

Page 4 of 15 current order book for our product basket looks encouraging, supported by additional supply contracts secured through successful tender wins by our customers. We continue to maintain a leading market share in the first line HIV treatment.

Oncology APIs reported Q1 sales of Rs. 120 crores, 120% growth year-on-year. We have completed validation of new oncology products at our Vizag site with increased batch sizes and currently waiting for regulatory approval for our customers. We believe our portfolio breadth and capacities along with ongoing positive market dynamics would continue to support additional volumes in this division on annual basis.

Other API segments, which includes cardiovascular, diabetes and asthma, were reported sales of Rs. 144 crores, growing 6% year-on-year. Sequentially, sales declined by 24% mainly due to timing of some CMO contract delivery schedules. We are working towards expanding CMO engagements and remain committed to long-term growth with a clear focus on cost leadership in select high-value APIs. During the Quarter 1, we filed 3 DMFs all in non-ARV category. With this, a total number of DMFs filed to date is 86.

In the generic formulation space :

We reported overall revenues of Rs. 274 crores for Q1, decreasing 4% over last year. On sequential basis, revenues decreased by one-third, mainly impacted by global agencies buying pattern in ARV formulations. Strategic JV with KrKa has been incorporated and progressing well. Over the medium term, JV focus will continue on delivering synergies and enhancing product portfolio. Meanwhile to meet the near term needs of our partner, we have extended our existin

g CMO collaboration to include additional oral solid dosage manufacturing lines at our existing Vizag site. These expanded lines to go on stream in the next 18 months.

Coming to L MIC business :

Overall market volumes have largely remained stable, partly supported from stable pricing trend over the last 2-3 quarters. We continue to pursue optimization program to counter any pricing impact. We believe the impact in ARV franchisee are broadly stabilized and expected to stay in this range. Coming to the developed market, we continue to perform well across our broader portfolio despite higher competitive intensity. During the Q1, we filed one dossier in US and obtained 4 final approvals, 3 in US, one in Europe. In US, while the price pressure had continued, we are working towards increasing the volume share on selected products. Also, we expect to see the benefit from recent ANDA approvals in the next couple of quarters supporting our anticipated full year utilization pickup. Cumulatively, we have a total of 41 ANDAs filed till date. Of this, we obtained 21 final approvals and 14 tentative approvals so far. We continue to have diverse portfolio in pipeline including franchisee, comprising of ARV, cardiovascular, diabetes, CNS and gastro. We have a total of 62 products in the R&D pipeline either under review or under development, having a significant addressable market value.

On R&D front :

Page 5 of 15 Overall R&D spending to sales for Q 1 FY 25 was at 5.4% increased by 35% year-on-year. Higher R&D spend is in line to enhance our pipeline and includes spends towards additional initiatives in cell and gene therapy assets. We continue to invest in portfolio with product specific approach based on complexity and scale economics.

In the Bio division :

We reported sales of Rs. 43 crores. Sequentially, sales have recovered strongly due to customer orders. The growth was led by diversifying application of our CDMO services. We've initiated discussion with several strategic customers for long-term collaborations. We continue to grow our enzyme engineering and production for small molecule, clinical and commercial projects, which will augment our pipeline using green chemistry for sustainable manufacturing. Our plan to build larger fermentation capacity in Vizag has broken ground. And we are accelerating efforts based on availability of support services like ETP and other services. And we also wanted to utilize this facility for GMP pharmaceutical manufacturing. We expect this facility to be commissioned by June 2026.

Let me share brief on our quality side as well :

In Q1, the company underwent 32 quality audits by multiple drug regulatory agencies and several customers. Company has successfully passed audit inspections without any critical findings. This includes successful US FDA inspection of our two large API manufacturing facilities, unit one and unit three in Parawada, Vizag, which has recently received EIR.

In summary :

Our R&D led commercial strategy is delivering on compelling growth projects. The confidence is strong and also growing that we are taking right steps to best position the company for value creation this year and take the company well into the future.

With that, I would like to hand it over to Ravi to share financial highlights.

V. V. Ravi Kumar : Thank you, Dr. Satya, and very warm welcome to everyone for our 1st Quarter of FY 25 Earnings .

Total income from operations Rs. 1,195 crores against Rs. 1192 crores year-on-year remained flatish . As Dr. Satya explained, Quarter 1 is largely on expected lines as lot of resources are prioritized towards delivering several clinical phase projects and the performance is expected to pick up mostly from H2. This was already indicated in our previous calls supported by on hand orders for the project deliveries . Gross margin

maintained at healthy level at 55%. This is due to product mix and some of the cost savings what we achieved in the raw material price negotiation. Our EBITDA of Quarter 1 is at Rs. 171 crores , 14.3% is in line with the previous quarter -on-quarter , but we expect improvement in the second half. Our diluted EPS for Quarter 1 is at 0.23.

Page 6 of 15 Our ROCE was at 6 %. Of course, because of the lower revenue and lower profitability may not look comparable.

On the CAPEX front, we invested close to Rs. 125 crores in this quarter. And our net debt stood at Rs. 2,633 crores. And going ahead, we remain committed to delivering on our FY25 growth outlook and we will prioritize investment into high-value business segment to drive medium and long-term growth. Besides, the focus will also continue to improve on our working capital efficiencies . You can refer our IR presentation for more details. If anything, additional information you need, please contact our IR, we will provide.

With this, I would request moderator to open the lines for Q&A .

Moderator : Thank you very much. Ladies and gentlemen, we will now begin with the question and answer session. We take the first question from the line of Sajal Kapoor, an individual investor. Please go ahead.

Sajal Kapoor: In one of the slides, I mean, there was no slide number, so I can't refer to the slide number because there wasn't any, but in one of those slides, it was mentioned that out of the 28 customer audits conducted in Q1, how many were CDMO client audits out of these 28 that happened in Q1? What are these customers looking for? I mean, what draws them to Laurus when there are so many other CDMO companies in India? Thank you.

Dr. Satyanarayana Chava: Thanks, Sajal for asking that question. I would say at least half of the audits are done by CDMO customers. Some of them are periodic audits because they have to do audits in a stipulated timeframe and some of them from new customers which we are onboarding.

Sajal Kapoor: And is the intensity increasing? So, what was the number, let's say, 2 years ago versus today? I mean, do you see an increase in customer visits, customer audits, above and beyond the RFQ? So, I know you mentioned RFQs are coming. But are customers actually traveling to India and physically seeing the facilities and the infrastructure?

Dr. Satyanarayana Chava: I think there is a significant increase in visits followed by the quality audits followed by safety

audits and then they roll out the R FQs. So, to get an R FQ we have to go through a long process. See no big pharma, no NCE customers would like to give an R FQ and project without their commercial team visiting, without their quality team visiting, without their EHS team visiting. They can give pre-clinical projects, but when we are talking about late stage clinical programs, I think their audits are sometimes multiple days, sometimes involving multiple facilities also. Sajal Kapoor: Understood. And on the Laurus Bio slide, it's mentioned that initiated discussions with several strategic customers for longer term CDMO collaboration. And question really is why are customers interested in Laurus Bio given that R2 is fully booked and new capacity will only come online when R3 goes commercial. So, when there is no capacity available, how can we engage in discussions 3 years in advance because R3 going commercial, I think, is give or take three years away, right?

Laurus Labs Limited

July 25, 2024

Page 7 of 15 Dr. Satyanarayana Chava: It's 24 months away. We are also building fermentation capacity at Vizag also, which will come

a little earlier to R3. And the long-term customers who are willing to sign long-term contracts are visiting right now because they are running their projects currently at R2. It's not that we are bringing a new customer for R3. Actually, the customers

who are using R2 for pilot scale of

their programs are talking to us for the large-scale manufacturing in R3.

Sajal Kapoor: Right, you mentioned Vizag fermentation, but that's the GMP fermentation and that's under Laurus Generics, if I am not mistaken. That's not under Laurus Bio, correct?

Dr. Satyanarayana Chava: No, it is not Laurus Bio. So, there are two programs initiated when compared to the last 2 quarters and right now. Because of the higher demand of GMP intermediate manufacturing in our generic products and also some enzymes which needs GMP manufacturing will be anything related to GMP manufacturing and which involves organic solvents usage after fermentation, those will be done at Vizag and the fermentation which doesn't involve any GMP steps, doesn't involve any use of organic solvents will be done at R3. I think that is a very easy answer why we are keeping R3 under Bio umbrella and another facility under Laurus umbrella. So, we want to segregate GMP manufacturing and non-GMP manufacturing.

Sajal Kapoor: And lastly, very quickly, on the OPEX side, during the AGM that was conducted a few weeks back, you mentioned that today 80% of the scientists are on the CDMO side as compared to only 20% few years ago. If I look at our scientific count, so 2019 we had about 200 scientists in the synthesis division or the CDMO division versus today we have no less than 800 give or take.

And so that's a four-fold jump in 5 years. And now we have got this new Genome Valley Center coming up, which will add to our OPEX fixed cost further. So, it's kind of nearly five-fold jump in our scientists on the CDMO side, which is giving a significant high OPEX fixed cost, right?

You mentioned H2 is when we see the benefits emerging. How confident are we that we are not misallocating capital or we are overestimating the demand coming on these CDMO services? I mean, is the customer giving us enough assurance that gives us the confidence to increase 5-fold increase in the scientists on the CDMO side?

Dr. Satyanarayana Chava: This is a very great question, Sajalji. So, as you mentioned, a lot of resources are being allocated currently for the late-stage projects for big pharma. So, if you are putting resources on a phase one molecule with 30 steps, and it will take 100 scientists, the outcome may be questionable. But currently, we are taking very minimum early stage projects so that we don't put resources on a project with uncertainty associated with that. So, most of the resources are happening in projects with big pharma, with oncology, some of the projects in oncology, some of the projects in rare diseases, with high dosages. Our expanded R&D capabilities will augment our ability to take early clinical projects as we mentioned in our investor presentation. We don't want to neglect increasing the funnel by taking more early stage projects.

V. V. Ravi Kumar: But, Sajalji, actually we have not increased 5x resources. So, the resources I think if I am not wrong, may be 25% to 30%, but what Dr. Satya said is, re-allocating from generic to API. Additional OPEX because of the new R&D, yes it will be done but your productivity also will improve.

Laurus Labs Limited

July 25, 2024

Page 8 of 15 Moderator: Thank you. We'll take the next question from the line of Mr. Tushar from Motilal Oswal Financial Services. Please go ahead, sir.

Tushar: Sir firstly, how much will be ARV sales for the quarter?

Dr. Satyanarayana Chava: APIs around Rs. 400 crores and including formulations was Rs. 552 crores.

Tushar: Over all Rs. 552 crores?

Dr. Satyanarayana Chava: Yes.

Tushar: So, basically trying to understand the jump in the gross margin when the custom synthesis sales has been lower and even the formulation sales has been lower on an overall basis. If you could

explain the sharp jump in the gross margin and sustainable gross margin?

Dr. Satyana

Dr. Satyanarayana Chava: Sure. See the gross margin improvement is based on one is the product mix. We have a significant increase in our oncology sales and also the gross margin in AP Is also increased because of the favorable pricing mechanism from AR V API RMs and also the process improvements done in some of the key large volume APIs. These three factors led to the improvement in the gross margins.

Tushar: Oncology proportion has been largely stable as a percentage of sales may be in fourth quarter or even in earlier quarters as well?

Dr. Satyanarayana Chava: Yes, this significant impact came from raw material cost, reduction in the overall large volume APIs supported by the process improvements what we have done in the previous quarters also came in the Q1.

Tushar: Got it. So, secondly on the long term CMO agreements which we signed in FDF, so two questions, how much CAPEX will be required while this would be funded by the customer and this is for a patented product or a generic product?

Dr. Satyanarayana Chava: This additional CMO contract we are signing is to give additional manufacturing lines in our oral solid dosage form facility in unit two for our partner. So, currently we do about 2 billion tablets contract manufacturing there. And our partner is asking for additional capacity. So, we are adding several lines. And eventually we will give additional three billion tablet capacity over a period of time. And most of the CAPEX will be funded in the sense they will give advance and we will install the capacity.

Tushar: But would this be for again the generic product or for a patented product?

Dr. Satyanarayana Chava: Mostly this CMO contract is generic formulations.

Tushar: And lastly on this fermentation facility at Vizag, how much investment would be there and over what period of time?

Laurus Labs Limited

July 25, 2024

Page 9 of 15 Dr. Satyanarayana Chava: We expect about Rs. 200 crores investment into Vizag and we expect it will be ready by mid of 2026.

Moderator: Thank you. We move on to the next question from the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: I just wanted to ask on the leverage ratio in terms of the net debt to EBITDA being elevated at 3.3x. So, as our capacity utilization increases gradually, how do you see this settling?

V. V. Ravi Kumar :: I think the net debt by EBITDA is because of the lower EBITDA. I think as we indicated like for a full year basis actually we will be definitely improving. As we indicated before, we are targeting to make it less than 2.5 by end of March 25.

Krish Mehta: Okay, that's helpful and I wanted to ask second question on the mix in terms of the ARV and non-ARV. So, given that in Q4 and Q3 of last year, we were around 50% and it gradually come off a bit. How do you see this mix if we look at say from a 1 to 3 year basis going forward?

Dr. Satyanarayana Chava: I think as we mentioned in previous calls, the overall AR V franchisee will remain give or take Rs. 100 crores, around Rs. 2400 crores - Rs. 2,500 crores. That's the range we expect, despite of how much effort we put. Because we don't want to invest more in ARVs and as most of the investment going in other areas. So, even in Q1, you might have seen our ARV contributed Rs. 550 crores out of Rs. 1200 crores. So, Rs. 650 crores came from other businesses. As we grow in other businesses, especially what we are saying, our Animal Health facility is going on stream, our Crops and Ingredients facility going on stream next year. Most of the clinical programs late stage, we deliver second half of this year, and the commercials kick in next financial year. So, gradually, we expect the revenue contribution coming from ARV, AP Is, and formulations. The quantum will remain the same, but the percentage will significantly come down over a period of time. We don't want to comment the percentage, the number you can get

what is the top line. So, we want to leave that space open.

Moderator: Thank you. The next question is from the line of Jeevan Patwa from Sahasrar Capital. Please go ahead sir.

Jeevan Patwa: Yes, so first question is on the one of the slide where we mentioned that we have done some Rs. 2600 crore CAPEX. So, out of the 2600 crore CAPEX, how much is currently being utilized? How much is not being utilized?

Dr. Satyanarayana Chava: Mr. Jeevan Patwa, what is happening in the current capacity utilization which we have built for CDMO projects, We are not utilizing full capacity. Suppose we are doing 20 chemical steps in a project, we cannot do all 20 steps at a time because the project is not commercial. We do step 1, step 2, step 3, step 4. So, the facility where we do this complex chemistry, maybe if you see the reactor operation, it could be between 10 %-20% no more. But the facility looks like fully occupied, but the actual utilization will be very, very marginal. So, going back to your question

this Rs. 2, 600 crores investment, about three -fourths of that is done for CDMO.
Laurus Labs Limited
July 25, 2024

Page 10 of 15 Jeevan Patwa: Got it, sir. And second part is, so we are actually seeing last two years that FY25 is the year one

should be waiting out for. But the 1st Quarter actually doesn't look like the quarter. So, even last quarter we said that all bad quarters are behind right. But Q1 is again, I don't think it's a good quarter again. So, any color on this, are we still thinking that FY25 will be the big year or you think 26 will be the big year now?

Dr. Satyanarayana Chava: Jeevanji, we said our H2 will be better actually. We have indicated H1 will not be that great and H2 will be definitely better. That's what we indicated. And frankly speaking, this Quarter 1 is in line with our internal guidance. So, we are in line with the thing and FY 25 definitely will be a good year. But we indicated FY 26 will be much better year because some of the assets which we invested like Animal Health etc. will start yielding results.

Jeevan Patwa: And we have done a lot of work on the CDMO side. So, we talked about a lot of processes that we have developed, biocatalysis, continuous flow chemistry, and all that. And we are talking to a lot of big clients since last few quarters. So, any color on any large contracts or anything which is under negotiation in the last stages or final stages, do you see any? So, how do you see that?

Dr. Satyanarayana Chava: What we can say, we have utilized our biocatalysis expertise, and we are making enzymes and using in the late stage chemical programs. That is one good thing. And second, when we are saying continuous flow chemistry, we have delivered registration batches for an API. I would say we have completed registration batches in API, deliveries will happen this quarter using continuous flow chemistry. So, we are demonstrating our capabilities which are going into the registration files of our partner products, large scale biocatalysis, large scale continuous chromatography, large scale continuous manufacturing. These are going into our partner products. And we are also adding continuous manufacturing in hydrogenation also. We are expanding our capabilities. These will go into the files once they get approval and then the commercials will kick in.

Moderator: Thank you. The next question is from the line of Bharat, some Quest for Value. Please go ahead, sir.

Bharat: In annual report, I see that there are 17 PARA IV and 11 FTF opportunities. When can we expect revenue from these PARA IV and FTF?

Dr. Satyanarayana Chava: The major will come in FY29, not before.

Bharat: And this question is more on the macro level. I want to know your opinion on this BIOSECURE Act in US. Do you see supply chains shifting away from China for the innovative CDMO? And may know which country will benefit most from

this shift and do you see any supply chains shifting to India?

Dr. Satyanarayana Chava: I think because of the BIOSECURE Act, people will diversify their supplier base, that's for sure. And India is likely to get benefited from this. And it's not going to be a knee jerk reaction.

Nobody is going to shift in 2 months. So, they will take their own time. They visit, they audit,

Laurus Labs Limited

July 25, 2024

Page 11 of 15 and they give a small project, and then increase the collaboration over a period of time. I think in the long run it will benefit, but in the short run, it is not going to happen in two quarters. It will take its own time. But in the long run, it is a definite step, good step towards the CDMO opportunities for Indian companies.

Bharat: Thank you. And sir, you guided that the ARVs in total would be around Rs. 2500 crores and for FY25 also the guided margin was around 20% EBITDA. Are you still confident of achieving these two guidance?

Dr. Satyanarayana Chava: Yes, broadly yes.

Bharat: And regarding the new CAPEX in FDF that is funded by customer, I just want some clarity on this one. So, are you going to expand Unit-2 from 10 to 15 billion or is it 10 billion itself, so you are giving some expansion to this new customer?

Dr. Satyanarayana Chava: We plan to expand. The current 10 billion is not enough for our products and the partner products. So, partners need certain type of equipment, certain type of technologies. So, we are buying partner specific equipment and installing. That is an expansion. So, in 18 months our capacity at Unit-2 is going to be 13 billion tablets, not 10.

Bharat: Okay, so 3 billion for this new customer and 3 billion for the joint venture with KRKA and then the rest would be used for ARVs and our general things, right?

Dr. Satyanarayana Chava: Yes.

Moderator: Thank you. We take the next question from the line of Rishabh Gang from Sancheti Family Office, please go ahead.

Rishabh Gang: My question is that in the annual report mentions that there will be pricing headwinds in some

API portfolio, so need some light on the reasons for this and how long will this come? First question. Second, how much impact on margins this will cause? And how much of this pricing impact company expects to be moderated by cost improvement measures and increase in CDMO and Biotech business?

Dr. Satyanarayana Chava: As you have seen, our quality of business is very good as we demonstrated gross margins around 50% consistently. Despite price of APIs going down, we were able to maintain that gross margin because if you look at our last few quarters, the growth in CDMO revenue is not big, but we were able to maintain the margins at healthy 50% or above. That was primarily because of our sourcing benefits coming from the softer RM prices and higher process improvement benefits coming from our R&D efforts. These two are the main reasons we were able to offset the price headwinds in the APIs.

Rishabh Gang: All right, also I understand any guidance, over the 4 to 5 years?

Laurus Labs Limited

July 25, 2024

Page 12 of 15 Dr. Satyanarayana Chava: I am sorry we are not giving guidance but we are saying as we mentioned we are confident that

the performance will certainly improve from H2 and we are very confident on delivering some interesting and large CDMO opportunities.

Rishabh Gang: Any outlook on agro side?

Dr. Satyanarayana Chava: Agro, no revenues will come this year. So, facility will be commissioned only by end of this financial year.

Moderator: Thank you. The next question is from the line of Mr. Smith from RDA. Please go ahead.

Smith: As I can see, we received a patent for (Inaudible). Are we pursuing opportunity in API market or formulation market?

Dr. Satyanarayana Chava: We have several patents, but that doesn't mean all patents will pursue for commercial opportunity.

Smit

h: What is the addressable market and something like that?

Dr. Satyanarayana Chava: No, we cannot give product specific guidances.

Moderator: Thank you, sir. We take the next question from the line of Madhav from Fidelity. Please go ahead.

Madhav: When you speak about the CDMO or the NCE commercial CDMO launches in quarter 4 of second half of this year, does that mean that the product sort of moves through the R&D pipeline for the customer via Laurus, and now it's kind of commercializing for the customer with the new launch? Is that how we should look at that opportunity?

Dr. Satyanarayana Chava: No, we are not delivering commercial quantities. We are delivering projects for their registration purposes.

Madhav: So, this is basically after Phase -3 but before...

Dr. Satyanarayana Chava: After Phase -3.

Madhav: So, if this basically, the registration batch succeeds, then FY 26 we see commercial volumes coming in for that particular product. Is that how we should look at it?

Dr. Satyanarayana Chava: Hopefully. We also expect the same. So, the chances of success of these programs generally very high because these are in the registration pages. So, we expect for complex molecules, their supply chain also needs a lot of longer lead times. So, hopefully, once we deliver these registration batches, we expect some commercial quantities in the next financial year.

Laurus Labs Limited

July 25, 2024

Page 13 of 15 Moderator: We take the next question from the line of Harshal Patil from Mirae Asset Capital Market. Please go ahead, sir.

Harshal Patil: Sir, just had one clarification. For the PPTs, if I have to refer to the API PPT slide, there's a comment which says that overall sequential decline due to timing of shipments particularly. So, is there any problem that we faced, any logistical issue that we faced? And do you see this more as a transient thing or what?

Dr. Satyanarayana Chava: We can't give you a specific reason for that.

Harshal Patil: But is it at least transient in nature? So, we can expect the normalcy to be retained?

Dr. Satyanarayana Chava: Yes.

Harshal Patil: That was fair, sir. And secondly, with respect to the CDMO thing, definitely you clarified on the NCE scheduled deliveries, but with respect to the existing supplies, sir, if you could just talk a bit about the traction and what kind of improvement we could expect for FY25?

Dr. Satyanarayana Chava: I think our base of commercial deliveries is give or take Rs. 200 crores per quarter. That doesn't include any additional opportunities what we are delivering or what we are committed to deliver and where we have orders on hand. So, once we deliver new opportunities, the value will go beyond our regular supplies.

Harshal Patil: And lastly, if I can just squeeze one probably on the margins, where we are seeing that the API

prices are getting a bit more softer. So, believe that our margin trajectory, as you've guided, would be maintained despite of that?

Dr. Satyanarayana Chava: I think at least gross margin front, all of you might have noticed, last several quarters we were able to maintain around 50% gross margin. So, I think that we are very confident to maintain at that level. So, if you look at in the presentation, Q2 FY23 to Q1 FY25, that means almost 8 quarters. Eight quarters were able to maintain around 50% gross margin.

Moderator: Thank you. We take the next question from the line of Nitin Agarwal from D AM Capital. Please go ahead.

Nitin Agarwal: So, on your CAPEX plans, given where your various expansion plans are, what kind of CAPEX do you envisage for the next 2 years?

V. V. Ravi Kumar : This year and next year, probably anywhere between Rs. 1800 to Rs. 2000 crores , maybe around that.

Nitin Agarwal : And Ravi, how would you break that up into broad segments if you can?

V. V. Ravi Kumar : I think majority goes to the CDMO and some part

it goes to the FDF because of this specific requirement from one of the customers.

Laurus Labs Limited
July 25, 2024

Page 14 of 15 Nitin Agarwal : Is this customer specific requirement where in presentation you mentioned that CMO contract should start from FY27. How should we think about the potential size or scale of the business?

Dr. Satyanarayana Chava: We know the volumes, we know the products, we know the price. So, there are no surprises on either side. So, we are putting the capacity because we know how much we are going to make on that. So, yes, it is a very stable business. We are building that with generic customers, we know the markets, we know what percentage of market share he is enjoying. So, I think that is going to be a very stable business for us.

Nitin Agarwal: So, on this account, now since you are putting up additional capacity in formulations, this quarter for example, over the last few quarters we have had extreme volatility in our ARV supplies to LMIC markets. So, the capacity that we have for finished formulations, are they fungible across ARVs and non -ARVs or we have to use certain amount of capacity only for ARVs only?

Dr. Satyanarayana Chava: Formulation capacity is very fungible. So, we can use it for ARV, non -ARV, diabetes, cardiovascular . There are no challenges. Only the size of the batch determines which line we use.

Nitin Agarwal: Is there any reason why, what portion of the capacity currently is utilized for ARVs or the formulation size?

Dr. Satyanarayana Chava: ARV , we are making about \$100 million sales on average. So, why we will allocate capacity of ARV to something else . How much percentage of capacity we are using for ARV , formulation wise maybe 25% capacity is used for ARVs.

Nitin Agarwal: 25% of that?

Dr. Satyanarayana Chava: Yes.

Nitin Agarwal: Okay. And then lastly on the CDMO business, you obviously are into multiple negotiations. What is the nature of most of the business that comes in? It will be for early stage projects or do you have also opportunity for certain large supply starting because it's probably taking on some of the more commercialized products. So, do we have like the commercial supplies coming through immediately or you'll have contracts where you build up the relationships and then supplies happen over a period of time?

Dr. Satyanarayana Chava: Most of the supplies what we mentioned will happen in H2 of this financial year are for registration or Phase -3 projects. So, the certainty of those moving into the commercial is very high and we expect some commercial orders will come next financial year.

Moderator: Thank you. We'll take the next question from the line of Madhav from Fidelity. Please go ahead, sir.

Madhav: I was just asking that the one molecule which you spoke about, really supplying the registration batch. So, if I understood that from the presentation, currently we are supplying 10
Laurus Labs Limited
July 25, 2024

Page 15 of 15 commercialized products in the CDMO division. So, this one if it succeeds, it will be the 11th product for us, which is commercialized. Is that how we should understand the business currently?

Dr. Satyanarayana Chava: No. When we said 10 products commercial, those are already in our base sales. And what we mentioned the new projects, those are over and above what we are supplying commercially.

Madhav: Sir, basically commercial doesn't mean that it's a commercialized molecule for the customer. That's not what you are indicating ?

Dr. Satyanarayana Chava: No. 10 products what we said commercial, those are products commercialized at our customer side also.

Madhav: Exactly , that's what I am saying. And just the other question was, in the CDMO business,

currently how many of the supplies that we are expected to do over a certain time are for like these registrations, which is very close to commercialization like 2-

3, if you could give some sense there, and how many are in late stages basically?

Dr. Satyanarayana Chava: Typically, when people file NDA, they expect to launch in 12 months. If there are no red flags raised by the FDA or agencies, they will launch in 12 months.

Madhav: And for particular project, is Laurus the sole supplier

Dr. Satyanarayana Chava: We are not talking of one project, we are talking multiple projects. And nowadays with the global supply chain challenges, nobody is going to use only one supplier for any project. I want to be very clear there.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question for the day. I would now like to hand the conference over to the management for closing comments.

Dr. Satyanarayana Chava: Thank you for joining our conference call for Q1 FY25 and also asking very pertinent and interesting questions. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

October 29, 2024

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q 2 FY25 r esults conference call hosted on October 24, 2024

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our r esults confer ence call intimation dated October 24, 2024 , please be informed that the results conference call for Q2 FY25 was hosted on October 24, 2024 and the transcript of the conference call is enclosed herewith .

This is for your information and records.

Yours faithfully,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 17

"Laurus Labs Limited
Q2 FY '25 Earnings Conference Call "
October 24, 2024

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND

CHIEF FINANCIAL OFFICER – LAURUS LABS
MR. VIVEK KUMAR –INVESTOR RELATIONS – LAURUS
LABS

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

Laurus Labs Limited
October 24, 2024
Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to Laurus Labs Limited Q2 FY '25 Earnings Conference Call, hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you, and over to you, sir.

Monish Shah : Yes. Thank you, Del. Good evening, everyone, and welcome to Laurus Labs 2Q and 1H FY '25 results conference call. Today, we have with us Dr. Satyanarayana Chava , Founder and CEO; Mr. V.V. Ravi Kumar, Executive Director and CFO; and Vivek from the IR team. On behalf of Antique Stock Broking, I would like to thank the Laurus management for giving us the opportunity to host this call. I would now like to hand the call over to Dr. Satya for his opening remarks. Thank you, and over to you, sir.

Satyanarayana Chava: Thank you, Monish, for the introduction. We welcome you all to the Q2 FY '25 and first half of FY '25 results conference call. We are pleased to see sustained demand in our CDMO services, supported by operational excellence initiatives and expanding platform capabilities at both development and manufacturing scale. Our pipeline momentum across business network has remained healthy, and we are demonstrating steady progress in application of specialized technologies like continuous flow, biocatalysis across multiple projects.

Our ambitious and dedicated teams are working diligently to expand portfolio offering and advanced pipeline projects with a goal to solve our customer complex needs and deliver long -term stakeholder value. We recently announced opening of the new small molecule R&D center at IKP, Hyderabad, which significantly elevates our one -stop development and manufacturing service capability, enabling innovators to accelerate their clinical and commercial phase projects using cutting -edge technology.

I would say the new center is seeing good interest from our several existing biopharma customers for early -stage process development work, and we believe it will play an important role in driving our future growth. As communicated earlier, Laurus is on track to evolve into a well -respected and diversified CDMO company, meeting complex needs of our customers. And we are reinforcing it by executing on our long -term investment strategy in advancing both our development expertise and building integrated large -scale manufacturing capabilities.

Moving on to our financial results. Our Q2 results demonstrated continued resilience in financial health, reflecting robust business quality despite pricing pressure in generic APIs. For the quarter, we delivered a revenue of INR1,224 crores. The growth is flat over last year. Although there is a strong growth in CDMO division, which was substantially offset by lower offtake in ARV and oncology APIs. Gross margins were very healthy and maintained at 55%, while EBITDA margins remained subdued at 15%. This is due to lower asset utilization and dilution

Laurus Labs Limited

October 24, 2024

Page 3 of 17

from growth projects initiatives in cell and gene therapy as well as both Human Health and Crop Sciences.

Our performance is well on track to deliver full -year growth outlook, which will be driven by facility ramp -up and scheduled CDMO project deliveries in the second half of this financial year.

To begin, I would like to share key updates on various business segments. In CDMO, we continued operational and commercial improvements and recorded a sales of INR299 crores. On H1 basis, the division recorded 8% growth. The soft growth

is on expected lines, driven by a significant resource allocation toward delivering multiple high -value complex programs at various clinical phases.

If you look at CDMO business environment, the outlook within small molecule service industry is positive. And then specific, there is good demand for specialized expertise with rising number of complex compounds in the clinical phases. Against the industry backdrop, we expect healthy growth in FY '25, supported by scheduled project deliveries for late -phase clinical programs in

Q4.

As highlighted in my initial remarks, we have commenced operations at our new small molecule R&D center in October 2024. The facility will leverage advanced capabilities like flow chemistry, biocatalysis, high potent chemistry. This will enable us to secure early -stage projects to widen the project funnel and meet the expanded global partner needs.

We are working on over 90 active projects in total, over 70 in Human Health and about 20 in the Animal Health and Crop Production. In the generic API, revenues from this division during Q2 reported a decline of 11%, and we achieved INR557 crores sales. This was mainly due to lower demand in Oncology portfolio and temporary impact from a planned facility shutdown for modifications, while other APIs reported in line sales. For H1, the overall growth was very flatish.

ARV APIs reported revenues of INR368 crores. This was lower compared to last quarter, as we had to undertake certain modifications in the manufacturing facilities, which created capacity shortages for a few products, affecting dispatches in the Q2. We expect operation to resume from this week onwards. Having said that, that Laurus will fulfil all confirmed orders and contractual obligations, we don't expect this will have any impact for the overall financial year. The current order book for product basket looks encouraging, and we continue to maintain a leading share in the first -line HIV treatment.

Oncology APIs, sales have declined, and we reported a Q2 sales of INR51 crores. In the other API segment, which includes various therapies like cardiovascular, diabetes and Asthma , we have reported sales of INR138 crores. For the year, it is only 3% growth. We're actively working with few customers to expand our CDMO engagements as part of our strategic growth initiatives, and we remain committed to long -term growth with clear focus on cost leadership and select high-value APIs.

Laurus Labs Limited

October 24, 2024

Page 4 of 17

During H1, we filed 4 DMFs. Out of these, 3 are in non -ARV category. With this, total number of DMFs filed so far is 87. Our Formulation division reported overall revenues of INR328 crores for Q2. Our H1 revenues decreased marginally by 2%. Performance was subdued due to lower volume uptake in ARV business, offsetting good growth in the developed market portfolio. We expect to see sustained benefit of a few recent AND A approvals in the coming quarters. In addition, we also increased BD efforts to service new market opportunities with continued focus on strengthening portfolio offerings and increasing market share.

Cumulatively, we have a total of 42 ANDAs filled to date. Of these, we have a total of 21 final approvals and 14 tentative approvals so far. I'm also pleased to report that our collaboration with our partner, KRKA, is progressing smoothly, and the capacity expansion remains on track to meet their strategic capacity needs. We have already initiated tech transfer for multiple products under this arrangement. And in the medium term, the focus will continue on delivering synergies and enhancing product portfolio and also enter into India market through the joint venture. On R&D front, our overall spending to sales for the first half of this financial year was at 5.4%, which was increased by 25% year -on-year. The higher R&D spends is in line to enhance our pipeline, which in

cludes additional spend toward fermentation , biocatalysis and gene therapy programs.

We continue to invest in portfolio with product -specific approach based on complexity and scale economies. We have a total of 62 products in the R&D pipeline, either under review or under development, having a significant addressable market size. We also expanded our capabilities at our fermentation site, R2, by adding a new pilot plant. This enhancement will not only allow us to further optimize R2 capacity, but also helps us to debottleneck and optimize R1 capacity for our in -house projects. The plan to build larger fermentation capacity is on track to capitalize on GMP manufacturing opportunity. In H1, the company underwent close to 76 quality audits by multiple regulatory agencies and several customers. The company has successfully passed audit inspections without any critical findings.

During the quarter 2, we have concluded successful U.S. FDA inspection of API manufacturing facility in Hyderabad without any observations. Together, we have made significant progress across building diverse portfolio with an exciting project pipeline. As a company, we are committed to ensuring our actions remain aligned with our strategy. And I'm confident that we are all well positioned to deliver value to stakeholders in the coming years.

With that, I would like to hand it over to Ravi to share some financial highlights. Thank you.

V. V. Ravi Kumar: Thank you, Dr. Satya. A very warm welcome to everyone on our quarter 2 and H1 FY '25 earnings call. Total income from operations for H1 around INR2,419 crores against INR2,406 crores previous year. For the quarter, we have reported a revenue of INR1,224 crores, which is almost similar. Performance is largely on expected lines, and it's slated to improve in H2, driven by order book and expected project deliveries.

Gross margin maintained at a healthy level for Q2 at 55%, and for H1, it is at, same, 55%. This is partly for a better product mix and also process improvements done in some of the key large Laurus Labs Limited
October 24, 2024
Page 5 of 17

volume APIs. Our EBITDA for quarter 2 stands at INR182 crores and margin at around 15%. For H1, INR353 crores with a margin of around 15%. The margin was suppressed due to continued operational deliveries.

Our profit after tax for H1 is INR33 crores. Our ROCE was around 5.6%. This is because of lower profitability and the capex and continued capex investment for the growth projects. On the capex front, we invested close to INR137 crores for the quarter and INR262 crores for first half. Our net debt stood at INR2,679 crores, and debt to EBITDA is around 3.4 x. This we expect to improve based on H2 performance.

We will continue to prioritize investment into higher-value business segments to drive sustainable medium- to long-term growth. The Board of Directors recommended dividend of -- interim dividend of INR0.40 per share. You can refer for further details our IR presentation.

With this, I would request the moderator to open the lines for Q&A. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, with respect to this Onco API, given that this is to do with the increased competition, so how do we -- how are we thinking to cope up almost INR50 crores quarterly sales dip which has happened in the Onco API?

Satyanarayana Chava: Tushar, we don't have competition severe in this. The lower sales is only based on the delivery schedules to our partners. Overall, we don't see any challenge in achieving some growth over the last year.

Tushar Manudhane: That is for the Onco portfolio you're referring to, right?

Satyanarayana Chava: Yes, yes.

Tushar Manudhane: On the FDF side also, we have not seen major accruals or may

be even this quarter, we've seen

only 1 ANDA approval. So how are we able to sort of grow in the FDF segment going at least for next, say, 12, 15 months?

Satyanarayana Chava: For the ANDAs, which were approved in the last 2-3 quarters, we are only building up stocks to garner the market share. That is the reason we are very confident to increase our sales in the North American market.

Tushar Manudhane: And just lastly, if you could just refresh in terms of the guidance, which we are talking for FY '25, is that, that the sales would be stable as compared to FY '24? Or how to read this?

Satyanarayana Chava: See in the FY '24-'25, if you compare, the biggest growth will come in the Synthesis CDMO division. In the year FY '24, CDMO did INR922 crores. If you look at in H1 this year, we've already done INR530 crores. And we expect this number will go up significantly in H2. So that's

Laurus Labs Limited

October 24, 2024

Page 6 of 17

where we've been investing in the last 2 years. Our efforts toward securing customers' projects and execution is going smoothly.

From the beginning of this year, we were clear in our message to our all stakeholders. The H1 is going to be softer and whereas H2 is going to go as per our expectations. Currently, we believe we are on track to deliver what we committed for growth in H2.

Moderator: The next question is from the line of Jeevan Patwa from Sahasrar Capital.

Jeevan Patwa: Yes, sir. So the first question is obviously last time, we said that for the full year, we will achieve 25% kind of EBITDA margin. So first half, we are at 15% EBITDA margin. So do you think second half we will be able to compensate for this?

Satyanarayana Chava: Jeevan if you remember well, we committed to achieve around 20% EBITDA for the entire financial year, yes. Maybe you are referring until we achieve 25% in the H2 we will not be averaging 20%. So we are committed to show 20% EBITDA for the entire financial year.

Jeevan Patwa: Okay. And secondly, this operating leverage is actually haunting us since last few quarters now. So I would say almost 8, 10, 12 quarters now. So by when you actually think that this operating leverage will start actually in the reverse, right, so operating leverage will start kicking. So this has been haunting since almost 12 quarters.

Satyanarayana Chava: You are absolutely right.

Jeevan Patwa: So gross margin has been good this time because of the Synthesis contribution. But again, we are at the 15% EBITDA margin because of operating leverage. So how long we are going to have this kind of operating leverage still?

Satyanarayana Chava: See, this operating leverage came because we only plan investments into new areas, we planned capex to meet the future demand. I think this operational leverage is not surprising,

not unexpected. And going back to the question how long this will continue. Maybe we are at the end of the deleverage. If you ask me, when we will leverage, maybe we have to wait a few quarters, but we are at the end of the deleverage right now. Yes.

Jeevan Patwa: So basically, I understand there are some large deliveries maybe Q4 on the CDMO part. But again, next half next year i.e. first half is again going to be the similar because these are lumpy deliveries, right? Or do you think that it will continue to be consistent, we will have the CDMO business growing even for the next year and next half as well?

Satyanarayana Chava: We will, it's a very interesting question, But as we maintained, we are not giving guidance, but we'll give you more clarity as we go toward the end of Q4. Maybe Q4 commentary will give you how the forecast will look for Q1 FY '26. Yes.

Jeevan Patwa: Because typically, it is like Q4, we have those large deliveries. But again, the question comes whether H1 next year is going to be soft

Laurus Labs Limited

October 24, 2024

Page 7 of 17

Satyanarayana

Chava: No, we'll definitely answer your question closer to each quarter. We are not giving any guidance right now. Yes.

Jeevan Patwa: And the CDMO contracts on the formulation side, have we started those contracts, where we had the tertiary packaging. So are those contracts started in this quarter, Q3?

Satyanarayana Chava: No. We will start Q1 FY '26. We are investing more into manufacturing lines and packaging lines. The CMO for integrated generic contract manufacturing, the results will come in Q1 FY '26.

Jeevan Patwa: Okay. So the formulation sale will still be in the similar lines, so that will pick up only in next year. That's what you're saying, right?

Satyanarayana Chava: Our ARV sales will pick up. Our non-ARV sales in North America will also pick up. When I said Q1 FY '26, when you asked a specific question about the contract manufacturing. That expanded capacity will come in only in Q1 FY '26.

Jeevan Patwa: Correct. But a meaningful pickup, will happen only after we have the CMO contract starts.

Satyanarayana Chava: It is a combination of both. Our growth in FDF will come from our own sales in North America and contract manufacturing in Europe. It is a combination of both, not the only one.

Moderator: The next question is from the line of Sriraam from ML B.

Sriraam: Just 1 question on the debt, like debt has increased to INR2,700 crores now. And looking at first half, operating cash flow is negligible. We are definitely looking to improve the debt-to-EBITDA ratio, but in terms of absolute amount of debt, I mean, are we looking for some kind of reduction or it can increase further?

V. V. Ravi Kumar: As we indicated last time, we'll be in the similar range. It will be below INR3,000 crores.

Sriraam: And I believe we also have aggressive capex plan, right? I mean, around INR2,000 crores.

V. V. Ravi Kumar: Yes. capex plan is on.

Sriraam: And that can be funded from internal accruals or some kind of fundraise

V. V. Ravi Kumar: See, if you look at our depreciation itself, it's INR400 crores, right, on an annual basis.

Sriraam: Right. Yes. But I mean operating cash flow has been quite depressed. So that's why I was wondering...

V. V. Ravi Kumar: Yes. Operating cash flow also we'll support.

Sriraam: So actually internal accruals will be sufficient for the capex, which we have?

Laurus Labs Limited

October 24, 2024

Page 8 of 17

V. V. Ravi Kumar: Yes.

Sriraam: I mean, the capex plan, which we have. Okay. Got it.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: I had a couple of questions. The first one was, in the presentation, you have mentioned that CDMO performance was soft due to long manufacturing time cycles. Could you explain what that means exactly? And typically, for these complex projects, which we do, how long are these manufacturing cycles, if you could help us understand?

Satyanarayana Chava: When we mentioned complex and long manufacturing lead times, some of the projects we're doing anywhere between 10 to 20 chemical steps linear. See, these are not yet commercial, so we cannot do on a regular manufacturing. So we have to be very careful in executing these batches. And sometimes our partners also will help us in scaling it up.

What we meant long lead times is executing those complex multi-step syntheses is taking a long time. So when we mentioned at the early of this financial year, the deliveries will happen in Q4, some of the high-value projects. We know that much long lead time is needed, yes, to procure raw material and execute those complex multistep synthesis projects.

Madhav: In a way for the quarter 4 delivery, which we are planning, in some sense production is already

happening in batches at our production site even as of right now and then all of those gets sold in quarter 4, something like that. Is that how we should think?

Satyanarayana Chava:

No. For some projects, we started production in the month of February itself.

Madhav: And sales for that will be booked in quarter 4, so like after 1 year.

Satyanarayana Chava: No, no. We started in February -March of calendar year, and we are going to bill in January - February next year.

Madhav: Yes, That's what I'm saying. So it's almost like a 1 -year cycle to complete the project.

Satyanarayana Chava: Yes. So as Ravi mentioned, you can't do 10 batches at a time like a regular production. So you consume capacity, but utilization is in teens. And once you have inventory for a year, mostly it is paid inventory. So these are the kind of leverage -- deleverages happening in the system right now. But this is what we expected. This is not surprising. When we handle such complex projects, we can't deliver in 1 month from PO. So we need long time. One way it is good. So we're handling complex projects. That means it's good for the organization. We are not doing a very simple chemistry.

Madhav: No, sir, I think it's positive. I mean at least it clarifies why they're going through this period of investment, right, that they're kind of doing these long lead time projects, sir, at least explain some of the financials which you are reporting. And the second question I had was on the margins. Did you mention 20% for the full -year FY '25

Laurus Labs Limited

October 24, 2024

Page 9 of 17

Satyanarayana Chava: Yes, yes. That's what 20%.

Madhav: 20% for full -year FY '25.

V. V. Ravi Kumar: That's what doctor indicated before. He has clarified on that.

Madhav: Which means second half, we expect it to be significantly better, right? Because we're at 14%, 15% in first half.

Satyanarayana Chava: Madhav, as you have seen, our margins are healthy. If you do higher sales, I think most of the gross margin will flow into EBITDA, isn't it?

Moderator: The next question is from the line of Bharath Kumar from Quest for Value.

Bharath Kumar: Yes. Sir, in investor presentation, it is mentioned that there are several breakthrough molecules in pipeline for CDMO. Can you please throw some light on these molecules like number of breakthrough molecules, what phase they are in, are they in late phase or not?

Satyanarayana Chava: Actually, our intention is not to give any more details on the clinical phase or therapy category of those projects, I think, until those molecules go into commercial phase, which everybody can monitor from the exports. So until such time, we don't want to give more clarity on that.

Bharath Kumar: And may I know, what is your opinion on BIOSECURE Act? I know that in short term, there would not be much material impact, but do you see any early positive signs like increase in RFQs or increase in pilot projects? And more importantly, how your customers are seeing it? Are they diversifying away from China?

Satyanarayana Chava: So I can give our perspective, but I can't give you the overall industry perspective. What we have seen, there is a lot of customer interest in visiting, engaging with us on the capability, understanding for the large volume projects. But early -stage preclinical and Phase I, we aren't seeing much rush. So there were no increased flow of inquiries for preclinical and Phase I. But there are discussions for Phase II, III molecules, where they want to add a new vendor. Many customers are talking. Existing customers are increasing their pipeline toward us. That's the positive what we are seeing.

Bharath Kumar: Yes. And I see that this FDF revenue is very low in the last 2 quarters. There is a lower offtake in ARV FDF. May I know the reason for this

Satyanarayana Chava: No, it's quite normal. Maybe we have more deliveries planned in Q3, Q4, but nothing unusual. As I mentioned in my opening remarks, so one of the block went for maintenance and modifications, EHS modifications. So some delay in deliveries in Q2. But we

have enough

capacity to service the existing orders. Nothing unusual is happening in the ARV, both APIs or formulations.

Bharath Kumar: And my last question is to Ravi. Ravi sir, you guided that net debt to EBITDA would be around 2.5x by end of this year. Do you still maintain the same guidance?

Laurus Labs Limited

October 24, 2024

Page 10 of 17

V. V. Ravi Kumar: Yes. Today, we are at INR2,600 crores, so maybe in that range. But actually, as I said little while back, so we will not breach the INR3,000 crores range.

Bharath Kumar: I mean I'm talking about the net debt -to-EBITDA.

V. V. Ravi Kumar: Net debt is between INR2,500 crores to INR3,000 crores.

Satyanarayana Chava: 2.5x, you said. Yes, around that number.

V. V. Ravi Kumar: Net debt -to-EBITDA, we are not committing. I know you will calculate if I tell that EBITDA also, right

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Sir, Gilead has issued voluntary licenses for manufacturing of Lenacapavir. You did see one huge transition from TLD a few years ago. We might possibly see another huge transition in the coming year or so. And you are not one of the licensees of Lenacapavir. Do you see another disruption in the ARV markets in the offering in the coming year or 2 because of this?

Satyanarayana Chava: In the Lenacapavir, currently it is approved as a prep. It is not approved as a treatment yet. So typically, the delta between approval in Europe, U.S. versus bringing that regimen to access markets is 3 years. So no therapy regimen disruptions will happen in the next 5 years. Will Lenacapavir disrupt? And will we be left behind? We don't think so. If you look at the current licensees, some of them have API capabilities, some of them have no API capabilities, some of them have no ARV API experience. So at some point of time, either we will get licensed from Gilead or we will get sublicensed from these manufacturers to make their API. So we are still very hopeful in that front.

Gagan Thareja: No, I get the point that you might be there for the APIs, but for being able to supply the finished injectable formulations, you may not be there unless you have a license. And if the license has been issued, and this is already a marketed brand in the regulated markets with comprehensive trial data available, do you still think that it will take as much time? I would have thought generally issuance of licenses are done only when market formation is on the horizon.

Satyanarayana Chava: We are pursuing our efforts. So today, we don't have a sterile manufacturing facility, and we can't convince anyone to give a license without having manufacturing capabilities. That's the one. So as and when we have sterile manufacturing capabilities, we will approach them because they know that we are a strong player in this ARV space.

When we have capabilities, we'll approach them again. And then there is time for us to do this. We are -- nobody has an API. It is still everybody has to develop. So it is very early stage. There were instances the number of licenses were increased closer to the market formation. So we are pursuing that.

Laurus Labs Limited

October 24, 2024

Page 11 of 17

Gagan Thareja: Sure. And on GLP -1, would Laurus be involved in any way in the future? Or is it that, being a peptide, you may not be participating there?

Satyanarayana Chava: I will not comment on that right now.

Gagan Thareja: Are you attempting to develop it in-house?

Satyanarayana Chava: As I mentioned, I will refrain from commenting on that right now. Yes.

Gagan Thareja: Just a final one, what should we consider a sustainable working capital in days terms for Laurus? I understand currently, you're going through a phase where you're taking exhibit batches for your CDMO products and that is toxic, but what should be a sustainable number?

V. V. Ravi Kumar: As you rightly said -- your question has an answer. H1, actually, we have a higher number as an NWC, but March, definitely, it will come down. It all depends in the next few months' time, what kind of orders we are going to have and then what kind of revenue we will be having. But definitely, it will reduce than current number.

Moderator: The next question is from the line of Keshav Shriram Mundra from Guardian Capital.

Keshav Mundra: So I have couple of questions, please. What would be the revenue guidance you would give for the company as a whole for the next year, right? And what would be the revenue guidance you would give for the individual segments? This is my first question. And my second question is regarding the API segment. Like as we have seen a decline in the overall sales, right, what would be the major reason for this? Was this a drop in volumes? Or are we seeing a drop in the pricing -- price for our API products as well?

Satyanarayana Chava: Going back to your first question, except speaking the quality of business for the previous quarters, we are not giving any quantitative guidance. We are only giving very qualitative. So I think we expect to deliver better results in the H2 and also better next financial year. We are only giving qualitative.

Going back to the second question of APIs, API sale coming down because of less API deliveries in the ARV segment and also less sales in the Onco segment. And by the end of Q2, Q3, Q4, I think Oncology sales will go back to growth when compared to last year. And ARV sales will be flattish. We don't expect the ARV sales will grow. It will be very flattish by the end of the Q4.

And we are developing some portfolio of products to grow in API segment. We are not defocusing our efforts gaining market share or putting new products in the generic space. We have almost about 50, 60 products in the pipeline in various stages of development. And right now, we have seen good filings. We have done only 4 DMFs in the last 6 months, out of those

3 non -ARVs. So most of the DMFs what we are developing are in the non -ARV segment. So we expect growth will also come from generic APIs and also maybe integrated offering of doing formulations to our partners. So our generic segment will also grow but may not be as fast as

Laurus Labs Limited

October 24, 2024

Page 12 of 17

synthesis because generic itself has its long -- large base right now, whereas synthesis has a low base.

The percentage-wise, you will see more growth in synthesis, but quantum-wise, generics will also grow beginning next year.

Moderator: The next question is from the line of Foram Parekh from BOB Capital.

Foram Parekh : My first question is, our EBITDA margin for H1 has been around 14%, 15%. And with the deleveraging being on the cards for the next couple of quarters, so are we sure we would be able to achieve 20% EBITDA margin for FY '25?

Satyanarayana Chava: Yes. That's what we broadly guided, Ms. Parekh. Our current forecast internally is Q3, Q4 looks better. And we expect overall for the financial year, the EBITDA margins will be closer to 20%.

Foram Parekh : With the deleveraging being on cards...

Satyanarayana Chava: As I mentioned, deleverage will be behind us soon. So we don't expect the deleverage will haunt us forever.

Foram Parekh : And my second question is, I see our tax rate has been quite low for this quarter. So is this the same tax rate we should assume for the rest of the quarter.

V. V. Ravi Kumar: You can assume historical one, around 28% is the effective tax rate for H1.

Moderator: The next question is from the line of Yasser Lakdawala from M3.

Yasser Lakdawala : My first question is, since CDMO can be a lumpy business, where late-stage molecules may or may not flow through commercial. So what are the opportunities you are exploring in, say, the generic API space to improve our capacity

utilization? And if you could highlight any potential

large molecules in the pipeline in the event that we do have large spare capacity

Moderator: Sorry to interrupt sir, please come a bit close to your handset. You sound a bit distant.

Yasser Lakdawala : Sure.

Satyanarayana Chava: So there are a couple of therapy areas, which we believe Indian companies can gain advantage.

We started working on those for the last 1.5 years. I will not give you the therapy areas right now until we do a couple of products. We will start gaining some business maybe at the end of FY '26 onwards. One DMF we are going to file maybe in the next quarter, not this quarter, next quarter, for which we have already started seeding.

That's the first indigenously developed large volume API in the therapy segment. Maybe we will give more clarity maybe in Q4 this year. So we have identified the few therapy areas for us to grow. See, we can grow by selling more, but we want to grow by identifying some niche large volume products where India hasn't played a big role so far.

Laurus Labs Limited

October 24, 2024

Page 13 of 17

Moderator: The next question is from the line of Sachin from Tara Capital.

Sachin: Sir, last year, also, if I remember, you mentioned that the second half will be significantly better than the first half on the margin side, but we closed at 15% last year.

V. V. Ravi Kumar: Your voice is not clear.

Sachin: So I was just asking that last year also, I think, if I remember correctly, you mentioned second half will be much better than the first half on margins front, but we closed at 15% EBITDA margins. So what gives you confidence that this time we will be able to clock that 20% margin guidance?

Satyanarayana Chava: I think the business mix is going to change. The FY '24 versus FY '25 H2, if you look at our not only business mix, but the quantum of business also will be better from FY '24 to FY '25. So see, if we are saying that our H2 is better, we are already almost a month is over in our H2, so we have reasonable visibility of what products, what quantities we're going to sell and how our margin profile will look like. Yes.

Sachin: And any broader business mix like between CDMO and API and the FDF?

Satyanarayana Chava: I think we expect growth in all segments, not only in CDMO.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just these formulation sales if you could break down into ARV formulation and non -ARV.

Satyanarayana Chava: So we are not adding any capacity to expand our ARV formulations. We are not. And neither API.

Tushar Manudhane: No, no, I mean for the quarter, how much of the FDF sales is ARV and non -ARV?

Satyanarayana Chava: ARV is INR369 crores and non -ARV is INR233 crores.

Moderator: The next question is from the line of Abhishek from Padmaja Investments.

Abhishek: Sir, did you ever think of doing a QIP to resolve the debt issue, like many companies are doing it, like have you given it a thought?

Satyanarayana Chava: No.

V. V. Ravi Kumar: No, we are not thinking in that direction at this juncture.

Satyanarayana Chava: So we are having some stress, but we know that is not going to last long, so we believe we'll be able to weather that situation very easily. Yes.

Moderator: The next question is from the line of Rohit Jain from Tara Capital Partners.

Laurus Labs Limited

October 24, 2024

Page 14 of 17

Rohit Jain : In the first quarter presentation, you had mentioned that there was a sequential decline in API because of timing of shipments. And I guess, this time also, you mentioned somewhere that the fall is because of timing of shipments. So how should we think about it? Because I think about 2, 3 quarters back, again, you had mentioned that there was an issue of timing of shipment. So this particular reason seems to

be a recurring reason. So how should we think about this?

V. V. Ravi Kumar: Can you repeat your question, please?

Rohit Jain : Yes. I'm saying in the last quarter's presentation, for API growth being down sequentially, you had mentioned that overall sequential decline was due to timing of shipments. And in this call also, you mentioned that some of the fall is because of timing of shipments. About 3, 4 quarters back, you had once again mentioned that some of the fall because of timing of shipments. Sir, my question is that this timing of shipment issue seems to have occurred over the last 2, 3 quarters continuously. So just wanted to understand how should we think about it.

Satyanarayana Chava: See, for non -ARV APIs, the timing changes depending on what customer is, whereas ARV API is not the timing issue, we have taken one manufacturing block for modifications, that disturbed some supplies. We are on track already. This week already the facilities came on track. So we don't expect entire year to have any disruptions in that.

Rohit Jain : No, no. My question was that if last quarter was lower because of timing of shipment issue, then logically benefited from those supplies getting shipped in this quarter, right? But we haven't seen that benefit in this quarter. So I'm just trying to understand how should we think about that dynamic.

Satyanarayana Chava: Maybe we have to take offline.

V. V. Ravi Kumar: You're asking like in the last quarter, we said that there is some timing issue hence there is a lower sale, what happened to this quarter, it's not recovered, right? So there are some like unrecognized revenue even in the second quarter. Actually, second quarter, those sales have been made actually because of the revenue recognition at end of September; the number is much higher than what it was in June, frankly. But your observation is right.

Rohit Jain : So that's what I'm asking, sir. Is this a regular business feature then? Like is this something that happens every quarter?

V. V. Ravi Kumar: No, it depends. Sometimes, if there is more sea shipments, then this problem may arise.

Rohit Jain : And just one more question I had. So I was asking that, as one of the earlier participants asked, the seasonality of our business is such that fourth quarter, we see lumpy sales, and hence, our working capital improves and our debt -to-EBITDA improves. But let's say, if we go back again to the next year, first quarter, second quarter, would it be fair to assume that there would be a deterioration in debt -to-EBITDA and working capital given the basic seasonality of our business that you explained?

Laurus Labs Limited

October 24, 2024

Page 15 of 17

V. V. Ravi Kumar: As indicated by Dr. Satya in the previous question, so we are not giving a guidance there, but at the same time, on a yearly basis, we expect a growth. So because whatever investments we've made so far, those going to be turned into returns. So again, I'm just trying to give next quarter 1, quarter 2 how it will be, whether there will be a decline. I don't want to give a comment at this juncture, but maybe in April, we will give a guidance of how the next year will be.

Moderator: The next question is from the line of Samay, who is an Individual Investor.

Samay: So my first question to doctor sir. Sir, it's mentioned in the investor presentation on Slide Number 25, we are following high standard for all our plants. I just want to ask about December 2023, where we are receiving U.S. FDA 5 observations for LSPL plant. I know we acquired this plant, but we did in May 2020, it's a 4 -year, and still I don't understand why we are not following same high standard for this plant even it is very small in revenue for us.

Satyanarayana Chava: Thanks for asking this question. So as you are aware, when we acquired that site, that site has an Import Alert. And FDA inspected, and they gave 5 observation

s. We responded. And today,

that site, they have lifted the Import Alert. We have no Import Alert on that site. That is a good sign. So we are working with the agency. We have submitted our responses, and we are very hopeful to resolve that.

Samay: And the second question for Ravi sir. What is our current gross block for FY '25? At the end of FY '25, what would be there?

V. V. Ravi Kumar: From now, actually, if we add at least INR500 crores for the gross block, so it will be around -- it will be INR6,700 crores or so.

Samay: So if I add INR2,000 crores another by next 2 years, so by end of FY '27, we would be around INR8,500 crores.

V. V. Ravi Kumar: No, I was just talking about next year, March '26.

Samay: Yes, By FY '25, we would be around INR6,700 crores, and by end of FY '27, we would be around INR8,500 crores to INR9,000 crores, correct?

V. V. Ravi Kumar: No, I don't know. We have not given any guidance March '27.

Samay: No. last call, I mean, you have said that we will do around INR2,000 crores capex . That's why I said.

V. V. Ravi Kumar: That's correct. That is March '26, right, then and not '27.

Samay: And last question for doctor sir. Sir, I mean, is there any future that we can see any money or profit from Im munoACT by next by FY '26 or FY '27?

Satyanarayana Chava: See, that company is at the very formative stage. We will do actions at appropriate time. We believe this is not the right time.

Laurus Labs Limited

October 24, 2024

Page 16 of 17

Moderator: The next question is from the line of Gagan Thareja: from ASK Investment Managers.

Gagan Thareja: Sir, the capex of INR2,000 crores that you've indicated, can you elaborate specifically how much will go into APIs, how much in CDMO, how much in bio -- in your biocatalysis venture?

V. V. Ravi Kumar: Bio, around INR225 crores, and CDMO will be the major, and then probably FDF another INR200 crores. This is for the CMO. And of course, the rest all will be the CDMO, and API will be lower.

Gagan Thareja: So predominantly, it's going into the CDMO piece.

V. V. Ravi Kumar: Yes. That's correct.

Gagan Thareja: And for the CDMO contracts in agrochemicals, when do you foresee commercial contribution starting?

Satyanarayana Chava: Maybe Q1. Yes, Q1.

Gagan Thareja: And the Animal Health will be starting in second half?

Satyanarayana Chava: Animal will start this year itself for some revenues. Yes.

Gagan Thareja: So I thought last call, we mentioned Animal Health, we should see contributions coming from second half of this year. Are you saying that there will be contributions, but scale will be suboptimal

Satyanarayana Chava: This year, we'll see revenues coming from Animal Health. But next year, also, the projections look good for Animal Health.

Gagan Thareja: So basically, 2 new revenue streams get added up next year, which should, therefore, have a substantial addition to topline for you . And on the formulations business also you have a contract with KRKA. I think you indicated you were doing a joint venture also. How should we think of that business scaling up from where it is today?

Satyanarayana Chava: The JV will have its own facilities in the next 2, 2.5 years. In the meantime, we're adding capacity that will come handy from Q1 FY '26 onwards. We expect some meaningful revenues coming from Animal Health, but not that significant from Crop Sciences right now. Right now, we have 1 contract , we are negotiating other products, other contracts. Validations will go on. So next year, meaningful revenues will come from Animal Health. Some revenues will come from Crop Sciences, but Crop Sciences meaningful revenues will only come in FY '27. And by FY '27, Animal Health will go to an optimum capacity.

Gagan Thareja: Sir, final one, you indicated the formulation sales from ARVs, I think the figure was around INR300 crores -- if I got it correctly around INR300 crore

s for the quarter?

Satyanarayana Chava: Yes.

Laurus Labs Limited

October 24, 2024

Page 17 of 17

Gagan Thareja: Yes. So that's on an annualized basis, almost INR1,200 -odd crores.

Satyanarayana Chava: Probably, the H1 is INR369 crores ARV.

Gagan Thareja: So sir, eventually, whenever Lenacapavir comes in, while you participate in the API and you cover for a shift to whatever degree the shift happens to cover for it by supplying the API. But on the formulation piece, you possibly stand to lose out unless you build out a fill -finish facility

or a fill-finish line. Is that the correct way to understand it? That in ARVs, while overall sales, I do not know how much will be impacted, my personal perception is that it's going to be a big shift just as TLE to TLD happened. But for you, you can compensate on the API side, but not on the formulation side. Is that a correct way of understanding this?

Satyanarayana Chava: Yes, it's a very good question you asked. So currently, our API sale is about INR1,500 crores, INR1,600 crores and INR900 crores is the formulations. It is two-third, one-third roughly in ARV. Will we lose an opportunity if we don't get fully integrated in Lenacapavir by sterile manufacturing. See, Lenacapavir, also a lot of clinical phases happening on the treatment side. The subcutaneous one is the prevention, a prep, whereas the treatment they're coming with the oral versions, not every day, maybe weekly once or monthly twice treatment coming.

And for that, we don't need sterile basically. So I think we are not at a disadvantage right now because we may lose out in the prep space, but the prep is very prominent in the advanced market, not in the access to markets. So we are not at a disadvantage right now. But we are pursuing. We have time to catch up. So it's we don't think shift will happen. Even if it happens, we have another 5 years' time to get ready and then take the opportunity.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of our Q&A session. I would now like to hand the conference over to the management for closing comments.

Satyanarayana Chava: Thank you, everyone, for your insightful questions. Thank you, Monish, for hosting this call. Thank you.

V. V. Ravi Kumar: Thank you.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2025

January 29, 2025

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q 3 FY25 r esults conference call hosted on January 24, 202 5

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our r esults confer ence call intimation dated January 08, 2025 , please be informed that the results conference call for Q3 FY25 was hosted on January 24, 2025 and the transcript of the conference call is enclosed herewith .

This is for your information and records.

Yours faithfully,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 18

"Laurus Labs Limited
Q3 FY '25 Earnings Conference Call "
January 24, 202 5

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS LIMITED
MR. VIVEK KUMAR – ASSISTANT VICE PRESIDENT
INVESTOR RELATIONS – LAURUS LABS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Laurus Lab Limited Q3 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Nitin Agarwal: Thanks, Steve. Hi. Good afternoon, everyone, and a very warm welcome to Laurus Labs Q3 FY '25 Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have Laurus Lab management representing: Dr. Satyanarayana Chava, Founder and CEO; Mr. V. V. Ravi Kumar, Executive Director and CFO; and Mr. Vivek Kumar, A VP, Investor Relations. I will hand over the call to the management team to make the opening remarks, and we'll open the floor for questions. Dr. Chava, please go ahead, sir.

Satyanarayana Chava: Thank you, Nitin, for organizing this call. Good afternoon to all our stakeholders. We continue to demonstrate our unique platform capabilities for some of the difficult to make small molecules and effectively addressing the evolving needs of our customers. We're delivering on our key strategic priorities and successfully executing on the major pipelines that we have.

Interestingly, the strong progress we are making on the CDMO CMO business increases the confidence in our ability to achieve long-term success and create sustainable value for our stakeholders. We're applying our important platform technologies into some of the advanced clinical projects, which we believe have significant commercial potential.

And we are further augmenting it with value-creating business development efforts like new small molecule, high potent R&D center which elevates our one-stop development and manufacturing service capability with our innovators and parallelly, enhancing our business teams across the globe. We have also recently announced a strategic investment by Eight Roads into our biotech arm.

This new development further expands our efforts towards building commercial scale sustainable manufacturing capability, which will focus on creating large-scale microbial precision fermentation capacity as well as enhancing our enzymatic engineering applications as well. I would say through continuing excellent scientific and operational execution, we are achieving significant milestones for our company and for our customers.

Moving on to our financial results. Our Q3 operating results have progressively improved, and we delivered strong growth along with continued resilience in our financial health. For the current quarter, we delivered revenue of INR1,415 crores. Strong growth is driven by robust demand in our CDMO business, supported by healthy performance of formulation division. The growth was partially offset by lower offtake in our ARV business. Gross margins were healthy and maintained well above 50% for the last several quarters and EBITDA margins increased to 20.1% following better operating leverage and the product mix.

Healthy commercial execution is our top priority, and our performance remains well on track to deliver full year growth with the revenues accelerating in the near term. To begin, I would like to share key updates on our CDMO business. This division saw continued robust demand for its commercial offerings and coupled with strong operational performance, we recorded highest quarterly sales for CDMO division in the last 8 quarters, close to INR400 crores. On a 9-month basis, CDMO division recorded 33% growth, reflecting continued uptake with

our new assets

ramping up. I would say the division portfolio continues to shift towards high-value complex small molecules. We also saw encouraging RFPs and continue to see signing an early to mid-stage projects involving complex chemistry. This momentum is partially enabled by increasing collaboration with our new R&D center with new big pharma partners. Additionally, we are actively promoting our BD efforts to successfully deliver clinical projects to broaden project pipeline for long-term accelerated growth.

The broader outlook for CDMO industry with small molecules is positive, and we remain committed to our 2025 growth outlook, supported by scheduled project deliveries for a few late-stage projects in the Q4. We're working on over 90 active projects, mostly in human health and also some in the Animal health and Corp Protection as well.

In the generic APIs, we reported revenues of INR531 crores with a decline of 7%. This was mainly due to lower volume uptake in ARV APIs. For 9 months, the business were more or less very stable, declined slightly about 3%. The soft ARV performance was essentially due to prioritized capacity allocations towards high -yielding long -term business opportunities. Having said that, we would like to reassure that our order book in ARV is healthy and Laurus will fulfill all confirmed orders and contractual obligations.

Also, we have indicated in previous calls that our combined ARV performance, APIs and formulations, we have done better than last year and stabilizing franchisee revenues. On the non -ARV portfolio, we have seen some sequential recovery as part of ongoing strategic initiatives.

We continue to work towards expanding our CDMO /CMO offerings in small molecule APIs.

Overall, we see API growth returning next year with positive order book what we have.

During the 9 -month period, we filed four DMFs, three in non -ARV category. With this, the total number of DMFs filed is 87. In our Formulation division, we delivered strong progression in Q3, improving our year -to-date performance. Overall revenues for the quarter were INR436 crores. For 9 months, we have returned to growth of over 5%. ARV business and developed market business portfolio increased on higher activity. We have a couple of ANDA launches that we expect to provide meaningful growth in the next financial year.

Cumulatively, we have a total of 43 ANDAs filed to date. Of this, we have a total 21 final approvals and 14 tentative approvals. We continue to have diverse portfolio and pipeline, including products franchisee comprising of ARV, cardiovascular, diabetes and CNS, apart from gastrointestinal as well. I'm also pleased to report that our collaboration with KrKa is progressing well. We have already initiated the validation of a few products under the new CMO agreement for integrated generic contract manufacturing.

Laurus Labs Limited

January 24, 2025

Page 4 of 18

On the R&D front, we have spent about 5% of our sales for the 9 months of the current financial year. We continue the investment portfolio with product -specific approaches based on complexity and scale economics. Coming to Laurus Bio, this division reported Q3 sales of INR48 crores, a growth of 14% year -on-year. If you look at the 9 months performance, the underlying growth is very healthy excluding impact of advanced shipments last year. And also we discontinued some low -margin non -core nutrition business.

Q3 continued to see increased customer pipeline with AOF and CDMO customer base increased significantly. We are further expanding on R&D capacity with installation of high throughput systems to meet our increasing demand of our R&D services. Regarding our plan to set up the large -scale fermentation capacity in Vizag, we are pleased to join forces with Eight Roads as their partner. We believe our strong collaboration will enable us to expand and accel

erate high -

quality CDMO services capability to global partners. The proposed investment will more than double our fermentation capacity, and we expect facility to be ready by end of calendar year 2026.

Let me share briefly on the quality side. In 9 months, the company underwent close to 120 quality audits by multiple drug regulatory agencies and also customers. The company has successfully passed the target without any critical findings.

To conclude, I want to again acknowledge the focus and commitment of our team. Based on our continued progress across diverse portfolio and pipeline projects, we are more confident about our long -term future and value creation for the stakeholders in the coming years.

With that, I'd like to hand it over to Ravi to share some financial highlights.

V. V. Ravi Kumar: Thank you, doctor, and a very warm welcome to everyone on our Q3 and 9 M FY '25 earnings call. Total income from operations for 9 months is around INR3,834 crores with a growth of 6%. For the quarter, we have done INR1,415 crores, with a growth of 18 % year -on-year. The fundamentals of our business have remained healthy, led by order book position and continued progress in CDMO business.

Gross margins maintained at healthy level for quarter 3, which came 56.9% and for 9 months, 55.8%, mainly due to better product mix as well as process improvements done in some of the key large volume APIs. Our EBITDA for quarter 3 stands at INR285 crores, with EBITDA margin at 20.1%, which has progressively improved. For 9 months, EBITDA came at INR638 crores with a margin of 16.6%. This is versus 15% in last year. The margins are suppressed due to continued operational de leverage, even though some of the assets may have started to ramp up, we expect quarter 4 will ramp up further.

Our profit after tax for quarter 3 is at INR92 crores and for 9 months, at INR125 crores. Our ROCE was 6.8% due to lower operating results and continued capex investments towards growth projects. On the capex front, we invested close to INR186 crores for the quarter and INR448 crores for 9 months FY '25.

Laurus Labs Limited

Our net debt stood at INR2,766 crores and debt to EBITDA is around 3.1 versus 3.4 in the last quarter. As we have articulated in the past, we are expecting gradual deleveraging following acceleration and operating performance in the near term. On the capital allocation front, our strategy remains unchanged, and we will continue to prioritize investment into high-value business segments like CDMO. You can refer to our IR presentation for more details.

With this, I would request the moderator to open the lines for the question-and-answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: First question is related to Laurus Bio. Recently, a 59-year-old female patient from Netherlands travel led to India for CAR-T cell therapy and her treatment was successful. And of course, this is a wonderful outcome for Indian scientists, doctors and health care infrastructure in the country, in particular. And I'm, of course, so proud to be an investor in ImmunoACT through Laurus Labs, of course. My question is about both ImmunoACT and our gene therapy Phase I progress at IIT Kanpur. Can these individually become multitherapy assets at scale?

Satyanarayana Chava: Thanks, Sajalji, asking a very interesting question. As you are speaking, our associated company, ImmunoACT obtained DCGA approval to conduct a clinical trial for BCMA. So it is not a one product company anymore. So they're going to start dosing the first patient in BCMA soon and they are also starting to work on other clinical assets as well. So we are moving from 1 product company to a multi-asset company at ImmunoACT. Coming back to your question on I

IT

Kanpur, our commitment to progress, the three assets, what we are licensed from IIT Kanpur, we are progressing them. And we'll have more to share about the timeliness and all in the coming quarters.

Sajal Kapoor: That's helpful, Dr. Satya. And my second and last question is, given our reactors are interchangeable or fungible, we can always stop ARV and switch to NCE or higher-margin products in the same block where we are currently doing ARV today should an opportunity arise in the future. So I mean, logically thinking, instead of doing a 35% gross margin in a fungible reactor, we would rather do a 70% gross margin molecule. I mean, is that how you would think as well?

Satyanarayana Chava: Currently, we are not struggling for capacities. And at the same time, ARV, both API and formulation put together is a sizable business. It is a cash cow. So we don't want to disregard that and then focused on other business. So we have enough capacities to cater to NCE programs, Sajal, yes.

Sajal Kapoor: Yes, definitely. So we won't. Yes, it's a cash cow for sure. But if there is a dramatic shift in the external environment. So US pulling out of WHO causing a near-term knee-jerk reaction on PEPFAR tender or any such kind of a scenario emerging, we always have the capability and the capacity to make a different product in the same infrastructure. That's my question precisely.

Laurus Labs Limited

January 24, 2025

Page 6 of 18

Satyanarayana Chava: You are absolutely right. I think it is definitely doable. If you look at our journey in the last 6, 7 years, we used to make more than 1,000 tons of efavirenz per year. Now we are making 50 tons per year. So that capacity converted to something else. So the reactors are fungible, as we mentioned. If there is need arises where our ability to repurpose to other APIs is quite possible.

Moderator: The next question is from the line of Tushar Manudhan e from Motilal Oswal Financial Services.

Tushar Manudhan e: Sir, just a bookkeeping question first. How much of the ARV formulation sales for the quarter?

V. V. Ravi Kumar: Do you have a second question? We will answer the first question.

Tushar Manudhan e: So with respect to this investment by Eight Roads in the fermentation business, we were already implementing the capex for 2 million fermentation facility. So this investment goes into this 2 million facility or this is separately 400 KL capacity, which we are going to come up under the deal with Eight Roads?

Satyanarayana Chava: Actually, the deal with Eight Roads, we are not creating capacity for Eight Roads, we are creating capacity for our own purpose. And we took the partner for their technical advises and their portfolio companies. But otherwise, the 400 KL capacity will come for Bio. So we will do our own products. And going back to the first question, in the Q3, our ARV sales were a little over INR300 crores, precisely INR304 crores.

Tushar Manudhan e: Looking at FDF?

Satyanarayana Chava: Yes, INR304 crores is the FDF ARV sales in the Q3 period.

Tushar Manudhan e: So sorry for this confusion, but the facility which we are building up, that is the 2 million fermentation facility, and then 400-KL capacity is another project. Is that the right way to understand?

Satyanarayana Chava: Actually, if you look at our large-scale bio capacity, we have two large-scale capacities will

come, one in Vizag, one in Mysore. So both plants are intact. So we have accelerated construction of facility in Vizag because of operational reasons, but eventually, we'll also have another facility coming in Mysore. Both are active.

Moderator: The next question is from the line of Krish Mehta from Enam Holdings.

Krish Mehta: I just wanted to follow up on the previous participant's question on the ARV versus non -ARV mix. Is it right to assume that your ARV total revenue for this quarter was INR617 crores? If you could

just break up the total ARV versus non -ARV?

Satyanarayana Chava: You're right. That's about INR619 crores. Yes.

Krish Mehta: And if I could follow up, how do you see this trajectory going forward as our API sales sort of stabilize a bit in the next, say, 1, 2 years?

Laurus Labs Limited

January 24, 2025

Page 7 of 18

Satyanarayana Chava: We can give you a broad range. We are not anticipating any growth coming from this franchise in both API and formulation put together. If you sum it up, it is INR650 crores per quarter. We expect it to remain in that range next year, year after also. So that's kind of the stabilization we expect in that ARV franchise, between INR2,300 crores and INR2,500 crores, somewhere in between. And we believe that's quite possible even now, yes.

Moderator: The next question is from the line of Bharat from Quest for Value Capital.

Bharat : May I know when is this Bio plant going live, sir?

Satyanarayana Chava: By end of 2026.

Bharat : End of 2026. Okay and regarding this FDF 3 billion capacity for Krka, may I know by when this would be starting deliver revenue for us from Unit 2 ?

Satyanarayana Chava: See, what we started doing, we started doing validation of the products which will go into the increased capacity already. And then the new capacity will come from November, December this year onwards in a phased manner, yes.

Bharat : Okay. And my last question is regarding Biosecure Act. Now that these actives are delayed, because of this, do you see any slowdown on momentum of the supply chain diversification efforts from innovators?

Satyanarayana Chava: We haven't seen any degrowth in visits or RFP flow. Yes.

Moderator: The next question is from the line of Chirag Shah from White Pine Investment Management.

Chirag Shah: Sir, first question is on Q4 of current financial year. So last quarter, you indicated H2 margins could be around 25%, so that our annualized margins would be 20%. Now, we have done around 20% in Q3. So do you still hold to your H2 guidance of 25%? And if not, has there been any delay in Q3 revenue which leads to lower margin? That's my first question.

Satyanarayana Chava: As I mentioned in the initial comments, we are still confident to what we are committed to bring the entire financial year EBITDA closer to 20%. Yes.

Chirag Shah: Okay . And sir, second is, for next year, that's '26, given the efforts you're putting on CDMO over the last 2, 3 years, can we expect '26 could be the year of the breakthrough phase and we can cross or reach INR2,500 crores of revenue on a full year basis

Satyanarayana Chava: I don't want to comment on the quantum of business we can do next financial year. But the prospects in the CDMO division looks very bright, and we expect to have growth.

Chirag Shah: And when you say growth, will it be substantial over FY25 because FY25 has been a subdued year.

Laurus Labs Limited

January 24, 2025

Page 8 of 18

Satyanarayana Chava: I think we'll reserve my comment on this. So I can still say that FY'25 will be a good year for CDMO, FY'26 will be even better year for CDMO.

Chirag Shah: Yes. Okay. And any margin guidance do you have for '26 given there are a lot of moving parts in the business?

Satyanarayana Chava: We are not giving any margin guidance.

Moderator: The next question is from the line of Jeevan Patwa from Sahasr Capital.

Jeevan Patwa: Yes, sir. So, congratulations first to the entire team. So, we are seeing very good trajectory on the CDMO side. I think CDMO is going to fire from here on, that's what I feel. And Q4 and onwards, I think we will have a different number from CDMO. Just wanted to understand, and if you are able to give some details on this.

Any number of commercial molecules getting commercialized in FY '26, any idea on that? In terms of also the Animal health business, how do you see that Animal health business is going

to shape up? And also, the agrochemical business, how it's going to shape up in the CDMO side,

Satyanarayana Chava: I think next year will be a good year for our Animal health. So we expect a significant growth

will come from there. And we will commercialize our CropScience facility, and we will also expect sales coming from that unit. When it comes to human health CDMO, we have a lot of clinical programs. I don't want to comment on how many we commercialize, how many in Phase III. We never gave that number of breakup of programs. But we have a very good pipeline. As I mentioned, we are not offering RSMs or intermediates. So we moved one orbit and we are giving APIs, and which are also volume and which are also complex APIs. So that's the game we are playing and we are happy we have invested significantly in those, and our customers are also very happy with what we have been delivering.

Jeevan Patwa: Perfect, sir. No, sir, I'm also very happy with the numbers this quarter. I think next quarter is going to be really good in terms of CDMO. One more thing, sir, in terms of gene therapy, so we are saying we're going to commercialize the vector manufacturing facility in FY '26. So, is it going to be utilized for contract manufacturing also?

Satyanarayana Chava: Yes, you're right. So, the facility will also sell GMP -grade viral vectors, and also we have the ability to do plasmids, CMO, and it will be a combination of both.

Jeevan Patwa: And how big it would be, how much we are putting investments there?

Satyanarayana Chava: Our investment into GMP scale facility is about INR120-130 crores. And we invest if there is a need. So our initial philosophy continues, again, invest ahead of the time. And then we have licensed patents, we have licensed technology for viral vectors. I think as we committed, FY '26, we'll have the GMP facility up and running.

Laurus Labs Limited

January 24, 2025

Page 9 of 18

Jeevan Patwa: Perfect. So INR100 crores is a big amount for, I think, this viral vector? That's great, sir. And the last question, I think, a little difficult question again. So when do you think the kind of FY '21 kind of growth we can expect in the formulation and the API side. Do you think FY '26 will give that kind of growth in the formulation or it will be FY '27?

Satyanarayana Chava: I think we are broadening our pipeline in our API and also in formulations. That will take some time. It is not a quantum jump in FY '26, but the kind of pipeline we are developing will have a unique offering, and we expect significant growth coming in the medium term. I don't expect significant growth coming in the near term, but medium term, we're very confident.

Jeevan Patwa: So can we expect FY '27 to be the year for formulation and API?

Satyanarayana Chava: I think, see, we can discuss closer to when we are filing DMFs in the new portfolio.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: So I just wanted to understand that you mentioned that you have shifted from doing RSM and intermediate to doing high -volume complex APIs. I mean, could you explain a little bit more like what's happening? Is that customers are asking us to do the final API itself? Or sort of what's changed there? I mean just trying to understand the thought process.

Satyanarayana Chava: I think when people come and they want volume, we're able to provide what volume our partners are asking. And also what technology platforms we have created also enables us to do complex things. We do significant work in flow chemistry, bio -catalysis, high -potent manufacturing, high-energy chemistry, and hydrogenation . So we've created some technology platforms, which helps us to add value to our partners' programs. So that's the reason we moved from RSMs to very advanced intermediates or APIs. Yes.

Madhav: Is this a recent shift in the pipeline? Because if I understand th

at one or 2 years back, we did do

some KSM intermediates. So I mean, this is the first time I'm hearing this shift. So is it something more recent that we've kind of realigned the portfolio or something which has been happening for some time?

Satyanarayana Chava: We have realigned our portfolio. We are getting that kind of projects. I'll put it that way. It is progressive, yes.

Madhav: Okay. Sir, just had one request. Given a lot of your peers, they do give a breakup of, let's say, you have 70, 80 human health projects. I think you do mention how many are commercialized. But if it's possible just to give a breakup into different phases, like how many in Phase III, Phase II, Phase I, that will just be more clear for the investor community. So just a request from my side here.

Satyanarayana Chava: So as I mentioned, Madhav, we don't want to dwell into those finer details. See, this CDMO business is very dynamic in nature. And we don't want people to start guessing projects and all. So we also have confidential agreement. We don't want to reveal too much. So when it is

Laurus Labs Limited

January 24, 2025

Page 10 of 18

commercialized, people know very easily on the export data nowadays. The people are dissecting so much, so we don't want to give more data further. Yes.

Madhav: Got it. And just the last question from my side was the Krka JV, which we are implementing. I

don't know if you've called it out before, how much capex are we putting in for that JV? And sort of in 2, 3 years, what kind of revenue can come from that JV separately? If you could give us some sense, that will be really helpful.

Satyanarayana Chava: I think we are formulating our strategy correctly right now. The blueprint stays on the facility and also products. Maybe we'll be able to give more details maybe middle of next financial year. Yes.

Moderator: The next question is from the line of Deepak Malik from Carnelian Capital.

Deepak Malik: Congratulations for a good set of numbers. Sir, my first question is on the CDMO business. Can you please highlight what drove this strong growth in this quarter? Is it like human CDMO? Or was it animal in this quarter? So what actually drove the performance? And is it sustainable for quarter 4?

Satyanarayana Chava: I think the growth came from both. Majority came from human health, but partly also came from animal health CDMO. And we expect our pipeline is robust, and we're also doing very late-stage intermediates or APIs. We expect to do well in this division in Q4 and beyond.

Deepak Malik: In this human health and animal health, has there any new capacity which goes into commercialization? Or was it a new product which got launched? So what actually -- if you can give a little more colour on exactly -- so what exactly led to this kind of strong growth, launch of new products, the commercialization of new facility or ramp-up of existing contracts

Satyanarayana Chava: I think no new capacities came online. We have a lot of capacity, which we have created for this division. And we started utilizing and we are delivering some projects, which we delivered small quantities in the previous years. So it is a gradual growth. So this business, one has to have a lot of patience, and we patiently waited for the programs moving from earlier clinical phase to late clinical phases. And this growth is effort what we have put in the last 2 years.

Deepak Malik: Okay, sir. And you think this is something which will further scale up going forward from Q4 and Q1 and Q2? So this is like just the start and then things will further scale up from here onwards?

V. V. Ravi Kumar: Year-on-year, it scales.

Satyanarayana Chava: Yes. We expect definitely, this division will grow in FY '26. I'll leave it at that stage. I'll not quantify how much growth comes right now.

Deepak Malik: Okay. And second, sir, you have given one very good slide in the presentation, the seventh

number slide, where you have given that there's INR3,000 crores of total capex from FY '22 to

Laurus Labs Limited
January 24, 2025

Page 11 of 18

'25 you have done. And in that, around 72% capex is into the API and CDMO. And then you have given the breakup also that, okay, there is 50%, which is ongoing capex and the operational is only just 21% and ramp-up stage is only 28%.

So that means like more than half of the capex is still not commercialized and that is still to come in this INR3,000 crores. Only INR1,500 crores is something which is in the various stage of scaling up.

Satyanarayana Chava: I think I'll answer this question a little differently. See, the capacity is there, but we are not doing regular production there. So when we do scale-up batches or the validation batches, we utilize your block very inefficiently. So the real value comes when we do commercial. Yes.

Deepak Malik: Okay. Got it. And in this, so if I have to say that so approximately, what kind of sale must be coming in from this INR3,000 crores? Is INR1,000 crores or maybe even less than that? With this new capacity?

Satyanarayana Chava: We don't want to quantify that way. But on the left-hand side, you might have seen at the highest, we have done 1.4 asset turnover ratio. At the lowest, currently, we are 0.8. So when we go commercial, I think revenues will be somewhere in between.

Deepak Malik: So, you have given there that it's 0.8x. So, when you say 0.8x, of the overall INR3,000 crores?

Satyanarayana Chava: Overall gross block, including INR3,000 crores.

Deepak Malik: Okay. Got it. And whatever capex which will be coming in going forward, that will be over and above this?

Satyanarayana Chava: Yes.

Moderator: The next question is from the line of Venkat, an Individual Investor.

Venkat: I just wanted to know, what is the impact on ARV business if US exits from WHO?

Satyanarayana Chava: See, WHO is a policy framing organization. WHO don't fund any ARV procurement. They do make policies. They do approve the dossiers, guidelines and all. So if the US start moving away from membership of WHO will have some impact on the guidelines, approval time lines of files and all. But in the near to medium term, we don't expect any impact on the drug purchases because the amount of money spent on drug purchase is 10% of the money spent on the HIV eradication program. So we don't expect significant impact on that.

Venkat: Okay. Sir, one more question. Sir, earlier when we purchased Richcore, we thought to put up 2 million fermentation facility in Bangalore. Why was it moved to Mysore, sir? I mean just trying

Satyanarayana Chava: We have used Bangalore as a word. But otherwise, our initial plan was to put up a facility near Tumkur or Mysore. So that was the idea. And we moved our phase of construction to Vizag for operational reasons. So our plan of creating large volume facility of 2 million liter's still intact.

Venkat: When is it expected to complete, sir?

Satyanarayana Chava: The Vizag facility will be operational the end of 2026.

Venkat: It's going beyond end of 2026 in Mysore, right?

Satyanarayana Chava: Yes. Yes.

Moderator: The next question is from the line of Mayur from Wealth Managers India Private Limited.

Mayur: Sir, just one broad question. And it may appear to be a little financial, but I think from a strategic standpoint, the stakes, Eight Roads stake of 14%, when we look at, broadly, the value comes to around INR850 crores, INR860 crores for the overall Laurus Bio. And when we look at the annualized current revenue run rate, it is just slightly sub of INR200 crores.

Our own entire Laurus is valued much higher than that. So we believe the Bio segment should have been a little more, qualitatively more, higher valuation if it commands, s

o to say. So just

wanted to understand your thought process when we looked at this and what kind of benefit shall it accrue. And is it the right way to look at? And what are your thought processes when we looked at that kind of an arrangement?

Satyanarayana Chava: The primary objective for us to bring Fidelity as a partner is to work closely with their portfolio companies across the globe. That's the primary intention. Second is, see, you might be aware, we acquired majority of the Bio stake from Fidelity itself. So they are coming back itself is a good indication that they see value right now into this. Not just money purpose, we got Fidelity into the picture to broaden our management bandwidth there and also work with their portfolio companies. I'll put it that way.

V. V. Ravi Kumar: The valuation we feel it's a fair valuation. In fact, the same valuation, even Laurus also investing. So we will invest around another INR40 crores before end of June 2025.

Mayur: And we further have both either of the partners at INR35 crores additional? That is also at the similar valuation?

Satyanarayana Chava: Yes. You're right.

Moderator: The next question is from the line of Ankur Bhadekar from ULJK Financial Services.

Ankur Bhadekar : First of all, congratulations for the good set of numbers. So, a couple of questions from my side. One was during the quarter, the onco API contribution has been low, around like 8% or so. So, I wanted to know the reason behind the same. And also, do we still hold a higher market share in the gemcitabine API?

Laurus Labs Limited

January 24, 2025

Page 13 of 18

Satyanarayana Chava: If you look at the 12-month period, answer is yes, not quarter-on-quarter. And for many of the oncology APIs, we hold significant market share. And see, it is some kind of an order book shifts from quarter-to-quarter. Otherwise, our onco pipeline looks healthy.

Ankur Bhadekar : Okay. And how do you look at the business going forward in terms of the Bio business? Like with Eight Roads coming in, what is your future growth strategy? And like how do you see the contribution from the Bio business going ahead?

Satyanarayana Chava: I think we'll be able to answer that once our new additional capacity comes online. See, until such time, we are only de-bottlenecking existing capacity. We don't expect FY '26 will see significant growth in Bio. So, the quality of business may vary, but quantum of business may not be very significant in FY '26. But year after then, we'll see a big growth in the Bio division. But we are not quantifying how much we'll do in FY '27 and onwards, but we will see growth there.

Moderator: The next question is from the line of Dhiraj kumar from Tank Your Wealth.

Dhirajkumar : So my first question is around I hope we supplied a registration batch in Q3, and we are doing in Q4 as well. So my question is around and I'm not expecting any number, but my question is around, are you supplying more than one product or molecule for this Q3 and Q4? Or it's for one product or molecule?

Satyanarayana Chava: I can give broad answer. So the deliveries what we have done in Q3 and what we're going to do in Q4 are for multiple products, not for one product.

Dhirajkumar : Okay. I mean we are good then, In 2021, we supplied PO, and that's the only one product, and then it vanished. I mean, revenue has significantly declined. That's why I asked.

Satyanarayana Chava: There are multiple products, I think. Yes.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Sir, on the CDMO bit, in your presentation, you mentioned that you're working on 70 -plus projects, including several breakthrough designated molecules. Sir, from a CDMO partner perspective, is there any implication we should read into this designation of molecules as fast track as breakthrough molecules? I mean, does it have any impl

ication? What implication does it have as a CDMO service provider?

Satyanarayana Chava: The approvals will be faster for our partners.

Nitin Agarwal: Okay. And you mentioned that there are multiple of such products which are there in our pipeline.

Satyanarayana Chava: Yes. Yes.

Laurus Labs Limited

January 24, 2025

Page 14 of 18

Nitin Agarwal: And sir, such molecules typically would be what? Typically, the orphan drug molecules with smaller sort of scales or these are not necessarily orphan drug products

Satyanarayana Chava: I think I will not answer this question.

Nitin Agarwal: And sir, the other point that you mentioned on the ecosystem for CDMO. Sir, I mean, some of the trends that you mentioned, what implications do they have, positive or negative, for Laurus as a business in whatever changes that you've seen in the landscape over the last few quarters and the things that you're seeing changing for now?

Satyanarayana Chava: I mean there are changes, but those are all positive for us.

Nitin Agarwal: I mean, the point that you mentioned about supply chain optimization by big and midsized pharma, what kind of changes are you seeing on that account, sir

Satyanarayana Chava: I think they are trying to add some key vendors to diversify their supply base. That's what is happening, and we're happy with the way things are going right now.

Nitin Agarwal: Okay. And the last question, what kind of programs do we have for the peptides drugs right now? The big talk of town in terms of GLP -1s and the other sort of products. What kind of capabilities do we have on peptides? And how do we see that part of our business scaling up?

Satyanarayana Chava: I think, see, we are not giving what products we are working, what therapies we are working, we are not giving. So we -- that's giving too much of details. We don't want to give very minute details, which is against our policy now.

Moderator: Next, we have a follow-up question from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: So just on the CDMO or the custom synthesis space, if you could just clarify, this is like more of the exhibit batches' traction, which has come in this quarter? Or this is like subsequent to product approval, the initial buildup commercial activity, that has driven the custom synthesis business quarter-over-quarter?

Satyanarayana Chava: We supplied one commercial launch quantity and multiple registration quantities.

Tushar Manudhane: So this commercial buildup activity will then probably take a breather and then drive the business. Or this is more like a sustainable number to work for?

Satyanarayana Chava: The commercial API, what we supplied in this quarter will continue to be there. We know the forecast. I think that's good for us. And there are several, as I mentioned. The growth doesn't come from one product. Growth came from multiple products, so we're happy that our CDMO division now is well diversified.

Tushar Manudhane: Understood, sir. And lastly, when do we see pickup in the formulation business, where we've seen certain products filed and approved and subsequent launches?

Laurus Labs Limited

January 24, 2025

Page 15 of 18

Satyanarayana Chava: I think overall, our formulation business grew this quarter, and we expect it will do well.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Dr. Satya, culture is always the hidden factor in delivering high science and innovation, and I'm sure you know that more than anyone else. And according to some empirical studies, employees who eat together and kind of engage in social activities out of their labs and workplaces, they tend to perform better at work.

So, I mean, this is in the context of this mushrooming of life sciences global capability centers around Hyderabad. I mean, do you think this poses

a threat in terms of attracting or retaining

talent? And if yes, what is Laurus doing in terms of culture, work-life balance, and creating a more fun at work kind of a climate for disruptive innovation to foster?

Satyanarayana Chava: I think, see, at Laurus, most of our mid- to senior leadership feels this is their company because we give liberal stock options. And also, since many employee spends significant time in the office, unless workplace is happier, the organization will not be happier. We put a lot of effort

to make the workplace a happier, safer place. And most of the time, senior leadership thinks about how we are helping our colleagues to do their job better happily.

And as I mentioned, we also moved from employee well-being to family well-being. We do a lot of programs for not only employees, for their kids, for their spouses as well. So we think we are treating our colleagues as a bigger family.

Sajal Kapoor: That's helpful, Dr. Satya. So in terms of our recent R&D -- with this new R&D center in the Genome Valley, given the mushrooming of these GCCs, I mean, was there any sort of a struggle?

Or we were finding it difficult to attract the kind of talent that we were looking for that new R&D center, given what all is happening in Hyderabad? I mean, there are far too many CDMOs and GCCs in the region. Have you faced any sort of difficulty or employee attrition on the R&D side?

Satyanarayana Chava: That is a very interesting question, Sajal. You see, when it comes to global capability centers, they are more on regulatory, IT, back office kind of, which Laurus is not part of any other programs. When it comes to other CROs, CMOs in the region, I think your point is valid. It is a challenge we have to overcome, and we do that effectively. See, the kind of recruitment drive we do, the kind of opportunities our colleagues see, I think we are happy to take that challenge and then recruit the right talent.

Moderator: The next question is from the line of Bharat from Quest for Value Capital.

Bharat: Regarding this PEPFAR tender, sir, I think it's for 3 years. May I know when is it the current tender getting expired?

Satyanarayana Chava: I think global fund tenders are for 3 years, and they started last year. So it continues for 2 more years.

Laurus Labs Limited

January 24, 2025

Page 16 of 18

Bharat: Okay and the next tender cycle is from '27 then, is it?

Satyanarayana Chava: Yes.

Bharat: And may I know the split of this INR531 crores for this API in split? Can you please give the split up between ARV, Onco and other API?

Satyanarayana Chava: The ARV is INR315 crores.

Bharat: Okay. And Onco the other API?

Satyanarayana Chava: INR216 crores, yes.

Moderator: The next question is from the line of Malhar Sanghavi from Bodhi Capital.

Malhar Sanghavi: Congrats on a good set of numbers. So my first question is, are you planning to reduce the capex

Moderator: Sorry to interrupt. Mr. Malhar, can you please use your handset and speak?

Malhar Sanghavi: Is it better now?

Satyanarayana Chava: Yes.

Malhar Sanghavi: The question was are you planning to reduce capex...

Moderator: Malhar, your voice is cracking. Can you please rejoin the queue again? The next question is from the line of Chirag Shah from White Pine Investments.

Chirag Shah: Sir, I have a question on CDMO again. So if you can just highlight the predictability of the revenue of CDMO as it was a bit more volatile at least on a quarterly basis. So what is the change or the nature of the CDMO revenues that we'll have, which will make it more predictable versus the past? It will be volatile, so I understand that.

But I'm just trying to understand, is there a major change in the nature of CDMO revenue stream?

We did INR400 crores, for example. And looking at the synthesis business altogether, INR400 crores for them in Q3. If we take that as a base, how

should one look at the predictability going ahead of the CDMO business?

Satyanarayana Chava: I think as I mentioned, the pipeline in our CDMO business is robust, and growth came from multiple projects, not from one. And we have a large number of clinical programs running. So I think all of us are aware, it is absolutely impossible for all programs to succeed. It is also difficult to guess all programs fail. And these are coming from multiple big pharma for us. So we believe the chances of success of our CDMO pipeline is very high right now because of the therapy areas where we are involved in those programs. We expect the chances of success is bright. I'll leave at that stage.

Laurus Labs Limited

January 24, 2025

Page 17 of 18

Chirag Shah: So, is it right versus the history? Is there a much bigger pipeline executing at the same time and probability of those achieving success is also higher versus the past? And that will bring in a bit more predictability versus our past? That is the right way to understand?

Satyanarayana Chava: You're right, absolutely. So yes, see, previously, the large PO came and then after that, there is a gap. Now with this growth, we believe it's sustainable growth.

Moderator: The next question is from the line of Vivek Ag arwal from Citigroup.

Vivek Agrawal: So, the question is on 4Q NCE product deliveries that we are talking, right? So, any deliveries happened in 3Q as well? Or it is going to be completely the new supplies that are going to reflect in the 4Q on top of what we have done in 3Q?

Satyanarayana Chava: It's a combination. Yes.

Vivek Agrawal: So, some part of supplies you also made in 3Q as well, right?

Satyanarayana Chava: Yes. We will do more products in Q4. We'll continue to augment our supplies of the launch quantities what we gave in Q3. We'll continue to do in Q4 as well. So, I think I would say the pipeline is robust. So yes, we're happy. Our efforts came to this stage, yes.

Vivek Agrawal: Just one more question on the six ongoing growth projects that you're talking about, including three small molecules, 1 drug product and 2 CGTs. So, is it possible if you can give some more colour on what stage these products are, whether it's a Phase I, Phase II, later stage, or either filed with the FDA

Satyanarayana Chava: In the generic portfolio, two products approvals we expect this quarter or next quarter, so we hope to launch those. And then CGT is very early for us to give any guidance and because our facility is only coming up in FY '26, GMP facility. So I think on CGT, we are only investing, nurturing that. And I think we are happy for the investment what we are doing here.

As we mentioned earlier, our commitment to put about INR120 crores in the facility itself is a good commitment, and we are happy to do that. And we believe our facility will cater to not only for the viral vectors but also the ability to make plasmids for others.

Vivek Agrawal: And just one more, I think, repetitive question earlier participants have also asked. I think it would be super helpful if you can highlight that how many new products that you see that can be commercialized in the next, let's say, 1 year. Or even if you can give a broader range, let's say that like in the next 3 years, we are going to commercialize this number of molecules, especially in the CDMO, that would be super helpful.

Satyanarayana Chava: I think it's difficult to give that number.

Moderator: Ladies and gentlemen, this will be the last question. It's from the line of Malhar Sanghavi from Bodhi Capital.

Laurus Labs Limited

January 24, 2025

Page 18 of 18

Malhar Sanghavi: So, my question was in the presentation, you mentioned that there are around 2,600 scientists and around 1,250 R&D scientists. So, I just wanted to know if you have front-ended the hiring and if we can handle much more amount of molecules if we currently have

the same number of team?

Satyanarayana Chava: That is the intention we opened a new R&D last quarter. And that R&D is as big as our current R&D. And currently, we are not doing much early-phase programs because our late-stage programs are taking away a lot of resources. So, we will offer more early-stage work that will also fill our pipeline. We are augmenting, and we'll augment further our scientific talent to take more clinical programs.

Malhar Sanghavi: Right, sir. And one more question. Are you planning to reduce the capex going forward in the next couple of years because that's been the trend over the last 2 years? So is it going to continue?

Satyanarayana Chava: I think capex-wise, if we see an opportunity, we invest. That's the way, our philosophy, and we continue to do that. If somebody comes in looking for a project, we're happy to invest.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Satyanarayana Chava: Thank you, Nitin, for organizing this call. And also, thanks for all the participants of the call for their outside-in view. And some of the questions asked by you are very thoughtful and also help us to guide our business forward. Thank you.

V. V. Ravi Kumar: Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

April 28, 2025

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q4 FY '25 Results Conference Call hosted on April 24, 2025

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our results conference call intimation dated April 10, 2025, please be informed that the results conference call for Q4 FY25 was hosted on April 24, 2025 and the transcript of the conference call is enclosed herewith .

This is for your information and records.

Yours faithfully,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 20

"Laurus Labs Limited
Q4 FY '25 Earnings Conference Call "
April 24, 2025

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS LIMITED
MR. VIVEK KUMAR – ASSISTANT VICE PRESIDENT ,
INVESTOR RELATIONS – LAURUS LABS LIMITED

MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED

Laurus Labs Limited
April 24, 2025
Page 2 of 20

Moderator: Ladies and gentlemen, good day and welcome to Laurus Labs Q4 FY25 Earnings Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you and over to you, sir.

Nitin Agarwal: Thank you. Hi everyone and a very warm welcome to Laurus Labs Q4 FY25 earnings call hosted by DAM Capital Advisors Ltd. On the call, today we are representing Laurus Labs management, Dr. Satyanarayana Chava, Founder and CEO, Mr. V. V. Ravi Kumar, Executive Director and CFO, and Mr. Vivek Kumar, AVP , Investor Relations. I'll hand over the call to the Laurus Labs management team to make the opening comments and we'll open the floor for questions. Please go ahead, sir.

Satyanarayana Chava: Thank you, Nitin, for the introduction. Good afternoon to all of our stakeholders. Financial Year '25 has been a year of significant acceleration and diversification across our company and I'm proud of continued transformative progress we are making in enhancing capabilities, enhancing capacities, meeting complex needs of our customers, thereby creating value for all stakeholders. We continue to execute our strategy priorities with a strong focus on commercial execution. By leveraging our leading technology platforms, we advanced multiple clinical -stage projects and commercial -phase programs for big pharma that have significant patient benefits and also strong commercial potential for the company.

I would say the majority of these projects are utilizing cutting -edge technologies like biocatalysis, flow chemistry, continuous manufacturing, high -energy chemistry, cryogenic reactions, etc, which have been growing interest from our partners and also companies' focus currently.

While we continue to work towards realizing the potential of the late -stage pipeline, we are also strengthening our focus to broaden the project funnel and servicing early -stage clinical programs, especially after commissioning our new small -molecule R&D facility recently, which leverages advanced process development capabilities. These efforts are helping us deepen our cooperation with major clients and thus securing long -term growth for the organization. Our initiatives in cell and gene therapies have also reported significant updates for the year.

Our associated company, Immuno ACT , has supported about 300 patients with very good survival rate using NexCAR19 . ImmunoACT also carried Phase I trials for pediatric purposes using NexCAR19 , and also another product got permission for Phase I clinical trials for BC MA. This additional manufacturing capacity for NexCAR19 is progressing as per schedule and will be ready for operations by September 25.

Laurus Labs Limited
April 24, 2025
Page 3 of 20

We have got a new leadership recruited to lead our initiatives on gene therapy and also antibody drug conjugates. We plan to invest over \$15 million to build a GMP facility, which will have capabilities to do plasmids, vectors, both adenovirus and lentiviral, and also ability to do antibody drug conjugation.

Moving to our financial results, FY25 demonstrated strong resilience in our core business and we reported healthy operating results. The growth reflects continued robust demand for our CDMO offerings and higher sales in the FDF business. The company achieved a revenue of INR5,554 crores, gross margins were healthy and maintained around 55% range, and EBITDA margins expanded by 4 percentage points to 20% following better operating lev

erage. When we

look back at our last five years, Laurus has done successful expansion of the business and product portfolio.

Today, our share of ARV revenues have come down from 67% to 45% in the last five years, whereas our CDMO share has moved from 13% to 28% and we are expanding into multiple therapeutic areas within our generic portfolio. These results demonstrate the strength of our business and give us confidence in our outlook. Before we move to business performance, we have adopted and updated our division reporting structure to make it simplified and focused along two distinct business models, CDMO and generics.

In the CDMO, we are reporting results in small molecules and large molecules. In CDMO, small molecule division has continued to build on the high market momentum and saw robust demand for our integrated commercial offerings, recording Q4 sales of INR461 crores. For FY25, the division recorded about 49% growth.

The growth was mainly driven by several mid - to late -stage NCE deliveries and steady increase in sales from new manufacturing assets, which was bought online during the second half of this year. CDMO pipeline momentum has remained healthy across clinical and commercial phase, and over the full year, we have seen the mix shifting towards increased high -value projects from Big Pharma, which is providing good support for long -term growth. As of date, we have a pipeline of over 110 active projects, 90 in human health and over 20 in animal health and crop sciences. Over 15 commercial projects, including API and intermediates. We are also nurturing additional relationship in animal health and crop science ingredients. Key CDMO focused growth projects progressing in line with our plan. In 2025, small molecule API reactor volume enhanced by 15%, and we are further expanding our multi -site capacity for various modalities. In the large molecule CDMO, our bio -division reported Q4 sales of 29 Crores. Sales is transitionally lower due to timing of shipments in certain international markets.

If you look at FY25, performance is muted due to timing and discontinued lower profitability business. However, we see strong demand continued in API portfolio. We are looking to break ground for the commercial scale fermentation facility in Vizag by June 25. We believe the new site will further accelerate on high -quality CDMO service capability and growing our industry position to offer CDMO projects utilizing our enzyme engineering platform. We propose to invest close to INR250 crores in the projects, which will more than double our fermentation Laurus Labs Limited

April 24, 2025

Page 4 of 20

capacity by end of 2026. In the generics, our revenue from generic division has continued strong quarter -on-quarter progress led by both ARV and developed market portfolio reporting a sales of INR1,230 crores.

Performance of the FDF division is in line growing 25% for the quarter and 12% for the full year. We have executed on multiple integrated CMO contract in the year and for some new contracts. We expect increased sales to continue in future quarters, driving continued improvements in our utilization rates.

Krka JV collaboration is progressing well and land acquisition completed. We expect to break ground for GMP manufacturing facility by June '25. Moving forward, 2026 will be year of rebalancing the generic R&D and manufacturing resources mainly to enhance product pipeline and meet delivery commitment to our customers.

On our R&D front, we have spent about 4.5% of our sales, which is higher by 7% year -on-year. Let me share brief on our quality and ESG side. In 2025, the company underwent close to 160 quality audits by multiple regulatory agencies and several customers, which was over 20% more than the previous year. Company has successfully completed audits without any critical findings. The company received EIR for Unit

4. With this, no pending regulatory inspection outcomes for the company.

We remain committed to advancing quality systems, meeting highest compliance standards from clients and global regulators. We are also making good progress on ESG and EHS agenda for long term searches.

Now, turning into our broad FY '26 outlook, our business is well positioned and we are readily evolving towards our goal to become a more diversified CDMO -CMO company with promising pipeline, enabling technology platforms and coupled with commercial excellence. We will continue to increase and deepen our collaboration with major clients and execute on CDMO potential while improving resourcing in generic business. Operating margin is expected to improve from better asset utilization and also product mix. I acknowledge efforts of our dedicated team, which remain committed to the unified vision of providing high quality integrated solutions to global customers and creating value to our all stakeholders.

With that, I would like to hand it over to Ravi to share some financial highlights.

V.V. Ravi Kumar: Thank you, Dr. Satya and very warm welcome to everyone on our quarter 4 and full year FY '25 earnings call. Total income from operations is around 5554 crores, registering a growth of 10%.

For a quarter we have reported INR1,720 crores with a growth of 19% year on year. Despite the ongoing macroeconomic challenges, we have continued to see high level of demand for our offerings. Gross margin maintained at healthy level of quarter 4 at 54.5% and for 12 months it is at 55.4%, mainly due to better product mix as well as the process improvements carried in some of our key large volume APIs.

Laurus Labs Limited

April 24, 2025

Page 5 of 20

Our EBITDA for quarter 4 stand at INR477 crores and margins at 27.7%, whereas for the full year it is around 20.1%, which is in line with our outlook provided a couple of quarters back.

On full year basis, we expect these margins to be higher as we continue on path to operational deliveries, especially execution of long -term long lead programs , new asset ramp up, driving better asset utilization.

Our profit after tax for quarter 4 is 234 crores and for 12 months has increased to 258 crores, so this is with a growth of 122%. Our ROCE improved from 6.4% to 9.7%, but of course still it is at a lower, close to double digit, but it will improve further based on the asset utilization. On the capex front, we invested close to INR211 crores in the quarter and INR659 crores for the full year. The majority of the expansion, the capex is being invested into the CDMO or CMO projects.

Our net debt stood at INR2,594 crores and net debt by EBITDA is 2.3 versus 3.1 in the last year.

On the capital allocation front, our strategy remains unchanged and we will continue to prioritize investment into high value business segments to drive near and long -term growth. You can refer our IR presentation for more details. With this, I request the moderator to open the lines for the Q&A. Thank you.

Moderator: The first question comes from the line of Sajal Kapoor from Anti fragile Thinking. Please go ahead.

Sajal Kapoor: Yes, Thanks for giving me this opportunity. Before I ask my question, I would like to acknowledge the fact. During difficult times, you assumed responsibility, Dr. Satya and Raviji, both of you. But now that you have made significant turnaround, you are fully acknowledging the team's contribution in your press release. I mean, this signals everything about the culture at Laurus Labs.

And I'm sure Soumya and Krishna will take this strong fabric of culture to the next level internally. Coming to my question, Slide 14 says 30% increase in continuous flow and 40% increase in biocatalysis. And then on Slide 26 and 25, you're saying 1.5x expansion in client - base YOY. And we can see that 20 new projects are being added to the human CDMO.

Can y

ou add some color and help us link these very strong indicators together? So, we know that ex-China Laurus holds the leading position in the design and manufacturing of our enzymes, as well as large -scale continuous flow manufacturing. How can we leverage this unique advantage to secure partnerships for those projects where innovators are actively seeking for a credible option outside China? Thank you.

Satyanarayana Chava: Thanks, Sajalji, for your comment. The leveraging of our enzyme engineering and manufacturing capabilities in our integrated offering is quite visible now. We have many projects at different phases where we are doing multiple biocatalytic steps. And some of the enzymes are manufactured in our bio facilities in Bangalore. And the trend is increasing. We also started developing our own enzymes for our big pharma partners. And I think the overlap between

Laurus Labs Limited

April 24, 2025

Page 6 of 20

chemistry and biology is a clear winner. And we have seen in some projects and the trend is increasing.

Sajal Kapoor: That's helpful. Dr. Satya, as many innovators are looking for a China -free supply chain all the way to KSM and intermediate today, what's our preparation at the moment and what are we doing to de -risk our indirect dependency on China?

So, by indirect, I mean our intermediate supplier may be dependent on China for KSM today, but innovators are actively seeking for 100% indigenous India supply chain. And is the recent INR5,000 crore s capex announcement is a step in that direction?

Satyanarayana Chava: We have a team that focuses on backward integration. There are some projects where people, partners are very particular about avoiding certain sources. Some partners are okay. We have to balance it. Using all sorting materials from one country or avoiding one country is not a scenario where we can do currently. I think we have to balance it depending on what customer is looking at.

Sajal Kapoor: And finally, outlook on the animal and crop science CDMO, now that we are commercial across both capabilities, crop included this quarter, how can these two segments drive our CDMO

segment in the near term?

Satyanarayana Chava: We have more clarity on our animal health business. By end of next year, we will complete all our validations and go into commercial. We see significant jump in our animal health revenues in FY26. Coming back to our crop sciences, we commercialized facility last quarter. And then we delivered material to a partner and this year also we will deliver some quantity. There are few projects which are at the negotiation stage.

One project where feasibility being done, another is at negotiation stage. We have encouraging discussions. But maybe we need another year to give more confident results about the partner programs and then future of our crop science business. We need one more year to nurture that division.

Sajal Kapoor: I have got many more questions, Dr. Satya, but I am cognizant of the fact that there are many waiting in the queue, so I will rejoin. Thank you for all your responses.

Moderator: Thank you. The next question comes from the line of Deepak Kumar from Verdure Growth Partners LLP. Please go ahead.

Deepak Kumar: Congratulations first of all on the fantastic results. In the presentation, you have mentioned that tariff uncertainty, all this noise around US tariffs, this won't create much impact on your business. Can you highlight a bit more on that, how you are seeing that play out in your case?

Satyanarayana Chava: We haven't commented any on tariffs, and it is too early to take any call on the tariffs.

Laurus Labs Limited

April 24, 2025

Page 7 of 20

Deepak Kumar: So what exactly, I mean, there will be some impact which you must be seeing on your business on all the things which are going on in the global order right now.

V.V. Ravi Kumar: I think, Deepak, we are not

clear on your question. Can you please repeat?

Satyanarayana Chava: No. See, as of now, I think there is no clarity on the tariffs. People are monitoring the US tariff situation, that's what we mentioned. We haven't commented anything on the tariffs as such.

Deepak Kumar: Okay, okay. Thank you.

Moderator: The next question comes from the line of Ravi Agarwal from Agarwal Investments. Please go ahead.

Ravi Agarwal: Namaste, sir. Congratulations, first of all, for a wonderful result. My first question is on your CAR-T technology. What can be our exact source of revenue in CAR-T business, sir?

Satyanarayana Chava: ImmunoACT is our associate company. We only reported the full year revenue results from that. Profit is proportional, but results, we mentioned that overall results -- and also, they're scaling up manufacturing capacity to 2,500 treatments, and which will be ready by September this year.

Ravi Agarwal: Okay sir. So, whether it will be any royalty from hospital, or in what way we can be -- and what kind of opportunity or market we can have in future?

V.V. Ravi Kumar: It is a sales by our associate company, ImmunoACT to the hospitals. The product sales will be the revenue source.

Ravi Agarwal: Okay, sir. And, sir, one more thing I have to ask, that last financial year I have seen that many Chinese companies are forming joint venture for biotech supplies in China. Means US company and European company formed JV with a Chinese company. So, whether it affects Indian biotech and Laurus?

V.V. Ravi Kumar: We lost you, actually, Ravi, are you there?

Ravi Agarwal: Yes, My question is, last financial year, many Chinese companies have formed joint venture with US and European companies for biotech supplies. So, whether it affects Indian biotech company and our Laurus also?

Satyanarayana Chava: No, we are not planning any, Yes.

Ravi Agarwal: Okay, thank you for your answer.

Moderator: Thank you. The next question comes from the line of Bharath from Quest For Value. Please go ahead.

Laurus Labs Limited

April 24, 2025

Page 8 of 20

Bharath: Hello. Dr. Satya, can you please throw some light on CAR-T? And, like with this new Navi Mumbai facility coming up with 2500 patient capacity getting commenced this year. May I know how many patients are you expecting to be treated per year?

Satyanarayana Chava: See, when we mentioned 2500 treatments, that facility can produce enough CAR-T to treat 2500 patients.

Bharath: Yes, I think till now, I think 300 patients were treated, I guess.

Satyanarayana Chava: 300 patients. See, current facility can treat 300 patients per year, but the new facility is ready, it can treat up to 2500 patients per year.

Bharath: Okay, yes, thanks. And, due to this recent trade war between US and China, did you notice any pattern like increasing demand from innovators for current commercial molecules? Like, for

example, if China is first source and Laurus is second source, then are innovators thinking like to reduce quantity from China and increase from Laurus ? Do you see this trend?

Satyanarayana Chava: You know, adding a vendor, validating a product, getting approval is a 3 -4 year process. So, I think a 2 -3 year or a 6 month time may not change the prospect significantly. We haven't seen much change in our customer behavior in the last 3 months.

Bharath : And my last question is regarding this ARV FDF sales . I guess that for the current quarter, it is around INR450 crores. This is what my guess is, because we didn't report in the PPT. But I think it should be around INR450 crores, which is quite high compared to the normal run rate. Did you pre -pone the deliveries to global funds due to uncertainty in the US funding?

Satyanarayana Chava: No preponement was done. No sales were advanced because of this.

Bharat: May I know what is the ARV, FDF sales for the quarter?

Satyanarayana Chava: We

have done about INR2,550 crores ARV sales.

Bharat: For the complete year, but for this quarter?

Satyanarayana Chava: Similar revenues to last year.

Moderator: The next question comes from the line of Jeevan Patwa from Sahasrar Capital.

Jeevan Patwa: Congratulations, sir. Wonderful set of numbers, especially the CDMO has shown a very good, impressive growth. Just wanted to understand next year FY '26. So we have given a qualitative comment, but I just wanted to understand how do you see the growth coming on the formulation side specifically? One, I understand with the new CMO contract starting in December, that will add to the growth in the formulation. But apart from that, how do you see the growth coming in the formulation side, especially non -ARV formulation side?

Laurus Labs Limited

April 24, 2025

Page 9 of 20

Satyanarayana Chava: Non-ARV formulation sales increased. We are getting a few approvals in US and Canada. And also our expansion to our existing CMO partner will also be commissioned by last quarter of this calendar year. So non-ARV formulation revenue will go up from Q3 onwards.

Jeevan Patwa: For first 2 quarters, there may not be significant growth in the formulation. That's what you are saying?

Satyanarayana Chava: Yes.

Jeevan Patwa: Okay. And on the CDMO side, this second half of the FY '25 has been really impressive. But do you think the similar pattern will be for FY '26 that H1 will be a little weak and H2 will be strong?

V.V. Ravi Kumar: I think we should not look at quarter -on-quarter basis. So as we are indicating, you have to compare and analyze on yearly basis .

Jeevan Patwa: Yes. Typically, what happens in CDMO is so I have seen this pattern since last 2, 3 years. The first half is typically a little weaker and second half is stronger with more deliveries. So is it going to be similar for FY '26?

Satyanarayana Chava: Maybe we'll give more information during the next quarter conference call. But right now, we can say the FY '26 growth looks good, and then we will achieve significant growth in revenues and profits. That much we can tell you.

Moderator: The next question comes from the line of Tushar Manudhane from Motilal Oswal Finance Service Limited.

Tushar Manudhane: Sir, firstly, if you could just call out a bookkeeping question in terms of ARV, API and formulation sales for the quarter?

Satyanarayana Chava: ARV sales for the quarter was INR800 crores.

Tushar Manudhane: Sir, API and formulation separately, if you can share?

V.V. Ravi Kumar: INR803 crores, Tushar. So probably you can take the numbers from Vivek after call.

Satyanarayana Chava: I think more or less 50/50, INR400 crores from API and INR400 crores from formulations.

Tushar Manudhane: Sure. So while there has been quarter -on-quarter significant increase in the ARV sales as I could see. But at the same time, the gross margin reduction is relatively lesser. So is it that the gross margin for the ARV as well as non -ARV generic businesses similar to that of CDMO business. Is that the safe assumption?

Satyanarayana Chava: No. See, as we mentioned, our ARV sales, you look at it year -on-year, we increased only from INR2,500 crores to INR2,550 crores. So not much significant growth in ARV sales. And we expect FY '26 also even in the similar range. When it comes to our gross margins, always we

Laurus Labs Limited

April 24, 2025

Page 10 of 20

maintained at around 55 % level. That means our operations were running very efficiently. The processes were running efficiently and product gross margins are also very healthy. Maybe if our CDMO revenues grows significantly higher than current quarter, then our margins may improve further. I'll put it that way.

Tushar Manudhane: And so just extending that, the CDMO is like INR400 crores to be a sustainable base to look for given the kind of contracts we have at hand. Or does it have any s

ort of launch qua ntities, which

might have some repercussion in the near to medium term?

Satyanarayana Chava: I think I can say that we have good projects on hand. And the opportunities looks interesting, and we expect growth of CDMO revenues from year FY '25 to FY '26. We are not going to quantify how much we are going to grow.

Tushar Manudhane: Just one more on the overall capex for FY '26 and if you could also further break down that into different areas?

Satyanarayana Chava: FY '26 capex will happen on multiple fronts. The capex, what we are doing to increase our formulation CMO, that will be capitalized in FY '26. And we're also planning to do some specific capex for another partner in our formulation. And our fermentation capacity, we're investing close to INR250 crore s in Vizag. And we are adding more production blocks at Vizag for our API and CDMO business.

V.V. Ravi Kumar: And Bio INR250 crores.

Satyanarayana Chava: Yes, that's what. Fermentation is INR250 crores we are investing. So this year also maybe close to aro und INR1,000 crores capex.

Tushar Manudhane: And will there be any increase in debt to support the capex?

Satyanarayana Chava: No.

V.V. Ravi Kumar: We may not increase significantly.

Tushar Manudhane: And just lastly, with this sort of new facilities comin g on board in FY '26, the absolute increase in the operational cost, if you could in terms of employee and other expenses, which currently may be at quarterly is about INR500 crores per quarter, with the new facilities coming up -- because this is somethin g very certain, right, irrespective of what kind of revenue we do. I f you could help us understand what kind of quarterly opex will be there for full year FY '26

Satyanarayana Chava: In FY '26, we don't as we are not expecting any new greenfield facilities come to operations. There will be more production blocks in our existing facilities only. So the manpower addition may not be very significant. So we don't expect significant operational deleverage in the financial year '26, because we are not adding new sites.

Moderator: The next question comes from the line of Balaji from Kotak Mahindra Bank.

Laurus Labs Limited

April 24, 202 5

Page 11 of 20

Balaji: Congratulations, sir, for healthy results. I think last 3 years, these are the best results as of now.

Sir, what was your projection on PE, which is uncomfo rtable as of now at 175 at this level. After these results, what is your stand, the PE might be around 100 or something like that, sir?

V.V. Ravi Kumar: How can we comment on PE. Sorry, we can't comment on...

Satyanarayana Chava: We can only comment on business prospects and products, facilities, regular inspections. We have no control on how much multiples and all. So we are not the right people to comment. And we don't have experience in that.

Balaji : Okay sir. Thank you sir. And actually your business and everything is going on very right way. So we are commenting on business. Only the fundamental side only, the number side only I have a doubt. That's the reason I attended the question.

Moderator: The next question comes from the line of Keshav Mundra from Guardian Capital Investment Advisors .

Keshav Mundra: So congratulations on the amazing set of numbers right. So two questions. So basically my question is on the share of API and CDMO segment right. So we see that the share of CDMO is gradually picki ng up and API segment is slowly reducing. So could you give us an idea about how do you see the margins and the revenue growth rate for these two segments over next year in FY 26?

And on the same front can you give us an idea where you will be focusing upc oming capex move towards? These are my two questions sir.

Satyanarayana Chava: As our share of CDMO increases, we also expect the margin improvement should happen. The second, the majority of capex is happening to service CMO or CDMO prod

ucts.

Keshav Mundr a: And would it be possible to give an idea what revenue growth you are seeing in the CDMO segment over FY 26 sir?

Satyanarayana Chava: We are not giving any forecast or guidance in terms of how much growth we are going to expect. Maybe as we mentioned, we expect growth in revenues and also profitability in FY26 when compared to FY25. I think we would like to stick to that statement rather than elaborating further.

Moderator: The next question comes from the line of Kunal Dhamesha from Macquarie.

Kunal Dhame sha: I wanted to understand on the ARV business. I know that US AID is not a big part of our ARV business. But after the announcement, what are you seeing on the ground and what are some of the latest developments on that front?

Satyanarayana Chava: Recent ly what we came to know, the US AID is supporting treatment but not willing to support PREP, that is prevention. So we haven't seen any significant decrease in orders or enquiries coming for treatment. And we don't see significant impact to our revenues go ing forward in FY26. So we will maintain revenues closer to that 2400, 2500, 2600, around that level.

Laurus Labs Limited

April 24, 202 5

Page 12 of 20

Kunal Dhamesha : And sir let's say there is a risk mitigation plan because we would be deploying meaningful capacity towards this business. So I want to un derstand, is it possible to pause capex for us for now and utilize these capacities for the CDMO business rather than doing incremental capex? Because anyway, there are a lot of uncertainties, the margins are not that great. So is it a possibility that you would put, when you look at all business segments?

Satyanarayana Chava: ARV, we are a strong leader, catering to close to 40% of the emerging world HIV patients. And we expect we will maintain that leadership position. We don't see any impact coming from either product replacement or lack of funding will be a problem for us to lower or allocate our ARV capacity to something else. We don't expect so. We are running our ARV capacity fully and going back to your question, we are using maybe 10 %-12% of our for mulation capacity for HIV manufacturing, not more.

Kunal Dhamesha : But API would be higher, right sir?

Satyanarayana Chava: API is higher and we are running at full capacity. And we don't see that going down, not just FY26, even next 2 -3 years, we don't se e any challenge there.

Moderator: The next question comes from the line of Rajat from Tata Mutual Funds.

Rajat : Yes. Hi, sir. Kunal just asked my question. So, one more bit on it. Can you just quantify how much is the business dependent on all these agenci es like Global Fund, PEPFAR, Bill and Melinda Gates? If you could just quantify, that would be really helpful.

Satyanarayana Chava: Based on reports, about 20% of HIV treatment is dependent on US aid, US government funding.

Rajat : And for us also, that num ber would be similar?

Satyanarayana Chava: See, if you divide our HIV sales, maybe 55% is API and 45% is formulations. So, for formulation business, maybe you can take, I think that 20% exposure for formulation business. That is maybe INR1000 crores, INR250 crores coming from US supported programs globally.

Rajat : So, in case there is this risk which comes in on the treatment as well. So, in that case, how do you think about the business? Like, do you renegotiate with countries for tenders? How does it happ en? Are you thinking anything around this?

Satyanarayana Chava: We are not renegotiating. I think we will service what orders are placed. See, most of these orders are placed by global agencies except to South Africa. So, I think we will get allocations and we will service those orders.

Rajat: And lastly, sir.

Moderator: Sorry to interrupt, Rajat. Those were your two questions. I would request you to re -join the queue.

Rajat: Sure. Okay.

Laurus Labs Limited

April 24, 202

5

Page 13 of 20

Moderator: Thank you. The next question comes from the line of Manoj Bahety from Carnelian Asset Management .

Manoj Bahety: First of all, congratulations, Dr. Cha va and Ravi for a good set of numbers. So, my first question is, if I look at the operating cash flow and particularly working capital, can you help us understand the reason for slight deterioration there? And I believe that is the reason for a slight increase in our debt also. Is it temporary? Is it because of higher sales during the quarter? If you can help us understand on that side.

Satyanarayana Chava: Partly b ecause we are handling very long, complex projects in CDMO. Our order to delivery is much longer when compared to generic programs. So, some of the working capital is stuck in our CDMO programs. That is one reason. And second reason is as our sales of form ulations increases in US and Canada, our working capital is also going up because of longer lead times in logistics right now. So, these are the two reasons for our increased working capital.

Manoj Bahety: Particularly, receivables have gone up. Like s o, receivables, I wanted to understand particularly why there is such a big increase on the receivable side?

V.V. Ravi Kumar: If you look at the fourth quarter revenue is in higher revenue, right? That is one of the things. But when you take a number of days a s per the full year it looks higher, but if you look at INR1,750 crores is the sale in the fourth quarter, t he receivables are INR2,000 crores. So, that is how you have to look at it.

Manoj Bahety : Got it. And sir m y second question is like on slide number 25, you have highlighted that there has been a significant increase in RFPs and active pipeline projects, which is 110 now, 90 is on

the human health side and 20 is on the animal health. So, can you help us understand that what this number was like two years back and how do you see as an investor, how do we see the revenue potential of this and at what stage these pipeline projects are?

Satyanarayana Chava: This number used to be about 60, around that number two, three years back.

Manoj Bahety : 60 to 110?

Satyanarayana Chava: Yes, around 60.

Manoj Bahety : And sir the second part is that some color on the quality of this pipeline project, how do we see the revenue potential out of this pipeline project? Particularly, I am asking whether a good amount of that are near to phase 3?

Satyanarayana Chava: We have mix of projects, but I would say the projects, majority in phase 2 and 3, not in phase 1, I would say that.

Manoj Bahety : Great, sir. Thank you for taking my question and wish you good luck.

Moderator: Thank you. The next question comes from the line of Harshit Dhoot from Dymon Asia . Please go ahead.

Laurus Labs Limited

April 24, 2025

Page 14 of 20

Harshit Dhoot: Thanks a lot for taking my question, sir. Sir , one question related to ARV only. Mr. President of the U .S. has said multiple times that they have stopped the U SAID funding. So, as you have highlighted that it is impacting around 20% of our ARV sales. Is it right to understand that, sir?

Satyanarayana Chava: We have not said it is affecting the formulation business which we are catering, which is funded by U .S. funds. It is maybe around INR250 crores. That is what we said. It is not that we are going to lose INR250 crores sales.

Harshit Dhoot: Okay. Got it, sir. And the second thing we have been a trusted partner of a big innovator even during the COVID time also. We have given them the timely supply and all. And the partner has recently called us a molecule. So, will it have impact on us or not?

Satyanarayana Chava: Actually, we did not get your question very clear. Can you repeat?

Harshit Dhoot: Okay. Sir, let me speak again. The Laurus has been known as one of the trusted suppliers of the big innovator of the world. And Laurus has supplied them the

medicines on the time and known

as a trusted supplier with the smooth supply chain. And the big innovator has called us a big molecule in the development. So, will it have impact on Laurus ? Just to give me that the Laurus is closely working with them. So, will it impact on Laurus or not?

Satyanarayana Chava: Maybe you have to write to Vivek. We can answer, but we have lot of difficulties in understanding your question. I am sorry for that.

Harshit Dhoot: Okay, sir. No problem.

Moderator: The next question comes from the line of Chandramouli an Individual Investor. Please go ahead.

Chandramouli: Thank you for giving me this opportunity. I am happy with the quarterly results that Laurus has posted. I wanted to know when will we reach a return of capital employed to the earlier now 21 - 22 year levels and also on the return on equity going back to those levels. If I compare with Divis or other competitors, they are already there. So, would I be as an investor right in expecting that Laurus is on the growth path for the next 2 years, 3 years, 4 years, we will be reaching those higher levels?

Satyanarayana Chava: I think your point and observation is very valid. If you look at the ROCE numbers, we were there earlier. It is not that we never had that number. It will take few years for us to get there again. I think we have a desire and putting our best efforts to get there. I don't want to attach an year when we will get there, but we are putting efforts to go there.

Chandramouli: Thank you, sir. The second question is, now that you are getting into multiple optionalities, cell therapy, hospital -related formulations, crop sciences. Now, would you be rewarding the long - term shareholders with optionalities of creating value by divesting such businesses as and when they reach scale and when do you think you expect them to reach such scale?

Laurus Labs Limited

April 24, 2025

Page 15 of 20

Satyanarayana Chava: If you look at, we have created well -diversified CDMO offerings, human health, animal health, crop sciences, dietary and cosmetic ingredients, small molecules in this and large molecules like enzymes and cosmetic proteins. Out of these, I would say we need some time to get to a scale. Our majority of CDMO revenues are coming from human health right now.

And that will continue to grow. Our animal health will peak in FY27 maybe , but we are also nurturing a new partnership in animal health then that partnership will give some additional revenues. In crop sciences, as I mentioned to one of the questions, we need one more year to give more granularity in the division, how growth looks like.

Chandramouli: Thank you, sir. I'll come back in the queue for more questions.

Moderator: The next question comes from the line of Amalan from Nomura. Please go ahead.

Amalan: Hi, sir. Can you hear me?

Satyanarayana Chava: We can hear you.

Amalan : Yes, sir. In the press release, you mentioned that the generics performance was softer with a lower uptake in the Oncology API side. So when do you see this Oncology API performance picking up and could you just quantify what is the Oncology API sales this quarter?

Satyanarayana Chava: As we mentioned, we modified our reporting system to a simplified version of giving generic APIs, formulations and we are also giving overall ARVs, revenues, combining APIs and formulations. I think if you look at Oncology APIs, I'm not going to define the growth path of Laurus Labs, previously, currently and in the future also. So if we grow by INR100 crores or sell less by INR100 crores, it's not going to impact significantly. That is the reason we modified our reporting pattern to make it simple.

Amalan : Okay, sir. Thank you. Sir my next question is on the CDMO market that you have presented in slide 7. You said that the market is impacted by the pricing pressure from the IRA. So have you seen

these pressures in your customers, in your CDMO customers and what has been the impact of the IRA on your pricing or on your revenues in the last two to three years?

Satyanarayana Chava: I think that is a general commentary we made. It is not that broader commentary, but we made a lot of assumptions. So we gave a market scenario in a concise way, but it has nothing to do significantly with Laurus Labs offering in CDMO.

Amalan : Okay, sir. That helps. Thank you, sir. Thank you for answering my questions.

Moderator: Thank you. The next question comes from the line of Chirag from White Pine Investment Management . Please go ahead.

Chirag: Sir, my first question is with respect to the CDMO revenue that we reported this quarter and in Q3. First question, sir. Can you just comment a bit on the contribution coming from big pharma Laurus Labs Limited

April 24, 2025

Page 16 of 20

and late stage , because you have been mentioning that and can this sustain for a reasonable period of time, at least for 3, 4 quarters? Or there is an element of lumpiness which is there?

Satyanarayana Chava: One good thing in our CDMO revenue is coming from majority big pharma partnerships. So what we can expect, we have a partnership with big pharma. So there is a continuum of projects. We are not working on sectors of one project forever. So , our partners have a very strong pipeline. We keep on getting more and more projects. That is the reason our project pipeline is increasing.

Chirag: Ok. In the past, this was not the case, right? So the volatility that we used to see in CDMO revenue should subsidize significantly going ahead given more number of projects with the same customer and more number of big pharma in our CDMO revenue? And given that they are in a late stage also.

Satyanarayana Chava: Yes. Earlier we have a lot of revenue volatility , because we are handling several early stage clinical programs. Whether they go to late stage or not, there is a lot of volatility. Now, some volatility will be there. I am not saying there will be no volatility. But that is reduced significantly , because our number of active projects has gone up.

Chirag: And the late stage would include Phase I , right sir?

Satyanarayana Chava: Yes, you are right.

Chirag: In the second , sir, you made a comment that you want to invest in ADC. I think if I heard correctly, \$15 million -odd, right? So can you talk a little bit about it? What exactly you are intending to do in ADC? What part you are trying to cover in ADC? And what is the thought process? Because your plate is already full in that sense given our balance sheet and the debt level. So if you can just talk more about it?

Satyanarayana Chava: So we already make payloads and linkers in Antibody -drug conjugate . We have a request from our partners to get into conjugation. We are not going to make m abs. We made it very clear earlier also. We only do conjugation , because we have good experience in making payloads and linkers.

Chirag: Sir, what would be the revenue of the ADC currently for us

Moderator: Sorry to interrupt, Chirag. Those were your two questions. I would request you to follow up

Chirag: Yes, just a clarification. What is the revenue of ADC currently for us? Because we are doing payloads and linkers?

Satyanarayana Chava: We're currently is a few \$1 million, nothing more.

Chirag: Okay, thank you.

Satyanarayana Chava: Thank you.

Laurus Labs Limited

April 24, 2025

Page 17 of 20

Moderator: The next question comes from the line of Utsav Jaipuria from DAM Capital. Please go ahead.

Utsav Jaipuria : Congratulations on the strong performance. Sir, if I look at your revenue mix today, CDMO is close to 30% of revenues. So how do you see this mix evolving over the next 2 , 3 years? Is there a number that you are targeting internally?

Satyanarayana Chava: We expect the revenues coming from CDMO

segment will grow. And we are not giving a

number for you to guess. So it will grow. As you have seen, our ARV revenues, we believe it is going to stay closer to INR2,500 crores in the medium term as well. And our efforts in increasing our product portfolio and adding more products in generics is also happening.

Our CMO in generics is also growing. So as we mentioned earlier, we expect significant growth will come from our CDMO division. So it will grow and we are not adding any percentage to that.

Utsav Jaipuria : Okay, sir. Thanks. So, sir, what could this mean for margins over the next 2 , 3 years or EBITDA margins, perhaps?

Satyanarayana Chava: As the CDMO revenues contribution goes up, we expect margins should also improve.

Utsav Jaipuria : Okay, sir. And just lastly, on the Krka JV , what are your plans for this business in terms of the targeted products and therapies that you are planning to introduce?

Satyanarayana Chava: I think , it is at the early stage right now. And maybe our partner is more keen to divulge those details than us.

Utsav Jaipuria : Okay, sir. Thank you so much .

Moderator: Thank you. The next question comes from the line of Rupesh Tatiya from IntelSense Capital .

Please go ahead.

Rupesh Tatiya: Yes, thank you, sir, for the opportunity. My first question for you is, with 15 commercial projects, how many are Human Health and how many are Animal Health? And then whatever projects are there in Human Health, are you like a single source supplier or a dominant or primary supplier in post? That is question number one.

Satyanarayana Chava: Thanks for raising that comment. So, by using that 15, I think those are Human Health only. We are not adding any Animal Health into that. Maybe next time , we'll add those, club everything into one and then show. That's like harmonizing. We'll also link those two together and then give one number. So, 15, what you mentioned is Human Health.

Rupesh Tatiya: Yes, sir, but are you like a single source supplier or a primary supplier in those 15?

Satyanarayana Chava: No, no. We don't want to reveal that information.

Laurus Labs Limited

April 24, 2025

Page 18 of 20

Rupesh Tatiya: But that gives some indication on quality of business, sir, right? I mean you have always talked business

Satyanarayana Chava: As I mentioned, about INR1,000 crores revenue is coming from commercial supplies. I'll put it that way.

Rupesh Tatiya: Okay. And, sir, I mean, next year, Animal Health, there is a very clear trajectory. I think we have some INR600 crores of assets, very clear trajectory. INR150 crores, INR 200 crores of agrochemical assets, I think very clear trajectory in two figures. But the rest of the business, I mean, there is no kind of like a way for an investor to guess.

So, either you give a financial guidance or you give capacity utilization guidance or some way, either you give a financial outlook or you give some hints about operational outlook. Because otherwise, it becomes very difficult. So, that is my question. Non -animal, non-agrochemical CDMO business, how will the trajectory look in 2-3 years

Satyanarayana Chava: One thing I wanted to give information. When we have clubbed Animal Health, Crop Sciences, dietary supplements into our CDMO, because all those what we're doing have similar gross margins. So we don't want to club low gross margin business with high gross margin business. So we club that into one because all those , all that revenue coming from one product to one customer. Mostly, it is for branded companies.

So we don't need to segregate revenues coming from Animal Health, Crop Sciences, Dietary Supplements and then give you 5 headings. All those business lines have similar gross margins because of that we have clubbed together.

Rupesh Tatiya: So maybe what is the total gross block in the CDMO business as of today? And how much are we utilizing

V. V. Ravi Kumar: Gross block for these divisions, we don't have a specific.

Rupesh Tatiya: Some ballpark number will be fine

V. V. Ravi Kumar: No, we can't because you can utilize for both the generics as well as CDMO, how can we give a separate asset? It's very difficult.

Satyanarayana Chava: Animal Health and Crop Sciences, INR700 crores. That number we can give you.

Rupesh Tatiya: Rest of the business

Moderator: Sorry to interrupt Rupesh, you are done with your two questions. I would request you to fall

back into the queue. Thank you.

The next question comes from the line of Sajal Kapoor from Antifragile Thinking . Please go ahead.

Laurus Labs Limited

April 24, 2025

Page 19 of 20

Sajal Kapoor: Thank s for the follow -up. Dr. Satya with close to 40% employee base in R&D and quality assuming a more indust ry level 15% attrition rate , how do you see the demand -supply dynamics given the fresh capex that we need to undertake, the recent agreement that we had with the Andhra go vernment. I mean, do you see us getting into a challenging situation where we are not getting the right kind of talent for our requirement because our requirement for R&D and quality will be in a few thousands, right?

Satyanarayana Chava: I think attrition is in early teens, mid -teens. So even our quality and R&D, as you rightly mentioned, about 40% of our employees in both divisions put together. We have to recruit 400, 500 people every year to maintain at the same level. And we have a well -established mec hanism internally, interns, fresh graduates from universities, people with 1 or 2 years experience. I think we're managing. And we believe we will continue to do that.

Sajal Kapoor: Okay. So you don't see that to be a challenge, including the fresh greenfi eld, brownfield capex that we have just announced, it should not be a problem?

Satyanarayana Chava: We believe it shouldn't be a problem.

Sajal Kapoor: Okay. Fair enough. Thank you. Thank you.

Satyanarayana Chava: Thank you.

Moderator: The next question co mes from the line of Manoj Bahety from Carnelian Asset Management . Please go ahead.

Manoj Bahety: Hello. Thank you for taking follow -up again. So I was just looking at like from FY '22 to FY '25, total capex , which you have done is around INR3,200 crores. And in one of the slides, you mentioned that the slide just before that, that our current asset turnover is around 0.83 vis -a-vis average of 1.1x. And considering a large portion of this capex must be towards CDMO.

So I was just trying to understand that with this kind of capex , which is already done in 2, 3 years' time, is INR3,000 crores kind of top line from CDMO are possibility on the capex which we have already done and looking at the pipeline of Phase II and P hase III, which we are having.

Satyanarayana Chava: It's a mix of capex in the greenfield sites and brownfield investments. So our investment in Animal Health and Crop Sciences will take a lot of time to go beyond 1x asset turnover ratio because those are the new investments.

And our formulation investments are yielding good results. So what the idea we put that slide is to give, there is a possibility to go back to those levels. That's the confidence we want to give it to our investors. But we had 1.1 x asset turn over earlier. Currently, it is under utilized. And once utilization goes up, we can get back to that number.

Manoj Bahety: And sir, the reason for asking this question because your ARV is not going to grow. And growth will come from CDMO only. So if this 0.83 to 1.1 happen, then CDMO has to contribute to that.

Laurus Labs Limited

April 24, 2025

Page 20 of 20

So it's IN R 3,000 crore of possibility because if we have to reach that sort of A TR historically, we have done even 1.5x because of the onetime order. But if I take only 1.1x also, is that a possibility?

Satyanarayana Chava: See

, your observation is very right. The asset turnover ratio for CDMO is higher. And it all depends on the projects, scale and the complexity of the projects. I think you have to watch. We can't give you a number right now whe n we'll go there.

V.V. Ravi Kumar: I think the CapEx, where it went or what is going to be in the CDMO. And apart from that, even a formu lation, we are investing. So I think you will see the growth because we can't specify the numbers just looking at an asset turn. So we can't give more details. But yes, there is a potential to grow more in the CDMO and the formulation. These two are the gr owth drivers.

Manoj Bahety: Got it. And Ravi, just one last thing . You mentioned that next year, your capex will be INR1,000 crores. With this INR1,000 crore capex and the way our working capital has moved, how do you see the debt level, whether debt level will go up or you will be able to manage with the current debt level and INR 1,000 crore capex will happen out of the internal cash flow?

V.V. Ravi Kumar: Debt level will not significantly grow. We were indicating before also like maybe 10% minus or plus. In that range, actually, we will move.

Manoj Bahety: Okay. 10% has happened this year only. So next year...

V.V. Ravi Kumar: If already a 10% at the current level, then it is maybe INR250 crore plus or minus.

Manoj Bahety: Okay. Got it. Thanks for taking my question.

V.V. Ravi Kumar: Thank you.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

Satyanarayana Chava: Thanks Nitin and all the investors for their very insightful questions. Thank you.

V.V. Ravi Kumar: Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors, that concludes this conference. You may now disconnect your lines.

Call: Jul 2025

July 29, 2025

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q1 FY '26 Results Conference Call hosted on July 25, 2025

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our results conference call intimation dated July 09, 2025, please be informed that the results conference call for Q1 FY26 was hosted on July 25, 2025 and the transcript of the conference call is enclosed herewith .

This is for your information and records.

Yours faithfully,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 16

"Laurus Labs Limited
Q1 FY'26 Earnings Conference Call "
July 25, 2025

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS

MR. VIVEK KUMAR –AVP, INVESTOR RELATIONS –
LAURUS LABS

MODERATOR : MR. NITIN AGARWAL -- DAM CAPITAL

Laurus Labs Limited
July 25, 2025
Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Laurus Labs hosted by DAM Capital. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital. Thank you, and over to you, sir.

Nitin Agarwal: Thanks, Steve. Hi, good afternoon, everyone, and a very good evening and welcome to Laurus Labs Q1 FY'26 earnings call, hosted by DAM Capital Advisors Limited. On the call today, we have representing Laurus Labs management Dr. Satyanarayana Chava, Founder and CEO; Mr. V.V. Ravi Kumar, Executive Director and CFO; and Mr. Vivek Kumar, AVP, Investor Relations. I hand over the call to Dr. Chava to make the opening comments, and then we'll open the floor for questions. Please go ahead, sir.

Satyanarayana Chava: Good afternoon to all our stakeholders. The company made healthy progress to start the financial year with increasing contributions from CDMO business and continued advancement of our pipeline with Big Pharma. We're moving ahead with strong focus on commercial execution, realizing the full potential from mid and late -stage pipeline programs and rapidly enhancing our service capabilities to meet complex needs of our customers and drive future value creation for all stakeholders.

We announced three major capacity expansions during the quarter. First one, microbial fermentation Phase 1 Greenfield project at Vizag; the second one, gene therapy and antibody - drug conjugate GMP facility at Shameerpet. The third one, finished formulation facility in Hyderabad under the K Rka joint venture.

These investments will create more opportunities for growth and further strengthen our ongoing commitment of being a strong manufacturing partner on some of the new technology platforms at scale.

Moving on to our financial results. Our Q1 performance was in line with our expectations with the revenues of INR1,570 crores, reflecting robust demand for our CDMO offerings and continued growth in the formulation business.

Gross margins further expanded and are at 59% range. And EBITDA margins expanded by 10.5 percentage points to close to 25%, following better operating leverage, product and segment mix. As we look forward, we remain confident in our outlook for improved growth in the rest of the year.

To begin, I'd like to share key updates on our CDMO business. We are seeing a very good progress in this division with sustained demand in our high -value integrated offerings. We achieved very strong growth for the Q1, registering a sales of INR493 crores. This growth was Laurus Labs Limited

July 25, 2025
Page 3 of 16

mainly driven by several mid - to late -stage NCE deliveries and the increase in sales from new manufacturing assets.

Pipeline momentum was healthy across clinical commercial phase with the mix shifting towards increased Big Pharma projects. In specific, a lot of customer interest seen around biocatalysis, flow chemistry, high -energy chemistry, continuous manufacturing, peptide manufacturing, etc. As on date, we have a pipeline of over 110 active projects, over 90 in Human Health and about 20 in Animal Health and Crop Sciences.

We continue to invest in our capabilities and commercial offerings in line with what market needs. Accordingly, additional capacity buildup is in progress, particularly in relation to complex molecules, including peptides. When it comes to Laurus Bio, our large molecule CDMO division. This division reported subdued Q1 sales of INR29 crores, which was flat year-on-year. The

sales impacted from customer specific scale -up challenges.

However, we remain focused on building strong diversified pipeline across segments and customers. We have a few potential long -term partnerships under discussion with the new and existing CDMO partners, utilizing enzyme engineering platform. As we discussed, construction

work for the commercial scale fermentation facility in Vizag commenced in this quarter. The plan is to create over 400 kiloliter capacity in Phase 1, which is expected to go online by the end of 2026.

We believe the new site will further accelerate on high-quality CDMO service capability and growing our industry position. In Generics, the division reported a growth of 12% and achieved sales of INR1,048 crores. This was mainly supported by volume expansion in both ARV and developed market sales. Quarter also seeing execution of contracts signed last year, which helped the improvements in our capacity utilization.

On filings, we filed over 90 DMFs till date and also 1 dossier filed in formulations and 3 approvals received in Q1. Cumulatively, we have filed 88 products. Overall, demand outlook largely stable in generics business. Our focus continued on rebalancing the generic R&D and manufacturing resources, mainly to enhance product pipeline and meeting the delivery commitments.

On R&D front, overall R&D spending to sales in Q1 was at 4.3%, which is about INR68 crores for the Q1, which was increased by about 6% year-on-year. The expenditure, including our spend on cell and gene therapy. The R&D spend is in line with our full year target, and we continue to invest in portfolio with product-specific approach based on complexity and scale economies besides accelerating the adoption of sustainable technologies.

Let me share brief on quality. In Q1, the company underwent close to 39 quality audits by multiple regulatory as well as key customers. Company has successfully passed audit inspections without any critical findings. In summary, our technology platform commercial performance today continues to enable meaningful advancement of pipeline projects as well as business development opportunities.

Laurus Labs Limited

July 25, 2025

Page 4 of 16

We remain confident in our strategic direction and commitment as the source of value creation now and well into the future. With that, I would like to hand it over to Ravi to share some financial highlights.

V.V. Ravi Kumar: Thank you, doctor, and a very warm welcome to everyone for this quarter 1 FY '26 earnings call. Total income from operations is INR1,570 crores with a growth of 31% year-on-year. And the momentum has come from the CDMO and the Generic division business. Gross margin maintained very healthy, 59%, which is more than 4% due to the better product mix and process improvement efforts apart from that raw material price improvement also.

EBITDA for quarter 1 stands at INR389 crores with a margin of 25%, progressively improved versus full year for FY '25. Profit after tax for quarter 1 is INR163 crores. ROCE stands at 13%. But of course, the continued capex investment, which has not improved, though it has improved by 3% versus FY '25. On the capex front, we invested close to INR265 crores for the quarter. Our net debt stood at INR2,388 crores with a debt to EBITDA of 1.8 versus 2.3 for the last quarter.

On the capital allocation front, our strategy remains unchanged, and we will continue to prioritize investments into high-value business segments to drive near- and long-term growth and returns for our shareholders. You can refer our IR presentation for more details. With this, I would request the moderator to open the lines for Q&A. Thank you.

Moderator: The first question is from the line of Bharat Sheth from Quest for Value.

Bharat Sheth: Yes. Firstly, I'd like to congratulate Dr. Satya and Ravi ji, for delivering a good set of numbers.

And I would also like to especially congratulate Krishna Chaitanya for delivering exceptional CDMO numbers consistently from past few quarters.

And coming to my questions, so there is a significant jump of gross margin in this quarter. It increased by around 500 basis points. We are now at 59.5%. Can we expect this kind of high gross margin will be maintained in future too as the share of CDMO increases? Or do you see it as a one-off and it's too early to expect this kind of high gross margin?

Satyanarayana Chava: If you look at our gross margins over several quarters, we're always informing and also maintaining around 52%. Now you can say as the contribution from CDMO business increases, we expect the gross margins will remain between 55% to 60%. That's what we expect in the coming quarters.

Bharat Sheth: And if you see the past trend, sir, CDMO in Q1 is generally weaker. And as the year passes by, Q2 will be better, and Q3 will be much better and Q4 would be the top. And generally, H2 will be much better than H1. But this time, surprisingly, if you see CDMO in Q1 is very, very strong. It is even better than last year's Q4. So on this base, do you still think H2 will be better than H1 for CDMO in FY '26 too?

Laurus Labs Limited

July 25, 2025

Page 5 of 16

Satyanarayana Chava: The CDMO business, you can't count quarter -on-quarter. But we expect good growth over last year for sure. Our manufacturing and delivery depends on their clinical programs. So it will be bumpy, but we see we are in a good shape right now on our CDMO segment.

Bhara t Sheth: Okay. Good. And my last question is that currently, if you see the current cycle of Global Fund tender, which is generally for 3 years, it is going to end, I think, if I'm not wrong, it will be going to end by end of December. May I know if Laurus has won the next tender cycle?

Satyanarayana Chava: Generally, they will run the tender a little later, end of maybe September, October. See, if you see our trend, we are very successful in getting good share of that tender, and we don't see any challenges there.

Moderator: The next question is from the line of Jeevan Patwa from Sahasrar Capital.

Jeevan Patwa: Sir, firstly, congratulations to the entire team for whatever hard work we have put in the last few years, I think that has started showing the results. I'm very happy for it. Only question I have is on the bio side. So on the food protein side. So we are basically about to set up a facility for 2 million liter and then 4 million liters. So on the food protein side, what is the progress, sir? Are we now started putting any work there? If orders have been placed for the reactor? Where are we in that?

Satyanarayana Chava: As I mentioned, Jeevan, we are installing 400 kiloliters of fermentation capacity in Vizag greenfield project that's the Phase 1. As you mentioned, overall capacity at that site will go to 2 million liters in 2 more phases. In Phase II, Phase III put together, it will go to 2 million liters.

And we have very good visibility about the utilization of that fermentation site, which product, which customer and all. Like we are gaining confidence and gaining visibility in our small molecule CDMO segment. We're also seeing a lot of visibility now what customer, what project, what price, what time lines on our large molecule CDMO. As you were talking about our focus on food proteins, we are focusing also on other proteins, cosmetic proteins, some polymers produced by fermentation. So the offerings are becoming very interesting, which are also at scale.

Jeevan Patwa: Wonderful, sir. And second question I have is on the ImmunoACT. So how do you see the ramp - up in number of capacity, I understand it will come on stream by September. But in terms of the response from the market, I just wanted to understand your feedback on that. How is the response from the market? Are we also seeing

foreign national travelling to India to get this treatment done in India since the cost is much lower?

Satyanarayana Chava: There are some more treatments offered to foreigners. That was based on the hospitals choice. What is also happening, we are also trying to build overseas presence by entering partnership with some Big Pharma in those regions. Maybe in the near future, we'll give you more details on our global expansion of CAR -T therapy using ImmunoACT.

Jeevan Patwa: Okay. Great, sir. And third, last is on the gene therapy, sir. So we are setting up a viral vector facility in Kanpur, right? So any update there, sir?

Laurus Labs Limited

July 25, 2025

Page 6 of 16

Satyanarayana Chava: So there is a change in our approach because our thought process changed from 2,500 square meter facility to 6,000 square meter facility. So there is no space available at Technopark in Kanpur. So we have moved idea of that facility to Hyderabad, Genome Valley, where we have broke the ground for a 6,000 square meter facility. And whatever gene therapy, viral vector and also that building houses antibody drug conjugate GMP facility as well. So because we have added another therapy ADCs, we thought to move to Hyderabad.

Moderator: The next question is from the line of Rahul, an individual investor.

Rahul: Congratulations on the great set of numbers. Dr. Chava, if you can possibly paint a picture for us. Over the last 5 years, we've kind of come a long way and the product mix has changed and now we see the CDMO revenue contributing to 30-plus percent. Last probably 5 years ago, it was less than 10%. At this point, we see the contributions from Bio division to be less than 5%. How do you see this product mix changing 5 years out? What is the vision of the company over there? If you can share a bit on that? I'd be interested in listening.

Satyanarayana Chava: While we continue to focus on our core, which is APIs and integrated offerings in generics, we are also increasing our investments, capex, resources and technology platforms to offer a wide variety of services for late clinical and commercial Human health, Animal health and Crop science programs. As we've mentioned, currently, the CDMO contributes over 30% of our revenue. We expect it will continue to grow. In the near to medium term future, we expect it has the potential to touch 50%. That's our guesstimate.

Rahul: Like just a hypothetical question. At any point in time, do you see these divisions becoming big to the extent that there may be a possibility of listing these as separate entities and business?

Satyanarayana Chava: We don't have any plans for that.

Moderator: The next question is from the line of Chirag Shah from White Pine Investment.

Chirag Shah: Congratulations on a good set of numbers. So my first question is on gross margins that we have seen. Would it be right to assume that the gross margin improvement is driven by non-CDMO business significantly or largely because CDMO gross margins would largely be static in a range, right, maybe 5% deviation here and there.

So would it be a right statement to make that the sharp improvement in gross margin over the last 6, 7 quarters that we are seeing is driven by the non-CDMO business, and it would be now almost closer to what we were 3 years back?

Satyanarayana Chava: If you look at our quarter-on-quarter performance, our revenue decline came from ARVs and other generics, whereas there was a growth from CDMO. So I think these 2 contributed to the gross margin expansion.

Laurus Labs Limited

July 25, 2025

Page 7 of 16

Chirag Shah: But sir, would it be a right statement that in gross margin -- in CDMO, your gross margin would reasonably be stable irrespective of the stage of project, whether it's an early stage or late stage?

Or it materially varies gross margins on the stage of the project that you are?

Satyanarayana Chava:

You are right. Generally, the gross margins remain similar irrespective of stage and scale of the project.

Chirag Shah: Maybe that answers my question. And sir, then in that case, which part of the non-CDMO business has been contributing to margins? Because if I do some mathematics, there is a significant improvement of almost 700 bps to 1,000 bps in non-CDMO gross margin. So is it the ARV part or FDF part which is driving? Or if you can just share some light?

Satyanarayana Chava: It's majority came from non-ARV.

Chirag Shah: Major came from non-ARV. And is there further scope of improvement growth there? Or rather what is driving that non-ARV performance?

Satyanarayana Chava: It's based on some shipments. As I mentioned, we expect the gross margins remain between 55% to 60%. Earlier we used to say around 55%. Now we are saying it will be between 55% to 60%.

So that's very healthy, and we expect we'll be able to maintain that.

Chirag Shah: Sir, one last question. Any prebuying that you have witnessed or any indication of prebuying given the perpetual risk of some tariff that could come across? Sir is there any prebuying that you are witnessed from your customers?

Satyanarayana Chava: I think it's a very difficult question to guess an answer because we have to wait. And as you have seen from our results. See our dependency on formulation sales to U.S. are not that significant. So yes.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just on CDMO business, now that the animal health facility is commissioned, even agrochemical. So has this contributed meaningfully for the CDMO business for the quarter? Or the other way to ask is if you could break the CDMO business into Human health, Animal health and the Agrochemical and Ingredients?

Satyanarayana Chava: The contributions from Human health and Animal health were there in this quarter. Nothing significant from crop sciences in this quarter.

Tushar Manudhane: So will that come up in the coming quarters? Is that the fair assumption or it would take some more time

Satyanarayana Chava: We expect meaningful revenues from crop sciences will only come next financial year.

Tushar Manudhane: Sir, just more on this aspect. From a return on investment perspective, like the KL facilities whether to utilize for the ingredients, for Human health or Animal health or Crop sciences. Now

Laurus Labs Limited

July 25, 2025

Page 8 of 16

sort of is it the similar chemistry and hence, it's just a different application or how to think about it strategically for next 5 to 6 years?

Satyanarayana Chava: So the facilities for animal health are segregated and dedicated. We can't use that for Human health or Crop sciences. Similarly, the Crop science facilities are also segregated and dedicated. So those can be used for only Crop sciences. So interchangeability of these 2 facilities are not possible. Whereas Human health, we have large capacity where we can do these projects in multiple sites at multiple scales.

Tushar Manudhane: Understood, sir. And just lastly on Bio side, where there has been certain issues with the customer. So probably if that customer comes back or if we have new customers, like tentative timeline approximately for this business to sort of revive

Satyanarayana Chava: There is no challenge. It's only delay. The project now the bottleneck was resolved. Things are back to normal. And we don't see any big challenge achieving what numbers we thought at the beginning of the year.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Yes. Dr. Satya, any progress update you can share regarding the Willow Bio and AI -driven bioengineering platform partnership we are progressing with? I mean what advantages does bioengineering provided over conventional che mic

al synthesis in terms of efficiency, cost and sustainability, please?

Satyanarayana Chava: Sajal what programs we are working with Willow using their AI -driven enzyme engineering platform, primarily hydroxylation platform. Adding hydroxy groups on stereo idal backbones.

That's the one we are working. There are multiple programs. Maybe in this financial year, one program will go from lab to pilot mode. And we expect 2 more programs in the next financial year.

Sajal Kapoor: And do we expect the learnings out of this program to be kind of integrated into some of our future ventures? I mean because Bio is a very emerging promising area and we are just exploring the unhealthy tip of the iceberg.

Satyanarayana Chava: Our partnership with Willow is primarily meant for steroids and hormones . Our Bengaluru team is doing development, whereas Willow is doing research. I think they identify the enzyme and then they give it to Bengaluru team for optimization. So that partnership is working well. And currently, we are not intending to use that technology on any other program right now.

Sajal Kapoor: Okay. Understood. Ravi ji, this new capex investment of over INR5,000 crores that you have announced in Andhra Pradesh, I guess will be executed over multiple phases and years. So if my assumption is correct, can we, therefore, anticipate maintaining a healthy net debt -to-EBITDA ratio despite this massive growth capex ?

Laurus Labs Limited

July 25, 2025

Page 9 of 16

V.V. Ravi Kumar: Yes. As we indicated before, we are going to invest INR5,000 crores in the next 5 -year time. I think internal cash flows will be sufficient to take care of it. As we indicate, we don't want to make our net debt more than 50% of our revenue at any point of time.

Sajal Kapoor: Sure. And finally, in the context of Trump's make in America, Big Pharma is investing heavily in biologics, gene therapies, weight loss drugs, even diagnostics and more to expand capacity and strengthen their supply chain. So many of them from Roche to AstraZeneca to Eli Lilly, almost all of them have announced multibillion dollar capex in the U.S. So how will these investments by innovators in the U.S. affect the outsourcing and CDMO industry?

Satyanarayana Chava: These Big Pharmas have a very large pipeline. Maybe part of the supply chain will be located in U.S., part of the supply chain located outside. We have to see how it evolves. Everybody is announcing a lot of investments in U.S. But we don't see beginning of impact. So as you mentioned, they will not move core chemistry to U.S. They may move cell and gene therapy, finishing steps. So the demand for intermediates will remain constant or increasing maybe.

Sajal Kapoor: And maybe small molecule APIs as well, that's not going to move to U.S.

Satyanarayana Chava: Yes. That's what we believe, yes.

Moderator: The next question is from the line of Vivek, an individual investor.

Vivek: I have a question regarding the Laurus Bio, sir. You have mentioned that there is a pricing challenge in that particular slide for the Laurus Bio. Could you please share the details on the pricing challenge? And the second question is that how big it can become in the next 5 to 10 years at Laurus Bio itself?

Satyanarayana Chava: See, the pricing challenge at Bio pertains to hiring reactor months to product billing. So that was the one shift happened because in the trials since we don't know how many days fermentation will take, how many days the downstream processing happens. So customer used to pay per month or per batch. Once the product stabilizes, then the billing will go to per kg. So that's the pricing shift happening for them when the product mature.

And the question regarding the opportunities in the next 5 years, we see significant potential. That is the reason we are investing a lot of money in greenfield projects. As we mentioned, the Phase I itself, we

are creating 400 kiloliters capacity and eventually, it will go to 2 million liters fermentation capacity.

Moderator: Next question is from the line of Abhijit, an individual investor.

Abhijit: Yes. Great set of numbers. I have a question with regards to the FDF. If you can see on a quarterly basis, there has been a reduction. The volatility in these numbers have been there for the last 4 quarters as in the presentation. So is this going to continue? Is there any stability that is going to be there in the generic FDF and generic portfolio? That's one question.

Laurus Labs Limited

July 25, 2025

Page 10 of 16

Satyanarayana Chava: The majority delta in our sales in FDF is coming from how many millions of packs of

antiretroviral we are shipping in the quarter. So overall, we are shipping the same numbers, but depending on the approvals from various countries to ship logistics and all, revenue recognition because most of them are sea shipments. So those are the factors contributing to the variation in the generic formulation sales.

Abhijit: Okay. My next question is with regards to this crazy move that every body is making in India and globally about peptides and the opportunity for GLP -1 and weight loss drugs basically and also other peptide products. Is there any opportunity that is available for Laurus also in this space?

Satyanarayana Chava: We believe so.

Abhijit: Okay. You don't want to go more further about it? I mean you don't want to disclose, I guess. Is that correct?

Satyanarayana Chava: Yes.

Moderator: The next question is from the line of Ankush Mahajan from Santam Wealth.

Ankush Mahajan: Congrats for a good set of number. Sir, can I get a breakup of this INR5,000 crore capex, how much is going for the CDMO over the next 5 years?

V.V. Ravi Kumar: No, we have not disclosed that. It will interchange based on the business opportunities.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal.

Tushar Manudhane: Just a bookkeeping question on the ARV business, if you could give break up of formulation and API please?

Satyanarayana Chava: Yes. Just give me 1 minute, we'll give you the ARV APIs is INR363 crores and formulations is INR284 crores. About INR640 crores both put together.

Tushar Manudhane: The non -ARV formulation we've seen a bit moderate run rate over the past maybe few quarters, if you could share how we sort of think of growing business in this segment?

Satyanarayana Chava: We are expanding our capacity for non -ARV formulations and which will be qualified by end of this year. So we can expect non -ARV formulations should grow from Q4 onwards.

Tushar Manudhane: But on the product approval side also, there has been bit slow, correct me if I'm wrong.

Satyanarayana Chava: Revenue growth primarily comes from contract manufacturing of integrated formulations, both the API and FDF. We are doing tech transfers. Once the capacity is qualified, we don't see lag in revenues.

Moderator: The next question is from the line of Chirag Shah from White Pine Investment.

Laurus Labs Limited

July 25, 2025

Page 11 of 16

Chirag Shah: And sir, apologies on going back to the gross margin point. So on the non -ARV side, would it be a right statement that we are almost at the peak gross margins that we had in the past, say, around 2021? On the non -CDMO aggregate gross margin, which could be a function of which I'm not going into those details. But non -CDMO gross margin would be closer to the peak maybe of FY'21 or '22 that we had?

V.V. Ravi Kumar: Yes, it's a difficult, but maybe closer.

Satyanarayana Chava: You are right we had a very good gross margin. I'll put it that way.

Chirag Shah: Yes. Sir, my actual question is, so what are we doing from here on to improve that part, that piece of gross margin further?

Satyanarayana Chava: As we grow our CDMO business, today, we

haven't achieved operational efficiency, still a lot

of unutilized capacities and all. As we grow our revenues, we are not going to grow our R&D and quality staff proportionately. We are going to increase other expenditure proportionately. If you look at when our revenue was less, our cost of employees went up to 16%, 17%. Sometimes it was around 10%. So we are at the beginning of that benefit to operational efficiency.

Yes. Once we improve revenues, our percentage of expenditure will come down. So that is another metric, which will help us to improve our numbers, EBITDA as well as return on capital.

Chirag Shah: Sir, my question was more on the non -CDMO gross margins, is our business mix changing that it can see a significant uptick from what was the historical peak on the gross margin because that will directly flow through EBITDA and PAT also in that sense. So is the business model changing where we can see a higher peak gross margin in non -CDMO piece?

Satyanarayana Chava: I think there is no business mix change. There's only product change. In some products, we get more margins, maybe we might shift in this quarter. So it is fundamentally the business is not changing significantly.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Doctor, on the CMO business, which we have in both API and formulations, can you give us some color on when do you see momentum picking up on those pieces? Because we've seen sudden flattening out of the API business in the formulation business except of ARVs also, we've not seem to have picked up much over the last few quarters.

Satyanarayana Chava: It will pick up from Q4 onwards, Nitin, yes.

Nitin Agarwal: This is driven by certain specific contracts? Or what will drive the timing from Q4 onwards on these businesses?

Satyanarayana Chava: Right now, the tech transfer batches are going on in formulations. And the capacity enhancement is also going on parallelly. So both we expect will be handy to get higher supplies and higher revenue from Q4 onwards.

Laurus Labs Limited

July 25, 2025

Page 12 of 16

Nitin Agarwal: And for the APIs?

Satyanarayana Chava: API, what is happening with that contract, we are doing more integrated. So we're making API and converting that into formulations. So we don't expect the contract manufacturing or API revenues will grow. It will not grow to the extent formulations are growing.

Nitin Agarwal: Got it. And sir, on the API business, except of the ARVs, last year, we had a bit of a slump in the oncology part. I mean, till the time you were disclosing that. I mean, how do we see the non-ARV API piece going forward? Are we seeing momentum coming in that business at some point in time?

Satyanarayana Chava: Not in the next few quarters.

Nitin Agarwal: And sir, what is the reason because of which there has been some challenge on this piece over the last?

Satyanarayana Chava: It's not a challenge is by choice, actually. The reason is we have allocated more resources to take up more CDMO projects instead of allocating to a significant number to generic API development. So we took that as a decision made by internal people.

I think we are also expanding our R&D strength. Once that is done, we will put resources back in development, validation of generic APIs. We also need capacity to do that. So there are multiple things. So right now, we made an informed decision internally to allocate resources to CDMO projects.

Nitin Agarwal: Okay. That makes sense. And sir, on the CDMO business, I think the question was asked earlier also, sir, because we've had 3 very strong consecutive quarters on the business. The growth has come through sequentially for the last few quarters on a Q-o-Q basis. Now on this base, sir how should we think about quarterly growth for this business? Is it going to be linear? Or we expect some lumpiness as we go

forward?

Satyanarayana Chava: Overall year, we can comment it's going to be a healthy growth.

Nitin Agarwal: Okay. And probably some volatility on a Q-o-Q basis as we go through the quarters?

Satyanarayana Chava: We are not expanding that because of ARVs some business, we know very clear. See, it's not that we will get an order for CDMO in July and we deliver in September. It's not that. So this is a long lead time, we know very clear what molecule we're making, how much we are making, which is the customer, what price and all pretty well for this year. So we see comfortable and we expect good growth in CDMO revenues overall for the year.

Nitin Agarwal: And sir, if you can on the CDMO part, how many products are we supplying against which you're doing commercial supplies at this point of time. And typically, how should we think about typically given your pipeline, how many new products can get commercial typically on an annual basis given the pipeline over the next couple of years?

Laurus Labs Limited

July 25, 2025

Page 13 of 16

Satyanarayana Chava: It's difficult. We don't want to guess that number and confuse all the investors. So I think as you have mentioned, we have grown significantly in CDMO quarter-on-quarter for the last 5 quarters. And the numbers only will speak. That's what we don't want to forecast our partner products, yes. So when it comes to ARV, we are telling we'll be around INR2,500 crores plus or minus INR200 crores. We have visibility there. In CMO in generic, we have visibility. In CDMO, we don't want to guess and give a number.

Nitin Agarwal: Got it. And sir, in your opening comments, you made a few references to the fact that a lot of Big Pharma contracts supplies have started or are scaling up for our CDMO business. I mean, sir, if you can just probably on the studies, when you highlight the Big Pharma part, how should one read it? Is it essentially leading to larger contracts or these are more strategic partnerships?

V.V. Ravi Kumar: And Nitin, I think we are going beyond on the CDMO.

Satyanarayana Chava: I think we cannot disclose more than what we have done.

Moderator: The next question is from the line of Foram Parekh from Bank of Baroda.

Foram Parekh: Congratulations on a very good set of numbers. There was one comment made on the CDMO side, which was very big, that the contribution is now 30% of the sales, and we expect it to touch 50%. So can you give some more clarity? I mean, by when can we expect this kind of contribution to come in from CDMO?

Satyanarayana Chava: We mentioned it has a potential to go there. And we are not attaching any year to that. Okay.

Foram Parekh: Yes. But like somewhere in 5 years down the line, can we expect this kind of potential run rate?

Satyanarayana Chava: We are not giving any forecast there.

Foram Parekh: Okay. And secondly, on the ADC front, we have mentioned a couple of times that we endeavor to go into the ADC side also. So may I ask which part of the ADC are we looking at? Is it the payloads, linkers, bioconjugation? Any color on that?

Satyanarayana Chava: See, we already make payloads and linkers. And we don't want to make mabs. We'll do conjugation, purification and fill finish. That's the infrastructure resources we are building. Internally, we make payloads, linkers and then do bioconjugation, purification and fill finish. We will not make Mabs.

Foram Parekh: Okay. Got it. And out of this INR5,000 crore capex that we have announced, would it be possible to give some color there, like how much capex would go towards the ADC side?

Satyanarayana Chava: This new INR5,000 crores capex is in Vizag, none of that capex will go to ADC.

Moderator: The next question is from the line of Gaurav from Antique Stockbroking.

Laurus Labs Limited

July 25, 2025

Page 14 of 16

Gaurav: This quarter, we've seen a significant jump in your employee expenses, almost 21% quarter-on-

quarter, year-on-year. Any nonrecurring expenses here? Or this is the new base?

V.V. Ravi Kumar: The part is nonrecurring in the sense, once in a year, actually, we are giving a long-term service awards for the people who stayed with us for a longer period. And of course, there is an increment over the last year, last quarter. That's also reflected apart from the additional manpower.

Gaurav: So quarter-on-quarter, we may see some decline in Q2, right, from this?

V.V. Ravi Kumar: I don't say decline, but it will not have that kind of an increase.

Satyanarayana Chava: We're also expanding our team strength. So we keep on recruiting more and more to our expanded facilities. So it will maybe you can consider that as a new norm maybe.

Gaurav: Got it. On the ARV side, we've seen year-on-year growth in this quarter, but you're still maintaining your guidance of no growth for an overall full year basis. Any particular reason why still you're not seeing growth in this segment for the full year? Is it just uncertainty on the global tender?

Satyanarayana Chava: We kept some margin. We have seen significant price drops in ARVs. If there is no price drop, we may go a little better. If there is a price drop, our incremental volumes will compensate the price drop. So we are keeping that cushion when we are committing INR2,500 crores ARV plus or minus INR200 crores.

Moderator: Mr. Gaurav, does that answer your question?

Satyanarayana Chava: He must be dropped off.

Moderator: Yes, sir. We'll move on to the next question, it's from the line of Yasser.

Yasser: Congrats on a great performance. I like some qualitative inputs in terms of CDMO business. Is it large volume sort of chronic drugs? Are they in the rare or orphan space? Secondly, also what could be our mix between, say, Big Pharma and small biotech on the CDMO business?

Satyanarayana Chava: We can't give you therapeutic mix of our CDMO revenue. But the majority of revenues are coming from medium and Big Pharma, very less from small and virtual biotechs.

Yasser: Are we the primary source in these cases? Are these projects where Big Pharma customers want to diversify the supply, and we are probably a second source. Any sort of insights on that would be helpful.

Satyanarayana Chava: I think those insights are very difficult to divulge. I'm sorry.

Moderator: The next question is from the line of Abhijeet, an individual investor.

Laurus Labs Limited

July 25, 2025

Page 15 of 16

Abhijeet: I have a question with regards to the debt. So the net debt for EBITDA right now is 1.8.

Obviously, it's come down because your EBITDA has gone up. What is the management's guidance for the debt over the next 2 years or next 3 years?

V.V. Ravi Kumar: We are not expecting a significant increase in the debt. So as we have said we will try to manage with 50% of our revenue levels, the annual revenue levels. That means debt by EBITDA, maybe 2, 2.5 is max.

Abhijeet: Okay. So 2, 2.5 is the maximum net debt to EBITDA levels. But the INR5,000 crores that you're going to plan to do in the next, I presume, next 3 to 4 years, right? We will not do it overnight. It will be 3 to 4 years.

Satyanarayana Chava: That's 4 to 5 years.

Abhijeet: Okay, 4 to 5 years, you are going. What is the breakup? Like are you going to do internal accruals or you are planning to do more JVs with other companies? Or you want to do mostly everything yourself?

V.V. Ravi Kumar: Mostly from the Laurus Labs side and majority of funding will be through internal accruals.

Abhijeet: Okay. And another question is with regards to the business strategy. Are you looking at more opportunity because of this tariff tantrum that is happening around in the U.S.? I know that

Laurus does not have a large amount of exposure to the U.S. market directly apart from the generics. In the other space more complex drug products, is

there any opportunity that is coming about? Are there any meetings going on with the large companies?

V.V. Ravi Kumar: No.

Satyanarayana Chava: No.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Sir, the first question is on the CDMO piece. Is it possible to understand within CDMO revenue breakdown in terms of what is coming from commercial supplies and what is coming from Phase I, Phase II, Phase III and how that will evolve over the next 2, 3 years?

Satyanarayana Chava: We are not dissecting those numbers into commercial Phase III, Phase II, Phase I and customer. That's we can't divulge customer and products. So I'm afraid, we can't give you that breakup.

Gagan Thareja: Okay. The second question is, as the percentage of CDMO in your total sales rises and since CDMO is a higher gross margin business for you, is it reasonable to assume that it will take the aggregate or average margin -- overall margin trajectory of the company upward?

Satyanarayana Chava: Yes. As the contribution and percentage from CDMO growth, we expect both gross margin and EBITDA margins should continue to go up.

Laurus Labs Limited

July 25, 2025

Page 16 of 16

Gagan Thareja: All right. And sir, final one is on the ARVs, lenacapavir and cabotegravir, both have issued voluntary licenses. Even WHO today now seems to stand very strongly behind bringing in lenacapavir advocating for lenacapavir as probably the preferred treatment and bringing it in the emerging markets as well via the voluntary license route. So first question is, would Laurus have an opportunity in lenacapavir?

Satyanarayana Chava: We are not part of the licensee of lenacapavir. And the Lenacapavir will be part of the guidelines for prevention rather than the treatment. That's one. And the cabotegravir, rilpivirine we have developed API. And we have a few partners using our APIs. Lenacapavir, we are not part of the licensee.

Nitin Agarwal: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Satyanarayana Chava: Thank you, Nitin and DAM team for hosting this Q1 investor conference call. And thanks for asking very pertinent questions, all the stakeholders. Thank you.

V.V. Ravi Kumar: Thank you.

Nitin Agarwal: On behalf of DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

October 28, 2025

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q2 FY '26 Results Conference Call hosted on October 23, 2025

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our results conference call intimation dated October 09, 2025, please be informed that the results conference call for Q2 FY26 was hosted on October 23, 2025 and the transcript of the conference call is enclosed herewith .

This is for your information and records.

Yours faithfully,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 17

"Laurus Labs Limited
2Q FY '26 Earnings Conference Call "
October 23, 2025

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS LIMITED
MR. KRISHNA CHAITANYA CHAVA – EXECUTIVE

DIRECTOR AND HEAD CDMO – LAURUS LABS
LIMITED
MS. SOUMYA CHAVA – EXECUTIVE DIRECTOR ,
GENERICS AND COMMERCIAL – LAURUS LABS
LIMITED
MR. VIVEK KUMAR – EXECUTIVE VICE PRESIDENT ,
INVESTOR RELATIONS – LAURUS LABS LIMITED

MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED

Laurus Labs Limited
October 23, 2025
Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Laurus Labs 2Q FY '26 Earnings Conference Call, hosted by DAM Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital. Thank you, and over to you, sir.

Nitin Agarwal : Thank you. Hi. Good afternoon, everyone, and a very warm welcome to Laurus Labs Q2 FY '26 earnings call, hosted by DAM Capital Advisors Limited. On the call today, we have representing Laurus Labs management, Dr. Satyanarayana Chava, Founder and CEO; Mr. V. V. Ravi Kumar, Executive Director; Mr. Krishna Chaitanya Chava, ED and Head CDMO; Ms. Soumya Chava, ED Generics and Commercial; and Mr. Vivek Kumar, EVP, Investor Relations.

Before we proceed, I would like to remind you that some of the statements made during the call today could be forward-looking in nature, and a Safe Harbor statement to this effect has been included in the press release that has been shared on the company's website.

I now hand over the call to Dr. Chava to make the opening comments, and then we'll open the floor for questions. Please go ahead, sir.

Satyanarayana Chava: Thank you, Nitin, for the introduction. Good afternoon to all our stakeholders. We continue to make encouraging progress in delivering important clinical and commercial programs of our customers and also, strengthening our pipeline through collaborations with several big pharma's. Our growth increasingly benefiting from our leadership position in anti-retroviral business as well as CDMO expansion. And at the same time, we're investing in enabling capabilities and capacities to meet growing customer demand. I have increasing confidence that our R&D-driven commercial strategy will continue to generate long-term value for all our stakeholders.

Moving to some notable updates. Early this quarter, we received allotment of 532 acres from the government of Andhra Pradesh in Vizag. And our focus is to create a world-class pharmaceutical manufacturing complex, where we propose to invest around \$600 million over 8 years.

As you are aware that over the past few years, Laurus has built significant capacities to service diverse pipeline opportunities. This new land will materially support further strengthening our global position and offering across manufacturing scale and new technologies.

Additionally, during the quarter, we invested in an ADC technology platform company with payload and site-specific linker technologies that will enhance Laurus' integrated ADC services. Also, most of the capacity around in specialized modalities, including gene therapy, ADC, fermentation, is broadly on track in line with our customer needs.

Laurus Labs Limited
October 23, 2025
Page 3 of 17

Moving to our financial results. Our Q2 performance was in line with our expectations, with revenues of INR1,653 crores, reflecting robust demand for our ARVs and CDMO revenue growth. Gross margins expanded further from the previous quarters and maintained well above 59% range, and EBITDA margins were expanded by 11 percentage points to 26%, led better operating leverage and product as well as segment mix. As we look forward, we remain confident in our outlook for the improved growth for the rest of the year.

I would request Mr. Krishna to share key updates on our CDMO business.

Krishna Chaitanya Chava: Yes. Thank you, Dr. Satya. From a CDMO perspective, the division continues to see strong demand momentum in our CDMO service offerings, recording Q2 sales of INR471 crores. And for

the H1, the division recorded a sale of INR964 crores with a healthy growth of about 88%. This growth was mainly driven by several mid to late-phase program deliveries and as well as

commercial deliveries, and also, increased sales from our new manufacturing assets that have come online. The pipeline momentum and RFP flow have remained strong with a well-balanced mix of big pharma clients, small to mid-sized biotechs.

In specific, we are adding multiple clinical programs of late that involve quite a lot of complex chemistries and advanced modalities. In line with that, we continue to invest on expanding our commercial capacities at our Vizag site and also, expanding some of our capabilities for some of these advanced modalities and therapies, which we will disclose as they mature. Thank you.

Satyanarayana Chava: In large molecule CDMO, Laurus Bio, we reported a healthy recovery in Q2 with sales of INR47 crores. I would like to emphasize that majority of sales seen in Q2 are accruing from customer base with long-term potential and improvement in commercial product sales.

We are seeing increased customer interest for dedicated fermentation lines. Construction work for the commercial scale fermentation facility in Vizag is progressing as planned, and we expect Phase 1 capacity of about 400 kilolitres to be handy by end of 2026.

I will request Ms. Soumya Chava to share key updates on our generic business.

Soumya Chava : Good evening. The revenues for the generic division continued to do well and reported a growth of 28% to INR1,135 crores, which was mainly supported by the volume growth in ARV and also the formulation supplies. For the first half, we've achieved INR2,183 crores sales with a growth of about 20%.

The US generics continue to benefit from our recently launched products and also stability from the rest of the product line. We expect that these benefits would continue in the future quarters as well. At the beginning of the year, we stated that our focus would be to address API rebalancing capacities. And now we are glad to report that we've completed the activity, and we have achieved the capacity debottlenecking within the key API businesses, especially the ARVs. And we're also happy to report that we're meeting our delivery commitments to the customers.

Laurus Labs Limited

October 23, 2025

Page 4 of 17

To further add, our CMO activity levels are also going up, and we see good visibility on improving utilization levels for the rest of the year. On the filing side, we currently cumulatively have 91 DMFs till date. And on our finished dosage forms, we filed 3 dossiers and received 4 approvals in the first half of the year. With this, cumulatively, we have about 90 products filed till date. Thank you.

Satyanarayana Chava: Thanks, Krishna and Soumya for overview of generics and CDMO business. On the R&D front, we spent 4.3% of our sales, including spend on cell and gene therapy. The spend is in line with our full-year target, and we continue to invest in portfolio, focusing on product complexity and scale, while also pushing forward with the adoption of sustainable technology platforms.

Let me share a brief on our quality side. In the first half of this year, company underwent close to 65 quality audits by multiple customers and several regulatory agencies. Company has successfully passed these audit inspections without any critical findings.

Now I request Mr. Ravi Kumar to share the overall financial highlights.

V. V. Ravi Kumar : Thank you, Dr. Satya, and very warm welcome to everyone on our second quarter and H1 earnings call. Total income from operations for H1 at INR3,223 crores registered a growth of 33%. We have continued to deliver strong growth mainly due to ARV business, sustained CDMO momentum, and growth in other generic business.

For Q2, total income from operations was INR1,653 crores with a 35% growth. Gross margin

in

the range of 60% for Q2 and H1, mainly due to better product mix and the division mix, apart from process improvement efforts. EBITDA for H1 stands at INR818 crores with an EBITDA margin of 25.4%, whereas for the quarter 2, INR429 crores with a margin of 26%.

Profit after tax at INR358 crores in H1 and for quarter 2 at INR195 crores, ROCE was 16.3%, improved from 9.7% in the last previous year and has been progressively improving. However, it is compressed due to continued capex investment towards growth projects.

On the capex front, we invested INR225 crores for the quarter and INR489 crores for the H1 FY '25. Our net debt stood at INR2,100 crores, and debt to EBITDA is around 1.3x versus 1.8x in the previous quarter.

On the capital allocation front, our strategy remains unchanged, and we will continue to prioritize investment in to high-value business segments to drive near- and long-term growth and return our shareholders over time. You can refer our IR presentation for more details.

With this, I would request the moderator to open the lines for Q&A. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Tushar Manudhane from Motilal Oswal Financial Limited.

Laurus Labs Limited

October 23, 2025

Page 5 of 17

Tushar Manudhane: Sir, firstly, on the gross margin front, where the proportion of Synthesis business has reduced quarter-on-quarter, API and FDF, which is largely ARV, have increased. And despite that, we are seeing reasonably good improvement in the gross margin. So, if you could just elaborate on that aspect first?

Satyanarayana Chava: Tushar, if we look at our first quarter FY '26, we reported gross margins of 59.4%. And this quarter, we are reporting 59.9%, almost 60%. The CDMO revenues were almost similar, both small molecule and large molecule put together. Some growth came in ARV, API, and formulations. But we have delivered more commercial molecules in CDMO during the current quarter. So, margin profile was better. So gross margins improved because of that.

Tushar Manudhane: And sir, on the ARV side, just if you could give the breakdown of API and ARV formulation sales for the quarter?

Satyanarayana Chava: We have done INR733 crores ARV, both API and formulation put together in this quarter. When you compare the last quarter, we have done about INR647 crores ARV sales, both API and FDF, about INR90 crores more we have done in this quarter.

Tushar Manudhane: Breakdown into API and formulation on the ARV side?

Krishna Chaitanya Chava: Tushar, the API was INR395 crores. So, you can balance it out for the formulation.

Tushar Manudhane: Sir, just on the ARV part, like for the first half, we are almost INR1,380 crores. And at the start of the year, the commentary was that ARV business would be largely stable for FY '26 at least. And in FY '25, we had done INR2,300 crores ARV sales, and we have already done INR1,400 crores. So does it mean that we see some decline in ARV sales for the remaining 2 quarters of FY '26, or we have got enough orders to sustain the first half performance of FY '26 in the ARV segment?

Satyanarayana Chava: Still, I will maintain my commentary, ARV sales will be around INR2,500 crores, give or take, a couple of hundred crores. So, you can't have INR2,500 crores every year. As I mentioned, INR2,500 crores plus or minus INR200 crores. The values differ based on the tender results, awards, and then our supplies. I still continue to maintain the same statement, INR2,500 crores plus or minus a couple of hundred crores.

Tushar Manudhane: And just one more lastly from my side. If you could just broadly help us understand the working capital cycle for Synthesis business and FDF business, if there is any difference?

Satyanarayana Chava: Typically, the working capital cycle for formulation and synthesis businesses are longer. In

CDMO, we are handling very long complex synthesis. Because of that, the working capital cycles are higher, but margins are higher. So that will have any impact on the working capital margins. But formulations will have a long working capital cycle. Depend on the product also.

Tushar Manudhane: So current portfolio, broadly, what would be the working capital cycle for synthesis business and for FDF business separately, just a ballpark number?

Laurus Labs Limited

October 23, 2025

Page 6 of 17

Satyanarayana Chava: It is very difficult, Tushar. We can take it offline, Tushar. We can't give the details.

Moderator: Our next question comes from the line of Bharath from Quest for Value.

Bharath: Firstly, I would like to congratulate Dr. Satya and Ravi for generating good set of numbers. And also, I would like to especially congratulate Krishna Chaitanya and Soumya Chava for delivering CDMO and generic numbers consistently from the past few quarters.

And my first question is to Dr. Chava. So, if you look at our history, we generally put huge capex, and we go through short-term sales due to operating deleverage for some period. And once capacities are fully utilized, operating leverage will play out. For example, in the last cycle, we have put a huge capex in 2019 for FDF. And once it is fully utilized, we reach peak margins, EBITDA margins of around 33%.

And if you see the current cycle, we have invested a lot of capex in the last 4 years, and finally looks like the capacities are being utilized and operating leverage is now playing out. And if you compare last cycle with the current cycle, the last cycle was mainly due to -- the growth was mainly due to generic FDF. This time, the growth is coming due to high margin and more sustainable CDMO.

So, my question is, do you think in this current cycle, once the capacities are fully utilized, the EBITDA margins can easily surpass the previous last cycle peak of 30% because of better product mix and better gross margins?

Satyanarayana Chava: I would say, Bharath, it will improve. I will not give a number. As we change our product mix more towards small and large CDMO, EBITDA percentage will improve. And also, our operating leverage will also kick in as we utilize our assets better. That's what happened in Q1. That's what happened more in Q2, and we continue to see that trend. I will not comment to what extent will grow, but the indications are that we'll continue to do better in EBITDA margins.

Bharath: And my second question is to Krishna Chaitanya. Are you seeing a trend of supply chain shifting towards India due to this Biosecure Act and also due to the supply chain diversification efforts from innovators? Did you see any significant increase in RFPs due to this? And how is Laurus

prepared to capture this wave of opportunity that is coming to India?

Krishna Chaitanya Chava: Certainly, there's some discussions around that and the discussion or talk around that. But it's getting immediately translated, or attributing the flow of RFPs to any of these world events is very difficult to link both of these together.

I think at the end of the day, successfully getting an RFP and delivering on it comes down to the capabilities rather than compulsion for somebody to diversify the supply chain. But there's certainly discussion around that, but not immediately -- can't fully draw correlation between the 2, at least from our perspective.

Laurus Labs Limited

October 23, 2025

Page 7 of 17

Bharath: And my last question is to Dr. Chava. Can you please give update on the R3 plant at Mysore? I don't see that in the presentation.

Satyanarayana Chava: We are constructing on a Fast Track basis a large fermentation capacity at Vizag instead of investing that in Mysore. The reason is we have better infrastructure right now. It is in industrial complex. But at Mysore, the waste

treatment facilities are not ready. So, we decided to invest in Vizag as of Mysore.

Krishna Chaitanya Chava: It's close to our existing unit, Bharath.

Moderator: Our next question comes from the line of Jevan Patwa from Sahasrar Capital.

Jevan Patwa: Firstly, congratulations, sir, for a very good set of numbers. Happy Diwali to you, Ravi, and all your team. My question, obviously, since last many quarters, I still keep asking the same question. So it is more on the formulation side. CDMO, obviously, I'm very happy with the performance. I remain very bullish and optimistic.

But on the formulation side, I just wanted to understand the thought process that we had since many quarters and years, is we want to be the global leader in 15 or more than 15 type of products or molecules. So are we still of the same opinion and the thought process? Or we want to move towards more CMO, like contract manufacturing kind of thing on the formulation side?

Satyanarayana Chava: Both are happening. We are investing more in CMO generic formulations with our European partner, going well. And we are also doing select products, global launches, and our approach of doing a few products and gaining a leadership position globally is on track. We are not deviating from that principle.

Jevan Patwa: But are you seeing results from that strategy?

Satyanarayana Chava: Yes.

Moderator: Our next question comes from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: Congratulations on a great set of numbers. Just a couple of housekeeping questions from my side. One, what is the total capex for the current year that you are estimating?

Satyanarayana Chava: It will be closer to INR1,000 crores. We invested about INR480 crores in H1, and we expect to invest similar amount in H2 as well.

Bino Pathiparampil: The receivable days and inventory days seem to have come down for the midyear balance sheet compared to the March balance sheet and even compared to the earlier balance sheet. Has anything changed there materially?

Satyanarayana Chava: I think additional sales has resulted in the reduction in inventory, Bino.

Laurus Labs Limited

October 23, 2025

Page 8 of 17

Bino Pathiparampil: Okay. So, is that a level we should look forward to? Or is it temporary and for the year-end, we should go back to the levels of the previous year-end?

V. V. Ravi Kumar: Yes, I think it goes with the sales.

Bino Pathiparampil: Okay. And what is the full year consolidated tax rate that we are looking at?

V. V. Ravi Kumar: I think similar. Right now, we have about 28%. At Laurus Labs, we have converted into new regime, but there are other subsidiaries are going at a different. So that is the reason it is coming around 28%. But I think it will be in a similar range.

Moderator: Our next question comes from the line of Sajal from Antifragile Thinking.

Sajal: At the same time last year, the capex run rate was 11% of sales, which was very healthy, of course. And today, our sales have increased. They are significantly better Y-o-Y, but the percentage capex is not just 11%, it's 15% now. So both the sales and the capex have increased Y-o-Y. The question is what's driving this level of conviction? What kind of interactions or feedback are we getting from big pharma and other innovators, please?

Satyanarayana Chava: We are investing in to new modalities, which are taking more capex. And we're also investing in fermentation. And we are also building some additional blocks in our animal health. So the building qualification, validation are also taking a very long time. Right now, if we start the construction of a manufacturing block, by the time we build, qualify, and do validation, it is anywhere taking between 18 to 24 months. So because of that cycle, we are investing more. And

we don't expect that investment around INR1,000 crores will come down in the future year

s also.

It probably may go up.

Sajal: That's helpful, Dr. Satya. And my second question is, while our small molecule CDMO pipeline is well -positioned to take us to the next level over the medium term, we will eventually need to demonstrate leadership in biologics and precision fermentation as well. So, how do you see the competitive intensity in both human and non -human bio non -food proteins and polymers evolving? And where do you think we have the sort of opportunity to differentiate ourselves, given the current industry dynamics in these segments?

Satyanarayana Chava: See, our current capacity in Bangalore is already sold out. And for us to grow, we need capacity. That is the reason we are doing on a Fast Track basis, an additional capacity of 400 KL in Vizag. So, especially in bio, we know what to make, how much to make. So we are not at a stage where we're putting capacity and don't know what to do. Bio, at least we need capacity. So we continue to invest in bio more and more in the next 2, 3 years.

Sajal: That's for sure, Dr. Satya. My question was, I mean, between these segments, whether it's ADCs or gene viral vector or whether it's non -food proteins and polymers, I mean, which area is looking more exciting to you as of today? Of course, this may change next year.

Laurus Labs Limited

October 23, 2025

Page 9 of 17

Satyanarayana Chava: Okay. I didn't get your initial question very well. Now I can answer. So in the next 3 to 5 years, we are not expecting any revenues coming from cell and gene therapy, except our investment in ImmunoACT. That's one statement I can make. And second is the CDMO of large molecule precision fermentation is as attractive as small molecule CDMO.

Moderator: Our next question comes from the line Venkat, who is an investor. As there is no response from the line of the current participant, we'll move on to the next question. The next question comes from the line of Rahul Bhardwaj, who is again an investor.

Rahul Bhardwaj: I would like to get a sense of how do you see the fragmentation between the generics and CDMO to evolve over the next 2 to 3 years? I think roughly as of now, CDMO contributes around 30%. How high or low do you think CDMO will be contributing over the next 2 to 3 years?

Satyanarayana Chava: Currently, both small and large molecule put together contributes about 30%. And we expect it will grow. Both small and large molecule CDMO prospects are looking very bright.

Rahul Bhardwaj: Would it be possible to give some idea, like how much growth do you expect? Like, could it be 10%, 20% every year

Satyanarayana Chava: We are not giving quantitative numbers of growth. But see, currently, we have 200,000 litres fermentation capacity in Bangalore. We're adding 400,000 litres in Vizag, and that's in Phase 1. We'll add another 500,000, 600,000 litres in Phase 2. So we keep adding large capacity for our threshold fermentation. Small molecule, we continue to invest, and of the requirement. So we have a visibility, but we don't want to confuse everyone by giving our visibility as a guidance.

So we can say the growth looks interesting. That is the reason we are investing enough capacity.

Moderator: Our next question comes from the line of Chandramouli R from Techfun Capital.

Chandramouli R: Season's greetings to you. I'm glad about the performance of Laurus Labs this quarter. But what is concerning me as an investor is, I make a comparison with other players like last quarter, also, I have a question about, let's say, the growth of Divis performance. So, if my capital investment between the CDMO players in the industry, I find relatively Laurus is not getting the return on investment quickly as others are.

So why is there a delay in getting the orders from the innovators or are we not investing in the capacities where the demand is growing incrementally? So I would like some amount of clarity

on this.

Satyanarayana Chava: Modalities of CMO offerings have changed significantly, which demands very early and a large amount of capex is required. That's the one factor contributing. Investments are being done well in advance, whereas revenues are coming in future. Another big change is, you get a Phase III molecule, you do validation and create a large capacity, and wait for NDA submission and approval and all.

Laurus Labs Limited

October 23, 2025

Page 10 of 17

So, from late -stage supplies to commercial supplies, there is a gap of almost 18 to 24 months.

So during that period, utilization will be very, very low. So if you look at our traction in the CDMO is not 10 years old. We have a significant traction happening in the last 3, 4 years. So we are catching up with our investments and the projects, commercial sales, and all. So this will continue for a few more years, and then we'll be back on track with our return on capital to a good level.

Moderator: Our next question comes from the line of Viraj Shah from PGIM.

Viraj Shah: So I have just one question on capex front. In last quarter, you had guided a capex of INR5,000 crores for 5 years. And if I see your presentation, it's US\$ 600 million, which comes to around INR5,000 crores again, but it's for 8 years. So are we reducing or extending the tenure of capex in this? If you could help me out with those numbers?

Satyanarayana Chava: So that \$600 million capex in the new 530 -acre complex. That has nothing to do with the capex in our existing land bank.

Viraj Shah: So the total capex remains the same, that is INR5,000 crores at least for the next 5 years, it remains constant, right?

Satyanarayana Chava: Yes, you are right.

Moderator: Our next question comes from the line of Madhav from Fidelity.

Madhav: I just want to clarify on the ARV formulations business. So if I look at 1H last year, if I have my numbers right, we had done about INR350 crores, INR400-odd crores of revenue. And this is about INR600 crores plus in the first half this year. I think, sir, maintained that we will be in the same band of INR2,500 crores, plus or minus INR200 crores.

So this jump up is more in terms of the shipment timelines? Or have we sort of like doing more tenders outside of what we usually used to do? Like what's happening here because the number is quite strong first half to first half. So I just wanted to check what's happening there?

Satyanarayana Chava: I would say 2 reasons contributing to that increase. Shift in supplies is one reason. And second is there is a slight increase in demand.

Madhav: The shift in supplies means the timing of the shipments?

Satyanarayana Chava: Timing of the shipments. And there is a slight increase in the overall demand also.

Madhav: And this is in our existing market itself, like which we are servicing earlier, where there's been an increase in demand? Or are we doing some newer markets?

Satyanarayana Chava: Anything increasing demand from our existing customers, put it that way. So, more demand came from API rather than formulations.

Laurus Labs Limited

October 23, 2025

Page 11 of 17

Madhav: Because the ARV formulations is where it seems like there's been a big jump. So, which is why I wanted to check the API still seems quite stable year-over-year, in line with guidance --

V. V. Ravi Kumar : Dr. Satya indicated already INR2,500 crores plus or minus INR100 crores to INR200 crores, which was indicated. And then still we are in that statement. No change there. Probably, as we are indicating, API and formulation may be interchangeable for a few quarters.

Madhav: And sir, just the second question was on the newer modalities that we're investing in ADCs, for example. Could you just give some qualitative sense in terms of what kind of pipeline are we doing? Is it more early-stage work? Or do we have to get some late-stage projects here? Just any

qualitative sense will be helpful. And could you give a little bit more detail about this investment that we've done in a platform for ADCs? Some more detail there as well, please?

Satyanarayana Chava: In the ADCs, as a company, we already make payloads and supply for multiple programs to big pharma. Because of that, we wanted to have capabilities to do bioconjugation, purification, and fill finish. To gain that, we decided to invest in a company that is developing novel ADCs.

So that partner will give us conjugation, purification, and fill finish technology, and we will make their clinical programs. I think that's much I can share right now. There are multiple programs. They are about to file the IND for one of the molecules. Once they file IND, they will do tech transfer, and we will manufacture.

Madhav: And our investment is only \$2 million.

Satyanarayana Chava: We invested \$2 million

Madhav: Okay. Understood. And sir, the IND, which they filed for the molecule, like for this one, we plan to make payload and linker, or we plan to do like the integrated ADC, like if you could share some there.

Satyanarayana Chava: Integrated ADC.

Moderator: Our next question comes from the line of Manoj Bahety from Carnelian.

Manoj Bahety: First of all, congratulations on a good set of numbers. A couple of questions. I just need some clarification on capex. See, earlier, INR5,000 crores capex was on our existing land bank. Now with this 532 acres of land, which we got and where we put \$600 million of investment over the next 8 years, is it over and above our existing plan, or total, we should consider INR5,400 crores or INR5,500 crores over 8 years?

Satyanarayana Chava: I think over years, you can consider maybe INR8,000 crores...

Manoj Bahety: Will be INR8,000 crores, right?

Satyanarayana Chava: Around. See, it is too difficult to predict. So if the opportunity comes, we are prepared to invest more. We are not limited to this number. So, our current guesstimate is we need about \$600

Laurus Labs Limited

October 23, 2025

million in the new 530 acres. And current projects demand about INR1,000 crores per year investment. If there is a massive project coming, we need more investments, we are happy to invest. This is our understanding as of today.

Manoj Bahety: And see, right now, our CDMO run rate is almost INR500 crores a quarter. I just wanted to get some colour on what kind of current capacity that can take us up to what level of CDMO sales, some perspective on that? And also on this additional investment, can we consider at least 60% to 70% of this incremental investments will be towards CDMO?

Satyanarayana Chava: I would say majority, I'll leave at that stage. And see, our capacities initially once we created a fungible between generics and CDMO. So right now, we are allocating certain capacities, but we have started building dedicated capacities for CDMO. And we can't give you the capacity utilization of our CDMO assets.

V. V. Ravi Kumar : I think what we have to do is we have indicated before and even in the investor presentation, our fixed asset turnover ratio is around 0.9 today. And our average, what we have achieved before, is 1.1. I think that is 0.2 of fixed assets you need to bank on the growth that we can achieve in the coming years.

Manoj Bahety: But Ravi, at this run rate of growth, will you soon outgrow your capacity, whether, your growth will be constrained by your capacity? That is one perspective I wanted to understand from you, yes.

Satyanarayana Chava: No. We are adding capacities to meet our expected customer demands, Manoj. We are conscious of that.

Moderator: Our next question comes from the line of Praful Kumar from Dymon Asia .

Praful Kumar: Sir, congratulations on your super delivery, consistent delivery for the last many quarters now. We recently shared some observations from the U.S. FDA

for one of the company . Does that add to more tailwinds for us on the ARV side, which is already delivering strong numbers -- so there were U.S. FDA observations on Hetero plans , have you seen any incremental requests or inquiries on the ARV business in terms of products?

Satyanarayana Chava: This is very recent. We haven't seen any disruptions as in.

Praful Kumar: Okay. And secondly, sir, last question on margins, which has been very strong. Is there a scope of operating leverage kicks in margins to incrementally get better in the next 12 to 24 months for us?

Satyanarayana Chava: Yes.

Moderator: Our next question comes from the line of Anubhav Sahu from McPro Research .

Anubhav Sahu: A couple of questions. First, on the CDMO business for Animal Health and Crop Science end markets. So doctor , wanted to understand how is the commercial ramp -up of these facilities

Laurus Labs Limited

October 23, 2025

Page 13 of 17

dedicated to this? And in Q2, is there any material contribution from these two end markets? And if you could also provide some understanding what would be the capacity utilization of these facilities?

Satyanarayana Chava: Krishna, would you like to answer? Yes. Animal Health and Crop Science.

Krishna Chaitanya Chava: Yes. Firstly, on the Crop Science side of things, there was not any significant material contribution from the Crop Science. Of course, it made some amount of time to go through the whole qualification filing activities for our partners, which we expect to ramp up in the coming quarters. But nonetheless, there was no significant contribution from the Crop Science side of things for this quarter.

From an Animal Health side of things, one particular asset that we currently manage, we've started doing the commercial supplies itself. But the dedicated animal health site is still undergoing validations and filings. And as and when the filings are successfully approved for our partner, we expect to start the supplies. But predominantly, validations are going on with one commercial asset that's being supplied already.

Anubhav Sahu: Okay. I mean, so largely for these two segments, the validation qualification stage is what we are in. And the CMO opportunity, if I recollect, for the animal health, that's already done with, right? And there's no contribution for that in this Q2, or is there?

Satyanarayana Chava: It is there. From the animal health side of things, it is there. But yes, Crop Sciences, no sign almost nothing there.

Anubhav Sahu: And my second question is are we positioning for GLP -1 drugs opportunity in any way in the value chain? I know we have interest in peptides, but particularly GLP -1 drugs value chain are we participating, or do we plan to participate?

Satyanarayana Chava: It's very early to comment on that. But as you mentioned, we have capabilities in that area.

Moderator: Our next question comes from the line of Ramesh Jain, an investor.

Ramesh Jain: First of all, congratulations, Dr. Chava, for the excellent set of numbers. My question is

regarding capex, sir, how we are planning to finance either it will be by way of debt or by way of internal accruals? And my second question is regarding gross margin and the operating margin. Are these margins sustainable going into future?

V. V. Ravi Kumar : Both internally and then if needed debt. That's how we are going. We are not thinking on any dilution on the capex funding side. The gross margin, Dr. Satya last time indicated 55% to 60 % gross margin.

Satyanarayana Chava: If We look at six, seven quarters earlier, we said our gross margins will be around 50%. And then as and when the business mix has changed, we said it will go to around 55%. Now we are saying it is closer to 60%. I think that's a good sign as the business matures, our clinical programs

Laurus Labs Limited

October 23, 2025

Page 14 of 17

move into commercial prog

rams, we strengthened our leadership position in ARV and oncology.

Things are looking better.

Moderator: Our next question comes from the line of Varun Chaudhary from ICICI Bank.

Varun Chaudhary : My compliments on a great set of numbers, sir. So my question is, before I ask the question, I would like to get back into the past first. The thing is that two or three years back that asset turn for the company was pretty high. It was close to around 1.5, and it went right down to around 0.7. Today, it is around 0.9. I'm just wanting to understand if you could give me some colour on how the future on the asset turn looks like?

V. V. Ravi Kumar : Our average asset turn was 1.1 for 5 years. That's what we are guiding, and 1.4 was the peak asset turn in one year. So first, our aim is to reach 1.1. That's how we are progressing from 0.7 to 0.9 we already progressed. We are expecting to progress from 0.9 to 1.1 over a period of time.

Satyanarayana Chava: Still we are in a growth phase. So we continue to invest aggressive in capex. And we need at least two more years where our return ratios will improve closer to 25%.

Varun Chaudhary : The question number two was around the manpower and attrition, not related to the presentation, but otherwise important for any business. So the leverage on capital, human capital, there is a lot of competitive intensity, what I'm given to understand around pharmaceutical companies, particularly based down south. How are you looking at the attrition and the well-being of employees at your organization?

V. V. Ravi Kumar Our attrition is in a lower range of teens. And we have a lot of novel things we have adopted over a period of time of inducting post-graduation in the fourth semester, etcetera, that we are managing. So we are also planning to have a skill development centre to help other people, other industries and also pharma and Vizag, then that will improve. So you are right, the skill is a challenge, recruitment is a challenge, but we never face the challenge, we are getting people.

Satyanarayana Chava: One point I would like to add is in the last six consecutive years, we are recognized as a Great Place to Work. That shows we are a good employer.

Moderator: Our next follow-up question comes from the line of Bharat from Quest Value.

Bharat: My question is to Dr. Satya. So sir, whenever we put huge greenfield capex, especially, we went through significant operating deleverage. So for example, EBITDA margins fell to 14% around two years back. Of course, the gross margins were good, but the EBITDA margins 12% to 14%. At that time, we were a small company doing huge capex. Hence, EBITDA margins were volatile and were significantly hit. But now we are transforming significantly into larger and more resilient company, and also the product mix is tilting more towards high-margin CDMO.

So my question is, do you think on this future greenfield capex of INR5,000 crores comes online maybe in FY'28 or '29, will it again cause huge operating leverage and hit EBITDA margins like

Laurus Labs Limited

October 23, 2025

Page 15 of 17

in the past and make EBITDA margins volatile like in the past or do you think we will become a significantly bigger and more resilient company, and then this greenfield capex of INR1,000 crores per year should be easily absorbed by our numbers and should not impact EBITDA margins like in the past?

V.V. Ravi Kumar I think, Bharat, in the earlier cases, it's not the greenfield, which has lowered the EBITDA.

Actually, it is a new business areas where whenever we selected as greenfield that caused the EBITDA lower. For example, when we started a formulation, we got EBITDA hit for at least three years because it is a new area, one is investing in opex as well as some kind of development expenditure.

So I think we will -- as your question has an answer, I think you will also have the size also can absorb

this kind of INR1,000 crores, which will be maybe 10% to 15% of our overall asset investment, which can absorb. It will not have a significant impact.

Moderator: Our next question comes from the line of Vishal Daga , an investor.

Vishal Daga : Congratulations on a great set of numbers. I have a couple of questions. One, we recently got to know that there was a breakthrough in the HIV drug with a \$40 jab that can come for the developing nations. Does that impact Laurus in any way? It is going to get, I think, rolled out in '27. If it does, is there any way we are going to mitigate the impact?

Satyanarayana Chava: See, the drug is for prevention, not for the treatment. So we don't expect any materialistic impact in the near - to medium -term because of the PrEP market.

Vishal Daga : Just one more question. On the Bio, Laurus Bio, we saw a good uptick this quarter. What would be a steady -state run rate that you are targeting from a capacity expansion perspective for, say, '27 or '28?

Satyanarayana Chava: New capacity will come online by end of 2026. Next five, six quarters, we don't see significant ramp -up. Margin growth will be there, but no significant ramp -up in revenues will come until end of 2026.

Moderator: Our next question comes from Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just couple more. How much investment we are doing in this facility for genes and ADC facility, which is expected to be completed by CY '26?

Satyanarayana Chava: We are investing both opex and capex in the next 3 years, about INR250 crores.

V. V Ravi Kumar: Next 3 years. Yes.

Tushar Manudhane: And this is like principally, this would be like once we build the facility, we'll then sort of try to get the contract from the prospective customers?

Laurus Labs Limited

October 23, 2025

Page 16 of 17

Satyanarayana Chava: Yes. One thing I would like to add, Tushar, here. All the expenditure on CG T or preoperative expenses and R&D, everything is expensed. We are not capitalizing single rupee out of it.

Tushar Manudhane: Sure, sir. So how much of that would be like for first half '26?

Satyanarayana Chava: As I mentioned, next three years will be about INR250 crores of capex and opex.

Tushar Manudhane: And sir, on the Animal Health, the earlier commentary was that the site is undergoing validation for one commercial asset. So broadly, if this converts to a commercial success, then how much of the capacity will get utilized for this asset?

Krishna Chaitanya Chava: Sorry if I was not clear enough, Mr. Tushar in the previous comment. There's multiple product validations that are ongoing in the Animal Health site, with one of them being commercially supplied as we speak, but there's multiple different projects or APIs that are being validated as we speak.

Tushar Manudhane: Understood, sir. And when this validation -related business would also be coming, right, at this point of time within the Animal Health segment?

Krishna Chaitanya Chava: That's correct. As soon as the validations are complete, we'll be able to invoice, of course, the material and the service related to that. But significant amount of the revenues would actually come when the commercial supplies would start. But there will be certainly some addition from the suppliers of the validation quantities itself.

Tushar Manudhane: And just to extend on this, so while you might not indicate current quantum of business from Animal Health segment, but considering the timeline for this validation, when do we see meaningful pickup in the Animal Health segment broadly at the portfolio level?

Krishna Chaitanya Chava: We expect Animal Health revenues to contribute meaningfully or continue to grow over the next financial year and going forward.

Moderator: Our next question comes from the line of Gaurav T from Antique.

Gaurav T : Just a couple of questions. So first

y, on the CDMO, doctor you mentioned that this quarter we saw a higher contribution from commercial supplies. So do we expect this mix of commercial to clinical supplies to stay at Q2 levels for the rest of the year as well or do we expect clinical supplies to go up again in Q3 or Q4?

Satyanarayana Chava: We're not giving a specific indication on what those numbers would look like. But at an overall year level, we expect to post a growth over the last year certainly. But as you are aware, our CDMO business tends to be lumpy in terms of how the revenues are come through. But nonetheless, we are seeing a good healthy growth when you look at the year in totality. But your observation is right. There will be more commercial late stage than commercial supplies that will continue. We are not giving a proportion of sales, but it will continue to be like that.

Laurus Labs Limited

October 23, 2025

Page 17 of 17

Gaurav T : A couple of financial bookkeeping questions. So have seen higher other income this quarter. So would that be largely driven by forex income this quarter?

Satyanarayana Chava: Yes.

Gaurav T : Okay. And we saw a lower significant debt repayment in 1H of this year and the finance costs

were also lower in Q2. Given operational cash flows were significantly higher and should be higher in H2 as well, can we expect more debt repayments in the second half of this year as well?

V V Ravi kumar: No, we are not expecting that. We're not expecting that. But the interest cost reduction also helped through an interest rate come down.

Moderator: We have the last question coming from the line of Malhar Sanghavi from Bodhi Capital .

Malhar Sanghavi: Congratulations first on a great set of results. And I wanted to know your views on the MFN policy, which means that the prices of drugs wanting to come down in the U.S. and what kind of effect will that have on the outsourcing by the global pharma companies?

Satyanarayana Chava: No impact.

Malhar Sanghavi: So there will not be a positive or negative impact at all to the company itself. I'm not talking about us specifically. What will the outsourcing impact be in general?

Satyanarayana Chava: It is difficult to predict. We can say about our revenues are not impacted by that.

Malhar Sanghavi: Okay, sir. And one more question. I'm sorry if I missed this, but this new acquisition which you've done called Aarvik Therapeutics. So what part of ADC manufacturing do they have expertise in?

Satyanarayana Chava: They have expertise in both conjugation, payload linker conjugation, purification and then fill finish. So they don't make mAbs. They outsource mAb manufacturing.

Moderator: Ladies and gentlemen, I now turn the conference over to the management for closing comments.

Satyanarayana Chava: Thank you all the stakeholders for interesting questions and your keen interest on Laurus Labs. Thank you.

V V Ravi Kumar : Thank you.

Moderator: Thank you. On behalf of DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

January 28, 2026

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam,

Sub: Transcript of the Q3 FY '26 Results Conference Call hosted on January 23, 2026

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our results conference call intimation dated January 09, 2026, please be informed that the results conference call for Q3 FY26 was hosted on January 23, 2026 and the transcript of the conference call is enclosed herewith.

This is for your information and records.

Yours faithfully,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 21

"Laurus Labs Limited Q3 FY'26 Earnings Conference
Call"

January 23, 2026

MANAGEMENT : DR. SATYANARAYANA CHAVA - FOUNDER & CHIEF
EXECUTIVE OFFICER , LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR - EXECUTIVE DIRECTOR ,
LAURUS LABS LIMITED
MR. KRISHNA CHAITANYA CHAVA -EXECUTIVE

DIRECTOR , HEAD (CDMO), LAURUS LABS LIMITED
MRS. SOUMYA CHAVA - EXECUTIVE DIRECTOR
(GENERIC AND COMMERCIAL), LAURUS LABS
LIMITED
MR. VIVEK KUMAR – AVP (INVESTOR RELATIONS),
LAURUS LABS LIMITED
MODERATOR : MR. NITIN AGARWAL - DAM CAPITAL ADVISORS
LIMITED

Laurus Labs Limited
January 23, 2026

Page 2 of 21

Moderator : Ladies and gentlemen, good day and welcome to the Laurus Labs 3Q FY'26 Earnings Conference Call hosted by DAM Capital Advisors Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited .

Thank you and over to you , Mr. Nitin.

Nitin Agarwal: Thank you so much. Good afternoon , everyone and a very warm welcome to Laurus Labs Q3 FY'26 Earnings Call hosted by DAM Capital Advisors Limited .

On the call today, we have representing Laurus Labs Management , Dr. Satyanarayan Chava – Founder and CEO ; Mr. V. V. Ravi Kumar – Executive Director ; Mr. Krishna Chaitanya Chava – ED, Head (CDMO); Mrs. Soumya Chava – ED (Generics and Commercial) and Mr. Vivek Kumar – AVP (Investor Relations).

Before we proceed, I would like to remind you that some of the statements made during the call today could be forward -looking in nature and a safe harbor statement to this effect has been included in the press release that has been shared on the Company's website.

I hand over the call now to Dr. Chava to make the opening comments and then we will open the floor for questions. Please go ahead , sir.

Satyanarayana Chava: Thank you , Nitin. Good afternoon , everyone.

We continue to execute our strategy, the advancement of important clinical and commercial programs with global partners. Successful ramp -up of new launches and strengthening our leadership in the AR V segment. Our large -scale development and manufacturing capabilities across small molecules as well as large molecules offering continue to gain traction with multiple partners. We are seeing a healthy level of interest across technologies and scale from our long -term existing partnerships. We are confident that we are investing in interesting technology platforms, many of those already underway. Successful execution on these projects will continue to transform our business portfolio and drive future growth.

Some of the notable progress I wish to highlight, we made significant investments in CAPEX so far in peptide development and manufacturing infrastructure to meet our current and future capacity requirements. In addition, we operationalized our antibody drug conjugate and gene therapy process development labs in Hyderabad this quarter and the construction of GMP manufacturing facility is well on track. Last month, we also announced increase in joint investments in Krka Pharma which is in line with our plan to support ongoing FDA facility construction in Hyderabad. Phase -1 is expected to be completed by mid -2027.

Laurus Labs Limited
January 23, 2026

Page 3 of 21

Moving on to financial results :

We delivered another quarter of strong operational and financial performance. Revenues for the third quarter stood at Rs. 1,778 crores. Gross margins has expanded further from the previous quarters and maintained around 60% and EBITDA margins expanded to little over 27%. We achieved these numbers through strong performance across our generic business and also clinical and commercial supplies of CDMO programs to our markets. Our product mix within business division , the operating leverage have continued to do well in supporting our healthy margins overall. As we look forward, we remain well on track to deliver a healthy operational growth for the entire financial year.

Now, I would like to request Mr. Krishna to share key updates on our CDMO business.

Krishna Chaitanya Chava: Thank you. On the CDMO side, we continue to see strong interest in our integrated service

offerings across various complex technology platforms. Our cumulative 9 -month performance has been very healthy, clocking more than 50% growth. This has been supported by strong

recurring business from our existing long-term customer relationships across various scales. Now, in the small molecule space, our Q3 sales have been at Rs. 408 crores. I would say this performance is in line with our expectation due to phasing of deliveries in the coming quarters involving very long and complex synthetic processes. Pipeline momentum has remained very healthy with well-balanced mix of big pharma clientele and also mid- and small-size biotechs. Majority of the pipeline programs under execution utilize several advanced technology platforms. And in line with that, we continue investment for large-scale capacity expansion in our Vizag sites and expanding our capabilities including peptides, flow, high-energy chemistries, purifications, etc.

Now, on the Bio division side of things, Q3 sales have been reported at Rs. 43 crores. The performance has been a bit muted, but we are seeing better and longer visibility on demand projections and executing longer campaigns on the CDMO side. Additionally, our AOF business is clocking healthy operational progress with continuing customer interest for dedicated lines. Construction work for the commercial-scale fermentation facility at Vizag is progressing in line with the plan and we expect a Phase-1 capacity of a little over 400 kiloliters to be operational towards the end of 2026.

Thank you, Krishna. I would request Ms. Soumya Chava to share key updates on our generic business.

Soumya Chava: Thank you. The revenues from the generic division have continued to perform well, reporting growth of 37% to Rs. 1,327 crores for Q3. And for the 9-month period, we achieved sales of Rs. 3,510 crores, reflecting growth of 26%. The growth has been supported by higher ARV volumes, and more specifically by strong offtake in recently launched products in the developed market. We continue to see stability from the established product portfolio and expect the benefits to

Laurus Labs Limited
January 23, 2026

Page 4 of 21

continue at least in the near term. The broad API market portfolio and production capacity in the ARV business continue to be fully optimized, ensuring that we are well-positioned to support additional orders as and when they arrive. This positions us well to meet customer requirements. The oral solid facility expansion is progressing well. A significant part of the plant capacity became operational during the quarter and is currently undergoing ramp-up activities in line with the plan. Relatively, 92 DMFs have been filed to date. In developed markets, 4 formulation dossiers have been filed and 5 approvals received during the 9-month period. Overall, 91 products have been filed cumulatively to date. Thank you.

Satyanarayana Chava: Thank you, Krishna and Soumya for the updating on CDMO and generic businesses. On the R&D front, overall R&D spend was at 4.1% of our sales for the 9 months FY'26 increased by 8% year-on-year including our spend on the Cell and Gene lab space. This R&D spend is in line with our full year target and we continue to invest in portfolio focusing on product complexity, scale and sustainable and new technology platforms.

Let me share a brief on the quality side:

The nine months the Company underwent close to 110 quality audits by multiple regulatory agencies and several customers. Company has successfully passed audit inspections without any critical points.

On the ESG front, one of the leading agency S & P Global has published its 2025 ESG score in which Laurus reported an impressive 10 percentage point in this, the score achieving 81 out of 100 points. This reflects our continued commitment to sustainable development and exceptional performance in ESG practices as we move

along. Now we request Mr. Ravi Kumar to share overall financial highlights.

V. V. Ravi Kumar: Thank you, Dr. Satya and very warm welcome to everyone for this Quarter 3 and 9-months FY'26 earning call.

Total income from operations for the 9 months came at around Rs. 5,001 crore we just crossed Rs. 5,000 in 9 months' time, registered a growth of 30%. We have continued to deliver strong growth mainly due to sustained yearly business momentum, strong CDMO and growth in other generic business for the Quarter 3 total income from operations was at Rs. 1,778 crore with a 26% growth. Gross margin maintained healthy way, for 9 months at 60.1% and for Quarter 3 it is at 60.9% mainly due to better product and division mix and continued process improvement efforts. EBITDA for 9 months stand at Rs. 1303 crore with a margin of 26.1% is well within our earlier guided range. Our Quarter 3 EBITDA reported at Rs. 485 crore with a margin of 27% with a strong operational leverage.

Profit after tax at 9 months, Rs. 610 crores it's a growth of 388% and for Quarter 3, Rs. 252 crores. ROCE has improved to 18.5%, if you look at last three quarters it is progressively improving. On the CAPEX front we invested about Rs. 246 crores for the quarter and

Laurus Labs Limited
January 23, 2026

cumulatively for 9 months it is Rs. 735 crores . Our net debt stood at Rs. 2,092 crore which is similar range of quarter ended September and debt to EBITDA has further decreased to around 1.2x

On the capital allocation front , our strategy remains unchanged and we will continue to prioritize investments into high value business segments to drive near and long -term growth and return for our shareholder over period of time .

To conclude , as we will finish the year , we are confident in delivering growth and ongoing focus on execution . We remain well positioned to drive long -term growth . You can refer to our IR presentation for more details .

With this I would request the moderator open the lines for Q&A Thank you .

Moderator: Thank you very much . We will now begin the question -and answer -session . The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services . Please go ahead

Tushar Manudhane: Thanks for the opportunity and congrats on a good set of numbers . Just first to start from book keeping question in terms of you could break down ARV sales into formulations and API ?

Satyanarayana Chava: In the 9 months , the formulation is Rs. 865 crores ARV . And the API is Rs. 1,259 crores.

Tushar Manudhane: Sorry how much ?

V. V. Ravi Kumar: This numbers Vivek can give it to you Tushar you can ask any qualitative question , please.

Satyanarayana Chava: Total ARV revenues were Rs. 744 crores for Quarter 3.

Tushar Manudhane: Okay, sir. Secondly on the CAPEX side like this 9-months CAPEX is largely more than what we would have done in FY '25 and then we have certain contracts maybe on peptide side or now in ADC , so firstly , how much one can think about investment into peptides let's say next 12 months to 24 months , and ADC as well if you could? And then thirdly on the overall CAPEX for '27.

Satyanarayana Chava: ADC is still at the nascent stage right now. We have allocated \$25 million to the GMP facility which is under construction right now . We don't expect any meaningful revenues coming from ADCs in the next two years . When it comes to CDMO investment in peptide commercial manufacturing facilities , we expect qualification during this calendar year and we will give you more details as and when we are in position to give feedback to you .

Tushar Manudhane: And sir , overall CAPEX ?

Satyanarayana Chava: The overall CAPEX this year will be about Rs. 1,000 crores and FY '26 based on the current estimate , we do feel it will be over Rs. 1,000 crores next year also .

Laurus Labs Limited

January 23, 2026

Page

Tushar Manudhane: And this would be largely done with keeping net debt at similar numbers ?

V. V. Ravi Kumar: See, debt may be increased slightly , it is needed . But your debt by EBITDA will be there in a better way .

Tushar Manudhane: Got it. And just one last from my side , if you could at least just share in terms of pecking order the gross margin for different segments like API synthesis, FDF ?

Satyanarayana Chava: We are not giving that segment wise details , but it is everybody's guess.

Tushar Manudhane: No sir, qualitatively while not a specific number but directionally if you have to think about this FDF, synthesis at a similar gross margin , API at a lower gross margin is that the way to think about ?

V. V. Ravi Kumar: Tushar, the order remains same . CDMO, formulation, API. This is in order.

Satyanarayana Chava: Yes, API on the lower side , formulation on the higher side and CDMO is on the top.

Tushar Manudhane: Because sequentially if we see quarter -on-quarter there has been improvement in gross margin while the share of formulation has increased considerably in this quarter compared to previous quarter which is why I was trying to understand and in fact synthesis share has reduced and even API share has increased so which is why I was just trying to understand if there was anything in to look into as far as gross margin for the quarter is concerned

V. V. Ravi Kumar: I think the order remain same, Tushar.

Satyanarayana Chava: I think, see, there is a product mix . Within the same segments some products where higher margins were there . So, if you look at last quarter also we had the similar gross margin this quarter also that much and we expect to maintain gross margins of around 60 % for the coming quarter and also next financial year.

Tushar Manudhane: Okay, sir. Thank you and all the best.

Moderator : Thank you . Next question is from the line of Rehan Syed from Trinetra Asset Management . Please go ahead.

Rehan Syed: Good evening to the team and congratulations for a good set of numbers and thank you for giving me the opportunity . So, sir I have a couple of questions , first on the CDMO side , like CDMO grew 88% in H1 FY'26, management has repeatedly warned that this business is lumpy . So, your consolidated Quarter 3 revenue grew only 7.5% sequentially over Quarter 2 . So, my question

here is your CDMO growth in H1 was phenomenal due to late phase NCE deliveries however looking at the sequential revenue growth in Quarter 3, so it seems the lumpiness might be entering at a plateau, it's the revenue we see in Quarter 3, the new sustainable quarterly base for Laurus Labs Limited
January 23, 2026

Page 7 of 21

CDMO or did this quarter include a significant portion of registration basis and/or large quantities that might not repeat in Quarter 4 or Quarters in FY'27. This is my first question.

Satyanarayana Chava: See, CDMO revenues if you look at the overall year nine months we have grown significantly and we are also confident that the growth will continue like although the Q3 was a little softer because of timing of deliveries to our partners but we expect, if you look at Q4FY'25 versus Q4FY'26 we expect to grow.

V. V. Ravi Kumar: Request you to take annual revenue then quarter-on-quarter for the CDMO.

Rehan Syed: Okay, fair enough. And sir my second question is around the OPEX done on specialized modalities. So, with the impressive PAT growth this quarter, the one from specialized modalities like CGT and ADC is less visible. So, however, as an analyst I want to understand the core efficiency. Could you quantify the specific quarterly EBITDA drag from these non-revenue generating activities and furthermore since you now recruited new leadership for ADCs, so is the INR 250 crore budget still sufficient or should we expect an upward revision in OPEX as you move towards bio-conjugation and

and fill-finish capabilities

Satyanarayana Chava: None of this pre-operative expenditure on any of our new initiatives is capitalized. So, every new modality expenditure is expensed. So, in the ADC space we are investing significantly both in OPEX and CAPEX but we are not capitalizing it.

V. V. Ravi Kumar: Okay. And coming to your question of the team, actually we have a separate team identified guy, who is relocated from US to India to take care of the ADC and then gene therapy.

Rehan Syed: Okay, and my last question is on the ROC E and ROE guidance that you have given in the last quarter, that management has highlighted that the Company's current size can absorb the INR 1,000 crore annual CAPEX better than in the past, so however with the groundbreaking of INR 5000 crores or \$600 million of Vizag complex and the current turnover of 0.9, so aren't we risking another multi-year period of operating deleverage, specifically if your Bangalore bio capacity is sold out until end 2026 and new biotech capacities are also a year away. So, from this specific division will it be incremental turnover came to bridge the gap to your 1.1 asset turn and 25% ROC E target in next 12 months?

Satyanarayana Chava: I think in case of bio, our revenues will stagnate until we operationalize our new capacity which will be by end of this calendar year and we are not committing that will achieve a ROC E of 25% in the next 12 months but we are confident that the ROC E percentage will go up from the current 18%.

Rehan Syed: Sir, you have said 18%, right?

Satyanarayana Chava: Right now it is 18.5% ROC E. We expect to go up, but we are not committing it will go to 25, with a time bound program.

Laurus Labs Limited
January 23, 2026

Page 8 of 21

Moderator: Thank you. The next question is from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Thank you for taking my question and good afternoon, team. It's heartening to see a very strong jump in the operating cash flow. I am looking at the 9-month number. It's about 600% increase, but there is an interesting trend here Raviji, if you can elaborate and help us better understand this wider picture. So, if I look at the 10-year data, so I am looking at 2016 to 2025 cumulative, we clocked EBITDA of Rs. 8,500 crores and against that EBITDA of Rs. 8,500 crores, we did an operating cash flow of about Rs. 5,400 crores so that's about 63% conversion. Whereas in the nine months, the conversion is 113%. So, 63% going to 70%-75% even 80% is understandable, there is a definite change in the net working capital strategy as far as I can understand. If you could just help us double click and understand a more longer term and more sustainable conversion of EBITDA into operating cash flow? Thank you.

V. V. Ravi Kumar: Sajalji, thanks for your very interesting question. So, this kind of a help happened because of some of the customer advances which helped this year, number one. But, of course, if you look at the absolute number of the NWC is close to the similar number for the March and December, but the revenue has increased, that's really helped. But you are right, from 63% to 80%-90%, but beyond that actually some part has helped through its customer advances. Thank you for your in-detail understanding.

Sajal Kapoor: Sure, Raviji. Just to just to harp on that one, so given that the business characteristic is definitely changing in the favor of CDMO and this customer advances will be an ongoing thing, we cannot

compare quarter-over-quarter for advances because in one year the advance may be higher than the other year, but on a broader 5-year basis for the going forward 5-years, I think the conversion should be a lot better than what we have delivered in the last 10 years. Is that a fair assumption?

V. V. Ravi Kumar: Yes, that's a fair assumption.

Sa

Jal Kapoor: Okay, thank you. And my second question is for Dr. Satya and where not to go or what not to do is also equally important because business have got finite cash flows and capabilities, so in that context what is that one area where Laurus has chosen not to grow despite opportunity looking very interesting in the near term?

Satyanarayana Chava: Very thought provoking question you asked Sajalji. Right now, we decide not to enter into large-scale MAB manufacturing, we don't want to do that. That's the area we decide not to get in. And the other area we decide not to enter right now is also sterile manufacturing. These two areas we decide not to enter, although opportunities look good but we also need to understand our management bandwidth to handle many things. So, we know, right now we are busy with what we are handling, we have visibility about our growth plans in the next 2-3-4-5 years. So, we are cautious in the areas where we wanted to enter and deploy our resources both man, material and money.

Laurus Labs Limited

January 23, 2026

Page 9 of 21

Sajal Kapoor: And that's understandable, Dr. Satya, because if you look at India, I have seen many large sterile and MAB monoclonal antibody players. One of the leaders in that space are struggling when it comes to their balance sheet and the ROCE profile. So, completely understand that strategy and thank you for clarifying. Thank you. That's all from my side. Thank you.

Satyanarayana Chava: Thank you.

Moderator: Thank you. The next question is from the line of Mehul Panjwani from 40 Cents. Please go ahead.

Mehul Panjwani: Hello, sir. Thank you so much for the opportunity and congratulations on a great set of numbers.

Sir, if you can elaborate a little bit on the joint venture with Krka Pharma. Can you please elaborate what are we doing because I am not tracking, I am recently tracking this company?

Satyanarayana Chava: The joint venture with the Krka Pharma is to manufacture formulations for European market where APIs will be supplied by us and in the Phase -1, we are creating 3 billion solid oral capacity and 100 million solid oral capacity for potent molecules. In the Phase -2, we will create another 5 billion tablet capacity in the solid oral space. Phase -1 we expect to complete by mid of 2027. This unit will primarily will do formulations packaging for various European markets and also some markets in Asia Pacific as well.

Mehul Panjwani: Right, sir. Thank you, and the second question is on cell and gene update, gene therapy. If you can highlight or elaborate what kind of revenues will kick in and what are we trying to achieve for a layman who understands a little bit about pharma, it will be helpful. Thank you.

Satyanarayana Chava: In the cell therapy, our associate company Immuno ACT is already having commercial revenues and when it comes to gene therapy, we are at very initial stage of investments in antibody drug conjugates and gene therapy. Our process development labs were operationalized and the GMP facilities will come in the next 12 months and we don't expect any revenues from ADCs and gene therapy at least in the next 24 months.

Mehul Panjwani: Right, sir and what about the joint venture with Krka Pharma?

Satyanarayana Chava: We will have revenues in the next financial, not in this financial year.

Mehul Panjwani: Okay, thank you so much, sir. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Chirag Shah from White Pine Investment Management. Please go ahead.

Chirag Shah: First question is, both for CDMO as well as for API and FDF business, Q-on-Q and Y-o-Y if you can just highlight is there anything with respect to volume and pricing especially in API and FDF. Have you benefited on pricing in API and FDF?

Laurus Labs Limited

January 23, 2026

Page 10 of 21

Satyanarayana Chav

a: The API, FDF we predominantly benefited from the volume gain.

Chirag Shah: Okay. So, pricing has not really changed much, correct?

Satyanarayana Chava: Pricing hasn't played a significant role in this the volume gain was significant.

Chirag Shah: It was the main reason, okay. And so second follow-up and just a clarification also on the CDMO side, if you look at sequentially a CDMO revenue is down by 13% YOY up by 1%. Now in the in the last two calls we have been indicating supplies to late-stage development as well as commercial. Despite that we are seeing a flattening out of revenue. So, is there any call out you

would like to make on that side . Well, ideally if commercials are playing out then it ramp up should be slightly higher before we start flattening out and the new molecule pipeline start replacing or compensating for that .

Satyanarayana Chava: Yes, even while the late-stage supplies and also commercial supplies are ongoing , even in such situations , some of these supplies are once or twice per year , in some cases . So, there's not necessarily a supply going out every month . It comes down to their internal manufacturing capacity and demand requirements . So, even in the case of it going commercial , we will continue to expect lumpiness in some of the programs . I won't say that's the case for all , but some of the programs you will continue to see that lumpiness on a quarter -to-quarter basis . You have to look at the annual basis number one , number two on annual basis we are still committing to our earlier projection for the CDMO for full year.

Chirag Shah: Yes and sir, I was more keen on '27 because some new molecule supply has to start for us to compensate for this lumpiness , correct ? We will see a kind of a flattening out or maybe 5% to 10% kind of a growth in CDMO business . So, if you can just talk a bit about that , how to look at '27 in CDMO revenue growth ?

Satyanarayana Chava: While we are not giving any concrete numbers for '27, we still expect a healthy growth over whatever we expect to report in '26.

V. V. Ravi Kumar: So, if you look at '26, in the 9-months our growth is close to 50 % plus. And we expect Q4, as I mentioned just now to another participant question . Q4 FY'25 was 461 . We indicated that Q4 FY'26 will be better than Q4 FY'25. So, we have visibility now , how FY' 27 looks like, but we are not giving any quantitative guidance .

Chirag Shah: It's more about qualitative , so are there any large molecules coming up for supplies for you in '27 based on the pipeline that we have created over the last 2-3 years ? Is that the way to think that will drive the growth ?

Satyanarayana Chava: Majority of FY'27 revenues in our CDMO division will be commercial supplies and I think that much I can make a statement.

Chirag Shah: Majority will be commercial supply , okay.

Laurus Labs Limited

January 23, 2026

Page 11 of 21

Satyanarayana Chava: Yes.

Chirag Shah: And sir, one last, because and this is more with gross margin improvement that we are seeing . Has currency played any role in your gross margin improvement because sequentially we would have benefited reasonably on the USD -INR movement and USD -Euro movement for that matter?

V. V. Ravi Kumar: Answer is yes but not very significant.

Chirag Shah: Could it contribute 20 -30 bps or even 40 -50 bps of gross margin improvement sequentially , so this is in context of adverse mix in the broader segment like CDMO share is down , API share is significantly up . That's why I was asking .

V. V. Ravi Kumar: Definitely we will get a benefit because we are a net exporter , but I am saying that it is not a very significant impact or positive impact .

Chirag Shah: Okay, thank you and all the best.

Moderator: Thank you . The next question is from the line of Jeevan from Sahasrar Capital . Please go ahead.

Jeevan: It's very heartening to hear the guidance

of 60 % gross margin going forward , I think it's very very positive . Coming to the CDMO side, I just want to understand your FY'27, so one is the animal health . So, I don't think animal health has still scaled up in '25 much . So, animal health how do you see the scale up in FY'27. Agrochemical also I don't think FY'26 we have done much of a delivery there . So, how do you see agrochemical growing in FY'27? And apart from that is there any large contract that we are talking or are in the pipeline with the big pharma if you can speak on that ?

Krishna Chaitanya Chava : On the animal health , there's ongoing commercial supplies for a few compounds continue to do validations and filings for our partners in other programs . So, there is some meaningful revenue for this year as well and that we expect to continue or in fact grow on that . In the crop science space , we have commercialized one particular supplies for our partner and we expect that to continue shipments in the coming years as well but we look forward to adding more partners in the crop science space but meaningful revenues for the crop science probably will start maybe two years or 1 to 2 years down the road. And on your second question on the large commercial contracts , I mean unfortunately I can't necessarily comment on that , but we continue to have good discussions with several partners in several phases of the programs .

Jeevan: So, are you basically saying, any cases where the innovator large pharma is looking to move late stage molecules from other clients to us ?

Krishna Chaitanya Chava : The opportunity exist but unfortunately without divulging confidential information I can't really fully comment on that , so yes.

Laurus Labs Limited

January 23, 2026

Page 12 of 21

Jeevan: No problem. T hanks a lot . And next question is about Immuno ACT, so I think we have done recently tie d up with Cipla for South Africa r egion . So, any comment on that ? How do you see that market or how do you see that opportunity ?

Satyanarayana Chava: That opportunity will be meaningful only a year from now because of the regulatory approval needed in South Africa. So, clinical trials will start soon in South Africa. So, in FY'28 you will see that. But there are some milestones even already received from Cipla.

Jeevan: Okay, great , sir. T hanks a lot .

Moderator: Thank you . The next question is from the line of Bharath Siripurapu from Quest for Valu e Capital . Please go ahead.

Bharath Siripurapu : Congrats for good set of numbers . Dr. Cha va regarding this new greenfield CAPEX of 500 acres in Atchutapuram , may I know when can we expect this new greenfield CAPEX start coming online ? Can we expect 1st phase of it to come somewhere in FY '28?

Satyanarayana Chava: We are expecting the land allotment and handover will happen in the Q4 this year , financial year. And CAPEX will start from maybe second part of FY '27 and we expect to qualification and validations only two years from now .

Bharath Siripurapu : Okay, good . And my second question is to Krishna Chaitanya garu, so currently if you see there is a significant wave of demand coming to India on small molecule side from innovators , so basically what I understand is that the innovators are chasing for capacity . So, with this background , how is Laurus prepared to handle this surge of demand ? Are the current capacities sufficient to satisfy the CDMO demand and are we considering scena rios like freeing up generic capacities and allocati ng them to CDMO?

Krishna Chaitanya Chava: I think one of the strategies that we have adopted is , investing ahead of time and that was the case over the last couple of years where we continue to do significant amount of CAPEX. T hat was in line with what we were expecting from capacity requirements and customer additions and therefore that has position ed strongly to meet some of these new opportunities th

at are

coming about and that's also in line with our current guidance on CAPEX for this year and the next year this is to create capacities for our partners and opportunities that we are seeing .

Bharath Siripurapu : So, basically , we didn't lose any business because of not having capacities basically ?

Krishna Chaitanya Chava: That's a fair statement to make, yes.

Bharath Siripurapu : Okay, thank you very much. A nd my last question is to Soumya garu. I t's on generics . So, recently 3 billion tablet capacity has come online in Unit II for Krka, so may I know from when do we expect to generate revenue from this new capacity ?

Laurus Labs Limited

January 23, 2026

Page 13 of 21

Soumya Chava: We have already started using the additional capacity and we will see a little bit of increase or jump from next financial year Q1.

Bharath Siripurapu : Okay, thank you very much . That's it from my side.

Moderator: Thank you . The next question is from the line of Vivek Agarwal from Citigroup . Please go ahead.

Vivek Agarwal: Thanks for the opportunity . First question is related to peptides , as you are making ongoing investments . So, just want to understand how much or what kind of investments you are making here, let's say, over the next couple of years and when you see the rev enues starting from this particular segment ? Thank you.

Satyanarayana Chava: I think we will give more details at the appropriate time , Vivek, on this. B ut what I can give you a glimpse . We are creating capacity for a fully integrated programs , protected amino acids and natural amino acids , fragments, final peptide and purification and isolation . So, the capacity being created is fully integrated . And we will give you both details at an appropriate time .

Vivek Agarwal: Sir, just try ing to underst and more. So, is it like that you already have some contracts or talks with some of the big pharma or is it like you are creating the capacity first and then for example you are expecting some kind of business from this facility?

Satyanarayana Chava: I think I can't give you more details on this.

Vivek Agarwal: No problem at all. An d in CDMO, actually just harping on the comments that you made during the call. So, in a 4 Q you are expecting growth YOY, so just want to understand if the growth is expected to come from a supply of a new commercial molecule or is kind of a late stage molecule , if you can provide some more color?

Satyanarayana Chava: Most of the revenue in Q4 is going to come from commercial supplies of molecules what we supplied earlier .

Vivek Agarwal: Okay, understood and just last question on CDMO. So, in calendar year 2026 , right , so how many commercial molecules or the new commercial molecules you are going to supply ?

Satyanarayana Chava: So, in the last 18 months , I can give you because we did had a review internally , so we supplied

three commercial NCEs in the last 18 months .

Vivek Agarwal: Okay and just lastly on the generics . So, in CDMO you commented about that QoQ growth or YOY growth in the 4th Quarter , but how to think the performance of generic business in 4 Q. So, in this quarter actually that there is significant step up , so I just want to understand what is the sustainability of the step up in 3 Q and how to look this particular segment in FY'27? Thank you .

Laurus Labs Limited

January 23, 2026

Page 14 of 21

Satyanarayana Chava: In the generic space , lion's share of revenues are coming from ARV with both APIs and formulations and that business is pretty stable . Actually , we are able to increase our market share in both API and formulations and our North American formulation and European CMO sales also going up . I think we believe those numbers what we did in Q3 are sustainable .

Vivek Agarwal: Understood , sir. Thank you . That's from my side .

Moderator: Thank you . The next question is from the line of Ramesh Ja

in , a CA. Please go ahead.

Ramesh Jain: This is to Mr. Ravi Kumar . Just I want to understand why there was a marginal growth in CDMO business quarter-on-quarter as compared to our generic business , you are telling for 9-months of course I understand, but for this particular quarter why growth was not visible ?

V. V. Ravi Kumar: If your question is why CDMO revenues are not growing , as we indicated , you can't compare in a quarter -on-quarter for a CDMO revenue . You have to see on a year basis . So, for 9-months as Dr. Satya said we already achieved a 50 % growth . For a year also we expecting to have a higher growth . I hope that your question is answered.

Ramesh Jain: And the margins are sustainable , sir, even for the next quarter?

V. V. Ravi Kumar: Yes.

Ramesh Jain: Thank you.

Moderator: Thank you. The next question is from the line of Manav u Mehta from Vridhan Capital . Please go ahead

Manav Mehta : Hi, sir. Good evening . So, my question is on the MoU where you have signed with LORDIN South Korea where we have announced entry into OLED materials . So, my question is , how does LORDIN enter into this structure apart from pharmaceutical

Krishna Chaitanya Chava: So, similar to our strategy across different areas right like for example human health , animal health and crop science , OLED represents another potential opportunity where we could be a potential player in the OLED materials which are again small molecules or chemically synthesized compounds , right ? That is an MoU that we had agreed upon with LORDIN and we don't necessarily expect to see any meaningful revenues this year or the next , but that gives us an opportunity to potentially play in this very lucrative market .

Manav Mehta : Understood , sir. Thank you.

Moderator: Thank you . The next question is from the line of Vishal Daga, an Individual Investor . Please go ahead .

Laurus Labs Limited

January 23, 2026

Page 15 of 21

Vishal Daga: Hi, my question was similar to what was the previous person asked . Just to add on to the question , what will be the total TAM of the market in the OLED segment , maybe '27-'28?

Krishna Chaitanya Chava: It's still an emerging development , given that the partner program that we are working on is also a developmental program . So, I can't necessarily comment on the market size itself because that's an emerging space that's currently under development .

Vishal Daga: Understood . Okay, thank you .

Moderator: Thank you. The next question is from the line of Aseem, an Individual Investor . Please go ahead .

Aseem: Hi, thanks for the opportunity . Many congratulations for the fabulous results for Quarter 3. So, one of my questions of the business is already answered , thank you for that . I have one question on the financials for Quarter 4. If you look at the last year Quarter 4, we have other income of around 40 crores to 50 crores which has led to a higher profitability . So, my question is was this a one-off or we can expect a similar level of other income in this quarter as well ?

V. V. Ravi Kumar: We are not expecting Other income in the Quarter 4.

Aseem: Okay, so that was a one -off for last year .

V. V. Ravi Kumar: Yes.

Aseem: Okay, thank you .

Moderator: Thank you . The next question is from the line of Abhijit K. an Individual Investor . Please go ahead .

Abhijit K.: I have two questions ; one question is regard to the asset turnover . May I know what is the asset turnover currently ?

V. V. Ravi Kumar: 0.91 actually .

Abhijit K.: Look at the generic business and FDF, Mr. Chava had mentioned that you are entered into some

new products and the volume growth was there significantly , how sustainable is this because we have seen that the API and the FDF sector has been fluctuating over the last 24 months , actually 24 months to 36 months if you see . But now this has been a significant ramp up in FDF and API both sectors

. Is this like something that we can expect the Company to continue to grow on, because you also have new capacity that has come online , as you mentioned on the call also ?
Satyanarayana Chava: The growth in generic API business would be very sustainable and when it comes to growth in our other FDF business , will also eventually sustainable despite up and down in few quarters because increased capacity for our CMO business in Europe with European customer will yield revenues starting from this quarter and fully operational by next quarter . So, we expect those
Laurus Labs Limited
January 23, 2026

Page 16 of 21

numbers are also sustainable in the long run , may not be in Q4 this year and Q1 next year but eventually we expect to do well there as well.

Abhijit K.: Okay and one last question with regards to the peptides sector that is happening , we understand that you are working with the American biotech company and we want to understand the timelines of these projects ? Is it 24 months , 36 months or 48 months or is it really unpredictable . We have seen some data that there are some trials going on in the US without disclosing the company of course , but if you can understand the timelines because you've invested billions of dollars like in your Company and you are looking at the future of the sector which is obviously it is ADC and peptides which is like a revolutionary thing in pharma . So, we wanted to understand what is the timeline if you have any visibility or anything like that ?

Satyanarayana Chava: I think you have to have bear with us for some more time . We will give you the details at appropriate time . But as you mentioned we are investing significant amount in peptides as well as also significant amount in ADCs.

Abhijit K.: So, in that part can we conclude that you are trying to move from being an API or CDMO sector to a biotech company , a company that is like the longer -term vision for the organization ?

Satyanarayana Chava: No, see our investments in biotech , for example , cell therapy , gene therapy , ADCs are most emerging fields globally and we wanted to invest ahead of the curve and wet our hands to capture opportunities . In the case of peptides and all we are well established , we have investment , we have programs running right now . So, answer to your question is , we are more focused on large volume CDMO, right now

Abhijit K.: Okay, all right . Thank you .

Moderator: Thank you . The next question is from the line of Anjan Banerjee , an Individual Investor . Please go ahead .

Anjan Banerjee: I have question for Dr. Chava and thank you for the opportunity . Sir, I have question on CDMO space , like we have been seeing many of the Indian pharma players they have been expanding towards this CDMO segment . So, as per the understanding how big and long is this opportunity and given that Laurus has invested so much in the last couple of years towards expanding the capability and capacity , so what is the competitive advantage that Laurus Labs have as compared to its peers . So, that's one of my questions .

Satyanarayana Chava: I don't say we have an advantage , we were well prepared to take the opportunity . I will put it that way. So, people look at us , if there is a complex chemistry , if there is a scale involved , if it is a flow chemistry , if it is biocatalysis, if it's high energy chemistry and involves scale and we are the perfect partners . So, we have invested in these modalities and created capacities .

Anjan Banerjee: Okay, so as per you or whatever we say competitive that you talked about , so is it a fair assumption that developing these capabilities is a very long -term process and any pharma

Laurus Labs Limited
January 23, 2026

Page 17 of 21

company just cannot hire a scientist and let's foray into these because they are very skillful operations ? So, is it fair that developing these and getting the

customer approval is a very big

thing because the capability matters a lot as compared to the capacity . So, is it a fair assumption ?

Satyanarayana Chava: Yes, I think initially we are creating capabilities and then investing in capacities . So, what I mentioned , Laurus currently uses enzymes at the commercial scale . Laurus uses flow chemistry at commercial scale . So, we are going in phased manner . First, we create capabilities and then create capacities and we believe projects will come .

Anjan Banerjee: And sir, my second question for the CDMO space , in that you have constantly guided that we intend to reach that 50 % of our share which will be driven from the CDMO segment overall . So, is it the ceiling or once we reach this 50 % , it will look beyond breaching that 50% ceiling also , that's the second question ?

Satyanarayana Chava: I think our first goal is to reach 50 %. It's not going to be there in the medium term , it is a long - term goal for us to get there .

Anjan Banerjee: Okay, thank you very much , sir, and all the best.

Satyanarayana Chava: Thank you .

Moderator: Thank you. The next question is from the line of Kodandapani, an Individual Investor . Please go ahead .

Kodandapani: Good evening , very thanks for giving us good result for the quarter . So, I want to ask this, what is the exchange benefit for this quarter because of the huge dollar movement

V. V. Ravi Kumar: Yes, but not very significant .

Kodandapani: Okay, sir. Thank you . Most of the things already clarified and very thankful .

V. V. Ravi Kumar: Okay, thank you .

Moderator: Thank you . The next question is from the line of Nitin Agarwal from DAM Capital . Please go ahead.

Nitin Agarwal: Hi sir, thanks for taking my question . Sir, on the ARVs, you've been earlier mentioning that the business will stabilize around 2,400 crores -2,500 crores . We seem to be running significantly ahead of the run rate in the current year . So, has something changed in the ARV space per se which has enabled us to improve our scale in this business and is it sustainable ?

Satyanarayana Chava: See, earlier we guided 2,500 plus or minus 200 crores . But you're right , current run rate is a little beyond that . The main contributor for that is , we have expanded our API capacities to meet our customer demand that is driving our positive growth there and now if I have to restate that

Laurus Labs Limited

January 23, 2026

Page 18 of 21

currently we are at 2,600 plus or minus 200 , I will put it that way . But fundamentally hasn't changed much .

Nitin Agarwal: And sir, given there were some changes in the market landscape , has the profitability of the business also improved versus the dip it had a couple of years back ? Is it a much better business profitability wise than it was maybe a couple of years back ?

Satyanarayana Chava: It's profitable if we sweat assets more , that's what we are doing right now .

Nitin Agarwal: But there you don't see any major change in the competitive intensity in the business in that aspect?

Satyanarayana Chava: We are not seeing any.

V. V. Ravi Kumar: Nitin, actually what happened , actually we suffered for a few quarters because of the steep price reduction but that we could able to recover those things like because of some process improvements , raw material prices and productivity improvements . As we have been indicating for the last 6 quarters that we have been working on ARVs that is being resulted in this quarter .

Nitin Agarwal: It will be sustainable .

Satyanarayana Chava: Yes.

Nitin Agarwal: And sir, secondly on the non -ARV formulation business , what are the growth drivers for this business , when you look at next 12 months to 18 months ?

Satyanarayana Chava: We expect to sustain those because of additional capacities coming up for our CMO partner in Europe and also volume gain in US and also some new launches in North

America both the US and Canada.

Nitin Agarwal: Okay and because this quarter was probably the first decent quarter of ramp up which happened , we have pretty meaningful ramp up actually this quarter . So, is this like a run rate from here on or there will be lumpiness in this business as we go along ?

Satyanarayana Chava: I think we expect little lumpiness but it is not significant .

Nitin Agarwal: And sir, lastly, on the CDMO business versus the kind of conversations we were having with our partners a couple of years back , to the kind of conversations we are beginning to have now , what has been the change I mean you can call that we indicate the change in the quality of discussions we are having scale and scope of discussions we are having with various partners on CDMO ?

Krishna Chaitanya Chava: It's a long answer , but to just summarize that , I think the tone of the conversations continue to remain same in terms of what kind of capacities , capabilities and credentials that the Company

Laurus Labs Limited

January 23, 2026

Page 19 of 21

has, I think that's what primarily attracts our customers. With that being said , I think the global landscape has been a tailwind for potential conversations with customers , but the fundamentals need to be sound and that will only drive the businesses , our understanding is this.

Nitin Agarwal: Okay, thank you so much .

Moderator: Thank you . The next question is from the line of Abhijit K. an Individual Investor . Please go ahead .

Abhijit K.: I had a clarification with regards to the CDMO business , you mentioned animal health and crop sciences ; animal health will continue in FY '27 and crop sciences one product has been commercialized and meaningful supply will happen in 1-2 years . I remember in the previous concalls you had mentioned about human health CDMO contract also , is that still on track or is there like approval is pending and etc.?

Krishna Chaitanya Chava: In the human health space there are several different programs that we currently working with several partners and as Dr. Satya mentioned there's several commercial supplies ongoing in the human health .

Abhijit K.: Okay, in percentage wise can you give a breakup like is it possible to say what are you looking more at , is it crop science versus animal health or is the future going to be human health because that's where I think a lot of companies are talking about it . So, just a picture , it's not to be too specific but just a rough?

Krishna Chaitanya Chava: Our largest share of CDMO is in the human health space by far and that will continue to be the case. After that we have a sizable portion coming in from animal health and the third one which is again currently very small is in the crop science space and this ranking of human animal health and crop science will be similar if I project a couple of years down the road as well.

Abhijit K.: Okay, and the crop science is the one , it is a patented product or no ? I am asking this question because next year or in the next two years a lot of products are going off patent . So, I just wanted to understand if it will affect you or not ?

Krishna Chaitanya Chava: The commercial one is technically a product and some of the other opportunities that we are working on are also on the patented ones that we are looking at .

Abhijit K.: Sure. Thank you .

Moderator: Thank you . The next question is from the line of Dheeraj Kumar Reddy from AlphaSqr . Please go ahead .

Dheeraj Kumar Reddy : Thanks for giving me this opportunity . I just have a couple of questions . The first question being , many CDMO players are talking about peptides as an opportunity today . Even Neuland or for Piramal etc. right they say that this is a \$10 billion opportunity . Dr. Chava I just wanted to
Laurus Labs Limited
January 23, 2026

Page 20 of 21

understand what out of this \$10 billion opportunity

how much will probably come to India or is

it only Indian opportunity and relevant players will get like what kind of market share out of this overall timing, you can just give me in a 3 year to 5 year timeframe maybe

Satyanarayana Chava: It's a very difficult question to answer see we don't have visibility on who is investing what capacity what products they have , but whoever gets the GLP opportunity people are investing in amino acids product , amino acids , fragments and some of them investing in small volume some of the investing large volume , opportunity is going to be meaningful for good number of players and I will not be in a position to comment any further on this .

Dheeraj Kumar Reddy: Got it. And my second question , Dr. Chava is, basically so if you are saying that ARV will be more or less in the range of this 2,500 crores to 3,000 crores what is the expected growth in the API segment going forward API and the formulations like how will they grow in the next 2 years to 3 years

Satyanarayana Chava : We will grow in the next year but significant growth will come in FY'28 because we are having capacities and we are validating some generic APIs and formulations . So, growth will be significant in FY'28 but there will be some growth in FY'27 as well , the generic API as well as the FDF space .

Dheeraj Kumar Reddy: Understood . Okay, got it . Thanks . That is it from my side.

Moderator: Thank you . Ladies and gentlemen, this will be the last question for today which is from the line of Mr. Bansal from NBG Investments . Please go ahead .

Bansal: You said while answering one of the questions from the participant that your asset turnover is 0.9, so what is the maximum achievable capacity , fixed asset turnover ratio

V. V. Ravi Kumar: If you look at one of our slide in the investor presentation , our 5-year average asset turn was 1.1 . maybe 0.9 to 1.1 we will reach , but our peak asset turn was 1.4 . We are not anticipating 1.4 at this moment but we are targeting 1.1 over a period of time .

Bansal: Okay, so that means you are almost at the full capacity utilization ?

Satyanarayana Chava: The 0.9 to 1.1 actually we can do.

Bansal: Yes, correct. Thank you very much.

Moderator: Thank you . Ladies and gentlemen, as this was the last question for today , I now hand the conference over to management for closing comments .

Satyanarayana Chava: Thank you everyone for asking very insightful questions and thank you .

V. V. Ravi Kumar: Thank you.

Laurus Labs Limited

January 23, 2026

Page 21 of 21

Moderator: Thank you . On behalf of DAM Capital Advisors Limited that concludes this conference . Thank you for joining us and you may now disconnect your lines .

Call: May 2026

May 05, 2026

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q4 FY '26 Results Conference Call hosted on April 30, 2026

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our results conference call intimation dated April 09, 2026, please be informed that the results conference call for Q4 FY26 was hosted on April 30, 2026 and the transcript of the conference call is enclosed herewith .

This is for your information and records.

Thanking You

Yours faithfully,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a
Page 1 of 17

"Laurus Labs Limited
Q4 FY 26 Earnings Conference Call "
April 30 , 2026

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS LIMITED
MR. KRISHNA CHAITANYA CHAVA – EXECUTIVE
DIRECTOR HEAD CDMO – LAURUS LABS LIMITED
MR. SOUMYA CHAVA – EXECUTIVE DIRECTOR
GENERICS AND COMMERCIAL – LAURUS LABS
LIMITED
MR. VIVEK KUMAR –AVP – INVESTOR RELATIONS –
LAURUS LABS LIMITED

MODERATOR : MS. PAYAL SHAH – DAM CAPITAL ADVISORS

Laurus Labs Limited

April 30, 2026

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Laurus Labs Q4 FY 26 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Payal Shah from DAM Capital Advisors. Thank you, and over to you, ma'am.

Payal Shah: Thank you. Good afternoon, everyone, and a very warm welcome to Laurus Labs Q4 FY 26 Earnings call hosted by DAM Capital Advisors. On the call today, we have representing Laurus Labs management, Dr. Satyanarayana Chava, Founder and CEO; Mr. V. V. Ravi Kumar, Executive Director and CFO; Mr. Krishna Chaitanya Chava, ED, Head CDMO; Mr. Soumya Chava, ED, Generics and Commercial and Mr. Vivek Kumar, AVP, Investor Relations. Before we proceed, I would like to remind you that some of the statements made during the call today could be forward-looking in nature, and a safe harbor statement to this effect has been included in the press release that has been shared on the company's website. I hand over the call to Dr. Chava to make the opening comments, and then we'll open the floor for questions. Please go ahead, sir.

Satyanarayana Chava: Good afternoon to all our stakeholders. Our company's purpose of chemistry for better living guides everything what we do. In 2026, we significantly accelerated our performance, reflecting sustained demand in technology-driven commercial offerings. The transformation of our portfolio is well underway. The momentum is building as we continue to execute on our strategy with clear focus.

In 2026, our business benefited from successful clinical and commercial supplies for complex NCE compounds, ramp-up of supplies of the few new launches and sustained global leadership in anti-retroviral therapy, where we continue to service 1/3 of the global HIV population. We continue to advance our well-recognized development and manufacturing platform capabilities with global customers.

I'm confident in our ability that this will further expand business opportunities in coming years. The company has exceeded 8,200 cubic meters of reactor volume for small molecule, API and intermediate manufacturing in FY '26. As we progress, we are making significant investment behind important technologies, high-growth modalities, large-scale manufacturing infrastructure to support our clients' needs.

Currently, we are managing several capex growth projects, which will be executed in the next 2 years. 90% of project spend is towards mid- and large-scale manufacturing. I will just mark a few areas where we are investing. We are creating a large manufacturing greenfield project, Unit 7, and the first production will be ready for commercial validation by March '27 and four additional manufacturing during the next financial year FY '28 with a combined reactor volume of over 2,000 cubic meters. Second, commercial scale peptide manufacturing block will be ready

Laurus Labs Limited

April 30, 2026

Page 3 of 17

for commercial scale validation during Q2 of this financial year FY '27. Animal Health, there is some capacities at Unit 10, which is addition to LSPL Unit 2.

Fourth, a fermentation greenfield site for our Laurus Bio, Phase 1 will start by end of 2026.

Lastly, we are also spending on formulation facility under our KRKA joint venture in Hyderabad, and we expect Phase 1 will be completed by mid-2027. Moving on to our financial results. Laurus maintained its business momentum and delivered robust operational and financial performance for the financial year 2026.

The company'

s revenues were INR6,813 crores with a growth of 23% over previous year. This was mainly driven by significant growth in CDMO business, supported by Affordable Medicine portfolio, which is Generics. Gross margins were healthy and maintained around 60% range and EBITDA margins expanded by 6.7 percentage points to 26.8%.

Our product mix within business division and operating leverage have continued to do well, supporting our healthy margins overall. When we look back at our last 6 years, Laurus has delivered on successful transformation across both business and product portfolio. Today, our share of CDMO business has increased from 13% 6 years back to over 30% right now. The contribution from ARV revenues come down from 67% to 41% in the current financial year,

while sustaining absolute sales and global leadership in HIV therapy. And we are deepening our CMO partnership based on consistent supply track record of large volume API and FDF. I would request Mr. Krishna Chaitanya to share key updates on our CDMO business.

Krishna Chaitanya Chava: Thank you. The CDMO business delivered robust operational execution for the full year, clocking at a little over INR2,000 crores at INR2,080 crores. For the small molecule CDMO, we have clocked a growth of about 38% with the sales for the full year at INR1,896 crores. The growth essentially came from late -stage pipeline programs, commercial NCE API supplies to several global partners and also ramp -up of the growth projects.

For the small molecule side in Q4, our sales stood at about INR524 crores. As I said, majority of the business has come from the commercial revenues, which are programs that are very early in their commercial journey. The underlying demand momentum for complex APIs remains strong, driving increase of outsourcing activities with trusted partners like Laurus, which operates in advanced technology platforms, offering leading solutions in both chemistry and biology with large manufacturing capacities.

Our small molecules pipeline continues to expand with focus on high -value programs and fully integrated programs across technologies such as biocatalysis, flow chemistry, hydrogenations, continuous manufacturing of drug products, High potent APIs, amongst others. There is continued investment into capacity creation at Vizag. And also, we are advancing quite well, as Dr. Satya mentioned, on commercial peptide manufacturing capabilities based on customer demand. Coming to Laurus Bio, the Bio division reported a Q4 sales of about INR65 crores.

On a year -on-year basis, that's about 124%, partly due to the lower base that was there last year.

If you look at our full year numbers, sales has increased by about 15%, which is largely along

Laurus Labs Limited

April 30, 2026

Page 4 of 17

the expectations that we had. The good part is that this growth is supported by customer revenue diversification and also continued pipeline progress on global accounts (both in AOF, animal -origin -free portfolio and the CDMO). Construction work for the commercial scale fermentation facility in Vizag is progressing well in line with the plan, and we expect the Phase 1 capacity to be operational by the end of 2026. Now I'd like to request Ms. Soumya Chava to share key updates on our Affordable Medicines portfolio.

Soumya Chava: Thank you. Revenue from the Affordable Medicines division, formerly Generics, stood at INR1,223 crores in Q4 with the momentum sustained on an absolute basis, though the growth has been slightly moderated. For the full year, the division delivered INR4,733 crores in revenue, reflecting a strong 18% growth.

FY '26 growth was driven by higher volumes across ARV and oncology portfolios, along with strong traction from recent launches in developed markets. We maintained a consistent supply track record despite global supply chain challenges. However, increasing geopolitical disruptions may impact

raw material availability and logistics, potentially creating a near -term pressure on OTIF performance across the industry.

That said, the business outlook remains steady. We continue to focus on optimized capacity allocation, improved supply efficiency, ramp -up of new product launches, integrated CMO opportunities and expanding our footprint across developed and emerging markets, particularly in the non -ARV segments.

The oral solid facility expansion is progressing well with formulation capacity increased by 20% in FY '26 to 12 billion units. On the regulatory front, we have filed a cumulative 92 DMFs to date. In developed markets, we filed 7 dossiers and received 6 approvals in FY '26, taking the total to 94 products filings cumulative. Thank you.

Satyanarayana Chava: Thanks, Krishna and Soumya, for the overview of generics and CDMO business segments. On R&D front, our overall R&D spending to sales for FY '26 was at 4.1%, increased by 10% year -on-year, including our expenditure on cell and gene therapy space. The spend is in line, and we expect a similar percentage going into the next year as well.

We continue to invest in portfolio, focusing on product complexity, scale and sustainable technology platforms. Let me share a brief on our quality and ESG side as well. In 2026, the company underwent close to 132 quality audits by multiple drug regulatory agencies and several customers. Company has successfully passed audit inspections without any critical findings. We remain committed to advancing quality systems, meeting highest compliance standards from clients and global regulators as well. Besides, we continue to advance on our EHS/ESG initiatives, which is getting sustained recognition from global rating agencies. You may refer to our IR presentation for more details.

To conclude, our business model has proven as resilient, and we remain well positioned to execute on our growth strategy ahead. We will continue to focus on deepening strategic

Laurus Labs Limited

April 30, 2026

partnerships and integrated capabilities, strengthening technology platforms and ecosystems, advancing pipeline as well as focused investment into capacity creation that will sustain our success in the long term.

I would like to again recognize the commitment and efforts of our dedicated teams towards strong R&D and operational execution, enabling continuous transformation of our company. Now I request Mr. Ravi Kumar, ED and CFO, to share overall financial highlights.

V. V. Ravi Kumar: Thank you, Dr. Satya. A very warm welcome to everyone on quarter 4 and full year FY '26 earnings call. Let me quickly take you through the highlights. Total income from operations is INR6,813 crores with a growth of 23%. For the quarter 4, we are at INR1,812 crores with a 5% growth. Despite the ongoing macroeconomic challenges, we have continued to see the high level of demand in our integrated offerings.

Gross margin maintained at a healthy level of 60.4% and for quarter 4, it is at 61.4%, mainly due to better product mix and some of the process improvement efforts. EBITDA for the year stands at INR1,826 crores with a 26.8% margin, which is well in line with our broader outlook. For the quarter 4, EBITDA reported INR523 crores with a margin of 28.9% due to strong operating leverage.

Profit after tax for the year INR889 crores with a growth of 148% and quarter 4 is at INR279 crores. ROCE is around 17.7% improved from 9.7% for the previous year. On the capex front, which is a key enabler for Laurus for future growth and also a key focus for the organization now and going forward, we invested close to INR335 crores for the quarter and INR1,070 crores for the full year.

More than 75% invested into expansion of CDMO and CMO capabilities, rest in common infrastructure like ETP and maintenance. Our net debt stood at INR2,285 crores and debt by EBITDA is 1.

25 versus 2.3 last year on the back of strong internal cash flows. Of course, though there is a debt increase in the quarter 4, still we are at a 1.25 debt EBITDA level. On the capital allocation front, our strategy remains unchanged, and we will continue to prioritize investment into high-value business segments to drive near and long-term growth and returns for our shareholders. You can refer our IR presentation for more details.

And last, actually, because of this crisis today, we are able to manage our supply chain, and we don't have any supply disruptions for this quarter, and we are expecting not to have any disruptions even till the end of June. With this, I would request the moderator to open the lines for Q&A.

Moderator: The first question comes from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Yes. Dr. Satya, as we commission and scale the upcoming Vizag 400 KL fermentation, what could be the single biggest source of yield variability from things such as contamination, oxygen transfer, strain stability to even downstream recovery? And how tight do we expect the batch-to-batch variance when we actually commercialize that 400 KL capacity?

Laurus Labs Limited

April 30, 2026

Page 6 of 17

Satyanarayana Chava: I think the initial batches, what we are going to take up in our expanded fermentation capacity is non-pharmaceutical, non-food also. It is mostly industrial chemicals, surfactants and then polymers. So where the tighter is very very high. See the biggest challenge in any fermentation is contamination and we don't have a very long tedious downstream processing for the products what we intend to manufacture in that facility. Wouldn't expect any challenges in downstream manufacturing, Sajal.

Sajal Kapoor: Right. Okay. So just a quick follow-up on that one. So clearly, we are moving into the world of material sciences and biomaterials. I mean what does it mean for the steady-state economic model for Laurus, I mean, in terms of utilization, yields, pricing structure and customer concentration? And which of these kind of variables are most sensitive in achieving the aspirational return thresholds?

Satyanarayana Chava: The products what are moving to Vizag are from our Bangalore facility. So the commercials are achieved and we made those products in our 45,000 liters fermenters. And then those are moving to 110,000 liters fermenters here. We believe that is the optimum size for these products what we are making.

So this unit will see the early commercial stage production for those products. So we have crossed multiple lines of multiple gates, I would say, in the commercialization of those products. The uncertainty of the commercial success for those products is very very less. So we have very good visibility. Once those products are commercialized, we have to move to much bigger facility, and that is not the commercial size for the product what we intend to initially manufacture.

Sajal Kapoor: Sure. Sure. That's helpful, Dr. Satya. And my second question is, so beyond the R2 at Bengaluru

and this 400 KL at Vizag, looking at the horizon beyond 2030, if I may, is biotech getting the attention it truly deserves? Because that's the sort of coming wave, we may or may not accept it publicly, along with the AI, of course. So just to understand the capex better, I mean, how much of what we are planning over the next few years, say, 3 to 5 years is already backed by committed or highly visible demand versus any speculative capacity we may be building ahead of demand?

Satyanarayana Chava: Our biotech initiatives spread across many things, biocatalysis, enzyme manufacturing, animal - origin - free cell culture ingredients, precision fermentation, cell therapy, gene therapy, fermentation of pharmaceutical intermediates. So what we are talking right now in our Unit 4 at -- Bio expansion at Vizag is only for non-ph

armaceutical one. As you are aware, we are also investing in our gene therapy and ADC manufacturing facility in Hyderabad. And our subsidiary in Bombay, they are also investing further in our cell therapy CAR - T manufacturing. So there are multiple fronts going on, Sajal ji.

Sajal Kapoor: Sure, sure. Just a quick follow -up on that one, Dr. Satya, for the capacities we commissioned about, let's say, 2, 3 years back, where is the utilization level at the moment on those capacities versus what you or the team initially expected? Are we broadly in line with the utilization for the capacities that went live about 2 years, 3 years back or are we below that aspirational threshold or above that threshold?

Laurus Labs Limited

April 30, 2026

Page 7 of 17

Satyanarayana Chava: In R2, our 4 X 45,000 liter fermenters are fully occupied. And that is the reason we quickly expanded capacity in Vizag. And we expect this current capacity to manufacture 2 products. And once the commercialization happens and the first 2 commercial production is delivered, we expect to expand there itself to 1 million liters.

There we have the space. And one product is downstream without any chemical operations. The one product we had to do some chemical operations. That also will be done by us. So we don't see any capacity utilization challenges for the plant, which will go online by end of this year, Sajal.

Moderator: The next question comes from the line of Bharath Siripurapu from Quest for Value Capital.

Bharath Siripurapu : Yes. So if you see our Indian CDMO landscape, some of the CDMOs are getting impacted due to inventory destocking. Yes. So this is common scenario because CDMOs are dependent on ordering pattern of innovator. Yes. So more we are concentrated on a few products with more risk of destocking. So can you say that do we have enough number of CDMO commercial products to say that we do not have product concentration risk and we are insulated from this inventory destocking risk?

Satyanarayana Chava: In the last 18 months, we delivered 3 APIs for commercial. And those have patent life of several years. So they're very early in their commercial phase. And based on indications from our partners, they gave a very clear forecast for the next several years. And we don't see any destocking challenges for these molecules at this point of time.

Bharath Siripurapu : Good. So you don't have any product concentration, just like on single product or 2, 3 products contributing more in the CDMO basically, that's what you're saying?

Satyanarayana Chava: Yes. That's what I said.

Bharath Siripurapu : And my second question is like if you see our yearly performance of our results, so last year, our EBITDA margin was 20% and this year is around 26%. So there is an increase of around 600 basis points. Yes. And majority of this increase is coming from gross margin improvement because our gross margins have improved from 55% last year to 60%. So we did not see the operating leverage playing out significantly yet. Yes. So is it right to assume that the operating leverage is going to play significantly over the next 2 years?

Satyanarayana Chava: We expect so, Bharath. So your point is very valid. So operational leverage will come. And see, we keep on expanding capacities. So we are at the border of leverage or deleverage. So next year, we expect some operational leverage will come. And see, as you observed, our EBITDA margins are going up. If you even look at 4 quarters of the FY '26, EBITDA margin continuously kept improving. So if you look at the Q4, it is almost at the 29% EBITDA margin.

Moderator: The next question comes from the line of Chirag Shah from Whitepine Investment Management.

Laurus Labs Limited

April 30, 2026

Page 8 of 17

Chirag Shah: Yes. Sir, congratulations for good results. Sir, I have 3 questions. The question one on continuing the CDMO side. So

o if you can indicate that when will CDMO transition to CMO, how does the gross margin and EBITDA margin interplay happen? Question two, on the ARV business, anything on the pricing that you would like to comment that is which has helped you on the

margin side or realization side? And I'll come to the third question based on your response?

Satyanarayana Chava: See, I would like to clarify on the 2 terminology what we use, CDMO and CMO. CDMO is proprietary brands, one customer one product and some development is also included. When we say CMO, CMO is a generic fully integrated projects where we make API and formulations to a generic customer. So when we are saying our CDMO revenues, we are not including any CMO revenues coming from generic products.

Chirag Shah: Yes. Sir, I was more referring to the development phase, how does the margin trajectory between gross and EBITDA margin play out, if you can educate us on that?

Satyanarayana Chava: See, we are not publishing our EBITDA and gross margins segment-wise. So we don't want to do that. And second, maybe on the ARV pricing, ARV pricing broadly were constant during the financial year. We improved our sales. We used to say INR2,500 crores plus or minus INR200 crores, but we did INR2,800 crores. That was because of a full utilization of our ARV assets.

Yes.

V.V. Ravi Kumar: Gross margin improvement is on account of raw material price softening and process improvements.

Chirag Shah: Yes. Okay. Sir, would it be fair to make an assumption that when you move from development to commercial while your gross margin would be lower in commercial, the operating leverage will ensure that your EBITDA margins are similar to the development phase. Is it the right statement?

Satyanarayana Chava: I would say whether it is development or commercial, in our opinion, gross margins will remain similar but we make more profit in commercial rather than development because development we employ more people during R&D, tech transfer and all. So I would say whether development or commercial, NCE programs will have similar gross margins.

Chirag Shah: We'll have similar gross margin. And commercial would have a higher EBITDA margin because of more volumes and operating leverage?

Satyanarayana Chava: Yes, correct.

Chirag Shah: Fair point, sir. And just to follow up on this. So you indicated 3 projects have moved from development to commercial. How should we look at next 2 years of CDMO space, given the stupendous growth that we have seen? Can we maintain that kind of journey given the pipeline that you have? And what are the key monitorables if you would like to highlight from your perspective?

Laurus Labs Limited

April 30, 2026

Page 9 of 17

Satyanarayana Chava: Krishna, would you like to answer this question?

Krishna Chaitanya Chava: Yes, I think while we are not giving any indicative numbers, we expect to post positive growth in the CDMO in the coming years as well.

Chirag Shah: Okay. What I was referring to is, it hinging on 1 or 3 large projects or it is more even spread. So that concentration risk doesn't play out that significantly. I was more referring to that?

Krishna Chaitanya Chava: At this point in time, given the visibility that we have, we're not expecting a concentration risk or heavy reliance on one single program. So yes, from current standpoint, I think we are fairly well diversified from a concentration perspective.

Moderator: The next question comes from the line of Mehul Panjuani from 40 Cents.

Mehul Panjuani: My first question is about CDMO pipeline. Out of the expanding CDMO pipeline, how much is expected to convert into commercial revenues in FY '27? And what is the revenue visibility from late-stage molecules?

Krishna Chaitanya Chava: We are unfortunately not in a position to give you like very specifics in terms of what programs are we working on. But with that being said,

there's multiple late-stage programs that we are currently involved in. But as you're aware, given the clinical nature of the compounds, we can't necessarily accurately put in and say that FY '27 will be the commercialization of that molecule or not. But yes, the pipeline is quite robust, and we're confident in continuing to post growing numbers in the CDMO side.

Mehul Panjuani: Right, sir. Sir, my second question is about the margins. How sustainable are the current 29% EBITDA margins? And how much is driven by mix versus temporary operating leverage?

Satyanarayana Chava: We are very confident on maintaining or improving this EBITDA margin in FY '27. We are comfortable in maintaining that. Yes.

Mehul Panjuani: Sir, my last question. Give us some visibility on the growth trajectory of Laurus in CDMO business. So when would be Laurus identified as a CDMO company and not as all categories company kind of?

Satyanarayana Chava: I think you have to say what is the revenue coming from CDMO segment, determines how much exposure is to CDMO businesses. See more than 1/3 of revenue comes from CDMO business, but in sizeable, INR2,000 crores. There are not many companies with INR2,000 crores CDMO revenues, which they are well-recognized CDMO companies.

So it is up to see how much reactor capacity, how much R&D capacity, how many programs,

what is the size of the program. Earlier, people used to ask us how many clinical programs you have. Say clinical programs may confuse everyone. One program may give \$500,000, one program may give \$50 million. So giving a number of programs may not give you any perspective.

Laurus Labs Limited

April 30, 2026

Page 10 of 17

The question is, Laurus is a strategic partner or tactical partner to customers? So we are a strategic partner for many big pharma right now. So we have a flow of RFPs, commercial, early-stage, mid-stage, late-stage commercial. So we have a robust pipeline. That much we can tell you. It is up to the market to gauge how much revenue and who is doing well in CDMO.

Mehul Panjuani : Right. Sir, I obviously am with you in trends that we are bigger than quite a few companies in the CDMO space. But when we compare ourselves with ourselves, what would be that year inflection point?

Satyanarayana Chava: One good thing we are happy, most of our clinical programs are APIs. So we are not doing RSMs or early-stage intermediates. Either we do advanced intermediates or APIs. So that way, the sustainability of our customers and our offerings is much more longer than offering very early-stage intermediates or RSMs.

Moderator: The next question comes from the line of Abhijith, an Individual Investor.

Abhijith: My first question is what is the asset turnover currently?

V. V. Ravi Kumar: 0.89

Abhijith: Okay. So considering this growth for the year, I think overall CDMO business has grown 20% and it's reached a good base at the moment. What is the trajectory going forward? Can we expect this growth momentum to maintain or do you see some sort of lumpiness? Because as another analyst mentioned, there are other CDMO companies which are talking about destocking and couple of variations in funding for alternative medicines from the smaller. So keeping that in mind, do you see lumpiness in the earnings?

Satyanarayana Chava: If you compare year-to-year, we expect a good growth in CDMO segment. There could be lumpiness quarter-on-quarter. But we don't expect any challenges for us to record the growth in FY '27.

Abhijith: Okay. And Mr. Ravi Kumar mentioned that your EBITDA margins have gone up because of operational changes in the input costs and other stuff softening, right? But I have 2 questions on this regard. Now because of the geopolitical situation, etc do you see any challenges in the next few months going forward in the operating cost to go up because of the raw material prices.

Satyanarayan

a Chava: In quarter 4 of FY '26 some impact was there because of the solvent price increase. But I can tell you our production hasn't been impacted so far and we have enough visibility that in the next 3 months we don't have any challenges of curtailing operation because of higher prices of solvents or the availability of solvents. There will be some pressure, but as our mix operationally it is going up, more capacity utilization, we will be able to weather that challenge well, Abhijith

Abhijith: Okay. So with regards to this gross margins going up, the gross margins right now is 61.4%. So as and when the CDMO contribution of the business goes up, can we expect this to go

Laurus Labs Limited

April 30, 2026

Page 11 of 17

substantially higher? I think this is the highest gross margin since the one-off CDMO contract that happened in '21. Am I correct?

Satyanarayana Chava: See, we are very comfortable to say we'll maintain gross margin for sure despite our challenges on the solvent price and all. We are confident.

Abhijith: Okay. That's good to know. And one last question with regards to the peptides opportunity that is available. Are you guys looking at the weight loss sector or are you looking at overall peptide revolution that is going around? And is it like the breakthrough is near term or is it like still substantially time away or et cetera? Just an insight, please?

Krishna Chaitanya Chava: Yes. Without diving into too much details, we are currently working in several sectors in peptides, including weight loss and a few other sectors. With that being said, there are some medium term opportunities that we are already collaborating on. And of course there's several other opportunities that we are also in active discussions. But as soon as we have something meaningful coming out of that investment, we will certainly make our partners aware of here.

Moderator: The next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: So if you could give the breakup of ARV business into API and formulations, please?

Satyanarayana Chava: It is two-third, one-third, two-third is API, one-third is roughly formulations. We are not giving exact, but it is broadly that two-third, one-third.

Tushar Manudhane: Okay. So effectively, just trying to understand the non-ARV formulation business, has that

grown or declined for the quarter?

Satyanarayana Chava: Actually non-ARV formulations is going up.

V. V. Ravi Kumar: Yes.

Tushar Manudhane: The growth number, if you could. So correct me if I'm wrong, so INR683 crores of ARV business for fourth quarter '26 effectively. And you're saying two-third is formulation, which means

INR450 crores of formulation business. Is that the way to understand?

Satyanarayana Chava: No, two-third is API, one-third is formulations. My answer was for the overall year I mentioned.

So it is around that number. It may change 1 month, 1 quarter. But broadly, two-third of ARV

revenue comes from API and one-third comes from our own formulation sales.

Tushar Manudhane: Got it. And on the balance sheet side, how much would be the customer advances at the end of FY '26?

V. V. Ravi Kumar: We did not disclose specifically, Tushar.

Tushar Manudhane: Has that increased compared to last year

Laurus Labs Limited

April 30, 2026

Page 12 of 17

V. V. Ravi Kumar: Full year basis, there is an increase.

Moderator: The next question comes from the line of Jeevan Patwa from Sahasrar Capital.

Jeevan Patwa: Congratulations first. One question on the CDMO side. So was there any revenue from the Crop Science business in FY '26?

Krishna Chaitanya Chava: There has been some, but very marginal, I would say. There has been some.

Jeevan Patwa: Okay. And Animal Health is still, I would say, not too meaningful yet in the CDMO side or it is meaningful? So basically the

context is FY '27. Can we see meaningful contribution from Crop Science and Animal Health both?

Krishna Chaitanya Chava: In the Animal Health space within this year as well we've had some meaningful API shipments that we had undertaken. And in FY '27 also we'll see a good contribution from that space. But in the Crop Science segment I think we need a couple of more financial years to really ramp that up. But we have a few ongoing projects that are in the registration phase or in the development phase. So yes.

Jeevan Patwa: Okay. And on the electronics side, one customer that we have, I think as I understand it's still in the development stage, but they have got the breakthrough some months back. So any visibility on the kind of shipment or the delivery from their side? Any contract have you signed with them?

Krishna Chaitanya Chava: We are in active discussion with them. But as you've rightly said, it's still under development phase and application phase. So it will take a few more quarters for us to see the actual demand outlook from them.

Jeevan Patwa: Perfect. And on the formulation side new facility that's coming up and going to commission in June. So that's for the new CMO contract, right, that we have? The 3 billion tablet contract?

Satyanarayana Chava: Yes, that's for an existing partner. Most of that capacity came online and we are using it commercially.

Jeevan Patwa: So after we have the tertiary packaging capacity will be coming in June, right?

V. V. Ravi Kumar: Most of the proposed capex has been implemented and then we started generating a revenue out of it in the back end of the year.

Jeevan Patwa: Okay, okay. So basically the majority revenue will start from Q1?

V. V. Ravi Kumar: Yes.

Moderator: The next question comes from the line of Venkat Vellipalli an Individual Investor. Please go ahead.

Laurus Labs Limited

April 30, 2026

Page 13 of 17

Venkat Vellipalli: My question is related to fermentation capacity. Given that we have acquired Richcore in 2021, why are we not able to, I mean, scale it up to 2 million? And if you are able to scale it up to 2 million, what would be the revenue?

Satyanarayana Chava: See, we thought we'll expand to 2 million, but we are doing in a phased manner. We have 250,000 liters right now. By end of this year, another 400,000 liters will come. And that facility can accommodate another 600,000. Overall, we're inching towards the number. See, if you look at when we acquired them in '21, majority stake, their revenues were about INR50 crores. Now they have gone up significantly we are closer INR185 crores, INR190 crores revenue with INR35 crores, INR40 crores EBITDA levels now. So then significant improvement happened. But creating capacity takes its own time. The R1 to R2 it took 1 year. R2 to R4, it took 2 years for us to create that capacity. So we are gauging the market dynamics there and we have interesting projects. I think we'll update you as and when we have a significant information on that.

Venkat Vellipalli: Okay. One more question. It's related to Amplia Therapeutics. I'm not sure if you are aware that

they stopped this AMPLICITY project. Are we like supplying any API to the project?

Krishna Chaitanya Chava: Any customer -related topics, we don't necessarily want to comment from our end. Unfortunately because of confidentiality terms, we are not able to comment.

Moderator: The next question comes from the line of Vihaan Bagri from U Mayo Advisors.

Vihaan Bagri : So I actually had a few questions. The first one being, what will be the capex and gross debt outlook for FY '27 and '28? As we had indicated earlier, INR1,000 crores capex. And what can be the effective tax rate considered for the year?

V. V. Ravi Kumar: Effective tax rate will be around 25% to 26% . The standalone is definitely 25%. Then capex guidance is around INR3,000 crores in 2 years' time.

Satyanarayana

Chava: Although we said INR1,000 crores earlier, now depending on the prospects what we need capacity and what projects in front of us, we are increasing our capex spend there. And we expect to spend around INR3,000 crores in the next 2 years.

Vihaan Bagri : Okay. And regarding the gross debt outlook for the next 2 years?

V. V. Ravi Kumar: Gross debt, It may slightly go up in the current year FY '27 , but the debt by EBITDA may be maintain at the similar levels or may be softening from the current level.

Moderator: The next question comes from the line of Vivek Agrawal from Citi Group.

Vivek Agrawal: One question on affordable medicine, it's a generic businesses all put together. This year, you have done well with around 18% kind of growth. Just want to understand what's your outlook, let's say, for '27 and '28? What kind of the growth that you are looking at in this particular segment?

Laurus Labs Limited

April 30, 2026

Page 14 of 17

Soumya Chava: So for the next year also we have our order book pretty much in place. So we will continue to reflect a strong growth in the next year as well.

Vivek Agrawal: Is it possible to say that it can grow in the double -digit as well in the next year or it's like a single -digit growth?

V. V. Ravi Kumar: Vivek, you know we don't want to give any quantitative guidance.

Soumya Chava: It's definitely growth, but we will not be able to comment on the percentage over here.

Vivek Agrawal: Perfect. No problem at all. So in CDMO, the pipeline shaping up well. So is it possible for you to just help us understand how the pipeline of products is at an advanced stage and let's say Stage 3, et cetera. So that is looking like at this point of time? And secondly, in FY '27 are you expecting any new product that is getting commercialized by your partners?

Krishna Chaitanya Chava: So while we're not giving concrete numbers on different phase -wise split, we have several exciting programs that are late phase programs. As I mentioned, given the clinical nature of these programs, it's difficult to predict when and how it will be commercialized. But within the visibility that we have, we expect some of the programs that we're working on to get commercialized and some of the projections that we've had for volumes from our partners have been along those lines.

Vivek Agrawal: Perfect. And just one last question on the CDMO, out of around the INR1,900 crores kind of revenue. So are you comfortable sharing the share of revenue that is coming from the projects which are still in the development or the share of revenue that is coming from the product which are commercialized by our customers?

V. V. Ravi Kumar: We are not disclosing, Vivek, on that.

Moderator: The next question comes from the line of Foram Parekh from BOB Capital markets.

Foram Parekh: Could you please disclose or highlight on the peptide capacity, the dedicated peptide capacity? And what would be the capex allotted for the peptides?

Satyanarayana Chava: We are building a large capacity for peptides and we have several programs, as Krishna mentioned. But we don't want to comment on how many tons capacity we are creating or how many projects we have right now. We don't want to comment at this juncture.

Foram Parekh: Okay. And would you be comfortable disclosing the capex dedicated towards the peptide program?

Satyanarayana Chava: I can only say it is large capex. I don't want to give a specific number.

Foram Parekh: Okay, My second question is on the CDMO side. In the previous con calls, you had alluded that you envisaged CDMO contribution going towards 50% of the total sales. So as per your internal

Laurus Labs Limited

April 30, 2026

Page 15 of 17

assessment and now that the CDMO pie is growing well and we have strong order books, so how soon do you see, as per the internal assessment, 50% number being achievable?

Satyanarayana Chava

: See we said the 2 things. One is we'll go to 50%. We also said by 2030.

Foram Parekh: Okay. And last question, if I may. Now that we have increased our capex from INR1,000 crores annually to INR1,500 crores annually, so how do you see the return ratios shaping out? And do we still expect operational leverage with increase in capex?

Satyanarayana Chava: Most of the capex what we're doing is growth capex. See at least now we have visibility. We are not putting capex and hoping customer will come and give projects. We are not doing that. So mostly, we have visibility which product, which customer, how much we are going to make in these new capacities which will come online.

Foram Parekh: Sure. And just last question. Could you please talk on the ARV to non-ARV split for FY '27?

Right now it's 40%. So do you still see non-ARV or ARV pie shrinking from this 40% or it will remain at 40% around?

Satyanarayana Chava: Quantum wise, we did INR2,800 crores ARV. That will remain constant. It will be around that number. But percentages, it will go down. It will go down.

Moderator: The next question comes from the line of Rahul Bharadwaj, an Individual Investor.

Rahul Bharadwaj: Dr. Satya, if we go back about 5, 6 years, the split of the revenue mix was more inclined towards ARV, and then you know over the last couple of years we've increased our footprint on the CDMO business. Can you throw some colors on how do you foresee the mix will be if we look out next 5 to 10 years?

That will be my first question. And my second question will be, at some point, you may pass on the reins to someone else. Do you have a wish list where you would like to see Laurus before you decide to hand over the reins to someone else? So that will be my 2 questions?

Satyanarayana Chava: I will be able to answer the first question easily. The first question is, see our ARV, as you mentioned, our absolute quantum wise ARV revenues I would say was around INR2,500 plus or minus 200 now I would say INR2500 plus or minus 300 because we did INR2,800 crores this FY26. By FY 30, we expect CDMO revenues in general will be 50% of our overall sales. And the ARV percentage will come down significantly.

While the ARV sales remain constant, but percentage contribution will come down significantly.

And the second question is, see right now Laurus is engaged in lot of modalities in small molecule. Our focus is large volume generic APIs, integrated CMO opportunities and doing CDMO for clinical programs in human health and animal health and also working with discovery-based companies in Crop Sciences, not generic Crop Science molecules.

Laurus Labs Limited

April 30, 2026

Page 16 of 17

That's the focus. When it comes to biology, as I mentioned to Mr. Sajal Kapoor's question also.

So we have investments made in cell culture, precision fermentation, enzymes, biocatalysis, cell therapy, gene therapy, ADCs and all. So our investments are in multiple lines. And that's where my focus is currently. And the rest of the businesses are handled by Krishna, Soumya and other team members. So my focus is going on new modalities right now.

Moderator: The next question comes from the line of Bharath Siripurapu from Quest for Value Capital.

Bharath Siripurapu: Dr. Chava, regarding this new greenfield capex of 500 acres in Atchutapuram, may I know when can we expect this new greenfield capex coming online?

Satyanarayana Chava: We'll be able to give you more color on that maybe in the next quarter, Bharath.

Moderator: The next question comes from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Dr. Satya, many CDMOs do well at micro or pilot scale but fail to manufacture a multi-ton batch with consistency. So the key word here is consistency. In that context, for the recent CDMO programs that successfully moved from lab or pilot to commercial scale, what percentage met target

yield and quality spec in the first 3 commercial batches? And how predictable is the scale up process we have today going from few kilos to 500 kilos and more depending on the molecule of course?

Satyanarayana Chava: Why Laurus is investing in large capacities well in advance of commercial launches. Nowadays big pharma wants the validation, engineering batches at the commercial scale. They don't want to have any uncertainties of scale up or moving from one plant to another plant for lack of capacities.

So all the commercializations what we have done in the last 2 years were scaled up. Validation is done at the same scale, validation done in the same line of equipment. So there are no surprises.

So when we did validation, we do with the same train or equipment train for commercialization, same batch size, same facility and all. So fortunately, we haven't had any challenges so far.

Moderator: The next question comes from the line of Yash Lahoti, an Individual Investor.

Yash Lahoti: My question is, the revenues from LORDIN collaboration, when will they start kicking in, sir?

Krishna Chaitanya Chava: Yes. This is again related to the OLED opportunity that I talked about in the Q&A session. We'll be able to concretely comment on this in a couple of quarters. But at this moment in time, it's difficult to put a finger on the actual numbers.

Moderator: The next question comes from the line of Venkat, an Individual Investor. Please go ahead.

Venkat: I have one question. I don't have complete understanding on the pharma part of it. My question

was, with AI it is disrupting multiple industries. I want to understand in the discovery phase or do you see any challenges in how discovery is getting evolved with -- how is discovery phase is getting impacted because of AI? Do you see any challenges in that front?

Laurus Labs Limited

April 30, 2026

Page 17 of 17

Krishna Chaitanya Chava: So at a high level, Laurus within the CDMO space, we are not involved in the discovery side of things for any partners. But speaking from a general standpoint, there's certainly a lot of AI being leveraged in the discovery space. So what of that is some of the discovery molecules, the pipeline generation is significantly faster.

But also interestingly, given that these molecules are designed by AI, they tend to be also more complex in terms of structures or the synthesis itself. So yes, there's certainly AI being leveraged globally, but given that we are not in the discovery space, that's not something that we typically look at.

Venkat : And also, do you see any disruptions in the day to day standard operating of process in general?

Do you see any other companies leveraging it differently or something? I want to understand the application in the industry itself. It may not be limited to Laurus, as a general channel process itself ?

Krishna Chaitanya Chava: I mean, there are several, at least what we are aware of, there are several companies that are leveraging it, especially in the discovery space, in designing molecules and predicting some of their profiles. Yes, there's certainly quite a lot of interesting publications that also been put out there. This is certainly being leveraged extensively across the industry.

Venkat : Yes. I think as you are mostly in the manufacturing part of it, we don't see a risk. Can I put it this way

Krishna Chaitanya Chava: That's correct to say. Our split from AI or impact of it is minimal, if any.

Moderator: The next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: So on the non ARV -formulation side, there has been decent growth for full year '26 compared to '25. So what kind of outlook can we expect for the coming year? Either of the new launches or the scale up of the existing molecules on non -ARV formulation side?

Soumya Chava: So for the non -ARV formulations, we expect to see growth from existing products. We will be

utilizing the capacities to ramp up our formulation units.

Tushar Manudhane: But it was a sizable jump say in FY '26 compared to '25. So that momentum will sustain in '27 as well?

Soumya Chava: There is a momentum definitely compared to '26 to '27 as well.

Satyanarayana Chava: Thank you all the stakeholders, and for your insightful questions. And good evening, everyone. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Laurus Labs, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Call: Jul 2026

July 30, 2026

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam,

Sub: Transcript of the Q 1 FY '27 Results Conference Call hosted on July 24, 202 6

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our results conference call intimation dated July 09, 202 6, please be informed that the results conference call for Q 1 FY27 was hosted on July 24, 202 6 and the transcript of the conference call is enclosed herewith.

This is for your information and records.

Thanking You

Yours faithfully,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a
Page 1 of 17

"Laurus Labs Limited
Q1 FY27 Earnings Conference Call "
July 24, 202 6

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS LIMITED
MR. KRISHNA CHAITANYA CHAVA – EXECUTIVE
DIRECTOR , HEAD CDMO – LAURUS LABS LIMITED
MS. SOUMYA CHAVA – EXECUTIVE DIRECTOR
GENERICS AND COMMERICAL – LAURUS LABS
LIMITED
MR. VIVEK KUMAR –AVP – INVESTOR RELATIONS –
LAURUS LABS LIMITED

MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Laurus Labs Q1 FY '27 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitin Agarwal. Thank you, and over to you, sir.

Nitin Agarwal: Thank you, Bharat. Good evening, everyone, and a very warm welcome to Laurus Labs Q1 FY '27 Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have representing Laurus Labs management: Dr. Satyanarayana Chava, Founder and CEO; Mr. V. V. Ravi Kumar, Executive Director and CFO; Mr. Krishna Chaitanya Chava, ED, Head CDMO; Ms. Soumya Chava, ED, Generics and Commercial; and Mr. Vivek Kumar, AVP, Investor Relations.

Before we proceed, I would like you to remind you that some of the statements made during the call today could be forward-looking in nature, and a safe harbor statement to this effect has been included in the press release that has been shared on the company's website. I hand over the call to Dr. Chava to make the opening comments, and then we'll open the floor for questions. Please go ahead, sir.

Satyanarayana Chava: Thanks for the introduction. Good afternoon to all our stakeholders. We continue to make steady progress and a strong demand environment for multiple complex technology platforms and integrated manufacturing capabilities. We reported significant acceleration in our CDMO business, maintained sustained momentum in affordable medicine portfolio, and continue to show tangible advancement in our mid- and late-stage commercial projects with global innovators.

We are executing well on our transformation strategy with a clear focus and determination to realize the near- to medium-term opportunities. At the same time, we continue investing in capacity readiness to better meet our client needs, new technologies, emerging and complex modalities like peptides, ADCs, gene therapy, etcetera, to seize the next wave of business opportunities that will positively drive future value creation for all stakeholders.

Moving on to financial results, Laurus maintained its strong growth momentum, delivering highest quarterly revenue, EBITDA and profits during the first quarter. The company's revenues were INR2,026 crores, showing a 29% growth. This was mainly driven by growing contribution of commercial supplies in CDMO segment and continued strength in affordable medicine portfolio.

Gross margins were also very healthy and maintained around 62.7% and EBITDA margins further expanded over previous quarter by 7 percentage points to 31.8%. Our product mix within the business divisions operating leverage continued to do well, supporting healthy margins overall. We also achieved several milestones in our operations.

The first one is we signed a development and commercial agreement with Aarvik Therapeutics for 2 ADC molecules for India markets. Those are in the clinical stage. We have onboarded a big pharma client with significant opportunities ahead of us.

The third one, the final handover of 500-plus acres of land parcel from AP government is in the final stages now. I would like to thank our dedicated team for their relentless effort and strong progress we are achieving now.

I would request Ms. Krishna Chava to share key updates on our CDMO segment.

Krishna Chava: Yes. Thank you, sir. Within the CDMO side, the division has continued to deliver strong operational execution in Q1, reporting a growth of 69% with the sales of INR835 crores on the small molecule side.

This is mainly driven by acceleration in the late-stage clinical and commercial deliveries of the programs for multiple global partners. We continue to see good and encouraging progress across both Human Health and Animal Health businesses, both on volume ramp-ups with existing portfolios and also new potential customer engagements. As we continue to strengthen capabilities of our CDMO platform, we are constantly enhancing the service efficiency and also conversion of the opportunities at various different clinical stages, reflecting client trust in our technical and commercial capabilities.

Continued investment into capacity creation at our Vizag site and also advancing quite well on the commercial scale peptide capacities based on customer demand. I would say with customers' ongoing demand for enabling services, our strong CDMO business model and the management execution in line with which the company is confident to sustain a very healthy business growth. Now moving on to the Laurus Bio side of things. Bio division reported a Q1 sales of about

INR35 crores, which is about 21% growth year -on-year, which is broadly in line with our expectation. The growth is supported by customer revenue diversification and also continued pipeline progress on some of the larger global accounts, both in the animal origin -free space and also in the CDMO side.

We have continued to demonstrate significant value add through the expanded application and capabilities, especially in the enzymatic and biocatalysis platform across various different clinical phases, further deepening long -term customer partnerships. Construction work for the commercial scale fermentation facility and strengthening of our downstream processing infrastructure is progressing in line with the plan, and we expect Phase 1 of this capacity, which is a little over 400 kiloliters is expected to be operational towards the end of this year. Thank you.

Satyanarayana Chava: Now, I would like to request Ms. Soumya Chava to share the key updates on our Affordable Medicines division.

Soumya Chava: Thank you. Our Affordable Medicine division delivered a strong quarter 1 performance with revenue reaching to INR1,156 crores, which is an increase of 10% year -on-year. Our growth

Laurus Labs Limited

July 24, 2026

Page 4 of 17

was driven by higher volumes across our established portfolio, including ARVs and onco where we continue to maintain our market leadership.

Our recently launched products in the developed markets also sustained their strong momentum. Operational execution remains robust, supported by consistent supply reliability, improving efficiencies and greater resilience across manufacturing and the supply chain. Despite a dynamic external environment, our teams continue to proactively manage production, shipping and inventory to ensure uninterrupted customer deliveries and execution excellence.

We are also accelerating product registrations across 3 emerging markets, building a stronger and more diversified growth pipeline. The establishment of a new office in South Africa further strengthens our commercial presence and positions us to capture the growing opportunities in this region. We continue to make a steady progress on regulatory filings. Our cumulative BMS filings now stand at 92. In developed market formulation dossiers, we filed 2 dossiers during Q1, taking our cumulative product filings to 96. Thank you.

Satyanarayana Chava: Thank you, Soumya, for the overview of affordable medicines and CDMO business segments.

On R&D front, we spent 5.8% of our revenue on R&D, which is significantly higher, 70% more than the previous year. This was on account of capability development and efforts for our gene therapy ADC technology infrastructure. And there are some complex pipeline building activity on affordable medicine side as well. Having said that, the recurring spends are in line

with full

year target. We maintain our commitment to invest in portfolio focusing on product complexity, scale and sustainable technology platforms.

Let me share brief on quality and ESG side as well. In quarter 1, the company underwent 24 quality audits by multiple regulatory and customers. Company has successfully passed these audit inspections without any critical findings. On ESG side, we continue to take steps towards meeting our ESG commitments with a focus on clean energy. In Q1, the science -based target initiative has validated our targets to reduce our near -term emissions. You can refer our IR slides for more details on this.

As we look forward, we continue to see robust demand for our specialized technology offerings and the integrated manufacturing capabilities. This is significantly accelerating our global position and expanding various market opportunities. We, therefore, remain confident in our ongoing transformation strategy. and in our ability to deliver sustained growth and value creation for all our stakeholders. Now I request Mr. Ravi Kumar to share overall financial highlights.

V. V. Ravi Kumar: Thank you, Dr. Satya, and very warm welcome to everyone on our quarter 1 FY '27 earnings call. Total income from operations is around INR2,026 crores, registering a growth of 29% over last year. The main driver is CDMO and of course, affordable medicines also has been contributed.

Gross margin maintained at 62.7%, about 3.3% higher than before. This is due to the division mix and the process improvement efforts. And EBITDA for the quarter 1 stands at INR644 crores with EBITDA margin of 31.8%, which is about 7% higher than before, which is

Laurus Labs Limited

July 24, 2026

Page 5 of 17

consistently improving since last several quarters. This is largely on account of improvement in capacity efficiency driven by the growth of late -stage clinical and commercial projects.

Our profit after tax is around INR368 crores and ROCE is around 19% against 17.7% of the previous year. On the capex front, we invested about INR394 crores for the quarter. Our net debt

stood at INR2,656 crores and debt -to-EBITDA is around 1.28 against 1.25 the last quarter on the back of strong internal cash flows. A slight increase in the debt is due to the capex plans. On the capital allocation part, our strategy remains unchanged, and we will continue to prioritize investment into high -value business segments to drive near and long -term growth and returns for our shareholders. You can refer our IR presentation for more details.

With this, I would request the moderator to open the lines for Q&A.

Moderator: Thank you. The first question is from the line of Vandit Dharamshi from Antara Growth Capital. Please go ahead.

Vandit Dharamshi : Congratulations. It's very heartening to see these kind of numbers. Just 2 questions. First question is regarding the capex that you have guided. We started with INR1,000 crores and up the guidance to INR1,500 crores. And in our AGM, we spoke about INR2,000 crores capex for FY '27. I mean could you please explain what has changed in the last 6, 8 months that you've close to double your guidance on capex ?

Satyanarayana Chava: The increase in numbers for the capex spend broadly based on our requirement for capacity to meet our customer demands. The current year investments into capacity expansion is based on what our customer demands are and creating capacity to meet that demand.

Vandit Dharamshi : Got it, sir. And for the second year, which is FY '28, would you continue to maintain the older guidance or any revision there?

Satyanarayana Chava: See, we changed our guidance. Last quarter, we said INR3,000 crores for FY '27 and '28. We may do more than that, but we don't have a correct number to give you in this call.

Vandit Dharamshi : Got it, sir. And last question from my end. Just a book keeping question.

n. What would be our operating cash flow for this quarter?

V. V. Ravi Kumar: Operating cash flow, we have not disclosed. We'll get back to you.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Congratulations on good set of numbers. If you could firstly highlight what was the constant currency growth for the quarter?

V. V. Ravi Kumar: Constant currency growth revenue is around INR36 crores. Sorry, you're asking this only, right?

Tushar Manudhane: I meant constant currency growth.

Laurus Labs Limited

July 24, 2026

Page 6 of 17

V. V. Ravi Kumar: INR36 crores -- percentage you're asking?

Tushar Manudhane: Yes, sir.

V. V. Ravi Kumar: Percentage is about 2%...

Tushar Manudhane: Year -over-year?

V. V. Ravi Kumar: Yes. Correct.

Tushar Manudhane: Okay. Sir, secondly, with respect to the delivery of late -stage molecules, so this is with respect to supplying to the customer in terms of anticipation of product approval or these are with respect to products which are approved and we have initiated the supplies for these projects?

Satyanarayana Chava: It's a mix of both -- towards preparation of launch and also for products that have already garnered the approval.

Tushar Manudhane: Can you share the sort of mix so that which can be a sustainable number and which could sort of have a temporary pause once the inventory building completes?

Satyanarayana Chava: So in the small molecule CDMO business, about 55% of revenue came from commercial supplies.

Tushar Manudhane: Understood. And sir, if you could just lastly let know what was the, let's say, customer advance in this quarter or, let's say, compared to what it was in FY '26?

Satyanarayana Chava: No, we didn't have any customer advances during this quarter.

Moderator: The next question is from the line of Krish Mehta from Enam Holdings.

Krish Mehta: Congratulations on these numbers. Sir, I just wanted to get the split between your FDF and API within the ARV revenue, if you could just disclose that? And the second question I had is that now this quarter, we're seeing that mix of ARV versus non -ARV coming back down to like the 1/3, 2/3 split, which we have spoken about for a while. So how do you think about this going forward for the next 3, 4 years? Are we going to be at this mix now? Have we reached that stable level of 1/3rd , 2/3rd ?

Satyanarayana Chava: I will answer the last question. See, currently, 2/3rd is non -ARV and 1/3rd is ARV. We expect this will be the highest and I expect it will go down further, but I don't think it will go up beyond this number.

Soumya Chava: To answer your first question, for ARV APIs, we did about INR415 crores and ARV FDF is INR254 crores. Together, total ARV revenue is INR669 crores.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Laurus Labs Limited

July 24, 2026

Page 7 of 17

Sajal Kapoor: Congratulations on a strong quarter. I have two questions. First is Dr. Satya, take us back to 2023, please. The numbers were weak. The stock was under pressure, yet you kept investing. What was going through your minds during that period? And what gave you the conviction to stay the course? And I would also like to hear Ravi's comments on this question, please.

Satyanarayana Chava: See, in the CDMO business, what we have realized, customers would like to see the capacity before giving products. And second, the trend what we have also seen when they put a very important program updates, they don't want to see that batch size increases. They don't want to see change of manufacturing lines, change of manufacturing sites to minimize the regulatory complexity.

Since we realized this very early in the CDMO growth, we did invest aggressively. We realized we are taking risk, but we are not taking the risk of putting the company at

a bankruptcy. So we decided to invest aggressively created capacity and that attracted customers that attracted complex projects and also attracted projects at scale.

Sajal Kapoor: That's helpful. And Ravi ji, being the CFO, it's your job to not approve any project, right? So I'm sure you must be having a very close scrutiny on at that point in time because the environment was foggy. And at least to us, as investors, it was very less visible. Looking at the numbers, the ROCE was collapsing the margins, the sales. I mean the CDMO segment itself saw a big collapse because of disappearing of that purchase order. So what gave you the conviction to sign on the capital allocation decisions that the team was making?

V. V. Ravi Kumar: Sajal, actually, your question has an answer. FY '23 is the best year because of that execution of large purchase order. But maybe the execution itself is a classic example or like a precedent to approve a capex. So had we not had capacity before accepting that order, actually, we should have been missing the entire CDMO opportunity maybe in the next future years. So that created a milestone.

And fortunately, I've been there in this business and with Dr. Satya for a long time. So we know we may defer sometimes, but we go together. So that's how we have done. And then you know only 7 quarters, we had not so great results. Those 7 quarters, we used to read Bhagwat Gita well, so we were having balance of mind and then we were using our judgment to invest continuously. That is really paying well for the last 5 quarters, and then it will repeat in the next years. I hope I answered your question, Sajal ji.

Sajal Kapoor: Yes, definitely. Definitely, Ravi ji. You read the most important book at the point in time which you created the maximum return on that investment of your time, on that one. So thank you for answering that.

Second question is Laurus now seems to be at a stage where some investments are being harvested, others are scaling, while a third set is still being seeded. How do you talk about balancing these 3 horizons when allocating capital because a lot of what you are seeding today will not be visible to us as outsiders or investors maybe next 5 years, maybe 4 years, who knows?

Laurus Labs Limited

July 24, 2026

Page 8 of 17

Satyanarayana Chava: See, one segment, our investments are not going to give returns is our advanced biologics, our investments into gene therapy, ADCs and all. That investment we're doing consciously because those modalities are the one which are growing faster than others. Except that our investment into small molecule API, small molecule drug product, I think we know, as we always say, the CDMO, CMO business is lumpy, but predictable. So now our capex investment is very heavy because we were able to predict better than earlier.

V. V. Ravi Kumar: I just want to add one more point, Sajal ji.

Sajal Kapoor: Yes, sure, Ravi ji, please.

V. V. Ravi Kumar: You see, a few years back, we have taken a call when we started generating more cash. So we took a call that like up to 10% of our investments or our profits into a disruptive technology, either in-house or external. That also is paying well. And then, for example, some of the initiatives, what we have taken, they are not even generating any revenue or maybe not major revenue. So I think the combination of all these strategies, what you have said which can create a sustainable organization.

Satyanarayana Chava: The other point I want to add here is, see, any major investment in new areas, it will take 4, 5 years. So unless we invest right now for our growth in FY '30 onwards. So we see real growth coming after 4, 5 years.

Sajal Kapoor: Yes, absolutely. And unlike generics, as you said, Dr. Satya, ours is a lumpy business, but it also is predictable. How predictable do you think is the a 400-plus KL scale that will go commercial starting

early next year. How predictable is that side of the business?

Satyanarayana Chava: See, that business currently giving give or take INR200 crores right now. That INR200 crores,

we are very confident that we'll generate. Next ramp -up, we are banking on multiple products. I hope all will not succeed at the sense all will not fail also. So we are hopeful some products will succeed and that will give a massive upside. Our next 12 to 18 months will be very crucial which molecule, which program in our precision fermentation will take off, which will not take off. So that is the reason this gestation period, we expect the 18 months for our bio business to see significant ramp -up.

Sajal Kapoor: Yes. And the capacity there is fungible, right? So even if some molecules fail, the lesson and the learning will be deployed to the next set of opportunity, and we could use the same infrastructure to manufacture something completely different there?

Satyanarayana Chava: So capacity, what we have created upstream, downstream are fungible. So we can use the same capacity for multiple programs.

Moderator: The next question is from the line of Bharath from Quest for Value Capital.

Bharath: So congrats for a good set of numbers. Regarding this FY '27 capex guidance, as one of the participants already said, so you have effectively doubled capex from INR1,000 crores to

Laurus Labs Limited

July 24, 2026

Page 9 of 17

INR2,000 crores in just 6 months. So could you help us understand what has changed during the 6-month period? What new opportunities have emerged that made you to do too successive upward revision of capex? Is it due to increased inquiries from big pharma due to supply diversification?

Satyanarayana Chava: It is from the capacity needed for our existing customers, some programs we are doing advanced intermediates, maybe we have to do API. We are expanding our offerings in the programs. We are investing in new modalities within the small molecules also. So this capex, unlike earlier capex, what we have done, this we are doing for a purpose, for a product and capacity, what is needed in the near term for our partners' needs.

Moderator: The next question is from the line of Dhanshyam Meena from Monshot Capital.

Dhanshyam Meena: Sir, I have one question regarding where we can witness the impact of CDMO ramp -up in our margins or in our profits, whether we can see them in gross profit or operating profit as we compare with respect to the last quarter, our CDMO business has improved a lot.

However, our gross margins have not improved and operating profits have improved. Further, raw material cost, if we consider that there may be some higher cost due to the Middle East or West Asia crisis. But in case of API, I think the prices reflect around 1 quarter after the raw material will be procured. So can you please explain or to understand the business in this regard?

Satyanarayana Chava: See, as you mentioned, our CDMO business increased significantly. And so our gross margin also improved from 61% to 63%. That's from quarter -on-quarter. But when compared to year -on-year, it is almost a little over 3% increase was there. We have seen some pressure on margins because of the global conflicts, but that margin pressure is not that significant to take a shelter that because of that margins have gone down. So we expect the similar margins we maintain for the coming quarters as well.

Dhanshyam Meena: Okay. The second question is regarding the asset turns. Would we expect the asset turns around 1.5 as we ramp up our CDMO business?

Satyanarayana Chava: We have clearly mentioned in our investor presentation, our first target is to reach asset turnover ratio a little over 1.0. That's the target. We are almost there right now, but we wanted to take a little more than 1.0.

Dhanshyam Meena: And sir, last question from my side. In this quarter, the the CDMO

business is significantly

contributing around, I think, 44% something. And so I want to know this contribution from the 2, 3 products or there are multiple products in this regard?

Satyanarayana Chava: Thanks for asking question. Our CDMO business is well diversified. No product or no customer are contributing significantly in our business. So well -diversified CDMO segment.

Moderator: The next question is from the line of Ramesh Jain from CA.

Laurus Labs Limited

July 24, 2026

Page 10 of 17

Ramesh Jain: And first of all, congratulations to the management for a great set of numbers. So my question to Dr. Chava is, sir, if I remember correctly, you have promised by 2030, our CDMO turnover will be more than 50% of the total turnover. So are we still sticking to that? Or are we going to prepone that target to 2028 or '29?

Satyanarayana Chava: At this point, we are very comfortable to say that by FY '30, we will definitely reach our target of at least 50% of revenue come from CDMO segment.

Ramesh Jain: And secondly, sir, just I wanted to know what is the amount of exchange gain we have made during this quarter?

V. V. Ravi Kumar: Forex gain on the balance sheet is about INR5 crores.

Ramesh Jain: It's INR5 crores.

V. V. Ravi Kumar: Yes. forex gain as a separate head is INR5 crores.

Ramesh Jain: And thirdly, sir, if I see your presentation, you are mentioning some in -licensing of ADC . So can you throw some light on this, sir, exactly when we will be able to generate revenue out of it?

Satyanarayana Chava: These programs are at the preclinical stage. We have to continue process optimize in Hyderabad, do GLP toxicity, file IND and if the data is good, then we have to do Phase I, II trials in India.

So it will take 3 to 4 years in India.

Moderator: The next question is from the line of Rehan from Trinetra AMC.

Rehan: I have just one question on the capex side. Like you have guided, you have guided long -term target of 1.1x asset turnover and 25% ROCE. So sir, given the cumulative capex has now crossed INR4,700 crores, so what is the expected trajectory for these ratios over the next 4 quarters

Satyanarayana Chava: I think asset turnover ratios will be more than 1.0 for sure. And the ROCE because of heavy capex this year, maybe going to 23% will take some time. But we expect ROCE will continue to grow from last year, it is 17.7%, this year it is 19 % something. Then we continue to grow our ROCE returns as well.

Rehan: Okay. Okay. And just last one more question, if I can ask. So we have previously observed pilot scale shipments for GLP -1 peptides like semaglutide. So sir, has the company now qualified commercial scale synthesizers ? And when do we expect meaningful revenue contribution from this category?

Krishna Chava: Within GLP -1 space, while there are a few different opportunities that we are working on. Unfortunately, we are not able to discuss any project -specific details, but we expect peptides to be a meaningful area for Laurus as a company.

Moderator: The next question is from the line of Manoj Bahety from Carnelian.

Laurus Labs Limited

July 24, 2026

Page 11 of 17

Manoj Bahety: So first of all, congratulations, Dr. Chava and entire Laurus team for a very, very strong quarter.

So I have 3 questions. First question is, as you mentioned that in CDMO, 55% of the revenue is on the commercial side and 45% is on the start-up where the filling of inventory may be there.

So just wanted to understand whether this 45% portion of the revenue is going to sustain? How do you see the sustainability of this portion? That is my first question.

Satyanarayana Chava: The majority of the revenue, which is not commercial is for the Phase III supplies. So we expect they will become commercial soon for one of the programs where we supply Phase III supplies, the approval also obtained. So we expect it will become commercial soon.

M

Manoj Bahety: Okay . And second part is, if you can give us some update on Krka JV, how much more capex will be required in that? And when do we expect the revenues? And what will be our guidance, if any, on this part?

Satyanarayana Chava: See, Krka JV, we are doing two things. One is oncology, small volume oncology formulations and large volume normal solid orals. The oncology facility will be ready early next year and then solid oral facility will be second half of 2027 calendar year. Currently, we have invested so far INR400 crores. And then that facility needs another INR400 crores. And part of that investment will come from loan from our partner.

Manoj Bahety: And sir, my last question is on our animal part of CDMO. I think if I remember out of 16, 18 molecules, around 2 or 4 tech transfer did happen. So if you can give us an update there also, the kind of jump we are seeing? Have we received more tech transfer? Has number of molecules gone up there?

Krishna Chava: Well, not in a position to share the specific number of molecules that we are working on, but there are a few programs or molecules in that space that are being commercially supplied as we speak.

Moderator: The next question is from the line of Sachin from Prahas Capital.

Sachin: Yes. So many congratulations to entire Laurus team for wonderful results. And, Dr. Chava, I'm very impressed the way each success of Laurus seeding another success, like, for example, API seeded formulation, formulation seeded CDMO. Now what I want to understand, if you see Laurus 3 to 4 years from here on, what's your big picture

Satyanarayana Chava: It will be a fully integrated pharmaceutical company, offering end-to-end solution in pharmaceutical value chain from API to drug product, both in our generic CMO as well as our NCE also our desire is to offer fully integrated product, not just starting materials intermediates API, but to offer including formulations for our big pharma CDMO customers. That's our goal, and we are going in the direction right now.

Sachin Shah: Understood. And more particularly, how you see Laurus Bio evolving, say, next 3 to 4 years? Because as of now, it's comparatively, it's pretty small. But in your scheme of things, how do you see next 3, 4 years, Laurus Bio can shape up?

Laurus Labs Limited

Satyanarayana Chava: There are 2 segments where we have invested a lot of money. One is bio and second one is Crop Sciences. We need maybe another 18, 24 months to assess how big the opportunity, what else we need to do? Do we add more customers, more projects, more infrastructure, more resources in R&D or more resource BD. I think that's the evolution right now.

If you look at in the broad scheme of things, both divisions put together creating INR250 crores revenue. That's not significant, but we are investing significantly in both these, and we need 18 to 24 months to assess where those divisions will take us from the current stage.

Moderator: The next question is from the line of Mitul Mehta from Lucky Investment Managers.

Mitul Mehta: Congratulations on a great set of numbers. It is very heartening to know that how you have navigated your company in last 10 years from an ARV to a full-fledged integrated CDMO. So hearty congratulations to your entire team, sir.

Sir, my question to you is, so if you see our quarter 1 exit rate for CDMO is roughly about INR800-plus crores. Now the overall share in the basket is now approximately 42%. And do you firmly believe that we can keep growing our CDMO business at about 30% to 40% for the next 3, 4 years based on the capex that we are doing for this and this entire capex is for the CDMO or we are also investing in other segment of the businesses? If you could just throw on this particular question.

Satyanarayana Chava: The majority of capex is for small molecule, whether it is API or CDMO. A

nd we do expect to

grow significantly. I may not be able to give you a number what we will grow, but we have good visibility and a lot of confidence and conviction that CDMO will definitely give a lot of growth for us.

Mitul Mehta: And sir, is it possible for you to give us a total TAM of this CDMO pipeline that we have built in the last so many years so that we get some confidence as to the company is on a very serious growth trajectory for the next 3 to 5 years. Is it possible for you to share the number? I mean I'm certain that there are a lot of confidential agreements. But just sort of broadly, if you can give us what could be the addressable opportunity in this whole piece?

Satyanarayana Chava: I think we don't want to confuse all our investors by giving a certain number of projects we're handling or certain percentage of and all. So it all depends on the value of each program is more important than the number of programs. So that's more important. And the addressable market is the CDMO market is growing and a lot of opportunities are there. It is our ability to create capacity, create technology platforms and absorb the customer projects and all. Krishna, do you want to add anything here?

Krishna Chava: No, no, I echo your thoughts because from a number perspective, in the CDMO space, we have commercial programs, be it intermediate or APIs that are maybe less than 1 million. And there are programs that are in the double digit or even beyond, right? So just giving a number might not give a complete picture and thereby, that was one of the reasons why we've categorically

Laurus Labs Limited

July 24, 2026

Page 13 of 17

tried to refrain from giving a breakup because that might not be an accurate representation of how the business is doing.

Mitul Mehta: Or is it possible for you to share like how much each product or each program would be contributing to the overall? I mean, is it a very concentrated I mean, is there like a top 3 or a top 5 or it's a basket of products that is sort of contributing to the growth in the overall CDMO business?

Krishna Chava: Fortunately, within the CDMO space, the revenues are well diversified. And we don't have any particular high concentration of any particular program or customer for that matter. It's a well-diversified set of products that currently we have.

Mitul Mehta: And also within CDMO, what percentage would be for the patented molecule and non-patented molecule?

Krishna Chava: Within the way Laurus Labs as a company represents CDMO, all of these are innovator programs, which are on -patent molecules. All the off-patent molecules that we support for various different companies from a contract manufacturing point of view are internally referred to as CMO and the value from this is captured in the affordable medicines revenue.

Mitul Mehta: So which means a very significant -- I mean, 70% to 80% or 90% of the business would be from the patented molecules?

Krishna Chava: In the CDMO space, predominantly, yes, maybe even more than that. Yes.

Mitul Mehta: Maybe even more than that. Okay. And the therapeutic concentration also is very well diversified? Or I mean, 1 or 2 therapies contribute significant to the overall CDMO pipeline, I mean, business?

Krishna Chava: Therapeutic area also is well diversified. There's no specific therapy area that has any high

concentration risk.

Mitul Mehta: Right. Sir, you have been primarily into an investment curve, and this investment curve also seems to be continuing. And obviously, we can see that your CDMO business is growing at upward of 35%, 40%. But just to sort of map, Laurus, on return metrics, I mean, on return on capital employed, if I were to sort of dissect your CDMO and sort of build up P&L for your CDMO business, would your return on capital employed at maturity or maybe at good scale up would be significantly higher than the total ROCE of the

company?

V. V. Ravi Kumar: We can't separate the CDMO and the generics part of it. So we can't calculate the separate ROCE for CDMO.

Moderator: The next question is from the line of Dhawal Khut from Jefferies.

Dhawal Khut: So just wanted to get some more comments on your custom synthesis sales run rate, given that we do have high visibility typically at least for next 2 quarters. So is it fair to say ballpark, maybe

Laurus Labs Limited

July 24, 2026

Page 14 of 17

plus/minus INR100 crores here and there, but we can maintain the current run rate? Is that a fair understanding?

Krishna Chava: That's a fair statement to make, sir. Yes.

Dhawal Khut: Okay. And also, can you give what was the commercial sales contribution within the custom synthesis for FY '26? You said it's 55% for 1Q FY '27.

Satyanarayana Chava: It's the same number. But we expect in the coming quarters and years that will grow. It's 50% came from commercial supplies last financial year.

Dhawal Khut: Okay. And one for Ravi, sir. Sir, if I got it correct, you said it's 2% constant currency growth for the quarter. So can you explain because against most currencies, especially the dollar and euro, I think INR depreciation is like 10%, right? So how is our constant currency growth so low given that INR growth is 30%?

V. V. Ravi Kumar: So we have even a rupee sales also, right? The entire sale is not in the dollar terms. And what I said is like for the FY '26 and the first quarter comparison.

Dhawal Khut: Okay. So what would be the total export percentage in terms of total consol revenue?

V. V. Ravi Kumar: Direct export is, I think, about 55%, 60%. We just check.

Dhawal Khut: Okay. And lastly, one more, if I can. Can you throw some more color on the Laurus Bio division in terms of what category of products are currently largest within that division? Is it insulin, food protein, industrial enzymes currently? And in terms of new product, what are going to be the largest category of product?

Satyanarayana Chava: Currently, about 20% revenue comes from animal origin-free cell culture ingredients and enzymes, and the remaining 60% coming from various CDMO molecules at the early stages. It's spread over some alternate food proteins, some colors, some super absorbent polymers. It's spread. It's not one segment which is concentrating more.

Moderator: The next question is from the line of Abhijith, an Individual Investor.

Abhijith: Congratulations on the fantastic set of numbers. I have a question with regards to the Aarvik Therapeutics, 2 ADC contracts that you signed, I just did a quick Google search, and I noticed that they have a different type of ADC. Can you give more disclosure on the product that you're developing? Are you partnering with them and to develop it from scratch? Or there is already a certain product that is already there and they're asking you to help them scale it up?

Satyanarayana Chava: We also made a small investment into Aarvik Therapeutics long back. We have in licensed 2 preclinical assets, which completed in vitro proof-of-concept. And we need to do GLP tox here in India. That will be mid of next year, we expect to start preclinical talks. And based on that, we will plan our future course of action. These are part of their M UTTA program. And this are for 2 therapeutic categories, we will give you more details later, which are both are solid tumor.

Laurus Labs Limited

July 24, 2026

Page 15 of 17

Abhijith: And another question is with regards to the organization itself. I think you clearly demonstrated that you're capable of executing small molecule CDMO contracts and you're positioning yourself as a large molecule player with all as cell and gene therapy, peptide ADC. Would you like to give a more visionary disclosure to the investors with regards to the next 5 years?

Satyanarayana Chava: See, we already make a few payload linker program

s for big pharma. And see, for us to wet our

hands, we need to get technology absorption. Instead of developing We can't invest in a small biotech company and get access to their technology. So now with these 2 ADC programs, we have access to their conjugation, purification and fill finish opportunities there. That is one area where we are investing.

And we also licensed some patents from IIT Kanpur, those are helping in our gene therapy programs, our investment into ImmunoACT helping us to understand the lentiviral and then cell therapy. And based on the programs what we have from partners, we also invested, as Krishna mentioned earlier, into large peptide manufacturing capacity as well. So eventually, we are investing in the future modalities where the market is moving.

Abhijith : Okay. One last question with regards to the peptides. Everybody in the market is trying to focus on the peptides or the weight loss, the GLPs. But I think there is a lot of speculation that's happening in the peptide treatments for other sectors, right? Like gastro, I think I was reading is something -- there's a lot of work going on in it. Would you like to disclose more that saying that are you looking at the overall sector? Or are you looking at specific sectors where the growth is? Because I think the market itself is growing around 30% plus, so if you can give some more details on it?

Satyanarayana Chava: Krishna, do you want to answer?

Krishna Chava: Yes, there's a few different class of programs that we expect to support in this space, which we will give additional color in due course. But yes, it's multiple classes that we expect to support.

Satyanarayana Chava: Not just GLPs, we also have programs other than GLPs.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just a clarification. The constant currency growth in Q1 FY '27 over Q1 FY '26, if you could clarify.

V. V. Ravi Kumar: Vivek will come back to you on that. Actually, what I said is on the full year of FY '26 and quarter 1 of FY '27.

Tushar Manudhane: No, I meant to ask Q1 FY '27 over Q1 FY '26.

V. V. Ravi Kumar: That's what. Vivek will offline tell you.

Tushar Manudhane: Sure, sir. And with respect to this increment in capex, while it is for a specific customer, but is it for a specific product?

Laurus Labs Limited

July 24, 2026

Page 16 of 17

Satyanarayana Chava: These are not meant for one customer, multiple customers and multiple products.

Tushar Manudhane: The capex guidance which you raised from INR1,500 crores to INR2,000 crores. So incremental INR500 crores is for multiple products. Is that the way to understand?

Satyanarayana Chava: Yes, you're right.

Tushar Manudhane: And if you could just clarify like again, for Animal Health, Crop Science or human health and for API or intermediates?

Krishna Chava: It's a mix of both Human Health and Animal Health portfolio.

Tushar Manudhane: Okay. And for API and intermediate?

Krishna Chava: Both.

Satyanarayana Chava: As you've seen, Laurus is investing more in serving our partners' API needs. We do have some business in advanced intermediates in CDMO segment, but mostly it is API for us.

Tushar Manudhane: Got it, sir. And just last one, if I may. This regulatory approval for your customer where the product offtake is sort of expected to scale up. This is for like the global market, regulated markets, emerging markets, if you could give some color to that?

Krishna Chava: We expect it is global, regulated and LMIC as well, but it's global portfolio.

Moderator: The next question is from the line of Dhanshyam Meena from Moonshot Capital.

Dhanshyam Meena : This is just a follow-up question regarding the CDMO business. As Dr. Chava mentioned that we have a very well-diversified CDMO business. Can we know in terms of the percentage if our any

molecule in the end product becomes blockbuster, how much we can earn in our business?

That is my question, sir.

Satyanarayana Chava: I think we can't give you the granular details, product-wise and customer-wise revenue because of our confidential issues, we can't give you beyond what we are disclosing.

Dhanshyam Meena : The idea in this regard that if one molecule becomes blockbuster in what we make in our CDMO business, how much percentage we can earn in our business in that molecule? Just an example.

Krishna Chava: So again, that's an interesting question. The answer to that, sir, is it is not very easy to come up with a percentage potential contribution to our top line based on the blockbuster status of the customer. The reason why I say that is because there might be programs that use, let's say, 500 - milligram dosage per day or there might be programs that use, let's say, 1 or 2 milligrams a day or even less. And also comes down to what value of that each milligram is so while programme might mean blockbuster for customer but what it means or what it entails to us as an API supplier could mean completely different based on that particular nature of the product.

Laurus Labs Limited

July 24, 2026

Page 17 of 17

Dhanshyam Meena : Okay. Just one more follow-up. Do we have molecules in our CDMO business, which are

generating around INR200 crores or more?

Krishna Chava: Yes. The answer is yes. Yes, we do have.

Moderator: Ladies and gentlemen, that was the last question of the day. And I now hand the conference over to the management for closing comments.

Satyanarayana Chava: Thank you, everyone, for your very insightful questions and your continued support to the organization. Thank you.

Moderator: Thank you. On behalf of Laurus Labs, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.